

Schaeffler India Ltd. (SCHAEFFLER)

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Call: Sep 2023

Schaeffler India Limited

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Sub: Disclosure under Regulation 30 of the SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015 – Transcripts of Analyst/Investor call held on August 31 , 202 3.

Dear Sirs,

With reference to our letter dated August 31 , 2023 , please find enclosed the transcript of the Analyst/Investor call held on August 31 , 2023, for your information and records. The same is available on the Company's website - <https://www.schaeffler.co.in/en/invest-or-relations/acquisitions-divestments/>

The link of Audio recordings have been shared with the Exchanges vide letter dated August 31, 2023.

Kindly take the same on your records.

Thanking you.

Yours faithfully,
For Schaeffler India Limited

Ashish Tiwari,
VP - Legal & Company Secretary
Encl.: As above

04/09/2023

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PUBLIC

"Schaeffler India Limited
Conference call on aquisition of KRSV Innovative
Auto Solutions Private Limited "
August 31, 202 3

MANAGEMENT : MR. HARSHA KADAM – MANAGING DIRECTOR AND
CHIEF EXECUTIVE OFFICER
MR. SATISH PATEL – DIRECTOR FINANCE AND CHIEF
FINANCIAL OFFICER
MS. GAURI KANIKAR – INVESTOR RELATIONS

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PUBLIC Moderator: Good day, and welcome to Schaeffler India Limited conference call on the acquisition of KRSV Innovative Auto Solutions Private Limited. As a reminder, all participant lines will be in the listen-only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing star then zero on your touchtone phone. Please note that this conference is being recorded.

I now hand the conference over to Ms. Gauri Kanikar from Schaeffler India Limited. Thank you, and over to you, ma'am.

Gauri Kanikar: Good morning, everyone. Thank you for joining Schaeffler India Limited's conference call on the acquisition of KRSV Innovative Auto Solutions Private Limited. We have with us today from the management, Mr. Harsha Kadam, our Managing Director and Chief Executive Officer and Mr. Satish Patel, our Director of Finance and Chief Financial Officer.

Mr. Kadam will first take us through a short presentation, explaining the broader strategic aspects of the acquisition after which we can open the floor for questions. Thank you and over to you, Mr. Kadam.

Harsha Kadam: Good morning, everyone and welcome to Schaeffler India Limited's conference call on the acquisition of KRSV Innovative Auto Solutions Private Limited. And along with me is Satish Patel, our CFO and Director of the company. The Schaeffler Group, as you all know, has been driving forward ground-breaking invention and developments in the field of motion technology for over 75 years now. With innovative technologies, products and services in both the automotive and industrial space, the company has been and is a reliable partner for making more efficient, intelligent and sustainable over the entire life cycle of the products and applications. That said, the post-sales aftermarket business too is an important aspect of our business. Now having said that, I am sure you will all agree that we see big transformations in the marketplace. Amongst the many transformations you see, one that is playing a very important role is digitalization. In fact, digitalization has become one of the important growth enablers for the Indian economic growth story as well. So, every aspect of our lives today is not left untouched by digitalization.

So, in line with our digital transformation drive within Schaeffler India as well, also our strategy to grow the automotive aftermarket business at a faster pace, we have reached an important milestone. The acquisition is a milestone moment for Schaeffler as an organization from many angles.

For one, this being the very first acquisition for the Schaeffler India entity. For second, this is the very first acquisition in the B-to-B e-commerce space. And lastly, even at Schaeffler Group level as well, this is a very first acquisition in the automotive aftermarket space, just to name a few.

I am on Slide 1 currently. And I would now like to briefly take you through a short presentation explaining more details on this acquisition, after which, we will open up the floor for questions.
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PUBLIC Before I take you into the details of the acquisition itself, let me get you all on the same page regarding what this market is all about. And for that, I request you to refer to slide number two.

First, let me start with some data points to understand what the market is about. As you can see, the Indian market is a substantially large market and expected to grow at a phenomenal rate.

As you can see, the B-to-B e-commerce penetration today being just about 2%, it is expected to grow to a level of EUR 1.4 billion by the year 2030, and that would be talking about a CAGR growth rate of 30%, as you can see, getting it to a level of 10% penetration

on our e-commerce

B-to-B platform as well within the entire automotive aftermarket business that is present in India. A lot of vehicles that get added coming into the space, the vehicle part numbers are expected to hit close to sixty million vehicles on the road and one of the strongest growing markets for the automotive sector within India as well.

So consistently, over the last few years, the automotive aftermarket in India has been growing at a CAGR of 10% in the last 5 years. This is in spite of the pandemic and the disruptive impact that it had on the economy. Predominantly, the large players are the OEMs. And of course, they have a strong distribution network across the country. And with the B-to-B e-commerce coming into this space as well, what it is going to do is it is very apt that we at Schaeffler India participate in this digital ecosystem.

With this platform, we expect definitely that we can double our aftermarket sales by the year 2030. What would this mean to us, this will enable us to access the workshops that are there in the market and the ability for us to engage with them more actively, much faster with our future value-added services, which we have already been extending through our REPERT. All of this would be now bundled up into the B-to-B e-commerce space as well.

It is also about creating the right deterrent capability in a way, so that we have the ability to protect our business as the auto parts business becomes more digital in the years to come. I talked about speed and obviously, any digital e-platform route is going to enable us for future scalability to increase at a faster pace into other vehicle form factors as well.

This is also going to enable us to access a lot of market intelligence information and big data, which today we are struggling to get access to such data. So, as you have already heard, we are happy to announce the acquisition of Koovers, a B-to-B e-commerce platform. And this is going to enable us to take the automotive aftermarket business to the next higher level.

Now that said, on the 28th of August, the Board of Directors of Schaeffler India, in a special board meeting that was called has approved the acquisition of 100% of the shares of KRSV Innovative Auto Solutions Private Limited, which had a strong brand called Koovers.

KRSV is a Bengaluru-based private limited company, offering spare part solutions to the Indian aftermarket workshops via B-to-B e-commerce platform. This acquisition presents an ideal synergy for Schaeffler's future after sales activities in India. It will become a key enabler for the aftermarket ecosystem, including our own distribution partners and help them to play an important role in the fast-growing and evolving aftermarket digital landscape.

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PUBLIC So, as I have said earlier, this is the first acquisition for us in the history of Schaeffler in India. And obviously, this becomes a strategic step for us to maximize the value creation through our repair solutions for our customers.

Our ambition in the auto aftermarket business always has been to simplify the workshop operations and that can be achieved adopting more plug-and-play approach towards our products and solutions, while we continue to build a very strong connect with our customers as well. And this is where Koovers strongly supports this ambition with its innovative digital offering.

To explain a little more about Koovers brand and its vision, I draw your attention to slide number three. Under this acquisition, the company in question here being the KRSV Innovative Auto Solutions Private Limited. The company is headquartered in Bengaluru and KRSV was founded in the year 2015, and it has a compelling story to tell. The company has a brand name called Koovers and Koovers is one of the fastest-growing automotive company in the B-to-B e-commerce

space.

With the projected sales turnover of INR 77 crores in 2023, they have been growing at a CAGR of ~112% over the last 3 years.

With 7,000 workshops, 1.8 million SKUs and being present in 125-plus towns, they are still predominantly present in the South of India today only. Their product categories have a wide range, ranging from breaks, filters, lightings, exhaust systems, engine parts, speedometers, fuel systems, suspension, and the works. Now these are also represented by all the top OEM brands that manufacture the products that I just mentioned, to name a few Bosch, Valeo, Rane, Gabriel, Exedy, Sona, Hella so on and so forth.

The top OEM brands they represent or all the major brands they represent on the platform comes from the passenger vehicle OEMs as well. Now this is a digitally enabled app-based platform with the ease of access, reach, connectivity, and efficiency as they are committed to their tagline of 'right spares at the right price and at the right time.' So Koovers today enjoys a high brand reputation among its customers in the automotive aftermarket in India. This is also the very reason that the brand will continue to operate under the Koovers brand name.

We believe this acquisition will be a key enabler for the aftermarket ecosystem, including our distribution partners as well. And Koovers will not only help us to expand our digital presence with quick expansion of scope and the range, but also help us in building an ecosystem of workshops empowering the stakeholders across the entire value chain. With that, I will move to the next slide to share a little more details about the acquisition itself. So, under the share purchase agreement, Schaeffler India Limited will acquire 100% shares of KRSV Innovative

Auto Solutions Private Limited for a consideration of approximately INR142.4 crores, now this acquisition is fully funded by own cash generation.

The transaction will be completed in the next couple of weeks and in this quarter of 2023, subject to the customary closing conditions. For the fiscal year '23, Koovers has recorded a turnover of INR77.7 crores and has ~162 employees on board. Now explaining the integration model post the acquisition, while the KRSV Innovative Auto Solutions will be a subsidiary of Schaeffler India Limited

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PUBLIC Schaeffler India Limited. And this B-to-B platform would continue to operate under the Koovers brand name within the Schaeffler India Limited entity.

So, moving to the end of the presentation, I would like to draw attention to the next slide, Slide number 5, where I would like to highlight the strategic rationale. So first and foremost, this acquisition is based on the market attractiveness that we see. This acquisition will strengthen Schaeffler India's position as a major player in the Indian automotive aftermarket space and the e-commerce platform will not only help with market penetration but will also help us to access the market intelligence and big data as India's car parc numbers are closing to around sixty-nine million vehicles.

This will help us get access to deeper insights into the market dynamics as well as to customize our own offerings in the automotive aftermarket space. The second, the biggest driver we see is the scalability. India's strong economic growth, supported by the high e-commerce penetration, which is beginning to happen, and it is also linked to the strong automotive aftermarket indicators, the development of the car parc and average car age will lead to a 75% increase of the automotive aftermarket business by the year 2030.

Having said that, this is where Koovers will offer a wide spectrum of automotive products to its customers. And this also brings in a good synergy potential with the existing Schaeffler automotive aftermarket products and its business as well. It also helps us to strengthen the overall

digitalization process within the automotive aftermarket ecosystem, which we have been

diligently striving to drive it. So, with this one other opportunity that we get is to scale up our automotive aftermarket business to a much higher level, at a much faster pace as digitalization, enables us to connect with the end users in a much faster way.

Talk about customer centricity and the complementarity, Koovers has an established automotive aftermarket e-commerce platform, which becomes an enabler for including our customers as well and helps them to participate as well more actively and bringing us closer to the end customer as well. Schaeffler India, of course, would definitely complement the technical platform requirements, with its in-house expertise of cloud-based architecture as well as the cataloguing expertise that we have within us as well.

Last but not the least, the digitalization. Now this acquisition contributes to the aftermarket digitalization journey, which has been in our strategy as such. And as highlighted earlier, the digital penetration level, which we see in the market, which is currently at about 2%, is going to get to over 10% level of penetration, and we want to play the game there as well.

And the last year, the acquisition contributes positively to the ambitious journey that we at Schaeffler India have strived to always and plan to scale up our digitalization efforts in India.

With that, I come to the end of my presentation. We open the floor for questions.

Moderator: Thank you very much sir. Before we begin, we ask all the participants to keep their questions to those that are directly linked to the acquisition. We will take the first question from the line of Vimal Jamunadas Gohil from Alchemy Capital Management Private Limited. Please go ahead.

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PUBLIC Vimal Gohil: Sir, my first question was on -- if you can just talk about in terms of synergies, while you did highlight a few points there. Will we be able to host our existing products like your wipers or batteries, etcetera. on this particular platform. Do we expect some synergies and growth in our existing business because of this acquisition? That is point number one.

Harsha Kadam: Yes. Thank you for the question, Vimal. Yes, you said it right. There is lot of synergy between the products that we already are selling as well as you know, the current business model that we follow is we put our products on the shelves of our distributor shops well. Now the digital platform enables us to have a faster access and reach. This being an app-based platform, obviously, all one has to do is download the app and then scroll through the products that would be available for them. And certainly, we will have the Schaeffler products as well onto the platform.

Vimal Gohil: Understood, sir. Sir, in terms of -- if you can highlight the margins and if the acquisition is going to be EPS accretive immediately or is it going to take some time if you can highlight that?

Satish Patel: Vimal. Sa tish Patel here. Good morning. In terms of the current Koovers performance which was indicated by Harsha of reaching the turnover of INR77 crores by now with a CAGR of over 100% in the last 3 years. Certainly, they have actually reached -- the company has reached to a level of positive gross profit. And we are expecting that this level would improve because there is a tremendous opportunity of growth. As of now, the platform is largely utilized in South of India, and there are strong plans to roll out pan India. With the advantage of that scale up, the margin level will certainly be there. I am not going to point out how much would that be. But certainly, there is a good and larger, let us say, possibility of improving the margin. We have to focus in terms of the technology advancement of the platform and we have also to set the enti

re business with certain sort of centres across India. So that would also involve some sort of cost. But at the same time, there is a scale of opportunity of growing in this field at a much larger space. That is going to bring the margin in terms of the overall contribution to the business.

Vimal Gohil: Understood. Sir, and just one last question was on proposition of some of the well-known vendors also have their own distribution channel and also their own platform, digital platforms for their spare parts and services, repairs, etcetera. How does our platform sort of differentiate? Why will an OEM host its products on a platform where there are other OEM or other products also available? So, what is the proposition for OEMs, which have that their captive platforms?

Satish Patel: So, let me try to answer your question. I think you are meaning our platform. Let me clarify, we do not have a platform as of now. This is the first platform that we are going for in the digital space.

Vimal Gohil: I meant OEMs capital platform. So, Maruti a Volkswagen may have their own captive platform or a digital platform, it could be anything. So, how does our proposition help? How is it different in that sense?

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PUBLIC Harsha Kadam: Let me try to answer that, Vimal. So, if I am an end user and I would want choices of the product, between brands to be available for me, obviously, I would want a platform which can give me variety. So, if I have to buy a Maruti product, obviously, I would go into the Maruti's website to look at their products. But if I were to also look at the Koovers platform, I will have multiple choice here, so I can pick. Most of the parts today in the automotive aftermarket are also standardized. There could be some specific products pertaining to that OEM brand, though definitely one has the opportunity to buy directly from the Maruti platform as well as from the Koovers platform, correct.

So, there are products where it is already a standardized product. It does not matter which brand it is. So, this platform enables us to put all the products, all the brand products making it more accessible, more convenient for the customer and giving the customer the preference to make a decision himself.

Vimal Gohil: Understood, sir. Sir, if -- how many B-to-B partners do we have over here? Any -- sorry, if you highlighted the number, I may have missed it.

Satish Patel: I think Harsha mentioned about 7,000 workshops.

Harsha Kadam: And that is just in the South of India, by the way. And this brand is to be now taken across pan-India. So, this has been a small company in the South of India, which we want to now leverage and take it across the entire length and the breadth of the country.

Vimal Gohil: Understood, sir. Thank you so much and all the very best.

Satish Patel: Thank you.

Moderator: Thank you. We will take the next question from the line of Ashish from JM Financial. Please go ahead.

Ashish: Thank you for the opportunity. Sir, my first question is more on getting your thought process on this particular acquisition. So, let us say, first our main objective is to further deepen our presence in the aftermarket. Could that have been achieved by probably getting more listings on portals or on apps like Koovers or we needed to acquire it in order to deepen our presence?

And two, now that this platform is owned by a manufacturer like yourself, will this lead to some of your competitors, etcetera, probably sort of feeling threatened or may want to pull out their products from this platform because they may perceive some sort of maybe a conflict because it's owned by a manufacturer or a product owner like, yourself? Your insights will help, sir.

Thank you.

Satish Patel: Yes. Let me first get full clarity of your first question, and if I can request you to repeat the first part of

the question.

Ashish: Right, sir. So what I was saying, sir, is that -- so if our primary objective is to actually become more deeper player or more engaged player in the aftermarket space where we sell more or have greater visibility, would that have been achieved by having listings with more number of such
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PUBLIC B-to-B players or Koovers kind of players or having more product listings on Koovers itself, for example, I mean do we need to own Koovers as a B-to-B platform in order to further our interest in the aftermarket or we could have done it otherwise. That is one. Again, I think if you want, I can repeat, sir.

Satish Patel: Thank you. So let me just answer that question. Yes, partly, yes, but not largely. The reason is that this platform is not only the digital space sort of that we can get into, but it is also the existing network of the 7,000 touch points and over 1.8 million parts. So, this is the network that we get and that is going to expand significantly. So, it is not only the digital space that we are getting, it is the entire business footprint, which is existing available, and we have a significant scope of expansion into which we are venturing. So, we get the benefit of that.

The second thing is that we are not going to limit this only to our products, right. This is for all the applicable products in the auto component space. And that gives lot many opportunities. In addition to synergizing our own business for our own products, but also expanding to the bigger opportunity that this aftermarket digital space offers. So yes, coming to your question, partly to a certain extent, we could have achieved by actually setting up such platforms, but not to the extent that we can have under the model that we have acquired.

Harsha Kadam: So, if I may add to Satish. Mukesh, we are already present pan -India. We have a large distribution network already in place. And this is a big strength in the backbone of our automotive aftermarket business. So many times, such e-commerce platforms cannot function without the support of the logistics as well as the back-end support systems. So, we believe that leveraging these two effectively plus already the workshops that Koovers has in this portfolio, it would only be complementary, if you see. And I think more importantly, as well to point out that if we were to try to do this on our own, it will take a longer time. And this by this acquisition is a faster way to scale up, correct. And hence, we believe that it is important that the acquisition route is the right way to go forward.

Ashish: Sure, sir. The second part of my question is that now that Koovers is owned by us, does it sort of maybe put the other competitors, our competitors in a similar product lines. In some sort of dilemma, whether to continue their presence on the platform because they may perceive it as some sort of conflict of interest. So, it could be a perception issue, but any insights there that helps.

Harsha Kadam: Thanks, Mukesh. You partly answered your question yourself by using the word perception. Let us look at the traditional business model today that is existing, right? If you see, we have our own distribution channel plus the OEMs also have their own distribution channels to their own, as we call it, OES part of the business. So, all of us do coexist within that space.

The e-commerce is going to transform the way we are able to do the business. It is not that the business is going to be replaced or it is going to be rejigged or it is going to shift hands. The way we are able to do business in future is going to be more digital. That is what it is all about. And that is happening already.

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PUBLIC Today, the penetration level of e-commerce in this business space is just about 2%, and it is

likely to scale up. And even by the year 2030, if you look at Frost & Sullivan report, it talks about it is going to scale up to about 10%, which means there is still the 90% of the business still continues in the traditional model, which is happening today. So, to me, is that going to be competition, I do not think so. It is going to complement each other. So okay, ultimate whose product, everyone gets to sell their products, isn't it? So, it does not matter what platform we put them on to. So rightfully, you use the good word, perception, so it is about perception here. It depends on how one wants to perceive it.

Satish Patel: And just to add Harsha, what we have also taken care in the entire acquisition is that this company is going to remain separate. That is not going to be integrated with Schaeffler India Limited and also the brand remains separate. So Koovers would stay as the brand as it is today. So hopefully, they take care of certain perceptions and aspects.

Ashish: Got that, sir. Thank you very much for your answers. Thank you.

Moderator: Thank you. We will take the next question from the line of Mukesh Saraf from Avendus Spark.

Please go ahead.

Mukesh Saraf: Yes, sir, good morning and thank you for the opportunity. My first question is with regards to your existing distribution network that you have on the aftermarket. Will this move in some form be competing with some of your distributors already? And how are you kind of going to manage that situation if at all?

Harsha Kadam: Well, the business model that it is going to follow is our distributors will definitely play a critical, crucial part in ensuring the entire value chain operates. If you see, this is all about having, if you look at the tagline, it is having the right part at the right price at the right time. And that cannot happen if our distribution network too is not fully aligned with this business model.

And rightfully so, this is going to be an enabler, not a disabler for our distributors as well. And we have made all the efforts to make sure that, that level of transparency and trust is going to be there with our distribution partners, because they are going to remain a valuable part of this long-term infrastructure.

Satish Patel: I am going to add that, today if you see, there are many layers in the entire supply chain. OEMs, then distributors, then we have wholesalers, retailers, and the auto service providers. So, this many layers, some of them are going to be actually squeezed, but the main layer of distributor is actually going to be optimized and they are going to actually have the larger space available to play in the whole system. So it is more of the next layer, which are there already almost three to four of them. Some of them will be actually squeezed because of the digital service platforms.

Mukesh Saraf: Right, understood. And if you have some sense of the 7,000 workshops that are currently getting serviced, what would already be workshops that are being serviced by your distributors already so that there is some kind of overlap? Or do you think that the majority of the 7,000 would be incremental workshops that Schaeffler's products will be going to?

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PUBLIC Satish Patel: So, the question is about 7,000 workshops which are currently the touch points for Koovers. How many of them are already touch points of Schaeffler by distribution? I do not think, we have the number here, but some of them would be.

Harsha Kadam: The first thing I think is, this is going to be a good synergy between our own, the Schaeffler products that we are already selling to our distribution channel and it's going to complement each other. So, it is not going to kind of compete with each other. That is the reason.

Mukesh Saraf: Right. And just lastly, would this give you some new opportunities in terms

of some of these

digital products, like you have wipers and batteries, which you do not manufacture. So, would this kind of give you some more insights into maybe some other products that you could privately, and you could kind of introduce? Is that also kind of an outcome of this?

Harsha Kadam: Rightfully, this is only going to enable us to have more products to be put on the platform and also today it was just about one brand, the Schaeffler brand but then now we want to have put it up along with the other brands as well. So, this is kind of an exponential opportunity for the end customer. Look at it from his point of view, he is going to have choices, he can buy whatever brand he wants, and the price definitely is going to be differently priced on the platform.

This is also going to enable as Schaeffler for us to gain a lot of insights into the way that the automotive aftermarket functions and with digitalization coming in, it is very important. We have seen that happen in the other platforms, take for example Amazon and others, and hence we believe that this is also going to be one important element in the future, and we want to be a part of this future growth story.

Mukesh Saraf: Sure, all the best, sir. Thank you so much.

Moderator: Thank you. We will take the next question from the line of Chandra Gupta, an individual investor. Please go ahead.

Chandra Gupta: Yes, thanks for this opportunity. Sir, two questions from my side. First is, so what happens to the founders or the senior management of Koovers? Will they remain with us, or will we be putting a new team altogether?

Satish Patel: Very good question. Yes, I confirm that founders remain with the company, and we have a specific agreement with certain type of KPIs to be achieved as we have charted out strong growth plan for this acquisition. So, founders do remain associated with us and the management, which is largely consists of founders as well as the operative management remains unchanged.

Chandra Gupta: Okay, thank you. The second question is now, what does this hold for the future of our aftermarket business? Will there be more investments going ahead like this, both organic or inorganic or how do we see it panning out?

Satish Patel: See, we would as far as our own aftermarket business is concerned, we have a strategy to grow at least double digit and that part of the focus remains unchanged and rather we are going to focus more and if there is some sort of a synergy, which is still there with this sort of platforms, Schaeffler India Limited

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PUBLIC that is only going to help our own foundation business. But at the same time, I like to also mention that this space is for all the auto component products and ours is one of them.

So, in terms of the overall Koovers sort of business that we look at, maybe our own products would not be as significant because it offers a wider sort of product portfolio. And therefore, our own product would not be significant, but there are synergies of our own product growing, because of the digital space, which is now available to us.

And our own core business expansion that we have in terms of the market, as well as in terms of the new product launch like we have launched the battery recently, we had also already launched TruPower, certain lubricants and all those types of launches will continue and that will also support the growth in the aftermarket.

Chandra Gupta: Okay, but are we looking for similar such more acquisitions or something like that?

Satish Patel: We settle down with this acquisition.

Harsha Kadam: The task in hand right now is to ensure that, we leverage and justify the investments, we have made, and we want to scale this up and, enable our distribution partners. They are also selling a variety of products. So, this is a platform we are offering even to our existing distribut

ors to put

up their products on the platform. So, as you can see, there is enough and enough work to be done here, which is the priority right now for us to scale this up and start to leverage and exploit the opportunities, we see in this digitalization effort.

Surely, we have a very clear strategy that we would like to grow as Satish already said. Our automotive aftermarket business to grow at a double digit CAGR growth rate and to that effect, if we have to make investments, whether it is organic or inorganic, we certainly would take cognizance of it, as and when the opportunity arises.

Chandra Gupta: Okay, sir, thanks a lot and all the best.

Moderator: Thank you. Sir, can we take one more question? There is a participant. Okay. We will take the next question from the line of Ashish from JM Financial. Please go ahead.

Ashish: Yes, thank you for the follow-up opportunity. Just one quick question. You did say that Koovers is, gross margin positive. But at the same time, we are looking to take it pan India and expand. So, what kind of further investments that will be needed from Schaeffler towards this platform in order to expand and go on a pan India business? What do you expect beyond the INR142 crores that will invest to acquire this?

Harsha Kadam: Yes, I think two types of investments are needed. One is the investment for IT and the technology upgradation, because the platform needs to be upgraded in order to serve the pan India and the larger business that we are actually aiming for. And secondly, the logistics network, though most of the logistics happens direct on this platform, so not so much of inventory that the company holds but as we expand certainly that level of logistics network also goes up.

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PUBLIC So mainly these two investments, there is no number assigned as yet, but yes, there is broad number, but not be exact number assigned. But these two are the investments, but we are pretty sure that, given the growth opportunities that we have built in, in the acquisition, even after this cost and the capex, there is significant growth, both in terms of the top line as well as the margins.

Ashish: Right. Any scale of magnitude of how much may be needed for the next three years or five years? I mean any broad magnitude?

Satish Patel: No, we are right now focusing on completing the acquisition. We have to then brainstorm also with the founders and work out as to how this business that we sort of focus in terms of the growth that we have planned. So, it is very difficult for us to spell out those numbers right now.

Ashish: Thank you, sir. That is all from my side.

Moderator: Thank you. Ladies and gentlemen as there are no further questions, I would now like to hand the conference over to Ms. Gauri Kanikar for closing comments. Over to you, ma'am.

Gauri Kanikar: Thank you everyone for joining us today. If you have any further queries, please do reach out to me at gauri.kanikar@schaeffler.com. We now conclude the call. Thank you.

Moderator: Thank you, ma'am. Ladies and gentlemen, on behalf of Schaeffler India Ltd. that concludes this conference, we thank you for joining us and you may now disconnect your lines. Thank you.

(This document has been edited for improving readability)

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Sub: Disclosure under Regulation 30 of the SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015 – Transcripts of Analyst/Investor Meet held on October 27, 2023.

Dear Sirs,

With reference to our letter dated October 20, 2023 , please find enclosed the transcript of the Analyst/Investor meet held on October 27, 2023, for your information and records.

The same is available on the Company's website - Earnings Conference Call | Schaeffler India

Kindly take the same on your records.

Thanking you.

Yours faithfully,

For Schaeffler India Limited

Ashish Tiwari,

VP - Legal & Company Secretary

Encl.: As above

01/11/2023

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"Schaeffler India Limited

Q3CY2023 Earnings Conference Call"

October 27, 2023

MANAGEMENT : MR. HARSHA KADAM – MANAGING DIRECTOR AND
CHIEF EXECUTIVE OFFICER

MR. SATISH PATEL – DIRECTOR , FINANCE AND CHIEF
FINANCIAL OFFICER

MS. GAURI KANIKAR – HEAD, INVESTOR RELATIONS
Schaeffler India Limited
October 27, 2023

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PUBLIC Moderator: Ladies and gentlemen, good day and welcome to Schaeffler India Limited Q3 CY2023 Earnings Conference Call . As a reminder, all participant lines will be in the listen -only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing “*” then “0” on your touch -tone phone. Please note that this conference is being recorded. I now hand the conference over to Ms. Gauri. Thank you and over to you , ma'am .

Gauri Kanikar : Good afternoon, everyone. Welcome to Schaeffler India Limited 's earnings conference call for the third quarter and nine months ended 30th September 2023. We have with us from the management, Mr. Harsha Kadam, our Managing Director and Chief Executive Officer , Mr. Satish Patel, our Director , Finance and Chief Financial Officer. Mr. Kadam will first take us through a short presentation on the results after which we can open the floor for questions. Thank you and over to you, Mr. Kadam.

Harsha Kadam : Hello, good afternoon and warm welcome to this earnings call of Q3 and nine months 2023.

Satish Patel: Good afternoon. Satish Patel here. Welcome to this earnings call today. Thank you.

Harsha Kadam : I would like to now take you through a brief presentation for the next few minutes and then we can get into the usual questions and answers.

Let me start with slide #1. I would like to touch upon briefly on the economy and the industry. A little light I would like to share on the business highlight for the third quarter as well as for the nine months ending 2023 and then I would like to move on to the last chapter which is on financial highlights.

Coming to slide # 3 on the economy and the indicators and as you can see on the slide India's performance in terms of GDP growth rates have been pretty robust. The provision of Q2 numbers that we have is around 7.8 , rightfully all the segment groups

are indicating for

a strong growth in the country's GDP. Some of the pointers to that effect are sectors such as steel, cement, as well as mining and coal production are all in double -digit growth rates.

Talk about the automotive production in the country, the commercial vehicles as well being on a strong growth trajectory with the double -digit growth rate. So, we anticipate that the succeeding quarters as well as strong growth rate in terms of GDP . The dampener, what we see for increase in the inflation rates that is cropping up. The Reserve Bank of India has been containing the inflationary trend growth. Talk about the industrial production and you will find consistently robust performance in terms of growth rates, particularly the August provisional results are indicating for an index of industrial production will be around in the range of 10% - 10.3%.

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PUBLIC That said, I move on to the slide #4, which talks about some sectorial performances, starting with the industrial sectors. I would like to throw light upon the cement production in the country as you can see over last year same period year-to-date growth has been in the range of 9%. Steel production has been in the range of around 14%. Coal has been again in the double -digit range at 11.5% and electricity generation has been in the range of around 3 % to 4% growth rate. So, the industrial sectors seemed to have done better. I will talk a little

bit about the wind sector coming later because we are seeing some recovery in the wind segment, particularly on the back of the improved export business for our customers that is coming back.

I move to slide #5 and would like to talk a little bit about the automotive sector performance. The two and three wheelers have remained flat over a nine-month period as you can see. This quarter was expected for the two-wheeler sector to bounce back in a much robust manner. Well, we will be able to comment on it once the numbers come in, but when you look at the other sectors, the passenger vehicles obviously have posted a strong growth again over last year with 8.6% growth. Commercial vehicles too have posted a reasonable 5% growth. Tractors again has been languishing and as we can see with the numbers month-on-month tractor production in the country has been at the lower level when compared to the same tenure last year as well. So that said some sectors we have seen a mixed bag of improvements and upticks in the demand coming up will be for one the infrastructure industry pushing up the raw materials like steel, cement, they are pushing it up. Going forward, we still have not seen so much traction on the tractor segment and the two-wheeler still continues to remain flat.

I would like to move now to the business highlights and let me start with the slide #7 and for the third quarter, we have been able to show a sustained performance in terms of top line as well as the bottom line. Fundamentally on the back of the automotive technologies, the growth that we have been able to continue to play the game there well and recovery in some of the businesses which I already talked about in the industrial for one thing, the wind as well as the railways, the raw material sector, which has helped us to continue on the growth trajectory. Also, we have been able to sustain our focus on the earnings quality and we have been able to in spite of some of the headwinds that we faced on some of the sector demand. We have been able to sustain our earnings performance, which I will talk about in a while. Where we did see some flattening of demand is on our own export businesses where the focus has been right now to see how we mitigate, and we have some counter measures in place to try and recover the lost opportunities in our export business and this is obviously coming because of the

lowing demand due to the economic as well as the geopolitical situation in Europe. That said, when you look at the third quarter performance in terms of our sales growth, we have been able to post 5.2% better sales than the same period last year and 1% or almost flat growth compared to the previous preceding quarter, and we are closed quarter with INR 1,843 crores in terms of sales revenue.

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PUBLIC Look at the EBIT margin and we have been able to sustain 16% EBIT margin, which is the same level as it was last year as well bringing in INR 293 crores profits into the company and that leads to a profit after tax of INR 235 crores with the resulting profit after tax margin to 12.7% and we are at the same level as last year which was 13%. One of the areas that we have been able to demonstrate a strong performance is generating more cash and bringing cash into the company. So, we have been able to bring in the third quarter INR 172 crores in terms of cash when compared to the last year same period you will find that it has been strong performance in terms of free cash flow to the 57.6% better than the same period last year.

I move to the next slide, I am on slide #8, talk a little bit about some of the new business wins in the quarter. When I look at the automotive technologies space, we have been able to garner quite a lot of wins in the commercial vehicle space, some of it in the passenger vehicle space as well and the product portfolio which were definitely attributing, some products which are into the next generation of technology which is the hybrid technology. We have the planetary shaft gears; we have the heavy-duty clutches for commercial vehicles as well coming in. So, our focus to continue to generate new businesses continues and this quarter we have been pretty successful in taking a lot of such new product line that we get to a closure. That said, even on our automotive aftermarket space, we have been expanding our market coverage for the traded products that we have launched as well as some of the new products that we have added in the market in terms of the BSVI portfolio. It could be the frontend auxiliary drives or the panel kits, or for that matter the taper roller bearings that go into the passenger vehicle segment as well. So, we have consistently worked on expanding our reach in the marketplace and that will really make the desired result.

Look at the industrial division performance and there a gain a number of new business wins in the industrial automation sector, in the railway sector as well as some of it in the two-wheeler sector that we have been able to gain new businesses, bringing in a variety of

portfolio as you can see in terms of the planetary gear boxes that we make or the linear guides that we make and the insulated coated bearing that we manufacture in India for the railways sector. So, our focus continues to remain on new business wins as we move forward.

I now would like to take you to slide #10 wherein I was going to talk about the revenue from operations and the business mix. So, as you can see quarter-on-quarter we have been consistently growing. Q3 was one of the quarters where our revenue growth was kind of flat at the same level as the preceding quarter. However, when you compare the revenue growth over the same period last year, we have grown about 5.2%. So where is this coming from, and as I said earlier, all the businesses have contributed to this growth story successfully.

So, we have INR 559 million coming in from the Automotive Technologies space, INR 172

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PUBLIC million coming from the Automotive Aftermarket space and INR 787 million coming in from the Industrial space all in all and I did also mention that flattening of demand in our export business and

and you see that reflected in the number. So, while the rest of the domestic segments were positive. We have had a lower growth story to tell, and we were down almost INR 600 million in the export business. All-in-all resulting to INR 1,848 crores which is a 5.2% better than the same quarter last year. So, with that, we have been able to sustain the growth momentum in the revenues and our business mix has shown a little shift as our export businesses have come down a bit in this quarter. You can see the contribution to the total revenue of export is down to 12%. We have the Automotive Technology at 42% and Automotive Aftermarket which has remained at 9%, Industrial getting in a little more share with the successful wins of new business. We are moving to 37% as such.

I was in slide #10 and I thought I will draw your attention to the nine-month performance and as you can see for the nine-month performance except for the industrial segment, industrial business and the exports, both the Automotive Technologies and the Automotive Aftermarket have posted pretty strong double-digit growth rates compared to the nine-month period last year. Industrial, as you all know, we had a very weak demand from the wind sector in the first half of the year, which we see is now coming back gradually. So, we expect the industrial definitely to improve going forward. Exports at this point in time, we will have to wait and watch with the situations that are developing in the western part of the world. We will have to see how the demand pans out. So very difficult to predict at this point in time the demand scenario going forward.

That said, I move to slide #11 and I would like to talk about the earnings quality and as you can see for the Q3 we have been able to sustain a strong performance in spite of the lower revenue growth rates that came into the quarter. So, we ended the quarter Q3 with INR 293 crores resulting an EBIT margin of 15.9% which is a clear 6.4% growth over the previous year same period. Now this has come obviously from a strong improvement in our gross margin and that is something we continue to sustain. The volume drop impact has been kind of negative in terms of the profitability overall though, the export definitely could have brought in better margins. When you look at the profit after tax, again, we have been able to bring in INR 235 crores for the quarter in the profit after tax and that has resulted in a 9.1% better profit margins coming in compared to the same period last year. Now that said, at the nine-month period also if you see the profit after tax, we are in the range of 13%, which is the same that it was last year as well.

I move to the next slide, slide #12, wherein I would like to throw light on the working capital management and what you see here for the nine-month period is working capital as a percentage to sales remain in the range of 18% to 19%, which is the optimum level of working capital that we want to keep it up to ensure better serviceability to the customers as well. When we talk about the capex and the investments that we make, as you can see in the

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PUBLIC third quarter, we have been able to continue with our investments. We have invested in the third quarter INR 157 crores that is taking the percentage contribution to sales from a level of 7.2% to 7.6% when compared to the preceding quarter. So that said, the free cash flow was one of the good performances in this quarter. As you can see, we have been able to keep the focus on our receivables as well as overdues and we have been able to rake in INR 172 crores into the books for the quarter and this has been a big change compared to the

same period , 137% better than the last year same quarter period . So free cash flow generation would continue to remain a key focus area and better

working capital

management is something that we will stay . Our Capex remain still in line with our strategic framework, and we will continue to keep doing that.

I move to slide #13, which throws a little more light on the key indicators in terms of the performance, as I already said for the quarter. We closed the quarter with the revenue of INR 1848 crores with the revenue growth of 5.2% over the same period last year and quarter-on-quarter almost flat at 1%. The EBITDA margins do remain at 18.9% compared to the same period last year which was around 19% and profit after tax margin as you can see at 12.7% while it was 12.3% in the same period last year. Now that said, I already talked about the free cash flow , all in all with the headwinds that we did face in terms of the export businesses and some sluggish demand in the tractor segments we have continued to keep the focus on our countermeasures with our projects sustained 16 wherein a number of projects that we have been driving to grow the top line and also improve the bottom line. We continue to keep the focus on that, and we have been able to sustain these numbers. I move to slide #14 and in summary, I would like to touch upon the performance for the quarter was mainly supported by continued growth in the domestic business, what we do in India here while on the export side, we did have challenges, but the domestic business we have been able to do better. The quality of earnings we continue to sustain, again as I already mentioned with the clear focus and drive on a number of actions that we have put in place in terms of counter measures, whether it is in cost management or playing with the mix in the domestic market. We continue to keep the focus and we have sustained that. We will definitely continue to invest in capacity expansion and as this is a long-term strategy for us and the current situation on slowing export demand what we see is only an interim situation and we hope that the situation is quickly going to recover and so we continue to invest as planned in our strategy. That said, the way forward for us being we would still believe in the optimistic growth story in India , strong demand situations, we see recoveries on many of these sectors, many sectors doing well on the government initiatives on infrastructure growth and that is helping us as well. We do have some challenges on the exports as well as on some sluggish demand from some specific segments within the automotive industry. But I guess with the counter measures that we are putting in place, we should be able to sustain the performances going forward as well. So, with that, I come to the end of the presentations. Back to you.

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PUBLIC Moderator: Thank you very much, Sir. We will now begin with the question-and-answer session. We take the first question from the line of Mukesh Saraf from Avendus Spark. Please go ahead,

Mukesh Saraf : Sir, good evening and thank you for the opportunity. My first question is on the export sales. We have seen exports decline 21% in this quarter. While you did kind of mentioned that there are certain global factors and the weakness that is impacting exports. In some of the previous calls you had also mentioned that we have about a year of an order book, in terms of visibility and also that it is more like a substitute business that we are getting in a business that is basically moving out of getting manufactured and we see a lot of it is getting manufactured in India. So, with these aspects, could you kind of provide us some more visibility on exports and is it just a temporary kind of a weakness until we have capacities coming in or is there something else happening here?

Satish Patel: Let me take your question this way. As far as exports performance for the quarter is concerned, yes, there is

a decline and when I compare this quarter versus the immediately preceding quarter, exports declined by about 14% and versus the same quarter last year, decline is close to 20%. Even in the last quarter also there was a decline in export market by about 11%. Then we did mention that we have the conditions in Europe and China , the current economic conditions are actually causing the downfall of the demand from this region and that has continued even for Q3. So, it will be the order position from, and I am talking about the orders which we had to get from Europe and China for deliveries in Q3. Those have been impacted and that is largely causing the decline in the exports. However as far as our long-term strategy and long-term focus with regards to exports , that remains unchanged . Yes, you rightly mentioned, and we had talked in the last call as well that whatever strategic actions we have taken in terms of focusing India for serving the world better in terms of our exports that remains unchanged. In fact, some of those projects are helping to mitigate some of the losses in exports and therefore the decline in export is

around 15% or 20% in that range. Had that not happened, this decline would have been even severe and that would have caused a significant dent as well in terms of the overall performance for exports. On the other side, we do expect that this situation may not last too long. Hopefully next year we should be back on track. I once again like to mention and that is what I also mentioned in the last call, that we have to keep also one aspect in mind that last two years we have grown in exports over 50%. Previous year we were 66% and prior to that 50%. So, in a span of two years, the export has already doubled, and we have reached a level from around 10% of revenue to close to 16% already in the last year. So, on that high base where we already realized the benefit of those projects that continues. We have not lost so much of revenue like we have gained in the last two years. The loss is because of the global conditions and yes there is a little bit of contribution from the mix change. But that is not significant. Major reason is the global economic conditions and there are no signs of clear improvement in the short-term, we hope situation would not remain like this at least one year or one and a half years from now.

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PUBLIC Mukesh Saraf : Got it. Thank you for that detailed response, Sir, and just one follow up on that, if you could give some sense on the geographic exports, how it moved. I think you have given some color last time in about North America, Europe, and Southeast Asia.

Satish Patel: The exports about 45 %, close to 47% in Europe, close to 30% or around 30% to Asia Pacific over around 10% to 15% China and about 10% USA that is the geographical split.

Mukesh Saraf : Just the second question is on the mix itself. We have seen obviously the industrial business doing better this time. We have seen a significant improvement there. So, would that have impacted our margins a bit, maybe some higher traded components within the overall revenue and if you could kind of comment on that?

Satish Patel: Well, the current quarter margin level that we have been able to retain which was also the level achieved in the preceding quarter and then we mean margin, we are talking about EBIT. We earned EBIT of 16% in the Q2 and this quarter also around 16%.

Mukesh Saraf : No Sir, I am not saying that the margins have declined. I am just wondering if there has been some impact of higher traded goods ?

Satish Patel : What I want to first highlight is that we have been able to retain the margin despite conditions of the downfall in exports because of better mix in the domestic business and namely industrial business has grown in this quarter of around 9%. That is helping

in terms

of mix on the domestic side. However, there is no significant mix change between manufacturing and trading. Yes, there is some sort of a fix but not significant that can cause major impact on the profitability.

Mukesh Saraf: Got it. Great Sir. So, thank you so much. I will get back in the queue.

Moderator : Thank you. The next question is from the line of Mr. Viman Goel from Alchemy. Please go ahead, Sir.

Viman Goel : Thank you so much for the opportunity, Sir. On exports only, actually I had two questions.

The first one on exports being - a factor that you are watching at or the lead indicator that you are watching at to sort of track the revival of this particular segment. That is question number one, and the second question is on the progress of our electric vehicle order that we had received a large 2000 cores plus EV order that we had received. If you could just share the progress of the same. Thanks.

Harsha Kadam : Thank you, Mr. Goel, for the question. Let me take the first one and what indicators do we look for, for the exports? Obviously the first indicator is our own customers, and we are closely engaged with our customers to understand how are their markets and the demand proceeding there. So clearly as you know our own export business, we sell it to our own

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PUBLIC entities in Europe and they in turn cater to the local market. So, we have regular calls and meetings with them to understand the situation and so obviously that is the first indicator that we get. Apart from that, we look at some of the macroeconomic indicators which definitely tell us the direction as to how things can evolve, and this happens on a regular frequency. The third I would say is also obviously looking and keeping a track and monitoring the situation that develops the situation in the Middle East, which has started off as another impediment that has come in recently. The implications of that still not visible, but what is more concerning is the news about Germany getting into a slow recovery in

terms of the economic growth. Now that we are unable to tell, it is all the economic indicators that we have to watch. So that is on the export business and the meanwhile what we can do and what we now control is to see can we leverage the capacity that we have to feed other markets and other segments with customers here in India, which we are trying to do now. Coming to the second question on your electric motors or the e-axle new business opportunity that we have won. I would like to state that we are working on a localization plan, it is going to take some time. However, the customer is evaluating our product and we have already submitted the samples. Now it is under evaluation and that is by far what I can express at this point in time.

Viman Goel : I try my luck on asking further on the outlook for export. What gives us the confidence because you have clearly mentioned that we are not going to sort of reduce our capex in terms of localization plans for exports, but what gives us the confidence that these should be better and if at all it turns for the worse? Let us saying like a scenario analysis if the export turns out to be worse. Will we still look to sort of stay the course in terms of our capex plan? Thanks.

Harsha Kadam : Two ways, one is what I would like to say is in terms of whether the export is going to change quickly, well your guess is as good as mine or vice versa. So, I guess we are all in the same boat, but what I would like to say is on our strategy to invest in our capacity expansion continues because we are at Schaeffler India believe we are here for the long run. So, we will continue to invest and clearly our strategy is to stay in the range of 15 %-20% of our business to be the export part of the business which we will continue to sustain. The

re

are many more product lines that we have to localize to feed even the Indian markets and we would like to leverage the cost competitiveness of the Indian market here to also look at opportunities to export. So, our strategy remains strong.

Viman Goel : All the best, Sir. Thank you so much.

Moderator : Thank you. The next question is from the line of Harshit Patel from Equirus Securities .

Please go ahead, Sir.

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PUBLIC Harshit Patel : Thank you very much for the opportunity, Sir. My first question is on the bearings business. Have we taken any pricing actions so far in 2023 on both sides either increments or the downward revisions for both the distribution business as well as the OEM business. So, if you can give some flavor on the pricing which is prevalent in the market in the light of the declining commodity prices, that will be very helpful.

Harsha Kadam : Let me take first with the OEM side of the business. As you know, the OEM side of the business is always indexed to the steel prices and steel being the biggest commodity in bearing. Obviously, that is set as the index against which all of us operate. So, as you are also aware that there has been no increases in the commodity prices in the last quarters. So rightfully, we have not raised prices in the steel or in our bearings product going to the OEMs. Talking about the distribution. In this quarter, we have not done any price increases because normally we do that once a year, right at the beginning of the year and we will have to wait for the next cycle for the price increase .

Harshit Patel : My second question is on our industrial business. I think since past few quarters you have been very consistently highlighting the order wins in the areas of linear motion guides, ultra precision drives, gearboxes, condition monitoring products, so the nonbearing portfolio within the industrial segment. Could you give some flavor on what is the scale of this particular business within our overall industrial segment? Also a follow up to that would be which of these products that we have started making locally in India? So, are there any localization plans as well on this front?

Harsha Kadam : So, let me approach your question with an answer wherein I would have to go back a little. As you know, we Schaeffler globally has been making some strategic acquisitions as a result of which these businesses have flowed into India because the business already existed and once Schaeffler made the global acquisitions they came within our portfolio. That said, we have increased our focus in growing these businesses as well. One such would be the Melior Motion acquisition we did three years back and more recently the Ewellix acquisition for linear guides. Well, I can say that post acquisition and are increasing the focus in India as well, we have started to grow on the businesses here as well. We have started to increase our engagement and reach with many of our customers when it comes to these kinds of products, whether it is the linear motion guides, or the high precision ultra drive gear boxes that we make through Melior for that matter some of the other acquisitions that we have made and the launch of new products like the lifetime solutions as well. Obviously today with digitalization coming into our business, selling the pure mechanical

products is no more. The customer wants more value coming out of supply partner and this is why we are in the digital space as well and with the number of digital solutions that we have brought in, we have continued and we are continuing to add more to the portfolio we have clearly focused on growing this business and this is categorized as we call it the lifetime solutions, which we continue to grow, focusing primarily to day on the raw material

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PUBLIC sectors, but we obviously are expanding into the other application segments like food and beverages and we have started to do that. So, we will continue to do that, but I want to highlight also here that as of now, we do not manufacture any of these products in India. What we have done is for some of the products we do bring them from Europe and try and customize the sizes here in India for the customers so that we are able to deliver with very short lead time. That is what we are going to do.

Harshit Patel : Understood. Thank you very much for answering my questions and all the best.

Moderator : Thank you, Sir. We move on to the next question from the line of Mr. Nikhil Kale from Invesco. Please go ahead.

Nikhil Kale : Good afternoon. Since my question was I think you have mentioned about the strategic acquisition which Schaeffler has been doing, so just continuing on that part, Schaeffler has recently announced the bid to kind of merge with the Vitesco Technologies. So, over the next few years do you also see the possibility of the electric mobility side of things getting bolstered because of the capabilities of the Vitesco Technology. So, what could be the implications for us because of this merger?

Harsha Kadam : Well, at this point in time, all I can say is that we have made an offering to Vitesco. So, it is too premature to comment on this at this point in time. So, at the appropriate time, certainly we will give you an answer on that. Obviously, if we are taking this step in this direction, it is with a strategic intent it goes without saying, so clearly rest assured soon we will get to hear whatever is the outcome of this.

Nikhil Kale : Thank you.

Moderator : Thank you, Sir. The next question is from the line of Nirali Gopani from Unique PMS. Please go ahead.

Nirali Gopani : Hi, thanks for the opportunity. Sir, to begin with, I just wanted to clarify the capex number that we have announced. So, we plan to do a capex of INR 500 crores each for calendar year 2023, 2024 and 2025, is that right, Sir?

Satish Patel: Yes, we did mention, or we did announce that we would spend about INR 1500 crores in three years. So, it might not be exactly INR 500 crores each year, but it would be around that. So, depending upon the projects sort of planning and also depending upon certain conditions in the domestic export market, some adjustment would be done in this and therefore yearly capex would not be exactly INR 500 crores, but overall capex would still be about INR 1,500 crores in three years.

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PUBLIC Nirali Gopani : Perfect. So, if I include calendar year 2022, we are roughly doing a capex of about INR 2,000 crores on an existing gross block of INR 2,000 crores. So, if you can highlight or on what kind of growth do we envisage over next three to five years, if you can qualitatively, I do not want an exact number, but with the export opportunity, EV, aftermarket, if you can qualitatively talk about growth that you see over the next few years?

Satish Patel: Very difficult to put a number to that. But we are targeting minimum double-digit growth, and capex would certainly enable this level of growth realization. Also, we have a good, sort of a ratio of capex to revenue and that has been proved whatever projects we have undertaken in the past. The past capex did deliver a better ratio of revenue and we are expecting similar also in the future, but it would be difficult for us to tell you a particular number of growth because of the capex.

Harsha Kadam : I think it is important also to understand why are we doing this. Let me explain this a little bit. So, we are investing because of primarily two reasons. One, there is an organic growth in the Indian economy because there is a growth in demand obviously, we need to expand, and we keep adding the capacity

cities. So that is one, second, we have been doing a lot of trading business, bringing products from Europe and selling it here, which we believe to

remain more competitive, it is good to make the product in India. So that is what we call as localization. Now these two obviously would require new capacity investments to be made here. So, when you look at it, the capacity investment does not necessarily mean that we are going to have an exponential growth in business. It is to make us more competitive, remain competitive or if not, take advantage of the competitiveness to grow the market share and you know how difficult it is to put a number to it at this point in time, but the effort continues to remain that our strategy is very clear. The organic growth is something we have to address. The strategic growth is something we have to address. The localization, our customer wants us to produce the products and manufacture the products here and so we have to invest, we remain committed to our customer's strategy.

Nirali Gopani : Perfect. Thank you so much for the opportunity.

Moderator : Thank you. We take the next question from the line of Deepesh Agarwal from UTI AMC.

Please go ahead, Sir.

Deepesh Agarwal : Good evening, gentlemen. Sir, my first question is in the opening remark you mentioned exports are weak due to weakness in the demand in Europe. However, if I see Schaeffler AG results, they have reported a constant currency growth of almost 9.8% on the second quarter or the September and even the export in growth in the Europe has been quite strong in that second quarter. So, Sir, are you able to reconcile the growth in Schaeffler AG is intend to grow why we are facing this struggle?

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PUBLIC Satish Patel: So, let me answer very straight to your question. The growth that Schaeffler AG showing is the total Schaeffler group revenue growth consist of all the countries of the world. That growth includes what we grow in India also for example our own growth has also been over 10% in India. Similarly, there is a growth in the domestic business in China as well, domestic business in quite many other Asia Pacific countries and likewise. So, it is not only the growth of Europe, it is the growth of the world and that includes also the domestic growth of respective countries.

Deepesh Agarwal : I was referring to the Europe growth, which they report separately, which was 10.8% in their second quarter.

Satish Patel: I do not have the number in front of us, but I doubt if that is so for Europe and I will look into it and Gauri would come back to you, but I really doubt if that is the growth.

Deepesh Agarwal : So basically, you are still saying that it is because of weakness in demand not because of the inventory related problem which you were highlighting earlier.

Satish Patel: No inventory related problem is no more there. That problem was certainly there in Q1. So Q1 impact was not because of the demand conditions, it was more of an inventory correction that lasted only for a quarter, but the subsequent quarter, particularly this quarter is because of the demand conditions and that is caused because of the downfall in the market in other regions, particularly in Europe and China.

Deepesh Agarwal : Also, Sir, if you can share the growth rate numbers for railways, wind, EVs, two-wheelers MHCV that would be helpful.

Satish Patel: You mean the revenue growth in these sectors, right?

Deepesh Agarwal : Yes, revenue growth in this quarter.

Satish Patel: We have grown by about 12% in railways that is 12% to 13% this quarter vis-à-vis the same quarter last year.

Deepesh Agarwal : Wind and passenger vehicles.

Satish Patel: We do not have a breakup into vehicle category. We have break up into our segments which are more like two-wheelers, and we have off road ind

ustrial, wind, the distribution, likewise.

Deepesh Agarwal : If you can share in that fashion that would also be helpful.

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PUBLIC Satish Patel: We have a strong growth in distribution. Distribution grew around 15%, power transmission, very strong growth, wind reasonable growth also in wind now, in this quarter wind growth is around 7% versus the same quarter last year. I would say except two-wheelers, all other segments have grown quite well in this quarter.

Deepesh Agarwal : And last bookkeeping question, what would be our current utilization level because we are doing the capex and the demand has been little weak since last two, three quarters what would be utilization level?

Satish Patel: So, our different plants have different structures of the product and different product profile therefore one plant is not comparable in terms of utilization percent to the other plant. But if I take the standard products and the volume products which are in our industrial plants, particularly Maneja plant, that plant is utilized over 85%, the other two automotive plants, Pune and Hosur are close to 80% utilization.

Deepesh Agarwal : Thank you.

Moderator : Thank you, Sir. The next question is from the line of Ashish Shah from JM Financial. Please go ahead, Sir.

Ashish Shah : Good evening and thank you for the opportunity. Sir, you did just give the breakup region wise of the exports, any indication of the growth or degrowth in each of these geographies, let us say Europe, Asia Pacific, China, what would have been the growth or the degrowth in these countries?

Satish Patel: Yes, I repeat the same answer that I already gave for the four regions. Amongst those core regions, the degrowth is basically coming from Europe and China. Individual, I do not have the ready figures, but this too because other regions we have not actually encountered the degrowth. These are the two regions contributing largely to the decline in exports.

Ashish Shah : Sir secondly, you did talk about wind segment probably looking better in the second half of the fiscal year, I mean, for us it is a different way, but how do you see that coming up? So, you said for the last quarter the wind grew by 7%. Would you expect like a good double-digit growth in the quarters to come? Do you see a sizable pickup, or you think it is still somewhere in gray zone?

Harsha Kadam : Well, as the wind was a sector which went down very badly in the second half of last year and the first half of this year it got worse. But from the last quarter, Q3 onwards, we have seen an upturn in the demand. Fundamentally, I guess this is coming on the back of all the inventories that were lying have been now cleared out with all the projects getting reactivated. So that is the main reason and what we see is in the third quarter when compared to Q3 2022 while it is a 6%-7% improvement. If one were to look at our own Schaeffler India Limited
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PUBLIC business in the third quarter compared to the preceding quarter which is Q2, we have seen good demand and we have been able to leverage a growth of 18%. So that itself is telling us that the demand has come back a little bit. But again, as I say we need to continue to watch this needs to sustain. So, while overall at an annualized level it is still nine-month period when you look at it, the wind is still in the negative zone compared to last year. However, the last two quarters have shown definitely some positivity there.

Ashish Shah : And one small thing if I may squeeze in, what is the broad contribution of wind as a business to the industrial and any ballpark number, Sir?

Satish Patel: Wind contribution in the industrial business, which is about normal because it was down by about, sorry nine months I would say it is about 7% that was at an

overall level 15% in industrial business.

Ashish Shah : That helps. Thank you very much.

Moderator : Thank you, Sir. The next question is from the line of Rishi Vora from Kotak Securities. Please go ahead.

Rishi Vora : Thank you for giving me the opportunity. Just on the auto replacement side, I wanted to understand that on a Q-o-Q basis, we have seen a decline in revenues despite the acquisition of Koovers. So, is this a seasonal thing where we see a dip in 3Q over 2Q or are there any challenges in the automotive replacement market, which we are facing recently?

Harsha Kadam : My answer to that would be, when you study the business cycle for us in the automotive aftermarket space, we always see that third quarter the demand is a little low in the automotive aftermarket in spite of the fact it being a festival season. We always see either it is flat, or it slackens a bit. We have seen the slackening this year as well, but the next quarter it bounces back very strongly and what we have also seen is the OES part of the business does well, it also grows well because I guess this is true in the market situation that customers prefer to take their cars and vehicles for servicing to the OEM. But we have seen this pattern come out very clear and so it has nothing to do with the acquisition of Koovers. Koovers is still running the same way and we have been keeping our strategy right now Koovers it is going through an integration into the company. So, they are totally two different things. So, we are not seeing any impact of Koovers acquisition on the demand.

Rishi Vora : Yes. I meant that despite merger of Koovers, the revenues were down. So, there should have been a positive impact because of Koovers financials as well. But yes, I understood that it is a seasonal phenomenon.

Satish Patel: Let me also answer that Koovers revenue has not declined. So rather revenue on the

revenue front consolidated results are not negative or not lower than the standalone.
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PUBLIC Rishi Vora : And secondly , on the automotive aftermarket, where we will be in terms of localization like it could be like 80%-90% given that recently over the past two years we have added a lot of new products. So just wanted to understand where we are in terms of localization in the aftermarket, automotive aftermarket segment?

Satish Patel: Almost 100% because the products that we have brought in are not contributing in terms of volume so much that disburse the localization of aftermarket as a whole.

Rishi Vora : So, it is a very small portion right now the new product? Understood. Thank you.

Moderator : Thank you. We will take the next question from the line of Sameer Panke from Centrum Broking Limited. Please go ahead, Sir.

Sameer Panke : Sir, I have a question on other income. We have seen in the last three quarters, the run rate for other income has increased for nine months in fact it is jumped more than 59%. So, on a nine-month basis we have a revenue growth of around 6% and bottom -line growth also in the single digit and other income has grown at very high rate. So, I am just wondering what it attributes to?

Satish Patel: Well other income has grown. You are right, it is above by INR 70 million as against INR 141 to INR 213 million. I do not have the split of that, but I can confirm that there has not been any significant change in the structure of other income or a new income which was not there at entirely last year which is realized this year .

Sameer Panke : Your annual report if I open and look at the other income break up it is mainly interest income that you generate out 80 % to 90% of the other income is comprises of interest income .

Satish Patel: So, I stand corrected because you are reading the published results probably and not the presentation that Harsha just now made. So, in the p

ublic results, yes, you are right, the

other income includes interest income. Interest income has gone up this year. Two reasons , one is that we had certain old refunds and that refunds come with also the overdue interest. So, we have collected interest on those refunds and second is the yield improvement on our cash position. So those are the reasons for interest income increase which is also part of other income. But if you look at the presentation that we have shown today, we do show interest as a separate figure, and you can then really see the rest of the other income as a separate line item.

Sameer Panke : Another question is on the plant relocation that we had talked about, and we were supposed to spend around INR 300 crores on that. So, I just wanted to understand what is the status of the same at the moment?

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PUBLIC Harsha Kadam : I think we would like to clarify that there is no such thing as a plant relocation, we are not talking about the plant relocation. What we talk about is investing in capacities for localization and plant construction locally in India. It is not like we are transferring a plant out of Europe here. That is not the thing, that needs to be corrected.

Satish Patel: What we are currently doing is we are constructing a new plant near Hosur, and we are also constructing a new hall at our new location.

Sameer Panke : So, the capex that we have announced an INR 1,500 crores over a period of three years including this year. So broadly this capex will you bifurcate for which products or for which category that we are incurring, or we are going to incur?

Satish Patel: No, we do not have such a breakup to provide you readily. The capex consists of capex for infrastructure, capex for building plant and machineries, capex for localization, capex for capacity, capex for certain type of new products, and also the process improvements and related capex . So, it consists of all.

Sameer Panke : So existing capacity what we have at the moment, will get enhanced in the current products that we are manufacturing,

Satish Patel: Yes, of course the capacity would get enhanced quite significantly and large amount of capex is for capacity that much also we like to clarify it is not only for existing products, that is what I mentioned that capex also for the new products, also for the existing products, additional capacities because of the continuous demand and also for the localization as well as for quality, process and the infrastructure.

Sameer Panke : Last question is on Koovers , when we acquired Koovers, and we had a call in which you

have alluded that further investments might be required for Koovers to take Pan India both in terms of technology platform upgradation and logistic backbone that we have to set up as we are planning to take it Pan India. So, any plans have been finalized I mean this existing capex of around INR 1,500 crores including the investments that we are planning for Koovers?

Satish Patel: No, the INR 1,500 crores capex that we have been talking about, that does not include Koovers because this investment we have been talking about now almost 6-7 months, the Koovers acquisition happened just couple of months before. But the capex or let us say whatever investments that we have to do for Koovers for the technological, particularly IT related development and also for the warehousing, that investment will happen. But it is too early to already say when and how much because we have just completed the acquisition and in the integration phase currently.

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PUBLIC Harsha Kadam : Also, I think there are a lot many softer things to be addressed and with that itself we can try and continue to sustain the growth, investments should be coming at the appropriate

time.

Sameer Panke : Thank you.

Moderator : Thank you. As there are no further questions, I would now like to hand the conference over to Ms. Gauri for closing comments.

Gauri Kanikar : Thank you, everyone. Thank you for joining us today. If you have any further questions, please do reach out to me at gauri.kanikar@schaeffler.com. We now conclude this call.

Thank you and have a good day.

Moderator : Thank you. On behalf of Schaeffler India Limited, that concludes this conference. Thank you for joining us and you may now disconnect your lines.

(This document has been edited for improving readability)

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Sub: Disclosure under Regulation 30 of the SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015 – Transcripts of Analyst/Investor Meet held on February 19, 2024.

Dear Sirs,

With reference to our letter dated February 14 , 2024, please find enclosed the transcript of the Analyst/Investor meet held on February 19, 2024, for your information and records.

The same is available on the Company's website - Earnings Conference Call | Schaeffler India

Kindly take the same on your records.

Thanking you.

Yours faithfully,

For Schaeffler India Limited

Ashish Tiwari,
VP - Legal & Company Secretary
Encl.: As above

23/02/2024

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“Schaeffler India Limited Q4 CY23 Earnings
Conference Call”

February 19, 2024

MANAGEMENT : MR. HARSHA KADAM – MANAGING DIRECTOR AND CHIEF
EXECUTIVE OFFICER
MS. HARDEVI VAZIRANI – DIRECTOR – FINANCE AND
CHIEF FINANCIAL OFFICER
MS. GAURI KANIKAR – HEAD, INVESTOR RELATIONS

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PUBLIC Moderator: Ladies and gentlemen, good day and welcome to the Q4CY23 Earnings Conference Call of Schaeffler India Limited.

As a reminder, all participants' lines will be in the listen-only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing "*" then "0" on your touch-tone phone. Please note that this conference is being recorded.

I now hand the conference over to Ms. Gauri Kanikar from Schaeffler India Limited. Over to you, ma'am.

Gauri Kanikar: Good morning, everyone and welcome to the 4th Quarter and full year Earnings Conference Call for Schaeffler India Limited.

Today, we have with us from the Management, Mr. Harsha Kadam – our Managing Director and Chief Executive Officer and Ms. Hardevi Vazirani – our Director (Finance) and Chief Financial officer.

Mr. Kadam will first take us through a short presentation on the results, after which we can open the floor for questions. Over to you, Mr. Kadam.

Harsha Kadam: Good morning. A warm welcome to this 4th quarter and the full year ending earnings call. I am Harsha Kadam here, and I would like to take you through the presentations. I hope you are able to see the presentation.

I am on the next slide which shows the agenda. I would be taking you through some information on the economy and the industry as well as moving on to the business highlights of the Q4 and also the 12-month period of 2023. Next, I would like to throw some light on the financial highlights of Schaeffler India for Q4 as well as for the full year. And last but not the least, I would like to touch upon a little on how Schaeffler India is adding value to the stakeholder community that we operate in.

Moving on, I am on the next slide which is talking about the Economy and the Industry:

As you can see, the Indian economy expanded to 7.6% year on year in the 3rd quarter of 2023, following a strong 7.8% growth in the previous period. But if one were to look at the Index of Industrial Production, you would see that in the last quarter of 2023, there has been some contraction, but we guess it's more to do with the seasonal effect that is there in the system. The manufacturing sector soared phenomenally by almost 14%; construction sector went up almost 13%; the utilities almost 10%; mining grew by 10%; and some of the service sectors which are predominantly the financial, real estate, and professional services grew by about 6%. The weak performance was visible very much in the farm sector which grew by a meager 1.2% due to erratic rainfall across the country.

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PUBLIC I was talking about the Automotive Production -the 4th quarter '23 production has been pretty strong in the passenger vehicles, in the commercial vehicles, as well as in the tractor segments marginally. So, the year-on-year growth for the passenger vehicles was at about 8%, commercial was 2%, and the tractor saw a contraction to the effect of about 2% over the previous quarter in the last year. Inflation on the other hand remains at a steady state and the Reserve Bank of India has been kind enough to pause the repo rate hikes thereby keeping it unchanged and enabling the inflationary situation to remain more or less stable in the country as such. Although this is on the back of the high food prices and the vegetable prices which have been riding on the back of a weak harvest season due to the erratic rains that I have already mentioned about.

Moving on, I would like to throw some light on the Core Sectors that you would yet to see - talk

about the industrial production sector: as you can see, cement production was equally strong in terms of growth at 7.5% over the previous year. Talk about coal production,

the mining has been

doing pretty well. I did say it's well above 10%, and here you can see in the last quarter, the trend has been very strong. A 12% growth you are able to see. Even the steel production in the country riding on the back of the infrastructure push by the government, you find that the steel sector also did fairly well with close to 14% growth rate. The star performer has been also on the electricity generation in the country, where the weightage has almost moved to 20% of the sector weightage. And that's a phenomenal story clearly pointing at the demand for energy in the country going up.

I move on to the next slide, which is throwing some light on the automotive sector performance: and what you see here is the 2- and 3-wheelers was one of the sectors that was impacted. The export market of the 2-wheelers was down in the quarter very badly. And also, overall ended the year almost with 20% down on the export side of the business. While the domestic production numbers on 2-wheelers were up almost 4%, what you see the cycle of the drop in the last quarter of last year is predominantly due to the business cycle that the 2-wheeler always has. Passenger vehicles, on the other hand, did put up some good performance, almost an 8% increase in production for the full year, and for the quarter as well, there was a 5% growth compared to the same period last year on the passenger vehicle front as well.

Commercial vehicles, on the other hand, again, on the back of a weak export market showed a growth of just about 6% in the last quarter, but at an annualized level grew by almost 5%. The one sector that has been languishing is the agricultural tractor sector. And here the reasons are very obvious. Riding on the back of a weak monsoon as such, and the traction that was lost last year continues this year as well. And tractors is one of the sectors that we have seen a de-growth and it's almost 2% below last year's performance as such.

With that kind of a backdrop and the situation, I step into the next slide which is going to throw some light on the interim budget that the Government of India announced on 1st of February. And clearly, in this budget, the focus was all on fiscal consolidation. While it talked a lot about development and transformation which received very positive reactions by the way, but then the fiscal consolidation is one of the clear objectives that has come out. And as you can see on the left side, the clear allocations to each of the areas and we find that the defense sector has received

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PUBLIC the big chunk of the allocations in the budget followed by the Ministry of Road Transport & Highways, Railway, clearly pointing to the continued infra push from the Government of India. This is kind of enabling some of the business sectors that Schaeffler India operates in. Take for example, if one were to look at the Railway sector, in this budget, it was announced that 40,000 normal rail bogies would be converted to Vande Bharat. And the standards of safety, convenience, and comfort are given the highest priority. And that's where we as Schaeffler definitely our product portfolio helps us in enabling business growth in the Railway sector. Also, 3 major rail corridors were also announced – the port connectivity corridor, the energy connectivity corridor, as well as the mineral and cement corridor. And we believe that this is going to enable the growth of the freight segment within the Railway sector. Talk about the electricity, obviously, clearly the government's drive on renewable energy production through the roof top solarization wherein 10 million households will be enabled to obtain about 300 units of electricity every month, is a step in the right direction wherein India's move towards carbon neutrality. On the other hand, also the viability gap funding, which will be provided

for

harnessing the offshore wind energy, is viewed as one other strong stimulant to get the wind sector to perform as well as a major player in the renewable energy generation in India. And the others, of course, are the coal gasification and liquefaction, high focus on biogas and compressed natural gas. So, energy definitely is a clear focus area.

One other segment that definitely receives attention is the electric vehicle segment where the government will expand and strengthen the ecosystem. Although there is already FAME -I and FAME -II that are already existing, but the charging infrastructure is clearly going to be the next focus area, thereby creating a proper ecosystem to address the growth of the demand in the electric vehicle technology. Here again, at Schaeffler, we are playing the game in a strong way. With that, I move on to the next Slide, which is the Business Highlights, and let me throw some light on this - let me start with how the quarter goes for us:

The positive point was, in the last quarter, we were able to secure a lot of new businesses which puts us in the growth trajectory so that our continued projects' pipeline is staying full. And also, we did see that there were enough new business wins, both in the automotive as well as in the industrial space. And this is also enabling us to continue and sustain the balanced business

portfolio that we have between the automotive and the industrial. One other good, positive development was, the Board of Directors of Schaeffler India Limited have recommended a dividend payout of INR 26 per equity share of face value of INR 2, resulting almost to a 45% payout ratio which definitely is an improvement over the last year.

ESG has always been our focus area, and the way we run our business is clearly on the foundation of ESG. And here, again, we continue to keep clear focus with our sustainability targets as well as to work with the society and community around us. I will share a slide later. We did definitely have a challenging year which tested our agility. As you know, the top line growth, what you see on the right side, was just about 3.4% in Q4 compared to last year's same period. However, but with the actions that we had put in place, and we realized that we had to continue to keep a clear focus on overheads and a clear drive, we now sustain 16 projects which

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PUBLIC we continue to keep the focus on, thereby trying to deliver the profitability targets in line with the expectation as such.

We ended the year with an EBIT margin of 14.9% in the quarter, as you can see. And which was 1% lower than the last year's same period. The profit after tax, we were able to deliver 11.7% in the quarter, which was a clear once again 1% lower than last year. While the free cash flow looks to be -27% or -28% in the quarter, what I could see, which I will throw light on the subsequent slide, is the consistency in free cash flow has improved every quarter. In absolute value terms, we have been able to generate good cash into the system. And overall, I must say it was a challenging year in terms of the weakening market outside of India and our exports were also under high pressure in terms of getting to the numbers. So, in the last quarter, Q4, our export business was down almost 30%, but yet, we have been able to grow our domestic sales within India as such. So, entering 2024, we definitely see some upticks in some of the sectors. We are seeing a strong rebound from the wind sector which was down last year, and we have started to see some good demand coming in from the wind. And automotive too is having a dream run, particularly the SUV segment within the automotive sector.

Now, that said I would like to throw some light on some of the new businesses that we have won - as you can see in the passenger vehicles, clearly our focus is on emission reduction and

improving reliability, and we bring in very value adding products there to our stakeholders whether it is on the wheel bearings which is our basic bread and butter product or for that matter, new double clutches for the commercial vehicle segment, which is clearly addressing the stringent emission norms that are in vogue now. That said, even in our aftermarket, we continue to add more products into the portfolio. And obviously with the e-commerce platform that we have now, this is only a growth enabler and it's a force multiplier for us to expand our product offerings to the market through the automotive aftermarket channel.

On the industrial side as well, where a lot more focus is now coming into precision and efficiency, we are clearly positioned to win the businesses as a motion technology company with the product portfolio that we have and what we make in India. And quite a few business wins, both in static applications as well as in dynamic applications, we have been able to bring it our way, and this is only going to fuel the growth going forward as well.

Now, that said, I move to the next to throw some light on the financial performance in Q4 and the full year - as I said earlier, the total revenue for the year that you see, quarter-on-quarter growth has been 2.2% and full year total revenue of 17.8%, resulting in a 0.4% quarter-on-quarter growth for the quarter. So, over the preceding quarter, we were able to just post about 0.4% growth. Year on year, we did about 3.4%. Compared to last year's performance, this has been a challenging year, as I already mentioned. How did this growth happen between the business divisions? As you can see, automotive technologies actually contracted a bit in the quarter compared to over the preceding quarter by 0.9%. However, compared to the same period last year, it was a strong 9% growth story. In the 12-year period, we are almost up 12%.

Automotive aftermarket too had a positive growth story in double digits compared to the

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PUBLIC preceding quarter or the same period last year, but overall, a 12-month period performance 15% growth.

Industrial, on the other hand, also had some slowdown in the last quarter posting about 1.2% growth over the preceding quarter, but however, when one were to compare that with the last year's Q4, you will find it is around 17% uptick, taking the overall industrial growth at an annualized level to 5.1%.

I did touch upon the point that the export was one of the dampeners for us, and as you can see

here in the quarter, it was down almost 5.3% over the preceding quarter, and it was 36% down when compared to Q4 of 2022. Overall, at an annualized level, our export business was down 15%. That said, clearly our business mix continues to remain pretty balanced between the automotive and industrial, as you can see on the pie chart there. Our exports, which had hit almost 16% of the total revenue, have dropped to 11% in the pie, yes, whereas the automotive aftermarket remains at a steady state of 10%. I move on to the next slide which is talking about some earnings quality. And here you see the profitability picture. The EBIT margin or the EBIT value for the Q4 of 2023, we were able to generate INR 275 crores in cash with an EBIT margin of 14.9% . And that was 1 % lower than the preceding quarter and almost 1.5 % to 2% lower compared to the last year. That said, we still continue to focus on our efficiency and productivity in the operations as well as overhead cost management as such.

So, clearly, the profit after tax, which was also impacted as a result, as you can see, we delivered a profit after tax of INR 217 crores in the quarter taking the profit after tax percentage to 11.7% and at an annualized level of 12.6% which is 0.2% lower than last year comparatively. All in all, a tough year but then we still try to sustain and deliver the financial

results in line with the expectations, and we were able to end the year with an EBIT margin of 15.7% at a year -to-date level compared to 16% of the previous year.

I move on to the next slide, which is going to throw some light on the working capital - and as I did say earlier, our working capital as a percentage to sales, we have been able to manage it pretty well. It is at an optimized level that we would like to operate in, and we were able to reach a level of 17% in the last quarter of last year. And we continue to manage the working capital in a very efficient manner. On the other hand, our CAPEX , while it appears that there is a marginal drop, but I must say here that we stand committed to invest in the capacities exactly in line with the plan. This investment drop that you see in the last quarter is only a timing issue. However, we will continue to do so. The investment ratio as a percentage to sales, the number speaks for itself. As you can see, in the first quarter of 2022, we were at about 4.8% and we have steadily moved up, and in the last quarter, we were at 7.7%. That clearly shows that our commitment to investing in India for localization and the Make -In-India continues to hold good.

On the free cash flow - overall strong generation of free cash flow, rightfully. Yes, in the last quarter, as you can see in Q4 '23, it was marginally lower compared to the same period last year in 2022. However, if you look at the annualized level, we were still at strong levels. We were able to bring in almost INR 177 crores of cash into the system in the last quarter of last year.

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PUBLIC That said, I move to the next slide, which is going to throw some light on the summary and the key performance indicators - I did already talk about the growth story, 3.4% revenue growth year on year. And at an annualized level, it's a 5.2 % growth compared to the same period last year with an EBITDA margin of 17.9% compared to the previous quarter's 19.2% of 2022. At an annualized level, we ended the year with an EBITDA margin of 18 .7% which was a marginal drop of 0.3% compared to 2022. I already talked about the EBIT margin and the profit after tax. I touched upon the CAPEX investment rate. Clearly, as you can see here on the CAPEX row, last year 2022, we did spend INR 316 crores, investing in our capacity towards our localization efforts, which in 2023, we almost doubled to INR 610 crores here.

That said, I move to the next slide which is throwing some light on the consolidated financial results. As you all know that we did make an acquisition last year of an e-commerce B2B platform, specifically in the automotive aftermarket area of our operations. And we would like to share with you the separate picture as to how it would look. If one were to look at the middle column, the KRSV Innovative Auto Solutions Private Limited, it generated a revenue of INR 19.5 crores coming in, in the last quarter and taking the total consolidated Schaeffler India revenue results in the quarter to INR 1,874.6 crores. Of course, the e-commerce platform being a new venture, the reach and the span of reach within the market is still in an evolving stage. You would find that the EBITDA and the EBIT would be at a negative level. But we are confident with the kind of growth story that we are painting here, we will soon get this to be a positive value adding business going forward, which is only going to complement the standalone Schaeffler India results as such. At a consolidated level, our EBITDA margin comes to about 17.5% and before exceptional EBIT margin at about 14.5% and earnings before taxes at about 15.8% overall. That said, I would now like to throw some light on how at Schaeffler, we add and create value to our stakeholders.

I move to the next slide which is going to throw light on the dividend payout for the year 2023 :

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am happy to share that the Board of Directors of the company have approved a dividend payout of INR 26 per equity share at the face value of INR 2. And this has been an increase of INR 2

per share over the last year, which is a clear 8% increase. And this is also taking the payout ratio to 45% which is exactly in line with the commitment we as an organization have made to our shareholders to take the dividend payout ratio closer to 50% and we are currently at 45%. With this good news, I come to my penultimate slide which is talking a bit about our effort in terms of encouraging and working with startups. At Schaeffler India, we started off an initiative called the Social Innovator Fellowship Program and we have received tremendous response. This is the second year, we had that last year, and we received a total of 260 applications. There were specific areas in terms of applications of technology, carbon neutrality; then, circular economy was one of the subjects that we included. Environmental sustainability was another and renewable energy was another area. Out of the 260 applications that were received, we put them through the grinder to select the best top ten. And the top ten were presented to us. And what we do is these top 10 innovators are then subsequently sponsored by Schaeffler, working with IIM Ahmedabad for a mentorship program to help them how to incubate the startups and Schaeffler India Limited
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PUBLIC grow the business going forward successfully. This is our small effort in the direction of working with startups who are truly adding value to India and the community around us. This is a good initiative. We will continue to work with more and more startups as we move forward as well. With this, I move to my last ultimate slide which is more on the summarization. Domestic business continues and the concern that we saw was only in the exports. And our focus clearly being on the domestic business will continue while in exports, we are ready and prepared. As the market landscape changes outside India, we will continue to leverage the growth there as well, as the market comes back. We will keep our focus in terms of delivering our promise and the quality of earnings, and we are clearly revisiting our countermeasures, and we will stay on top of this. And for CAPEX, as I already said, we will continue our localization percentage to go up. Currently, it is sitting at about 75%. We would definitely want to take that up further year on year. I already talked about it. 2024, we look forward to a year optimistically with strong upticks coming back in some of the key sectors which mean a lot to the business of Schaeffler India here. And we believe that with the strongest portfolio, widest portfolio that we have, and as a motion technology company, we will leverage the growth opportunities that are right in front of us.

With that, I come to the end of my presentation and over to you, Gauri.

Moderator: We will now begin the question & answer session. Ladies and gentlemen, we will wait for a moment while the question queue assembles.

The first question is from the line of Ankur from HDFC Life. Please go ahead.

Ankur: Just a few questions. To start off with, on the export side if you could just help us, would the last quarter be the bottom? Are you seeing green shoots in terms of recovery as we go forward? Just some color on some of your key markets as well – EU, APAC, US. How are you seeing basically the end demand from some of these key markets?

Harsha Kadam: Yes, exports did see some strong headwinds, as I already said, and we continue to see it. It all started off with the war breakout in Ukraine. And of course, followed that up with the war in Israel. And surely, that is definitely contributing to the slower demand that we are seeing. A lot of our export goes to Europe mainly. Yes, a little bit of it to China which we

kind of are now de-

risking it. Europe, we know, has to come back. It will come back. Meanwhile, we are also trying to look at Southeast Asian countries. We have been actively working with our colleagues there as well. And we also intend to see how best we can leverage the gaps that we find in Europe. And to that effect, we are putting some actions in place going forward. Now, to come back to your question on is this the bottoming out, I hope so. And hopefully look forward to an improved Q1 starting off this year. We will have to wait for another couple of months to clearly know what direction this is going to go. But we are optimistic, and we hope that Q4 2023 was the bottoming out, hopefully.

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PUBLIC Ankur: As you also said, maybe you are also trying to look at more on the Southeast Asian markets as well, maybe to offset some of the weakness in the EU or China. Is that right?

Harsha Kadam: Yes. Obviously, we are looking at markets where the economies are doing well. Like, Indonesia is doing well still, Vietnam is there, Thailand is there. We are looking at these fundamentally to see if we can start to gain some businesses there – business wins – so that we can try and load the free capacity that we have.

Ankur: Second, sir, on some of your key industrial markets, because clearly, when I look at some of your peers or even the overall industrial B2B space seems to be kind of slowing down in terms

of top line growth across some of their end markets. If you could just help us some of your markets like rail, wind, cement, steel, the Process market, how are things kind of shaping up there? Are you seeing a pre-election slowdown in some of these markets and then maybe a bump up after that, or is it business as usual? Some color there?

Harsha Kadam: First, let me start with the first part of the question that you mentioned. Are we seeing slowing down in the industrial sectors? We did see some slowdown in some industrial sectors, not all. There are 2 ways to look at it. If I were to look at just the Q4, the last quarter of 2023, rightfully some of the sectors like the offroad wherein the construction equipments do come in and the tractors to put together, we did see some slowdown there in the last quarter. The reasons could be twofold. 1) Tractor, anyway, is already down. It has been at its lowest point as such. But more on the infrastructure push, and this is exactly what I referred to that in the interim budget, there was a kind of a wait-and-watch that probably happened because of the upcoming elections. But however, the interim budget still keeps the focus on the infrastructure push. With all the construction, the infrastructure industry demands still continue to do. So, I am optimistic that the infra push is definitely going to continue, and we are going to see some positive traction coming in Q1 of this year. Another factor was wind. Wind has come back strongly. In the quarter itself, we saw it was a much stronger performance. Over the preceding quarter, almost 11 % growth. And that is a strong uptick on the wind side as such. We have also seen that clear focus on Railways is also helping us because we have seen a strong growth in Q4 last year as well. And even at an annualized level, we have seen a strong growth story in the Railway sector for us. As I said, all in all, yes, there is a mixed bag like the 2-wheelers took a little longer to pick up and they have still not picked up to the speed at which they should be running. The 2-wheeler sector is still struggling there because their own export market is hit very badly hence. Overall, we have a mixed bag, but then, we have also seen that in some of the sectors, obviously the demand uptick is visible already.

Ankur: Sir, also in the Process industry? Oil & gas, steel, cement, anything there?

Harsha Kadam: Yes, I did talk about the energy

sector. It is doing well. But if I look at an annualized level, surely, we have seen our business grow in the energy sector, mining sector, as well as in the process industry sector. All the three. We have seen a strong uptick there. Demand has been good. Q4 has been a bit slow, rightfully, as you pointed out, with the apprehension of the

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PUBLIC forthcoming elections. It could be a dampener, but I don't think it's very bad. At an annualized level, definitely we are seeing a good growth story in all these 3 areas.

Moderator: The next question is from the line of Ajox Frederick from Sundaram Mutual Fund. Please go ahead.

Ajox Frederick: Sir, my question is again on industrials from a CAPEX angle. From the CAPEX what we are doing, what proportion will be going particularly to industrials and what will be the asset turns for that CAPEX? That's the first question.

Harsha Kadam: We have consistently been investing both in the automotive and the industrial space. Rightfully, the large part of the investment is in the industrial space. Why? Because our localization content was lower there, yes. And we have now consistently kept the focus to make more and more products for the industrial space in India. And we will continue to keep that focus to invest on the industrial side of the products. Automotive, on the other hand, is more what we were importing, we try to do it here now because one of the critical criteria for an automotive OEM is to have a strong supplier base. Supply chain itself has to be here. And some of the products that we make have some niche technologies which today the supplier capability and competency is still not there in India. Hence, we continue to import. But there again, our clear localization drive is going to enable us to increase our investments on the automotive going forward as well.

Ajox Frederick: Just a followup to that. From our target perspective, will we be increasing CAPEX on the industrials, or the run rate will still continue?

Harsha Kadam: I don't have the precise data right now, but all I can say is, yes, we will keep the focus both for the automotive and the industrial. As I already said, we have a major breakthrough in the electric mobility sector now, and rightfully for that, we will have to start a localization plan. We will have to start making subsystem level products in the automotive space as well. So, we will be continuing to invest even on the automotive side because there, in the technology landscape, we see a demographic shift happening in terms of electric vehicles catching up as well in India. So, we are gearing up for investments even in that field.

Ajox Frederick: Just my final question. On Railways, what is the business right now we are doing and where can that scale up, let's say in 2 to 3 years' time frame?

Harsha Kadam: On the Railways side, predominantly our products are on the axle boxes and bearings that go into it. We also are a strong player in the traction motor applications which go into all electric locomotives. The fact that Indian Railways has a clear strategy to become 100% electrification

is actually helping us grow our business because we are the only ones who have been able to develop insulation coating bearings for the traction motor application. And our customers have even recognized us with multiple awards in the last year on this. That said, clearly our strength is already there. Apart from this, there are a host of other products. We are also now getting into the digital space. How do we operate because everything is going digital? So, Railways definitely is a very strategic and important sector for us. And we have won businesses on the

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PUBLIC Vande Bharat trains. And as you know, the engineering specifications and standards for the Vande Bharat are ver

y different from the older train technology that was there in India. And that said, we are gearing up not just in terms of manufacturing capacity, but in terms of engineering competency as well. Both the areas have been addressed very clearly. Even now, the third area that we are getting into is also infrastructure to carry out testing facilities for Railways in India. All the three.

Moderator: The next question is from the line of Mukesh Saraf from Avendus Spark. Please go ahead.

Mukesh Saraf: My first question is on your EV plans. You had just alluded that obviously you were going to be earmarking a lot of investments there. Just trying to understand how it is going to work between, say, with Vitesco India and Schaeffler India, given that at the parent level, the businesses are kind of getting combined. How will the parent be sharing its technology between the two Indian entities?

Harsha Kadam: Let me break that question into two parts and try to answer it. The first, obviously, is our e-axle project with the customer here, which we have been actively engaged with. It is going as per schedule on plan, and performance has been pretty good. That said, as I mentioned earlier to the previous question, we are also drawing up plans to localize and manufacture the e-axle in a phased manner. That's going to happen as such. And investments to that effect are already underway. So, clearly our commitment and focus to invest into the electric vehicle technology in India is already there and actions are already underway. That said, we are also actively working with other customers for other platforms, obviously, to try and get more business opportunities into the pipeline in the e-vehicle technology area. That's the first part of the question. The second part being you brought onboard the question of Vitesco. Vitesco has been a strategic global acquisition for Schaeffler AG. Globally the company has been acquired. Why was this done? Clearly, within the wide portfolio that we have, one of the gaps was in terms of the digitalization and electronics offerings. And that was the gap in our portfolio, which finally is filled in. The only way we see now going forward is Schaeffler and Vitesco together, clearly, we have the capabilities now to offer a system level solution offering to our customers as a one-stop shop. Whether it's the electric motor, the reducer, gearboxes, the control systems that go with it, the electronics part of it, or the thermal management module that needs to be there to ensure that the entire system operates in an efficient manner, all the four put together, we have been able to now offer as a one-stop-shop offering. That's the complimentary outcome of the Vitesco that you touched upon. At this point in time, it's the only global acquisition that has happened. We will continue to see how things will evolve as we move forward.

Mukesh Saraf: We are not sure if Vitesco will separately be getting orders from customers and Schaeffler also will be separately getting orders from customers?

Harsha Kadam: I am afraid at this point in time, I will not be able to answer that question as such, as it is too nascent a stage, we are in.

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PUBLIC Mukesh Saraf: And the second question is on wind. You mentioned that there is an improvement in the wind business. But we also understand, and correct me if I am wrong, that a large part of our wind business is an indirect export. But obviously exports itself are not doing too well. Could you explain a bit more? Is there a domestic wind demand that is going up and that is what you were mentioning, or even the indirect, the gearbox exports that happen, even that is picking up?

Harsha Kadam: Let me lay it down for you first. If one were to look at the wind equipment business in India, 80% of what is produced in India actually gets exported out of India. Only 20

% of the production

is India's domestic need. That said, we have not seen a drop in the domestic demand, which is just about 20%. Where we have seen the drop is on the 80% side. Because our customers, their projects are delayed, their projects are put on the back burner, and so on and so forth. And predominantly, all the exports of the wind equipments, a majority was going to the European market and some of it going to the US market. What we have seen is we have seen a drop in the

European market. We have not seen a drop in the Indian market, nor have we seen a drop in the US market. The impact of the European market is what is felt by our customers, which is actually cascaded down to us as a supplier now. I suppose I have now brought the clarity there.

Mukesh Saraf: But you had mentioned that there is an improvement. That is basically the 20% market in India?

Harsha Kadam: The 20% has remained steady. We are not seeing a drop there at all. Where we are seeing a demand uptick is on the 80% side.

Mukesh Saraf: Just the last one, a quick one, if I may squeeze in. In the presentation, we have mentioned that we have now won an order for DGBBs for electric 2-wheelers. Just trying to understand, I think in the past, you had mentioned that while the volume of bearings with EVs might be lesser, but the value will make up for that. Are we seeing that already in this order that we are winning? In terms of value, are these higher than the ICE vehicle DGBBs that we supply?

Harsha Kadam: It's a very good question you are asking, Mukesh. Let me again throw some light on this. If one were to look at the next 10 years how the IC engine market would be going forward. Obviously, the 2-wheelers being the early adopters of electric vehicle technology, we believe the IC engines could stagnate or start to decline gradually. But the size of the market in India, close to 20 million 2-wheelers produced last year, I guess, for '23 or so. That said, there is a substantial market that still will be there for the next decade. That's one data point. The second thing is, will the number of bearings reduce when the technology moves from ICE to electric? Of course, it will reduce. But then, what it would also do is, there is a shift in the product specifications and engineering specifications. Why? Because the EV requires a different specification. And that's where the new wins that we have started to secure on our bearings for the electric vehicle are differently engineered, and they have a different specification as well. To put it in a nutshell, while on the one hand we see the business of overall demand may reduce, not now immediately but after a decade or so, we are also getting into the EV bearings that would call for different engineering specs or manufacturing capabilities being re-engineered to that effect. That's already happening. Also, we are not ignoring the fact that we are now having the capability to offer electric vehicle technology even to the 2-wheelers. We are definitely evaluating and trying to work with some

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PUBLIC of our partners here to see if we can bring electric 2-wheeler solution to the market. That is currently work in progress, and I am not at liberty to share more details beyond that.

Moderator: The next question is from the line of Harshit Patel from Equirus Securities. Please go ahead.

Harshit Patel: Sir, my first question is on our European exports. While I have noticed that the Schaeffler Group's, as in parents' revenues which they garner from Europe, they haven't declined very sharply in the past 3 or 4 quarters. On the contrary, our exports to Europe, they have, I think, declined very sharply. Since you have mentioned both Southeast Asia and the USA, they are doing relatively well. Could you help me reconcile this? Are there any specific end-user segments or product segments that we are c

atering to would have seen a very sharp decline?

Hardevi Vazirani: Harshit, as you are aware that Schaeffler Group has been actively pursuing inorganic opportunities. The growth that you see in our global revenues in Europe market are mainly including the inorganic growth that has happened with acquisition of some of the industrial companies. And the second thing is also that they are rationalizing the inventories. In Q4 specifically, they tried to reduce the imports from different countries, and they tried to utilize the inventories which were in stock. These are the 2 major reasons that you see that Europe numbers, the revenue has not de-grown, but the background is different that we have to know the inorganic portion of that.

Harshit Patel: Sir, my second question is on the gross margins. These gross margins have come off from close to 39% two to three quarters ago to close to 37% at the moment. This is a drop of close to 200 basis points in the last 2 to 3 quarters. Would you attribute this entirely to the share of exports coming down? Or there are some other reasons as well? If you could elaborate on this, that will be very helpful.

Hardevi Vazirani: The major portion is due to the drop in exports, and in the full year, our exports dropped by 15% points. This 15% drop in exports attributes maximum part of the gross margin drop.

Moderator: The next question is from the line of Sourav Gurjar from ICICI Prudential AMC. Please go ahead.

Sourav Gurjar: My question is on the expansion plans. Where exactly are we on the Savli industrial bearings facility you also displayed a few months back and the Hosur automotive components part? Have some lines come online, or phases of capacity additions actually occurred? And with that, where are we in the overall utilization for bearings?

Harsha Kadam: As you are aware, in the previous questions, I did touch upon the answer that our investment continues to stay the course. And as I already said, we are at close to 7.5% to 8% of our sales we are reinvesting. Predominantly, a large part of it definitely is in the industrial space and most of it is going into our Savli plant because that is the plant where we have space for expansion.

The other plant in Maneja, which is also an industrial plant, there is no space for further expansion. Hence, all the expansions happen in Savli. That said, obviously, some of the product

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PUBLIC lines like large -sized bearings or spherical roller bearings or angular co ntacts, all these which are required in the process industries , the renewable energy sector is the clear focus area and Railways; we continue to invest for all these 3 sectors. And our investment plans are clearly on track. We continue to do that.

Sourav G urjar: And anything particularly on the Hosur side? How is that moving, sir?

Harsha Kadam: Hosur which is a total greenfield project, and the building construction is ongoing. And as I see it now, hopefully we should be able to start the productions to come out; by the first quarter of 2025, we should be churning out the products from that plant as well.

Sourav Gurjar: On the Savli side , the additions are in a phased manner, right?

Harsha Kadam: Yes. I am not sure if you were there on the last visit to Savli. You would have seen the hall. That hall is getting filled up. Now we are going to start the additional construction of another additional hall, equally the size of the current hall because Savli, as I said, has plenty of space. We have not even occupied half the land area yet. And that's something is clearly our focus going forward as well.

Sourav Gurjar: And the second question is o n the inorganic part. You just mentioned about inorganic acquisition which the group has been doing. We are left with INR 15 million of cash. Even with 30% to 50% of dividend payout and the CAPEX commitment, we st

ill are with cash, right? Any plans

for fur ther inorganic opportunities apart from Koovers?

Harsha Kadam: Yes, we are looking out for good opportunities, and we will continue to look out for good opportunities. As I said, last year, we did acquire Koovers. It was a smaller acquisition comparatively , but nevertheless, the inorganic growth of Schaeffler India definitely is a clear strategy for us. And we will stay the course there as well. And we are cognizant of the cash we are sitting on as well.

Moderator: The next question is from the line of Mayank Bhandari from Asian Markets Securities. Please go ahead.

Mayank Bhandari: Sir, my first question is, within industrials, can you give us a direction of how Railways business has grown in CY23?

Harsha Kadam: Last year when I look at the full year, ou r Railway business has done reasonably well, and we have registered a double -digit growth rate. In fact, in the industrial sectors, almost all the sectors, we have done a double -digit growth compared to the previous year, which is pretty strong, pretty good. Of course, we did have some challenges in the offroad, as I said, because that's the only sector where it was a little bit dampened because of the demand being very weak. But Railways, yes, we had a good growth story, double -digit growth rate. And as I said, our investment strategy remains there as well, and we will continue to leverage the newer demands that are coming out of the Indian Railways sector as such in terms of performance and reliability. Definitely, we will

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PUBLIC have the competence and the where withal to deliver the products meeting both the areas of performance and reliability.

Mayank Bhandari: The overall growth has been 5%, which means probably Wind business has declined that is the reason, e xcept that, all sectors have grown double digit?

Harsha Kadam: As you say Wind has declined, you will have to compare that with the previous year and then see because Wind in the first half was down pretty badly. It just started to take off only in the last quarter, Q4 of last year. To that effect, overall, yes, Wind was down, but then it started to show a positive traction and upward trend. And that is encouraging for us because Wind is one of the very important strategic businesses for us and we have a lot riding for the Wind sector as well.

Mayank Bhandar i: Sir, can you give a breakdown of the auto business in terms of CV, PV, and tractors for full year CY23?

Harsha Kadam: Is your question about the market?

Mayank Bhandari: No, not market; Schaeffler India's breakdown.

Harsha Kadam: As I said, automotive h as posted a pretty strong growth story compared to the previous year. And both in the power transmission and engine applications, we have done pretty well. The engine and transmission part of our business, including the clutches, has had a very strong grow th story. Particularly, our clutch business has had a very strong traction riding on the back of some of the market also trying to adopt the dual clutches where our key strength is. And we are one of the largest players in the dual -clutch applications and we have been able to leverage

that. We have been doing well there. Talk about the bearing side of the business, it is a challenging part of the business as such. But here again, bearings as such, it's not that we have lost market share. We have sustained our market share, but definitely it has not grown as much as it should have grown on the engine and transmission and the clutch parts of the business. Overall, automotive has seen traction. And as we see, IC engines still continue to demand. And with emission norms becoming more and more stringent, obviously the current products that we offer need to be re-engineered and we are leveraging on that because we have the strong engineering and design competency existing with

in India and also in Germany. We cross

leverage the competencies we have, and we have been able to stay a strong and potent player in the automotive application space as well. Another data point is our business within the commercial vehicle sector has grown phenomenally in the last 1 year. This is clearly because of our focus that we have now brought on to the commercial vehicle segment, and we have been actively working to launch more and more new products in the commercial vehicle segment.

Moderator: Ladies and gentlemen, due to time constraints, this will be the last question for today, which is from the line of Mahesh from LIC Mutual Fund. Please go ahead.

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PUBLIC Mahesh: Sir, export for this quarter is around INR 211 crores which is, I think, lowest in the last 9 quarters. You hinted that this could be the bottom. Going forward, this number will improve, maybe gradually, but there won't be any de-growth as such?

Harsha Kadam: Mahesh, let me correct you first. I did not hint that it will be the lowest quarter. It was hinted by one of the participants in the call. I said I hope it will be the last quarter, right? And I still hold that and that I am also hoping that this will be the last quarter. That said, yes, we are, as I said, looking at alternatives to see whether we can bring in more new businesses from other parts of the world to ensure that our export capacities will start to fill up. But yes, Q4 was the lowest that we have hit. Will it remain? I cannot say that. We will have to wait. This quarter will tell us where this is heading to. That would be my answer to you.

Mahesh: Sir, we have talked about INR 500 crores CAPEX for the next 3 years and we are through with 1 year. For the next 2 years, still we are holding that CAPEX guidance.

Hardevi Vazirani: That is right. We will be holding the CAPEX guidance.

Moderator: As that was the last question for today, I would now like to hand the conference over to Ms.

Gauri Kanikar for closing comments. Over to you, ma'am.

Gauri Kanikar: Thank you everyone. Thank you for joining us today. If you have any further queries, please do reach out to me at gauri.kanikar@schaeffler.com. Have a good day.

Moderator: Thank you members of the management. Ladies and gentlemen, on behalf of Schaeffler India Limited, that concludes this conference. We thank you for joining us, and you may now disconnect your lines.

(This document has been edited for improving readability)

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Call: Mar 2024

Schaeffler India Limited

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Sub: Disclosure under Regulation 30 of the SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015 – Transcripts of Analyst/Investor Meet held on March 15, 2024.

Dear Sirs,

With reference to our letter dated March 12, 2024, please find enclosed the transcript of the Analyst/Investor meet held on March 15, 2024 , for your information and records.

The same is available on the Company's website - Disclosures to Stock Exchanges | Schaeffler India

Kindly take the same on your records.

Thanking you.

Yours faithfully,
For Schaeffler India Limited

Ashish Tiwari,
VP - Legal & Company Secretary
Encl.: As above

22/03/2024

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Schaeffler India Limited
March 15 , 2024

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“Schaeffler India Limited -
Transcripts for Group Meeting”

March 15 , 2024

SCHAEFFLER INDIA PARTICIPANTS : MR. HARSHA KADAM – MANAGING
DIRECTOR AND CHIEF EXECUTIVE
OFFICER
MS. HARDEVI VAZIRANI – DIRECTOR –
FINANCE AND CHIEF FINANCIAL OFFICER
MS. GAURI KANIKAR – HEAD, INVESTOR
RELATIONS

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Gauri Kanikar : Yeah, so we can begin with a question and answers directly if that's fine with everyone .

Harsha Kadam : But I think in the beginning, thank you for taking time out and meeting with us. We want to give more time surely, but then, you know, we try and see how we can do better and better. I really appreciate you people being here. Thank you once again.

Participant : On the export piece, right, where we've seen this weakness last few quarters . So, if you could just kind of help us, you know, how are you seeing the year start off to talk about some of your key geographies ...And also, you know, there was some discussion on how you want to offset the weakness of EU and US from the Southeast Asian countries. So, just a broader picture on how you think CY 2024 is looking on the export front for your key markets.

Hardevi Vazirani : Yeah, so, whatever we saw in like Q3 and Q4, that continuous decline, at least that is stagnated now. So, we

are not seeing based on the current order book of six months, we don't see a further decline in that. Having said this, you rightly said that we are looking at Southeast Asia and businesses cannot be one from one day to the other. But with our Asia Pacific colleagues, we are working on Southeast Asia countries. Even in future on how we can have this compensation from other locations. So, we are exporting to Vietnam, Indonesia is in pipeline. And we are working on those compensating measures that we are not having over dependency only on Europe .

Participant : So, it's more of a bottoming out. But no quick revival.

Harsha Kadam : You don't see that as yet not yet visible. Right fully, I think the situation there in Europe is still what it is, or what it was. But that said, on the economic growth front as well, you're beginning to see some pressures there in Europe on their own growth. So that's, I guess, is of kind of compounding the fact that even if there is a recovery, will it recover, because of the GDP growth rates have come down drastically compared to the rest of the world. So that pressure is something we are now seeing as well. But as of now, the indicators for us is that it's kind of flat.

Participant : Is it getting further compounded because of supply chain issues ? Red Sea and stuff like that?

Harsha Kadam : Supply chain issues - you know - what we see and believe is that these are very momentary . It doesn't have a

very long-time span, like, what we have seen due to the Ukraine war. Also, the flip side what we see is when the supply chain issues happen, the cost goes up. More than more than anything else. It's not like the demand goes down; the demand is still there. It's just there's an interim blip. And that we experienced, but we did have a similar situation. I think last year when the Suez Canal was blocked by a ship for almost a month, you know, it impacted the supplies. But if all it did was the cost went up because we had to find alternate routes, we had to ship it by air, so it didn't kind of destroy the growth.

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- 3 - Participant : Yeah, we are seeing the same situation.

Harsha Kadam : We did see now especially with the Red Sea crisis, but last I heard the situation is a lot better than what it was a month ago.

Participant : And is it also in any manner leading to .. in a very perverse manner. You know,

like, is there a tendency to sort
of buildup inventory more than the demand is ?

Harsha Kadam : From our customers end you mean ? We are not seeing that.

Participant : We're seeing the parents' numbers declining further. The pace of sales has decline further in the last quarter versus the previous quarter . So, is it a lead indicator for us or a lag indicator? Would they actually start lowering

down their orders to you now, or they would have already done in the previous quarter?

Harsha Kadam : First and foremost, I don't know, you're referring to the Group Sales groups, but actually it was better .

Participant : China, US and some parts of Europe

Harsha Kadam : Because last week itself, we announced the results for last year, we have done much better than what we expected globally as well, in spite of all the difficulties , in spite of the war, so even it was better than the estimations we had.

Participant : Actually, I was referring to more of an industry - because for SKF , Timken etc. because Schaeffler numbers were just out so I was referring more as an industry rather than Schaeffler specific.

Harsha Kadam : Globally I am not able to comment on that. But stand alone as Schaeffler definitely the numbers are much better than what we had expected it to come out globally.

Participant: In terms of a market end market, how the end marketing industries within auto and exports been.

Harsha Kadam : First thing is there's no end market . We don't deal with the customers abroad . When we talk of exports our role

stops, when we ship this to our own sister concerns in that part of the world, that's it, I have no control on the market, because they handle the sales .

Participant : But mainly goes into the auto segment or industrial ?

Harsha Kadam : Well, a lot of it is industry.

Participant : Is there any cut in capex now that we are seeing slightly muted on the exports , or at the plants which you are there for the world.

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- 4 - Harsha Kadam : Up until now we have not cut any capex because our belief is whatever situation we're going through is not a

permanent situation that's going to remain like this, right? India is growing, you're seeing the numbers of India's own growth in terms of GDP, the fastest growing country on this planet today. And that said, rightfully even the geopolitics is favoring that India should be the place. So whatever strategy we at Schaeffler look at for India, in India is long term. It's never short. We are here to stay invested . Yes, these ups and downs would be there along the journey, we will have to find ways as to how we navigate through this crisis. So as Hardevi rightly said, we are looking at even Southeast Asian markets, we have been fairly successful in getting some wins there. Is that enough? May not be . Do we need to do more ? Of course, we need to do more . Our efforts have to be more to go out and talk to the other Schaeffler entities in other parts of the world to grow the business for us so that we have a kind of a diversified base for exports . We'll have to do that. It's a lot of hard work sitting in India to do that is something you know, and we never done this before, by the way, so we are also learning how do we do this? We are doing it.

Participant: By the end of this fiscal year, we'd see that one of the major peers Timken , they are now going into spherical roller bearings which will be directly competing with us. Do you have any plans to counter this?

Harsha Kadam: I think we don't need a plan to counter , because we have been proactively on this journey ahead of them. We

have done the maximum localiz

ation is on the spherical bearings . We've been doing consistently over the years.

Well, I know that when we heard this, this I said okay, competition also wants to catch up ; no harm in it and it's an open playing field. Our localization content if you were to see five years back and where we are today . We have gone up six seven percentage points. We are at ~75% now. And we will continue to increase our localization content. It is fitting in well with the 'Make in India ' as well for us. So, it's important that we make here and supply here. So, there'll be more products that we will keep on adding I think as I'm speaking there are a few more spherical rollers that are getting localized as well. So, we will continue on this journey irrespective of what the others are doing.

Participant : Any outlook on rail ways ?

Harsha Kadam : Railways definitely is an important sector. And now that we see a lot of action on the railway sector as such. With the modernization that is happening we believe there are opportunities for us as well. Rightfully, we are playing to our strengths in this sector. And we are very strong on the metro trains, which are going into tier one and tier two cities. We are very strong on the electric locomotives. And that's exactly fitting in well with the straight railway strategy to become 100% electric. I think at last count, they must be having about 80 diesel engines left, which are still running, which they are phasing out in the next one or two years very soon. It's good to see that railway driving this electrification strategy, with the larger purpose being to address the emission, carbon emission or the carbon neutrality initiative, which is very good, because that's our belief as well that we must work in that direction. And we are doing it. So that said, locomotives, we are strong, we have a very good portfolio there and lot of it is local portfolio. Again, we make those products here. Talk about passenger trains, with the step up in the quality of the passenger trains that we see – we hear Vande Bharats getting launched everywhere. Again, that's electric. So, we gain there . On the passenger wagons, we are playing the game already. Freight has been one of the challenge areas for us because the freight technology has not yet

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- 5 - evolved there. But actually, that's also catching up now. Our next generation of bearings that we have for the axle boxes on freight cars, I'm sure will continue to make some inroads there as well. But otherwise, all in all, we have a good story to tell on the railway sector. Yes, we have some small gaps on the freight cars, which we will address as we move forward.

Participant : Railways would be 10% ?

Harsha Kadam : 7 to 8%.

Participant : If you could also talk about the wind side. Last couple of calls you are talking about the recovery on the wind after the way that we saw. And again, wind would be similar 7-8%? Can you talk a bit on the wind and the process industries - trying to understand some of these bigger sectors for you.

Harsha Kadam : So, wind kind of a checkered development over the last two years. Going back to 2022. The first half was when

the war started in Ukraine and the second half, we saw the real impact of that coming onto the wind sector.

Fundamentally, this was because of all the projects that went into hold in Europe and Central and East European countries right. With the sanctions getting imposed, obviously, none of these projects got executed there. And as a result, the entire value chain got affected right. And as you know, the wind equipment manufacturers and almost all the global players are in

India today. They are using India as a manufacturing base to export back to their home countries probably. At last count almost 80 to 82% of the production is exported out of India, India's own consumption of wind equipment is very small. It's all going out of the country. And that got impacted and that's a huge impact. But then come into 2023, the first half of 2023 as well we saw the demand not coming back as much. But 2023 second half Q3 onwards, we began to see a bottoming out and already on the upswing. And even this quarter this year, we are seeing pretty good demand back in the wind sector. So, all in all, wind went through some tough times strong headwinds, the wind itself faced a headwind. I think now I think it's bottomed out. And we hope this is going to sustain going forward as well. And I think one more quarter should be giving us more confidence on sector stability.

Harsha Kadam : The domestic wind has always been stable, we have never seen a drop. Irrespective of where war broke out

what happened, we have never seen a drop, but then domestic wind is hardly very, very smaller. 15 to 16% of the total wind produced is only domestic the rest is all exported out.

Participant : One of the peers saying they want to exit this in order to lower profitability. Is that localization is helping you to some extent in Savli?

Harsha Kadam : So, let me lay it out for you. First thing is our presence is very strong in the wind sector. Multiple reasons, one

because of our product performance, right, and we have very credible performance over the years. And we work with all the global players, by the way, and that is standing very well for us. Number one, number two, it's in our strategy that we will continue to, you know, focus on the wind sector, it's close to our heart, because we have a target as an organization to become carbon neutral, completely. So right fully, that's a sector we should be generating and supporting more, as well. So, we're doing that. The third is our investment strategy Schaeffler India Limited

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- 6 - has been consistent. And we continue to invest in the sector as well, more investments are going to come in to sector as the wind equipment specifications change, we are also gearing up other new products as well. So, for us, there's a very clear strategy to grow in the segment. I cannot speak about the others what their strategy is about.

Participant : And on the other process industries?

Harsha Kadam : The process industries also we have seen pretty good growth, I must say. Obviously, this is coming on the back

of the push from the Government of India, in infrastructure growth, clearly, we are seeing steel, cement and some of the construction equipment industry is doing very well. And that is boding well for our business as well. And all indications this year to even in the interim budget, there was a high focus on infrastructure again. So, I expect this trend will continue.

Participant: Globally how does the parent take decisions on whether they want to move production from one geography to another, manufacturer in China / India and therefore, how should one think about implications on exports for you.

Harsha Kadam : So, globally, we are calling we are in a phase of digital transformation. And wherein if we talk on the automotive side, Europe, Korea, Japan, they are moving faster towards EV or hybrids compared to India. So, for group, they have to stay invested in ICE for many more years in India. And on other side and other geographies they have a focus on E mobility. So accordingly, the decisions are taken also from China plus one strategy point of view, where the customer

omers are moving . Where are Hyundai and Kia 's of the world placing their bets on - they have to move closer t o them. So, Group has been increasingly investing in Vietnam, Mexico, India, which was not the case, five years back . If you saw our capex as percentage to sales, it was below 5%. And we are now inching closer to 10%. So, the strategies are evolving based on the ecosystem of the customers. Participant : So that would mean that if you're looking at where the world is heading, they will release.

Hardevi Vazirani: And also, the technologi es like Europe wants to use its spaces , its plants more now for EV. So, they will free

up the space and transfer those technologies possibly to India, Mexico, Vietnam and those countries which will continue like we know that Southeast Asia and India will continue on ICE for another decade at least. And also, if you see are passenger cars, for ins tance in India is over 5 million cars. And CAGR for next 10 years is expected at five, five and a half percent, which means by 2030 we would have seven over 7 million cars. And out of 7 million only 25% would be EV, at rest all still would be ICE so.

Participant : So, but over that period, it still means that the ICE population will not grow. So, does that justify making investments in India?

Harsha Kadam : Data shows the ICE population in India will at a lower rate albeit - single digit . The EV would grow at a faster rate. Bu t then there is still growth happening in the IC engine. And surely now it's a question of do we want to miss the bus there when there is still a growth for the next decad e. Because the absolute numbers when you Schaeffler India Limited

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- 7 - calculate as they rightly said, even with a C AGR of growth rate of IC engines, three and a half percent CAGR growth rate we are we're staring already at seven, 8 million with cars. So absolute number of cars produced is going to go up.

Hardevi Vazirani : And we are having capacity constraints even today.

Harsha Kadam : Today already we have capacity constraints for existing demand itself. So rightfully, we will have to continue to invest in some of the IC engine technologies. Also, what's happening is there is a shift that is happening we are seeing . One is ICE. Second is some of our cu stomers are also graduating to bring in I see with hybrids. The Japanese are doing it , Koreans are also wanting to do it. So, we have offerings in the hybrid technology as well. Now that's complementing – ICE grows, I have hybrids also co mpeting. So, I'm bringing in hybrids, we already have started locally making hybrid products here. And then you have the emerging EV that is catching up faster. Now they're also we have now entered, we have already one win in our hand. And we are executing that right now. So, I'm sure there'll be more we will continue to work, get more wins.

Participants: How do yo u think on the bearings part of the business from the same angle - domestic and exports and how the bank thinks about supply chain allocation?

Harsha Kadam: As I said, you know, it's more about what India wants to do for India. And that's where we are focusing on. Because we see there's a lot of growth in India itself. Our own domestic business has always been growing at double digits so far. We want to sust ain that growth momentum for overall domestic business. So that includes bearings, which is a key part of 60% of our total business , the 40 % is non bearings. So, we would like to continue to grow . Export as rightly pointed out, if it happens, we are going to definitely capitalize and grow we have invested as well, we will continue to build on it, we look at alternate marke

ts, which we are doing already.

We already got some wins there as well. But I'm sure you will also acknowledge the fact that wh at exports we do is to our own sister concerns . We don't give it directly to the end customer . So, to that extent, we have some limitations, so to say. So that is the second point. The third point is , clearly our strategy is not only exports, but also not it's not so export . We want to be there but it's not like at the cost of domestic growth, the domestic is primary growth for us and that remains that we will continue to grow continue to invest for domestic growth as well.

Participant : So, that second poin t you said is well I could understand a little better when you supply to your sister concern, how does that decision making take place – does the parent take a call in their part of supply chain planning that supply should move from India to Vietnam or anywh ere in the world was China supplying or Poland supplying or Vietnam supply?

Harsha Kadam : It is a joint decision . And multiple factors are looked at into , proximity is one of them. Right fully cost competitiveness is another one. There could be also the customer's dimension . Customer may want to prefer to source from only one location not from the location we propose. So, everything is taken into account. And this is not like somebody sitting in Germany makes the decision. It doesn't work like that it is well discussed and agreed upon.

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Hardevi Vazirani : And there are business cases , huge business case behind every such relocation or localization. So various factors are considered. I mean, we have to pitch our business case .

Participant : How is India 's cost competitiveness versus the other geographies ?

Harsha Kadam : We are sitting in a sweet spot if I can put it that way. Some product lines, we are definitely very cost competitive. And that's one of the reasons we believe India is the place where we should manufacture these products in high volume .

Participant : Even versus China ?

Harsha Kadam : Well, I'm not in China as a comparison at all. Because, you know, the extent of transparency and visibility of China's costs something that is not known to any of us.

Participant : When I say versus China meaning – Schaeffler 's China or manufacturing because then you're comparing cost structures like to like ?

Hardevi Vazirani: Volumes that play are totally different in China. I mean, believe me all said and done China plus one or whatever, the world still depends a lot on China. And China 's even our own businesses three times our business. So, whenever there are volumes, cost competitiveness is better .

Harsha Kadam : I would drive the conversation in a different direction . Today the entire world is seeing as can we minimize sourcing in China? So why is the question coming up?

Participant : That's what I wanted to ask . Everybody talks about China plus one, but do you actually hear at your parent level saying that look, we are supplying from China, but we need to shift it to some other country right now.

Harsha Kadam : Partially right, and partially not right . When I say partially right, China has been a biggest supplier , we're not seeing that that should be cut down . That we already invested there, let it continue to run. In a growing market , the world overall is growing US market is also growing now. So, can we have one more parallel to China? So, it's not at the cost of China .

Participant : The incremental one.

Harsha Kadam : That's why it's called China plus one otherwise, China minus one, I know it doesn't work like that.

Participant : And on

that, because I think even Schaeffler has invested in the US facility and incrementally we are seeing a lot many other companies also investing in the US. So, does that weaken the case for India as an alternative?
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- 9 - Harsha Kadam: Not at all, not at all. Again, as I said, you know, you can't make every product in every country and our portfolio

is so wide that you can't manufacture everything in one block every location. So, somewhere the optimization and the rationalization of the portfolio will happen. So, what products US will be making, at least most of it will be different from what India's making, correct? If, again, look at where the world was, there was a lot of talk about globalization, right. And now they've become so much of polarization. So, with that, even this will determine now you may want to export but the US may say sorry, guys, I want to make it here I want to provide employment here .

Participant : So, are there any specific products where you would say that India is, you know, globally competitive?

Harsha Kadam : Yes, which would we have, I think the entire range of cylindrical roller bearings, we are very, very competitive .

And we have the capability , the competence to design engineer, any kind of cylindrical roller bearings in India itself. So, India has become a hub.

Hardevi Vazirani : And even China buys.

Harsha Kadam : China also buys from us by the way . We export to China, the same product, we do that .

Participant : And you talked about, the capex going up to 10% of revenues. But, of course, given what we discussed and the kind of opportunities, see, our revenues , you know, is what, 700 800 million euros compared to the global revenue. So, obviously, that if outsourcing were to happen, there is a larger scope, which may mean that you might need to even further up your capex. Is that something which is you're thinking about, possibly,

Harsha Kadam: Again, as I said our entire growth strategy of Schaeffler in India is driven by India's growth story goes, it's not export driven . If I have to do that, then, you know, my entire strategy will be different . Then I wouldn't look at railways, I wouldn't be having this conversation, because then my focus is on export, it doesn't matter. I'm just product focus. I want to sell this product more in that country. I don't care whether India works now. That's not the language here. We are committed to grow in India, for India, definitely. So, we are investing in capacities even for India. Export is also there for us, but it's not like that is the deciding factor and that is a big strategy.

Hardevi Vazirani : It can result out of the se Europe FTA and those topics.

Participant : Should the opportunity come through for you. Would you be needing a lot more capex probably may not be at the cost of India. Yeah, it need not be either or it can be add, right?

Harsha Kadam: Definitely that's exactly the strategy we have done all this while it should be an add. And now we hear about the EFTA getting closed. So, if that were to happen and if it is opening up opportunities for us to leverage the cost competitiveness here to give it to the European market , will surely capitalize on.

Participant: Last year, we had a large win on the EV side and the production which was expected by second of this year.

So, what is the status ?

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- 10 - Harsha Kadam: We are on track.

Participant : And how would be the content for that business vs ICE on how you see this ?

Harsha Kadam : First thing is, our project is well on track. And exactly as committed, we will be, you know, starting the next step in the project plan will get executed. There's no doubt about that. Coming to the next part in terms of our own investments to localize the production that would happen in a phased manner, not in not like I bring in a line and start producing. So, we will have to do, why because two reasons. One, this is entirely new technology for us in India, we never done electric vehicles, so we are learning as well. In a phased manner, we're going to bring in which means our investments also be in a phased. That said, we're not stopping with this one win. We have clear plans to work with other customers to generate more such business, we're working with quite a few customers. So as and when, you know, more wins come into, we will again, revisit our investment plan because with more business wins obviously that would accelerate our investment plan as well. Rightfully because we are getting the economies of scale now coming into play.

Participant : Even by including imports currently, because obviously now the volumes are not high, but even including imports, what are the Schaeffler content?

Harsha Kadam: Content? Okay, coming to your content now, that's where I had a question when you say content is the content

per vehicle that you are talking about?

Participant : Yes

Harsha Kadam : And it's a little tricky question. So, how do you measure content per vehicle because it's on the vehicle part number correct? Whatever vehicle gets produced irrespective of what technology which means you need to bring the IC engine numbers into play as well and calculate the CTV. Then it distorts the entire picture. So, as you know, our own content per vehicle on the IC engine, we are in somewhere in the 50 Euro range right. Now, do you include the large population of 4.5 million passenger vehicles that is there already with IC engines as part of the calculation on EV technology is that the way because then your content per vehicle is distorted.

Participant : Comparing like to like it.

Harsha Kadam : Simply put, like this see here I supply a component today to an IC engine could be a wheel bearing, it could be

a shock absorber strut bearing or it could be some you know, clutch release system, or it could be some rocker arm but it's a component. Here in the EV what am I offering? I'm not offering a component I give a complete system, a motor with a gearbox with temperature control module and the controller which goes with that because you need the electronics and the software to control the entire mechanism, it's a system level offering.

So obviously, the system level offerings, the value is much much higher. If I'm in three digits here, I will be in four or five digits. So, apple to apple you can never compare it from a few 100 rupees and now I'm talking big.

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- 11 - Participant: But that will include a lot of bought out items.

Harsha Kadam: It depends on how you want to see it. Even today in a bearing, I don't make the cage I buy the cage. I don't make the grease I buy the grease. I don't make the seal; I buy the seal. I only make the steel part even there I buy the component. Turned rings are bought, value add is my core competency is where I bring in that value and the same applies there as well.

Participant: So how much of your current sales both on domestic as well as export is purely on ICE based products?

Harsha Kadam

am : Repeat the question please.

Participant: How much of the domestic sales as well as export sales is that a risk from EV?

Harsha Kadam : No, again, I have to look at it from the sector. Do you want me to take two wheelers of passenger vehicles?

Participant: Passenger vehicles.

Harsha Kadam: Immediately I don't see a risk, not for at least 10 years. Why because I did share already the data that IC engine

still demand is going to be there in India. Even at a slower growth rate, you still have the base volume is so high. Correct?

Participant: If I take it other way, in that 50 euro per vehicle of content, how much will be purely something which is engine based?

Harsha Kadam : You are talking about the content per vehicle? Sorry, I misunderstood. I don't have the precise data, that's the

wheel bearing if you separate out, the chassis and then the engine. I don't have the precise data there the split in the content per vehicle between the chassis application and the engine application. I don't have it now. But clearly, I must say just a very wild guess I'm throwing here probably it could be in the range of 80:20. Probably 80 being the engine.

Participant : Okay and that similar number would be for exports

Harsha Kadam : We don't export anything.

Participant : Because you also mentioned that some of the engine -based technologies are coming going out of Europe and coming to the emerging markets like India for manufacturing

Harsha Kadam: The production lines there as they phase out and move to new technologies , that line was also supplying to India . We are importing okay. Now what I'm going to do is anyway they are phasing it out . I bring the machines here and produce it from my use. That is what is happening.

Participant: So, exports are not on the engine side ?

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Harsha Kadam: There is no export on automotive side let me put it that automotive side we don't because automotive the model

is every OEM company has his own supplier base in that location where they set up a plant that's how they

Participant : So, most of our mobility says export would be railways?

Harsha Kadam: Not mobility, okay. You are defining mobility and non-mobility. I t's on the industrial side , because look at the product portfolio - we export sphericals , we export cylindrical rollers, which all go into process industries .

Participant : That would be classified in non-mobility exports, right ?

Harsha Kadam: Yeah, that's what I'm telling .

Participant: But mobility export is a bigger number for you.

Hardevi Vazirani: I think that segmentation the way it is done based on I think ratio proportionate, because the group does not tell

us where they are reselling.

Harsha Kadam: When we do an export business sale, I sell the product to my sister company, I don't know who the end customer

is. I don't know which sector it is going to as well. There's no visibility to that.

Participant : I was just referring to your disclosures

Hardevi Vazirani: That is ratio proportionate . Oh, based on our domestic whatever is the ratio, you're apply that same ratio, because that's what the format mandates.

Participant: Globally, there is rolling technology or bushings, which potentially become a substitute for bearings i n wind applications. Is that also a segment that Schaeffler has been looking at and any view that you have one, how that can that can potentially also increase content?

Harsha Kadam: I don't know about whether it will increase the content, but definitely we are evaluating that as well. We are aware of it. Some of the wind turbines they are moving

to bush instead of high precision bearings . There is a

reason for that because as the wind equipments become larger, the need for bearings also is growing in diameter , we are talking now in the range of two meter in diameter, that's a huge bearing. So, the cost goes up

dramatically. So, some of the wind equipment manufacturers themselves are revisiting the design and they are now trying to reduce the speed and use a bush bearing . It's a proven technology, but not everyone has adopted the technology. And we are aware of it we are also evaluating so should we also look at consider bush bearings.

We'll see as time comes how it changes.

Participant: Where does it stand in the technology curve today ? That's it. That's the direction the market is going so we'll just be a slower adoption.

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Harsha Kadam: It's a slower adoption. A couple of our customers are also talking about it. But we are yet to see in India at least

I'm not seeing even anyone coming going in that direction yet. But I guess it will happen . I think see most of these new technologies get proven first outside of India .

Participant: I meant more from an export angle or outside India.

Harsha Kadam: Yeah. So, the development, the testing and the use begins to happen outside India . Then once it is becomes successful , then the cost competitiveness pressures build in, that's when they look at India . Till then then it's still okay to make it there and use i t. So, it is it is there. We have heard about it; we are aware of it. But right now, if you ask me, are we going to get into it? I have no answers to it.

Participant : If you can touch upon the aftermarket .

Harsha Kadam: Which one the automotive or industrial ?

Participant : Koovers acquisition

Harsha Kadam: Okay. Yeah, what would you like to know?

Participant : How is the growth post the acquisition?

Hardevi Vazirani: So, this year at least, I don't know if you've had a chance to go through the consolidated financials. But last

full

year in the calendar year, Koovers was over INR 70 crores this year, we expect it to be 2x. And it's more to understand why we went for that acquisition. It is a B2B platform. So, it is not only about topping up our inorganic growth, but also to penetrate into the service market. And thereby, we will be also able to serve our products and major advantages on the power of data. So, because it's the E-commerce platform, we come to know which kind of products for which brands of the car, for which model of the cars are being ordered on this platform. So, you get the power of data. So, you get a lot of data transparency, that what is happening in this car parc space in aftermarket. These are the things that we are looking at when we look at Koovers.

Participant: On the railway side, where exactly are the products used? Is it used in locomotives or where else?

Harsha Kadam: Our portfolio is cutting across all applications, you probably want to start with the electric locomotives, the traction motors is one of the biggest areas where because the traction motors, they run on high voltage, and rightfully you need bearings with insulation coatings. And we make those products here in India. So that's one of the big businesses for us. And with the way electrification is growing or the demand for traction models is increasing. So, that is one application. Apart from that, of course, you do have some journal bearings, some gearbox bearings, they are the standard cylindrical roller bearings which we make which we also supply. Outside of that, if you look at the wagons, whether it's a freight or the passenger wag

ons, you will find the axle

boxes, the bogies where the wheels are there. So, we supply the axle boxes completely, not just the bearing but Schaeffler India Limited

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- 14 - also the axle box assembled. We do that as well. Same is the case with metro trains again, so our portfolios there, it's not that it is not there, we have been there. Now with the improvement that or change that we are seeing in the railway as a sector, we believe that more and more new, better products technology products will be required. We are talking about Class K as one of the bearings we believe, and rightfully our products are getting homologated as well. So, the key to railways is to localize because they are very particular that you must produce in the country. And that they are very clear about so definitely in that direction or strategy to invest is there.

Participant: Today we are how much? Around 7% of our revenues given that so many orders have been placed in the last two, three years. Is it reasonable that this proportion should go up?

Harsha Kadam: The percentage you're referring to is assuming the other sectors do not run, only railways. Isn't it? What if the others also grow along with it. Seven will remain seven. So, to me, it's mathematics. So, to look at it as a percentage may not be the right way. Absolute numbers are we growing? Yes, we are. Can we do more? Surely, we can do more.

Participant: Asking is that you due change the product mix due to change in customer mix, will there be an impact on margins on operating margin because railway generally is a tender based business. I don't know how it is for us. So, will it be like margins will be lower in this segment?

Harsha Kadam: I think the way we should see is railway is not purely tender based. The core Indian railway business is tender

based, but metros are not. Metros are not and also railways also transforming now you know, they have all outsourced now, the complete wagon manufacturing is privatized. So, there are a lot of private players who come in. What we are seeing is the wave now the business is going to be done as changing. With private players coming in, you know, it is opening up room for us to make the sales pitches, it's not just participate and attend. We can have a discussion and we can position our product. So, there's room for conversation that is happening.

Participant: Lastly, from my interest, so then we are operating margins are right now say 18 - 19%. Historically, they are quite higher level used to operate at a lower level. So, should we expect these numbers to maybe sustain at these numbers or go down, go up? Or is it good enough for us?

Harsha Kadam: Your wish is our wish.

Participant: We wish to have more

Harsha Kadam: If you wish that we should do more, we will do more, we have to do more.

Participant: This match can sustain?

Harsha Kadam: Surely. Because we are also committed that we want to deliver back to our stakeholders, our investors. Definitely we want to keep that. So hence, you will see that you make positive questions - why are you not in this sector? or in this application? you're weak? There's a strategic reason why we keep away from some of the Schaeffler India Limited

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- 15 - applications and some of the sectors. We believe it's better to not, we will have to address those things in a different way. But not by compromising the ma

rkets that we are clear.

Participant: Vitesco - I know it's too premature from an overall perspective. But I mean, I'm not aware if they are present in India, what's their size in India?

Harsha Kadam: Just to share with you , yes, they are present in India . And in the space, they are operating there quite a significant

player. Strategically for us, this is one of the biggest wins going forward. Especially with the market moving towards EV you can make all the products which use mechanical methods, which we are good at, like motors, gearboxes, you can make all of that , even the thermal management module, which is a lot is on plastics and molding, you can do all of that. But the controller, the electronics, the software coding, that's a different ballgame. That was something missing in our portfolio, which now has been closed. That is also enabling us to offer the complete system rather than just offering motor . Because ultimately, if you look at the controller, that's where all the intellectual property is lying. And today, that is with us. So, in India, yes, they are present. And I can only see that this is going to enable us to grow more stronger in future in the electric vehicle space. Clearly.

Participant: Would it be possible to share what's the revenue size in India?

Harsha Kadam: Well, we have just started the dialogues now the acquisition process getting completed. So, we have started to

engage with them , discussion process has started. So right now, we are still at a very nascent stage.

Participants : Do the OEMs do this inhouse? Controllers and motors? Or take it from external parties?

Harsha Kadam: See, ultimately, if you look at it, it's all about investing in that capability. The OEM wants to do it, they can do it. But are they doing it ? We don't see them doing it because they believe that the controller is an area where only a specialized company knows , it's their domain area. Now that said, also look at it from the risk angle as well. The controller is the one that determines, and this is going on a car. Now, if the software has a bug, you can imagine what would happen to the performance. The stakes are also equally high with this offering. I think this is a very specialized area. And not many players are there. I'm only talking about the power electronics part, not many players - are there.

Participant: One of the questions these days has become customary with all the international companies - our market cap is somewhere around 5 billion euros parent is at 4.2 billion. So, we are higher than the parents market cap. And, of course, we have seen what one of your peers has done in India where they have sold on certain stake to deleverage .

Harsha Kadam: Was that good?

Participant: It doesn't matter right there. They had to do what they had to do. Right.

Harsha Kadam: I mean, so what's the question?

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Participant : If you can give any color ? Are there any such discussions?

Harsha Kadam : Nothing, it is what it is. You guys have infused so much confidence in the Schaeffler brand, we really appreciate

that. And it's not something we did you guys have really put it on a pedestal. So, it's good for us, we really feel honored. But what does it do to us, as you know, the management team is, it has raised the responsibility that we have to live up to your expectations. We are putting all our efforts to make sure you keep us there.

Participant: Does the parent want to say that okay, you know, let's ...

Harsha Kadam: The parent is very proud of us by the way . Very proud of what we have done it like they asked him how the hell are you guy

s doing it? I said, I don't know. I don't have a magic wand. We're working hard. We're doing it. But beyond that, I think there's no talk of it. We don't talk. They have their space. They have their own priorities there. We have our space; we have our priorities here.

Participant : There is a decent leverage on their book.

Harsha Kadam: Are suggesting something ? No, nothing whatsoever.

Hardevi Vazirani: With Vitesco AG's valuations the scene is changing.

Harsha Kadam: Yeah, I guess that's good to change. Good point . Vitesco also was a listed company . So now their valuation was higher in Germany. With the acquisition, probably you will find that parity gap. But the good thing is , Vitesco has been a very good strategic win . Because this is this was a big gap. And you know, it was a struggle in front of the customer. I think that is behind us.

Participant: So, one last question. Do you see the possibility of improving margins? Because last one year a little weak on margins? As the demand recovers? What do you think we'll have some few bases improvement ?

Harsha Kadam : We will make every effort . I wish our customers keep giving pricing every year. If it were that easy, but jokes

apart, I believe our commitment remains that we want to deliver sustained profitable results. And we have done that we have shown in the last five years what as Schaeffler we can do in India. And so definitely all efforts will be in the direction to continue to sustain the profitable growth story.

Participant: Just adding to that , basically exports would be fairly profitable . So, is that primarily the thought?

Harsha Kadam: Well, it's been it's been now three quarters down. Have you seen the impact? Yes, it is definitely building the pressure. But then we are working harder . Other sectors are also profitable . Even the domestic businesses we have quite good profitability that it's not like that. Look at distribution or aftermarket business you know,

automotive as well as the industry . So, we are committed to grow that as well. So that's where the focus is now.
How do we grow the distribution business which offsets the impact of you know, the drop in export business
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- 17 - something we are clearly focusing upon . And compared to previous year we have seen already a growth in the distribution business .

Participant : How big is auto bearings ?

Harsha Kadam: You're talking about automotive bearings or automotive aftermarket automotive ?

Hardevi Vazirani: It is close to 8 to 10%

Participant : And then plus the aftermarket .

Harsha Kadam: Yes. That's overall.

Hardevi Vazirani: Within automotive aftermarket bearing portion is still lower . There it is more clutches .

(This document has been edited for improving readability)

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Sub: Disclosure under Regulation 30 of the SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015 – Transcripts of Analyst/Investor Meet held on Friday , April 26, 2024.

Dear Sirs,

With reference to our letter dated April 26, 2024, please find enclosed the transcript of the Analyst/Investor meet held on Friday, April 26 , 2024, for your information and records.

The same is available on the Company's website - Earnings Conference Call | Schaeffler India

Kindly take the same on your records.

Thanking you.

Yours faithfully,
For Schaeffler India Limited

Ashish Tiwari,
VP - Legal & Company Secretary
Encl.: As above

03/05/2024

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“Schaeffler India Limited Q1 CY24 Earnings
Conference Call ”

April 26, 2024

MANAGEMENT : MR. HARSHA KADAM – MANAGING DIRECTOR & CHIEF
EXECUTIVE OFFICER
MS. HARDEVI VAZIRANI – DIRECTOR , FINANCE &
CHIEF FINANCIAL OFFICER

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PUBLIC Moderator: Ladies and Gentlemen, Good Day and Welcome to Schaeffler India Limited Q1 C Y'24 Earnings Conference Call .

As a reminder, all participant lines will be in listen-only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing "*" then "0" on your touchtone phone. Please note that this conference is being recorded.

I now hand the conference over to Ms. Gauri Kanikar. Thank you and over to you, ma'am.

Gauri Kanikar : Good Morning, everyone . Welcome to Schaeffler India Limited's earnings conference call for the first quarter ended 31st March 2024.

We have with us from the management today, Mr. Harsha Kadam, our Managing Director and Chief Executive Officer, and Ms. Hardevi Vazirani, our Director - Finance and Chief Financial Officer.

Mr. Kadam will first take us through a short presentation on the results , after which we can open the floor for questions.

Thank you and over to you, Mr. Kadam.

Harsha Kadam: Good Morning . This is Harsha Kadam and along with me is my CFO here.

I would like to take you briefly through my presentation now:

So, I move to Slide # 2. As always, I would like to start by sharing some good news and in the first quarter of 2024, we were recognized by our customers for the exemplary customer-centricity that we demonstrate both in terms of our service level to our customers as well as value add to our customers. The first customer that we were recognized was TAFE, one of the largest tractor manufacturers and here the award was in the transmission application for the double and the single clutch products that we developed for them, and which have been successfully now productionized. This is an esteemed customer for us and winning the "Best Supplier Award " from TAFE means a lot to Schaeffler India .

The second award has been bestowed on us by "John Deere ." And I am proud to say that this is the fifth year in succession that we have continuously won the award from John Deere, and this is a "Partnership Award for Quality and Technology Support. " We actively engage and work with John Deere for their tractor application. Here again, the product involved was the double clutch as well as the long travel dampers that are used in the tractor applications and we were recognized for the sustained service and support that we have rendered during last year.

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PUBLIC The third award that I'm proud to share is from the area of our work that we do on corporate social responsibility . We as an organization stand committed to not just play a philanthropic role, but actively involve and engage ourselves in the CSR activities that we drive , and one such initiative for which we have now got the recognition is the "Best Skill Development Program" that we have been running in our center , called the "Step Center " wherein we actively engage the rural youth and put them through training programs for gaining technical skills in the areas of CNC , turning , milling and even mechatronics and thereby prepare them for employment opportunities.

Last year, over 1,000 youths have participated in this program and with 80% of them successfully securing placements with compellingly good salaries, I must say, and UBS Forums recognized this CSR initiative from Schaeffler India as one of the Best Skill Development Programs that the corporate is running in the country.

Having covered this, I would now move on to the agenda for today. I would touch briefly on the

economic and the industry situation , after which I will take you through the business performance and the highlights for the first quarter and also then move on to the financial performance of the Company in the

first quarter .

That said, let me now take you through the economy. I move to the next slide. Now, talking of the GDP growth in the country, as you can see in the first quarter of 2024, the estimated or projected growth in GDP stands at 7.2%, which is definitely supported by moderating inflation as well as the demand that is driving in the domestic market. Both the manufacturing and the service sector seem to be prepped up and doing fairly well . But that said, the Reserve Bank of India (RBI) too projects close to 7% for the fiscal year '24-25 and they have revised from their previous projections of 6.6% to 7% .

And when one looks at the index of industrial production as well , as you can see here, the healthy run on the metal products as well as the transportation and the manufacturing sector all put together , the manufacturing in the food products, beverages , even rubbers and plastics , have all demonstrated double -digit growth rates, including the mining, which was about 8% growth , talk about manufacturing , that posted about 5% growth and electricity or energy production was 7% growth.

One looks at the inflation . Well, while the inflation has moderated , the overall food inflation still remains high at 7.7 compared with last year , although the projections by the RBI are that the inflations would be tethered down to about 5% and try and get them down over the next three to four quarters below 5% , we will have to wait and watch for that.

On the automotive production front, overall production growth was about 5.2% in the first quarter of the year, and this came on the back of a strong growth in the passenger vehicle business as well as the light commercial vehicles. However, the medium and heavy commercial

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PUBLIC vehicles, which I will talk in a while as well as the tractors , showed a degrowth or a flattened performance compared to the previous quarters.

I move to the next slide where I'm going to talk about some of the core sector performances. As the data is available only for January and February, I would cover only the two months, but as you can see again, the core industry sectors , the cement sector has grown close to 8% compared to the same period last year ; steel production as well is on the positive side with 8.6% growth , talk about coal production, which is close to 11% and as I already touched upon, electricity generation is up by 6%, all indicating the strong manufacturing activity and industrial activity.

Now, that said, as you can see the weightage in the sectors on the right side correspondingly also determines the impact on the growth rates in the country.

I now move to the next slide and talk a little bit on the segments within the automotive sector and let me start with the two and three wheelers :

This is one sector that has shown a very strong rebound and as you can see it's a clear 25.6 % growth compared to the same quarter last year and consistently this has been in the last year a muted performance in this sector, which has now started to bounce back very strongly.

Take a look at the passenger vehicles : here again you will find a strong double -digit growth close to 11% compared to the same quarter last year , clearly riding on the back of the strong demand for the SUV segment within the passenger vehicles doing much, much better than any of the other hatchbacks or the sedans .

Coming to the commercial vehicles sector : what you see here is a steady performance. We have not seen a degrowth though . Hope this is the bottoming out of the commercial vehicles sector. However, our performance itself has been a little muted in this sector as the sector itself has been down , I will come to that in a while.

Move on to the tractor segment, the agricultural tractor has always been in the last four quarters consistently lower , and here again this quarter too

it was 15% lower in the same period last year.

Now that said, I move to the next slide to touch upon the business highlights for the first quarter .

Before I get into the business highlights , I would like to move on and talk a little bit about a restructuring that we have carried out in the organization .

Globally, Schaeffler has restructured the divisions which we were having three divisions earlier, have now been split into four divisions. Now, why has this been done? Considering the emergence into the electric mobility play , it has become relevant and important for us to create a new business division called E -Mobility, which you see there on the slide. Accordingly , the other three business divisions have been now restructured and renamed. The earlier , Automotive Division is now split into E -Mobility as one of the vertical divisions and then the Powertrain and

PUBLIC Chassis as the second division. And the automotive aftermarket division, which was there is now renamed as "Vehicle Lifetime Solutions".

The Industrial Division, which was earlier there, is now renamed as "Bearings and Industrial Solutions". Now, in the process, it was not just about renaming the industrial. What we have done is, all the bearing businesses which were there even in the automotive, be it the plant and machinery or the employees have all been reallocated under the industrial division. So, that said, henceforth, we will be having now the measurement parameters pertaining to four divisions – E-Mobility, Powertrain Chassis, Vehicle Lifetime Solutions, Bearing and Industrial Solutions. And this new structure has come into effect from the 1st of April 2024. While this has been done, these four divisions would continue to operate across all the four regions where we operate in as you can see in the diagram and also it cuts through all the functions. So, this is our target operating model going forward. So, two changes; one is the creation of the E-Mobility as a new division and second is the transfer of the bearings business, which is in the automotive also under the industrial part of the business. Accordingly, the disclosures in the quarterly results also have been reinstated in a segmented way.

Now let me move on to talk about the performance for the first quarter 2024:

While we still did face some headwinds and challenges in the marketplace, we have been able to post robust performance year-on-year growth, as you can see in the domestic Indian market, our growth was 12.4%, and this has come from across sectors, barring a couple of sectors which I will talk about.

The margins remain resilient primarily because of the clear focus that we have kept in terms of our activities that we drive to manage our operating costs as well as ensuring that we continue to secure new business wins and try and manage the mix of the business portfolio that we operate in.

So, the first quarter of 2024, we have been able to deliver INR 1,849 crores, and that is a clear 9.2% growth compared to Q1 '2023. While if one were to compare it with the preceding quarter Q4, more or less it remains the same, it's a flat development in this quarter. This has translated into an EBITDA of INR 338.8 crores and the EBITDA margin at 18.3% and when compared to the preceding quarter being at 17.9%, resulting into a profit after tax of INR 227.7 crores and thereby delivering a 12.3% PAT in the first quarter, comparatively 11.7% which was there in the preceding quarter.

We did have some challenges on the free cash flow. As you can see here, we have delivered a negative cash flow of INR 25.6 crores, which if one were to compare to last quarter, it was a whopping INR 177 crores coming in, in Q4 '2023 and it was INR 3 crores compared to Q1 '2023. Now that said, we have always seen the first quarter will have a muted free cash flow numbers

and the entire focus is to recover the situation in the coming quarters, and we stand committed to ensuring that we get it back on track.

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PUBLIC Our working capital has been in the reasonable range, which I will talk in a while. And while we have been able to sustain the top line and the bottom-line numbers in this quarter, our consistent effort is to see how we can better it in the second quarter of this year.

With that I move to the next slide. Our continuity in the business, ensuring that we are able to sustain the top line growth in spite of the headwinds is possible because of all the new business wins that we continue to keep striving to win. Whether it is in the Automotive Technologies space where we have been consistently launching new products and solutions, addressing the reliability and the emission reduction needs of our customers and we have ensured that we have garnered our new business wins, particularly in our transmission business both in the commercial vehicles as well as in the passenger vehicle segments here, as you can see, a number of wins are coming in the commercial vehicle sector for us.

Talk about Vehicle Lifetime Solutions where we are further expanding our coverage in terms of our reach as well as in terms of more traded products that we want to add to our portfolio, I'm happy and proud to say that we have added a few more products such as the coolants for the engines as well as the new category of grease that we have brought into the market as well and some more product and extensions when we come to the front end auxiliary drives or the timing

kits in the passenger vehicle segment. So, our continued portfolio expansion in the vehicle lifetime solutions is paying dividends for us, and we will continue to keep the focus and drive in adding new products to win new businesses here.

Moving on to the Industrial Bearings and Industrial Solutions, here again, we have been focusing on leveraging the acquisitions that Schaeffler has made at a group level and I'm happy to share here that we have won some new businesses, particularly in some specific high engineered sectors such as the industrial automation sector, which is the machine tool industry which would call for very high precision gearboxes which are required in these applications and we have managed to secure new business wins here. Of course, on our foundation products which is bearings as well, we have won some new businesses on the Vande Bharat trains in the railway sector for our cylindrical roller and taper roller bearings as such.

I move on to the financial highlights now. As you can see, our revenue from operations in the first quarter was INR 1,849.2 crores, which is a clear 9.2% growth compared to the first quarter of 2023. But when compared to the preceding quarter, I did already talk about it, was at the similar level as the last quarter.

So, where has this come from? And as you can see here, the Automotive Technologies has contributed almost INR 56 crores compared to the last quarter, better performance and the Vehicle Lifetime Solutions too has brought in about INR 14 crores and Industrial has brought in strong INR 107 crores additional coming in which takes the revenue from the operations up from INR 1,693 crores of Q1 '23 to INR 2,849 crores.

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PUBLIC Although exports on the other hand, we have seen a bit of a drop when compared to the first quarter as you can see, we have lost INR 20 crores on the export market predominantly because of the sluggish demand from the western sectors, which is mostly on the European market as well as the Asian market.

So, overall, our year-on-year growth has been robust and in the domestic business within India, we have done 12.4% better than the last year, but quarter-on-quarter,

definitely we still have to

push hard, push forward to keep sustain this growth momentum as we see it.

So, accordingly, when it is split between the four new restructured divisions, what you see is the Automotive Technologies has grown 4.8% in the first quarter over the preceding quarter and 9.1% better when compared to Q1 '23.

Vehicle Lifetime Solutions, this is a cyclical business, and the first quarter will always be lower when compared to the preceding quarter. The Q4 is always the highest business, and hence has registered 13.2% lower numbers than Q4, but when compared to Q1 '23 as you can see for 9.7% better performance.

Talk of the Bearings and Industrial Solutions, here again, over the preceding quarter, we have seen a drop of 6.3%, but compared to Q1 2023, we have grown by almost 16%.

The export business, as we saw surprisingly has started to show some uptick in the first quarter. When compared to the preceding quarter, our export business grew by 19.6% in this quarter, but compared to last year, we are still down by 7.6%.

With the restructuring that we have already effected, you will see that the business pile has now moved more in the Bearings and Industrial Solutions, which is garnering about 42% of the total revenue, Automotive Technologies is about 35%, Exports continues to be around 14% and Vehicle Lifetime Solutions is about 9%.

That said, I moved to the earnings quality. So, our EBITDA, as I already mentioned, we were able to deliver INR 338.8 crores in the quarter, registering 18.3%, which was shade below compared to last year; however, when we look at absolute numbers, we have grown 4.9% compared to last year and 1.8% better than the preceding quarter as such.

So, that said, where has this EBITDA come from? Obviously, the gross margins have improved, and while we did have some adverse impact coming on expenses and other income areas, and some of the employee costs, which as a result of the wage agreements that we have done and the performance increments that we have given, so, that has come in and impacted our EBITDA earnings as such.

So, the year-on-year earnings moderated marginally, but however, we still have the strong fundamentals in place, and when one were to look at the profit after tax, you can see that we

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PUBLIC were able to close the quarter with INR 227.7 crores in the quarter, registering a 12.3% PAT which definitely was a little below compared to the 13% that we gave in the first quarter of 2023 . However, in absolute number, we have grown 3.8% better than last year and 4.4% better than the preceding quarter.

I move to the next slide and here again our working capital went up to INR 1,352 crores in the quarter, which was an increase compared to the Q1 , but however we believe that with demand that we see coming in from many of these sectors recovering, we believe that this kind of inventory need to be there to service our customer needs , and this is an optimum level of working capital that we would definitely want to operate with in the 17 % to 19% range , and we will continue to keep hold our working capital around this.

Now that said , talk about the CAPEX, we have been consistently investing over the last few years in ensuring that we continue to localize a lot of our production in India and increase our localization content. And clearly in line with that strategy , even in this quarter, we have been able to invest INR 173 crores as against INR 118 crores in the same period last year. This has taken our CAPEX as a percentage -to-sales to 7%.

And I did already talk about the free cash flow. Yes, we did have some challenges on the free cash flow, but then this is the normal start of the year , the first quarter always registers the lower free cash flow , and the similar picture was there even in last year first quarter . However,

we are

now keeping the focus to say, can we bring in some consistent performance quarter -on-quarter in the free cash flow as well .

Now that said, I move to the next slide, which is more on performance indicators . And to sum it up, as you can see, while we have registered on the top line a 9.2% growth compared to last year, our performance with the preceding quarter has been flattish, delivering an EBITDA of INR 338.8 crores, resulting in a margin of 18.3 % . And with all the investments that we have been making in as well as the depreciation impacts that have started to come in, we were able to deliver an EBIT margin of 15.1% and bring in an EBT of INR 305 crores as such.

The profit of the tax , I did already talk about , is 12.3 % margin that we have delivered. We continue to sustain our CAPEX investments, although we are judicious in terms of where we are investing. We are continuously monitoring the market even on the export side and we have been judicious and prudent in making our investments in the right portfolio of products as such .

Free cash flow I have already touched upon, and I move to the next slide. So, the consolidated financial results, this slide shows about the consolidated picture including the Koovers acquisition that we made last year. Koovers , as you all know or KRS V Innovative Auto Solutions Private Limited as you all know, is a subsidiary of Schaeffler India Limited, this is a B-to-B e-commerce platform , and this was a strategic move that, as Schaeffler India, we decided to get on to in our Vehicle Lifetime Solutions market space. And so KRS V as you see has posted a revenue of 24.6% in the first quarter , while the financial parameters of EBITDA, EBIT and the EBT are Schaeffler India Limited

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PUBLIC still negative as we are right now in the ramp -up mode by way of expanding the footprint of Koovers Pan-India, we have started to now move into the West and the Northern region .

Predominantly when we acquired the company, this was focused only in the southern part of India, more so in Bangalore and Chennai , and now we have started to expand the footprint aggressively . So, very soon we will be able to see the positive results coming out here as well.

So, as a consolidated unit , Schaeffler India Limited , we have been able to close the quarter with INR 1,873 crores on the revenue and our EBITDA stands at 17.8% consolidated , with an EBIT before exceptional items as you can see is 14.5% and earnings before taxes also at 15.9%.

I move to the last slide and to summarize , we have invested in the right foundation products in India and are also continuing to invest in the emerging sectors in India and the testimony of that is also our focus on the market and our customer -centric approach which clearly is helping us to continue to sustain the growth momentum in the domestic market in India.

Exports, on the other hand, we did see challenges and headwinds in the preceding quarters. However, in this quarter, we do see some rebound. We will have to watch cautiously and watch it for a couple of other quarters , the next few quarters will tell us how the export is going to fair. Our sustained quality earnings in the measures that we have put already and more that we will be putting , ensures that we continue to sustain to deliver the profitability story of Schaeffler India to all of stakeholders .

And the operating metrics continue to remain . Our CAPEX commitment continues to be there. However, we will be more cautious and judicious in terms of being agile in our investment decisions going forward. But the strategy of investing to grow and localize more in India is still

strong and on the right track, I must say.

So, with this, we will continue to stay optimistic, yet be cautious and be more agile, continue to show the resilience that my team has demonstrated so far, and although the market is ver

y

volatile and uncertain, but certainly, we will try to play the game more smartly going forward as well.

With that, I conclude my presentation. Over to you.

Moderator: We will now begin the question-and-answer session. The first question is from the line of Mukesh Saraf from Avendus Spark. Please go ahead.

Mukesh Saraf: My first question is on exports. You did mention that you were surprised with the kind of pick up in the first quarter. So, yes, there has been sequential. Could you give some more color on how do you see going ahead the ramp up in exports to be?

Hardevi Vazirani So, the question is if I heard it correctly, it was on exports?

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PUBLIC Mukesh Saraf: That's right. So, the question is just on the visibility that you have going ahead because there has been a sequential improvement, but you also mentioned in the opening remarks, it was surprising the improvement. So, just like something that we can expect will continue to improve from here, how do we look at?

Hardevi Vazirani If we look at exports then Q1'2024 vis-à-vis Q4, we saw a more than 10% rebound, and this came from all the regions. Of course, one thing is that the stocks that Europe was consuming have reached optimum level and thereby they have started placing the orders now, but at the same time there were some efforts put in by the management to acquire Asia Pacific market where we have also fared quite well. All in all, the response from all the regions was better than Q4.

Mukesh Saraf: So, we can expect kind of this sequential improvement to continue from here on?

Hardevi Vazirani So, the order book looks promising at this point of time. We plan to maintain the average through the year.

Mukesh Saraf: And secondly, on the e-axle order that we have already, you give some sense on this year sometimes we are expecting the business to start there. So, if you can some timeline there?

Harsha Kadam: On the e-axle business, what I can say is that the project is progressing very well with our customer, and it is according to the timelines that we have committed, yes. Rightfully, our phased investments also is on track. And as the situation progresses, we will definitely start to bring in our localization strategy as well and start to implement. Some actions towards localizing partly our production lines have also started to be now effected. But as I said, I cannot share more details on the project, but then nevertheless we are on track.

Mukesh Saraf: Under the mobility solutions, we have the industrial bearings there. So, I mean, does that include only railways tractors, because it's split under mobility and others, just trying to understand what is the -?

Harsha Kadam: I just wanted to correct you that the new division that is created is called electric mobility, which is purely for the electric mobility on road. Yes. So, the Railway as a sector continues to remain under the Industrial division and which is now, we are calling it the Bearing and Industrial solutions, it's going to remain there. So, there has been no deduction or changes within the erstwhile industrial division, there has been only an addition and that's the bearings business, which was in automotive, has now come under the industrial part.

Mukesh Saraf: So, in the stock exchange release, the segmental revenue, there is something called as mobility components and related solutions, and then there's something called others as well. In each of these you have these four sub-segments. So, just wanting to understand what are the differences there?

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PUBLIC Harsha Kadam: Mukesh, the way it has been shown here is mobility components and related solutions. But if you see below that all the four businesses which we track is already there.

Mukesh Saraf

: And then below that there's others and in there again, there is bearings and industrial solutions and then the company exports. I think it gets totaled up into the third segment. Never mind, sir. I'll probably take it offline.

Hardevi Vazirani No, no, no , I can answer this right away. So , if we see mobility components, it is all linked to passenger vehicles, tractors, railway s and so on. But other than that, our sectors like wind , power transmission , industrial distribution , that falls under others. So, everything that is related to mobility is in in Category -A and rest all sectors are in Category -B.

Mukesh Saraf: I will probably take it offline.

Moderator: Next question is from the line of Harshit Patel from Equi rus Securities. Please go ahead.

Harshit Pat el: My first question is on the wind sector. So, you did mention last time C Y'23 had seen because the exports from India was pretty much sluggish. So , can you think that in C Y'24 we can reach back to those C Y'22 levels? And what is the share of wind as a portion of overall our revenues at the moment?

Hardevi Vazirani Before Harsha talks on the business aspect of when, let me clarify that when we talk about our exports, it does not have the wind portion, we s ell to the wind produce rs in India who in turn export to Europe and other countries. So, when we sell them, it is still domestic sales . Our export is not directly towards wind , we sell domestically to the wind producers, and they export it .

Harsha Kadam: So, to your question on the business progression , first thing is there are two parts to the business. One is the domestic demand for wind equipments and second is our customers manufacturing in India and exporting. So , in the total business, 80 % to 85% is exported out of the coun try by our customers, correct ? So, the domestic demand continues to be stable ... has been stable in the past. It was the export business that was down and over the last few quarters we saw that. Coming into Q1 '2024, what we have seen is a very strong uptick compared to the Q1 '2023; if we go back four quarters, we have seen a very strong uptick, almost 70% growth in demand we have seen come back . Now, if one were to do a little deep dive and look at , there are two applications that go into the wind ; one is t he equipment itself ; and second is the gearbox manufacturers. What we are seeing is a very strong demand coming back from the gearbox manufacturers. The wind equipment s has improved but not at the same pace as the gearbox manufacturers. So, I must say that we are beginning to see strong demand for gearbox that are getting exported out of the country as of now. Hopefully , the wind equipments too would start to make a strong re covery as we are seeing in the gearbox.

Harshit Patel: My second question is on the pricing. Could you give us a little bit of lever on bearing s pricing both in the automotive as well as industrial bearings -- have we taken any price cuts in the past
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PUBLIC one y ear or so because the commodity inflation has pretty much stabilized vis-à-vis what it was let's say one and a half to two years ago ?

Harsha Kadam: Pricing is always on a comparative level. That's the first point I want to make. It's related. Second is, yes, you're right , the commodity prices have stabilized, and our pricing is always linked to the commodity price movement and so our contractual agreements with the customers are always linked with the price of the commodities at the global level. So, that s aid, if the prices would have gone up , certainly we would try and recover those prices from our customers . But if the prices were to go down as well, we would have to pass on the benefits. I don't have the details of where we have given or where we have ta ken. But what I can say is it is very well sequentia ted with the commodity price movements

and we continue to operate in that manner , this applies to all suppliers who are in the automotive and the industr ial.

Harshit Patel: I understand that you have to pass on those benefits to your large institutional customers , the B2B contracts that you might have . But do you also have to pass on these even in the aftermarket?

Harsha Kadam: No, aftermarket, we do not pass on . Aftermarket invariably to cover the inflat ionary increases , we do increase prices. All component manufacturers increase the price every year and the automotive aftermarkets and the industrial aftermarket s is the only sectors where we follow this rule to increase the prices every year unless it is a strategic approach not to increase the prices by the organization.

Harshit Patel: Just last one bookkeeping question . In the vehicle aftermarket solutions segment, are there still bearings or these bearings have also moved to that newly created segment, which is bearings and industrial segments ?

Harsha Kadam: So, the vehicle lifetime solutions will continue to sell bearings , they will continue to sell every other product as well. Only the manufacturing has moved under the industrial side . So, nothing chan ges as far as the external customer is concerned. It is an internal restructuring that we have done and it's just a reallocation of the team, the plant and machinery into industrial . So, that's the only change, but otherwise from an external perspective ev erything remains the same.

Moderator: Next question is from the line of Pradeep Bijlani from Union AMC. Please go ahead.

Pradeep Bijlani: I have two questions. Firstly, on the export side, so you called out that the wind sector is largely

not part of exports and that is part of industrial , but we are seeing very strong order book. So, can you call out what is the segment as in we largely have PV , so where are we seeing that growth whether in the North American region or the European region, if you can give a little bit more flavor on that part ?

Hardevi Vazirani : If we see our performance on exports, Q1 vis-à-vis Q4 of last year, that is quarter -on-quarter , we have seen the uptick from all the markets, Europe, America, Asia Pacific , also China, we have
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PUBLIC seen order book improving . While for the other regions, specifically Europe, which is the main contributor to our export's revenue, stocks have been optimized at their level , so order book is coming in, but at the same time, management had put conscious efforts to get new order book from Asia Pacific, which has contributed to this increase.

Pradeep Bijlani: The other question which I had was related to the Vitesco merger which is done at the global level. So, from what we understand, Vitesco also has an India entity and we as Schaeffler have maintained one Schaeffler policy. So , do you have any visibility as to what would happen to the Vitesco entity and the Schaeffler India entity , how are you thinking about that, and if any timelines as such with the management who want to give out ?

Harsha Kadam: First, the name of the company is Vitesco, and this globally is a strategic acquisition for Schaeffler fundamentally because as we are venturing more and more into the electric vehicles' technology space . The critical part of electric vehicle technology is power electronics and that is where Vitesco's competence brings in a lot of value for Schaeffler. Hence, strategically this global acquisition . That said, in India too, Vitesco is present as a private limited company , and right now, as I'm speaking, we are evaluating the functional integration of Vitesco into the Schaeffler portfolio. However , the full integration of Vitesco within the Schaeffler India Limited listed entity would take some more time as we will have to do a thorough due diligence as well as do a lot of groundwork before

we venture in that direction and as of now, I'm not in a position to reveal the time plan for this.

Moderator: Next question is from the line of Pramod Amte from InCred Equities. Please go ahead .

Pramod Amte : So, the first question is wanted to get your perspective on the railway s segment in detail about new range. How is the pricing scenario there in the current situation ? We understand the opportunity is pretty large but there are incumbents who are there versus you entering into that segment. So , how do you see the pricing scenario when you have won these new contracts?

Harsha Kadam: So, let me give a background and then probably I can try and answer the question. So , the earlier model with which the Indian Railways operated was , they were issuing tenders for whether it is the wagon, whether it's a locomotive, with all the divisions they have geographically, and the manufacturing units they have , each were independently issuing tenders and one had to bid and compete in the tenders. With a lot of privatizations happening now, particularly on the wagons, we are already seeing the wagon manufacturing is now being privatized. We see a different approach with the private manufacturers now . So, we see less of tendering, but more of technological discussions and engaging with suppliers from a partnership perspective and that's beginning to happen now. But has it completely changed in railways? Not yet. It's beginning to happen. So , this is the first transformation we have already seen. So, what does this mean to players like us? For one, it means that we can offer better value solutions and products to the customers . As now with privatization and modernization both going hand -in-hand , the demand for better value products is definitely going to be there and we are strongly positioned and competent with all the capabilities, the investments, the manufacturing footprint that we have
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PUBLIC put in place for railways to compete in a better way. So , that is the big change that is happening . Rightfully, yes, there are four or five players in India who compete within this railways. But as you know, railways is a growing business and very relevant for our play of things and we have our portfolio of products where we are strong and as the railways get modernized and they raise performance level , we strongly believe we have portfolio which can compete in those new applications that are already there. So , coming to pricing, I am not able to answer it precisely as to what do you mean by pricing, but the model is transforming there, and we believe that we are able to now start to play strongly in the railway s sector as well.

Pramod Amte: The second question is with regard to the new products you talked about in the annual report.

There seems to be like almost 10 new products which you plan to introduce per se. Wanted to know amongst these, what are the big ones to look forward in terms of addressable market or in terms of making the influence on your revenue in the next two, three years perspective?

Harsha Kadam: See, our strategy in the market is, if you take the automotive market, IC engines will still continue to grow, albeit at a lower CAGR growth rate, but then there is still definitely demand for IC engines. So, our investments in that direction to manufacture those products will continue and hence we will continuously pursue the market for new business wins on those existing portfolio. The second is, we will continue to upgrade our existing products to meet with the changing regulatory norms that are coming up, the new CAFE norms, or for that matter, if Bharat Stage 7 were to come in. Yes. So, we are now building up the engineering competency as well to stay competitive there. On the other hand, with the emerging technology like electric vehicles as well, we continue to invest there both in terms of competence development as well as phased

manner localization as the market is beginning to pick up more and more electric cars are produced in the country, we already have a business win and we are now pursuing other new opportunities there. So, there will be new business wins even on the electric vehicles' technology space as well. So, rightfully said if you are going to ask me which is the big ticket one? Well, I would say both on the automotive side and the e-mobility side we have big wins. So, cumulatively, we will continue to pursue, and we will continue to make business wins. Even on the industrial side for that matter, with so much infrastructure growth that is happening or core industrial sector customers are investing in new capacities and new greenfield projects, so there again, we continue to produce the existing products more and service their requirements as such. So, clearly, wherever the opportunity is there, we believe that there is a growth opportunity, Schaeffler would continue to focus and continue to invest.

Moderator: Next question is from the line of Mahesh Bendre from LIC Mutual Fund. Please go ahead.

Mahesh Bendre: We have been talking about CAPEX of INR 1,500 crores over the next three years. So, we already done CAPEX last year, we are in the midst of that doing that. So, when will this get reflected in the numbers, I mean when this CAPEX that we're putting into factories, will start reflecting in our sales?

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PUBLIC Hardevi Vazirani So, partially, it is already reflecting. It is reflecting because the investment is not only into the capacity, investment is in setting up of new plant of Hosur, investment is into backward integration, roller localization in Savli. So, there are many things which are done to do the localization of finished products. So, we are already selling those products in the market from imported sources. When we localize, we are now selling from within our plant. Sales does not necessarily increase or when we do backward integration, the parts are available easily within the local market. So, there are several topics within those investments of INR 1,500 crores which are not directly always linked to increase in sales, but yes, we can say that significant amount is towards that. So, some part we already see that it started impacting and that is the reason you see that the company is able to sustain the margins despite inflationary pressure of over 8% that the margins are maintained, because localization has been done for the child parts, etc., So, CAPEX is to be seen in those categories and you will see that increasingly when the market comes back in tractor, commercial vehicles, you will see those effects coming in.

Mahesh Bendre: So, you mean to say that the CAPEX will start influencing our operating margins maybe because a lot more things we were importing will get produced in our factories now?

Hardevi Vazirani So, it is already impacting and that's why see we are able to sustain our EBITDA margins close to 18% despite having last year inflation averaged above 7% in the prices, personnel cost, fuel, etc., but we still registered EBITDA margin over 18%, and this is all possible because there are several measures in those directions.

Mahesh Bendre: Out of our total sales, how much is from the aftermarket, both including auto and industrial?

Hardevi Vazirani So, Vehicle Lifetime Solutions, we already showed; from the domestic sales it's close to 10%, the similar would be in industrial distribution.

Moderator: Next question is from the line of Saif Gujar from ICICI Prudential AMC. Please go ahead.

Saif Gujar: Can you share where are we on the Hosur plant?

Harsha Kadam: As you know, last year we had started off the year by laying the foundation stone for the greenfield project

construction. As I'm speaking now, the first hall construction is underway.

Last month, me and the entire leadership team were there to assess the status of progress and I must say that we are on track. So, once the hall and the building is completed, the machines would start to roll in as well. So, as we are going to set up some new machines would come in

and some would be moved from our existing location to create more space in the older plant as well, so that you will start expectedly next year to start to produce from this plant. So, all in all, we expect by the end of this year the entire project to be completed.

Moderator: Next question is from the line of Salil Desai from Marcellus Investment Managers . Please go ahead.

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PUBLIC Salil Desai : When you mentioned that new extra efforts were made to increase the exports in Asia Pacific, can you explain a little detail what these efforts are in the sense, do you need to put marketing teams there or do you need to talk to the group and make a case for sourcing it from India?

Hardevi Vazirani So, as you know that sub-region India is a part of region Asia Pacific , there are ongoing discussions with Asia Pacific management board on the order book situation , and in Asia Pacific, we are present in 11 countries where in Southeast Asia, there are seven countries and the markets like Indonesia, Philippines, Malaysia, Thailand or even Korea , these all are part of Asia Pacific. So, the management boards of those respective companies are in the common meetings where we drop the action and the respective colleagues from the industrial division in those countries, they put extra effort to get us the order book . And also, that the Southeast Asia countries, we don't have many plants who produce the products that we produce , so they import from us.

Salil Desai: This would be kind of a more sustainable source of exports for you , it's not a one-time win. Is that understanding right?

Hardevi Vazirani That's what we are trying to do.

Moderator: Next question is from the line of Muksh Mandalay Shah from Anand Rathi. Please go ahead.

Mumuksh Mandlesha : Industri als and bearings have seen a good 15% growth on a YoY basis and if we look at Q4 quarter which is 5% growth . So, from which sectors we have seen much better growth this quarter ? And also, just to add on aftermarket , we have seen a 10% growth in sub-sectors or products you mentioned which has seen good growth in aftermarket as well ?

Harsha Kadam: So, let me take the industrial part first. So, a couple of sectors that we have seen strong demand coming up in the first quarter , one , obviously wind, we already talked about it , the second one is the two wheelers which we classify under the industrial division , and here again as you know the two-wheeler business bounced back with double digit production growth rates happening in the country. We've also seen a strong demand coming in the power transmission sector, which is fundamentally the gearboxes as well as electric motors that are manufactured in the country. So, these were some of the large. Of course , we did see also from the cement and the steel sector good demand coming back, although not as high as it was when compared to the two wheelers and the wind . The wind and the two wheelers have been the strongest growth for us in this quarter. And coming to the second part of the question that is on the Vehicle Lifetime Solutions, well, while it appears that we have done better when compared to Q 1'2023, but the first quarter of every year is always a low start for the Automotive Aftermarket or Vehicle Lifetime Solutions as we call it. But surely, with the vehicle parc numbers increasing in the market, the demand for the after-market products also is going up. Hence , strategically one of the reasons we also resorted to acquiring

the B -to-B e-commerce platform exactly to facilitate the growth story of the Vehicle Lifetime Solutions products there.

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PUBLIC Mumuksh Mandlesha : So, fair to say in vehicle life time solutions, broadly, the growth has come across the product lines and sub-segments ?

Harsha Kadam: Yes. Also, what's also happening is the transition of BS -IV to BS-VI, which happened in 2020 , now you will see more and more vehicles of B S-VI coming back for repairs and hence our portfolio of products, we have been proactively developing and now keeping them ready . We have been able to service those vehicles that come back with B S-VI technology. So, our product offering was also made ready and hence we are seeing now the good demand coming for the BS-VI products as well.

Mumuksh Mandlesha : I mean, the upcoming new emission norms like CAFE and BS -VII, how do you see the change in content per vehicle sir there?

Harsha Kadam: The content per vehicle? Yes , rightfully when the BS -IV to BS-VI transition happens , obviously , the value of the product that we are offering is definitely much better as it has to conform and also perform to the new requirements of the new regulations. So, rightfully if B S-VII were to

come, yes, we are prepared, and we do have the engineering capabilities to reengineer our existing product to meet the new demands of regulations that do come in. So, we have done that in the past, we will continue to do that going forward in future as well.

Moderator: Next question is from the line of Rishi from Kotak Securities. Please go ahead.

Rishi: Just a little bit more details on the export side of things. While you alluded that we had seen a recovery across geographies, but at least in terms of end consumer segments, if you could comment like which are the important segments for us in terms of exports and where we are seeing some green shoots at least on a sequential basis, so any insights on that would be helpful? And just one bookkeeping question. Any CAPEX number which you would like to put it for FY'24, that would be helpful?

Hardevi Vazirani: So, on export, these are our intercompany export, so we supply to our group companies, and they sell it to the end market. The exports are mainly in industrial division, there are some parts in automotive also, but main is in industrial division. And your question on CAPEX, as we had committed that in three years, we will do INR 1,500 crores and this is the third year, and we will be keeping our promise.

Rishi: So, despite 1Q number of INR 170 crores, overall full year still would be around INR 500 crores?

Hardevi Vazirani: Can be over that, but we don't give the year guidance.

Moderator: The last question will be from Mr. Balasubramanian from Arham Capital. Please go ahead.

Balasubramanian: Sir, on the localization side, like what kind of subsystem level products we are focusing on in the automotive segments.

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PUBLIC Harsha Kadam: I will not be able to give you specifics as to which product lines we are localizing. All I can say is that our consistent effort to continue our investments to localize more and more in India is well on track. Our localization percentage as of Q1 was at 77% and last year it was at around 75%. So, we will continue to localize more and more and now our effort is also on to localize more and more at a component level for the automotive applications where we continue to import some high specialty products from Europe, we definitely want to localize that as well. So, our effort is focused on localizing our purchases that we source from our suppliers outside of India as well. That's a clear focus area for us.

Moderator: Ladies and gentlemen, that was the last question of the day. I now hand the conference over to Ms. Gauri Kanikar.

Over to you, ma'am.

Gauri Kanikar: Thank you, everyone. Thank you for joining us today. If you have any further queries, please do reach out to me at gauri.kanikar@schaeffler.com. Thank you and have a good day.

Moderator: On behalf of Schaeffler India Limited, that concludes this conference. Thank you for joining us and you may now disconnect your lines.

(This document has been edited for improving readability)

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Sub: Disclosure under Regulation 30 of the SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015 – Transcripts of Analyst/Investor Meet held on Wednesday , July 24 , 202 4.

Dear Sirs,

With reference to our letter dated July 24, 202 4, please find enclosed the transcript of the Analyst/Investor meet held on Wednesday , July 24 , 2024, for your information and records.

The same is available on the Company's website - Earnings Conference Call | Schaeffler India

Kindly take the same on your records.

Thanking you.

Yours faithfully,
For Schaeffler India Limited

Ashish Tiwari,
VP - Legal & Company Secretary
Encl.: As above

30/07/2024

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PUBLIC
"Schaeffler India Limited Q2 CY'24 Earnings
Conference Call "
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PUBLIC Moderator: Ladies and gentlemen, good day, and welcome to the Schaeffler India Limited Q2 CY '24 Earnings Conference Call. As a reminder, all participant lines will be in the listen -only mode, and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing star then zero on your touchtone phone. Please note that this conference is being recorded .

I now hand the conference over to Ms. Gauri Kanikar. Thank you, and over to you, ma'am.

Harsha Kadam: Hello, Good Morning. A very warm welcome to this earnings call. And I am Harsha Kadam, the CEO of Schaeffler India Limited. And along with me is...

Hardevi Vazirani: Hello. My name is Hardevi Vazirani, and I am the CFO of Schaeffler India.

Harsha Kadam: So, let me begin by taking you through briefly our presentation, which is already put up to you people. So let me start with by moving to Slide 2. As a motion technology company, Schaeffler India Limited have always strived and are committed to ensure that we create and add value to all the stakeholders.

Now that said, customer being the most important stakeholder for us. I am happy and proud to share that in the second quarter, we have been recognized by many of our customers and some of them which you see here on the slide, starting with Escorts Kubota, particularly recognizing us for the best quality performance for the year.

Also, commendations coming our way from Mahindra Swaraj. This was appreciation for extraordinary support for supplier performance for the entire year. Also, on the aftermarket side of the business, we were recognized by Mahindra for the vendor -managed inventory efforts that we put in throughout the year. And last but not the least from the prestigious customer of Maruti Suzuki, we were recognized for deeply and closely working with on the design and development of products that go into the transmission application as such.

Rightfully, we will continue to keep customers at the centre of everything we do. And hopefully, we will win more awards in the future going forward. That said, I would like to now move on to today's agenda. I would like to talk a little bit about the economy and the industry , follow that by the business highlights and our business performance as such for the second quarter and the six months ending. Later, I would touch upon our financial performance for the second quarter and six-month year ending.

Now that said, let me move to the next slide, Slide number 4. Here, I would like to talk a little bit about the economy and the situation in the country. As you all know, we were on a strong footing in terms of growth and probably India is the only country that has been able to sustain a growth momentum. The Reserve Bank of India too has kind of revised the GDP at around 7.3%. This coming on the back of a good performance on the manufacturing sector as well as the industrial sectors. Although we did see some sluggishness in some of the industrial sectors, which I will touch upon in a while. Look at the automotive production in the country and it has been able to grow at a rate of ~6.8% on the passenger vehicles for the second quarter and has been a good performance from the automotive production as well.

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PUBLIC Talk about the inflation, the CPI inflation has been moderated, which is very well in line with what the guidelines and the targets set by the Reserve Bank of India to contain the inflation between 2% to 5%, and that is where it is continuously hovering around. All these have kind of offered a favourable mix as enablers for the economy to ensure a sustained growth rate.

Now that said, I would like to move to the next slide where I would touch upon the co

re sectoral

performances. And when you look at the industrial sector performances, as I mentioned, some of the sectors have seen a bit of sluggishness in the second quarter when compared with the first quarter, probably attributed to the pre -budget concerns that would come up. This could be just a pre-budget phenomenon , but I guess the next quarter will definitely tell us where this is heading. So, look at the cement production or the coal production, both kind of slowed down a bit compared to the first quarter. But we saw that the energy generation or the electricity generation in the country actually started to pick up in the month of April and May, which clearly pointed

to increased manufacturing activity in the country as such. That said, all are pointing towards a robust growth rate, sustained growth rate going forward as well.

I move to the next slide, which is more focused on the automotive sectoral performances. Here again, what we have seen is a very strong rebound on the 2 - and 3 -wheeler sectors coming on the back of the rural demand, which today constitutes almost 60 % of the 2 -wheeler production going towards the rural market, and that is creating a strong pull, and we are seeing a strong resurgence of the 2 - and 3 -wheelers.

Passenger vehicles, on the other hand, has seen a bit of moderation there. But I guess, again , this is to do with the pre -budget phenomena, hopefully, and we expect that this should pick up. The commercial vehicles, on the other hand, has also gone down in the sector. As you can see, as a sector in the month of April, May, and June, still at a lower level.

While on the other hand, the agricultural tractors, which was kind of at the lowest level has kind of bottomed out and started to see an uptick in the last 3 months. So, when you look at the numbers, particularly in the month of May and June, we see a stronger resurgence of the agricultural tractors probably coming on the back of the reasonably good monsoons and the good rainfall that is there. So, we believe that we are optimistic that the tractors would definitely come back in a much stronger way going forward.

I move to the next business highlights, as I talked about. So overall, how did we perform as Schaeffler India in the second quarter. I must say that we crossed a new milestone in the second quarter, which was - we were able to generate a sales revenue of INR 2,000 crores or cross the INR 2,000 crores mark in one quarter, which was from an earlier level hovering around INR 1,800 crores.

So, this was the first time that we have been able to cross the INR 2,000 crores, and I must say this is an important milestone that we have crossed, thereby registering a 12% growth over the preceding quarter and a 13.3% growth compared to the same quarter last year. So has been a reasonably good performance with a double -digit growth rate, which rightfully reflected in the financial performances or EBITDA, we were able to bring in roughly INR 385 crores in the Schaeffler India Limited

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PUBLIC second quarter, registering an 18.6% in Q2 2024, this was at 18.3% EBITDA in Q1 '24, resulting in a Profit After Tax, which also was ~12% - 12.2% as such.

We did have some challenges on the free cash flow, particularly coming on the back of the capex investments, which got capitalized in the quarter. The first quarter and the second quarter put together, got capitalized and hence, we see a negative cash flow. But definitely, there has been an improvement in the free cash flow compared to the first quarter and all efforts are on this direction to correct the picture in the succeeding quarters that we have and some areas of homework we still have to do is on the cash flow and the working capital management as such. I move to the next slide, Slide number 9, as a motion technology company, our focus has always been on winning new business

and continue to sustain the wins in every quarter. And here again, whether it is in the Automotive Technology area or on the Automotive Aftermarket area, the Vehicle Lifetime Solutions, as we call it, or on the Bearings and Industrial Solutions, we have garnered a lot of wins in the second quarter as well, predominantly coming from the IC engine space, leading to engine application products as well as some of the transmission products.

We have continued to sustain wins in our double clutch systems, which is a prestigious product for Schaeffler in India. We also garnered a lot of wins on the front -end auxiliary drives and in the commercial vehicle applications, and we will continue to sustain this win momentum as such.

Talking about the Vehicle Lifetime Solutions, again, the products which were launched in the OEM space have now started to come into the aftermarket space with appropriate packaging that are required for the applications. So that is something and our portfolio expansion continues in the Vehicle Lifetime Solutions.

Coming into the bearings and industrial space as well. We have won quite a few businesses, new businesses within the 2 -wheeler space. Even the 2 -wheeler applications, we have won businesses in the bearings business bearing as a product. And we continue to have some wins on our raw material sector business, the continuous process industry business as such, predominantly in cylindrical rollers, needle rollers and some taper rollers as well. So, all in all, we have a holistic business win, not specific to one product portfolio, but a varied product portfolio, which helps us to sustain the balanced approach to the market thereby also ensuring that we optimally load our plants and the production capacity that we have.

With that, I move to the next item on the agenda, which is our financial performance on the back of this business performance. I did already mention that in the quarter, we achieved a sales

revenue of INR 2,071 crores as such, which was a clear 12% growth over the preceding quarter and a 13.3% growth over the same quarter last year. But if one were to look at where did this come from. I would draw your attention to the key aspects part of the chart, which talks a little bit about the split between the business verticals. And as you can see, the Automotive Technologies registered a strong growth in the second quarter with 11.5% growth compared to Q2'2023, taking the six-month performance to 10.3% growth compared to the same half year performance last year.

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PUBLIC Vehicle Lifetime Solutions on the other hand, was a little muted in the quarter. However, when compared to the preceding quarter, it posted a double -digit growth of 14.4%, taking the overall half yearly performance to 4.8% growth over the same period last year. Industrial , on the other hand, we have been having a strong run particularly in some of the industrial sectors where the tailwind is helping us to consolidate our positioning in the market. And we have been able to register a 17% growth when compared to the same period last year and a 15% growth over the preceding quarter, taking the half yearly growth to about 16.5%.

One other highlight of the quarter was the double -digit growth rates and the good performance that we have been able to register in our export business, the intercompany business that we call, we were able to grow the business by about 15% when compared to last year Q2. And over the preceding quarter has been a very robust and strong performance of 21%.

But overall, the half yearly period, as you know, the export business went down due to the geopolitical situations in Europe, and as a result now, we are seeing that at half yearly growth rates, we would be close to about 4% growth rate.

So, looking at this scenario, and I did talk about the balanced sales mix th

at we enjoy. And as

you can see, the Bearings and Industrial Solutions, which was sitting at about 43%, couple that with the Automotive Technologies at 33 % and the Vehicle Lifetime at around 9%. Our exports continue to be in the range of about 12% to 15% as such.

With this balanced approach, I move to the next slide to draw your attention to the earnings quality. And what you see is here, I did talk about the EBITDA, we have been able to register an EBITDA of 18.6%, bringing in about INR 385 crores into the system. And where did this come from - and as you can see below on the bridge, the gross margin improvement brought in about INR 86 crores. We did have some payouts that we had committed to do in terms of our employee cost, which was a little on the timing side, a little different than what it normally is and also some of the expenses that we have incurred in the process of our integration process that we have started to do as well.

Now that said, this has resulted in a much better Profit After Tax for the quarter. For Q2, we have been able to register INR 253 crores of the profit after tax, which is a clear 11.4% growth quarter -on-quarter and year -on-year growth of about 7%, taking the profit after tax to 12.2% for the second quarter of the year.

Moving on. I did touch upon the working capital. Our working capital has gone up in the quarter. And that is something that we are hovering around 20.2%. This is an area that we are now focusing on to get it under control and work towards improving this in the succeeding quarters as such.

Talk about investments. Our investments rate continues still to grow, although we were marginally lower when compared to the first quarter. We have come down to 8.4% of sales when compared to 9.4% levels that we were in the preceding quarter. However, this is purely based on the judicious and prudent investment mix that we are bringing into the country, looking, and

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PUBLIC taking cognizance of all the developments that are happening in terms of market demand around us.

So, all in all, I think the capex framework is well on track, no changes there whatsoever. Working capital and free cash flow for the quarter is an area where we notice that we still have some work to do, and we will keep the focus on these two parameters going forward as well.

With that, I move to Slide number 14, which gives a little more detail on how we are looking at. And as you can see here, the snapshot of all the performance indicators, while the revenue for the six months grows at about 11.3% and EBITDA margin hovering at 18.5%, taking the EBIT to 15.3% level.

Our sustained effort and focus on cost management with the number of measures that we have

introduced within our operations, we will continue to shore up and try and deliver more value going forward as well. And this is the snapshot of our performance indicators for the second quarter and the six months ending.

With that, I also would like to share with you the consolidated financial results factoring in the KRSV Innovative Auto Solutions Private Limited, which is a subsidiary of Schaeffler India Limited, Koovers, as we call it for short. Now if one were to look at the Koovers numbers, it is small business right now, which generated a revenue of INR 35 crores in the second quarter and at six months about INR 60 crores.

But still, the financial performance yet to breakeven. However, all actions to scale up this operation and start to generate a positive cash into the business is something we are working towards. So, at a consolidated Schaeffler India Limited, Q2 sales revenue stood at INR 2,106 crores or INR 2,107 crores. As you can see, with an 18.1% EBITDA margin resulting in an EBIT of 14.9% and earnings before tax of 15.7%.

So, with that, I move to the next slide. That is my last slide, which summarizes the

entire thing.

So, we have been able to post a reasonably good double-digit growth in the second quarter for the sales revenue. As such, helped and aided by some of the tailwinds in some of the sectors, plus our intercompany sales, which is the export part of the business, which started to come back pretty good. And quality of earnings, we have been able to sustain with the cost management measures that we have put into our operations.

And we will continue to keep the focus on winning new businesses because that is what helps us to continue to ensure the top line growth momentum as such. And as a motion technology company, we remain committed to continue to create and generate value for all the stakeholders within the ambit of the ESG that drives our business operations.

With that, I come to the end of my presentation. I open this up now to Q&A. Over to you. Thank you.

Moderator: The first question is from the line of Mukesh Saraf from Avendus Spark.

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PUBLIC Mukesh Saraf: Yes. My first question is on exports. We have seen very strong performance again this quarter. We have seen another sequential 20% kind of growth again. So, could you give some more colour on how we see this going forward? Because obviously, a few quarters back, we were facing some issues with global weakness, but have we kind of now gone beyond that? And are we going to continue to see further growth from here?

Harsha Kadam: Yes. Thank you, Mukesh, for the question. I would like to say that the two factors that is probably helping us to grow the intercompany sales business, one being the stabilization of the economy in Europe, which is obviously now with all the inventories getting cleared up, we see a demand resurgence coming back from Europe.

Now is it at the same level what it was 1.5 years back? Not yet. We will have to still continue to watch this. But definitely, we see now the upward trend, and it started to creep up. That is the first thing. Second is our own efforts from here within India that we are trying to get our products into newer markets, particularly in Southeast Asia have also started to give us some results. And both these factors put together have helped us to start to address the export market.

As I said here, I would still look at the exports market optimistically, but with a lot of caution because we still do not know the geopolitical situations, can always sway the business whichever way. So, we will continue to keep a watch on this while we continue to explore new markets to export our products.

Mukesh Saraf: Sure, sure. Any targets or any kind of a guidance we have on where we would want exports to be as a percentage of our overall mix, like we are still about 15%, but any, say, 2–3-year kind of a target number we have?

Harsha Kadam: Yes. We have always been hovering around in the range of 10% to 15%, and that is where we continue to hold. As you know, a lot of it is beyond our control in this business considering that this is very vulnerable to the geopolitical developments that happen around us. So that said, it is wise to keep it in a manageable level, and we will continue to operate around the level we are in today.

Mukesh Saraf: Right. Got that. And secondly, on the Automotive Technologies business, we are again seeing strong growth around 11%–12% growth there, while obviously, the underlying production has been, say, 6% kind of growth like you had highlighted in my presentation. Could you kind of call out, is there primarily content increase here for this outperformance? Or is there any market share kind of change as well that we are seeing?

Harsha Kadam: you answered the question yourself because yes, there has been content increase. There are multiple actions that we were trying to address here. One, you already touched upon definitely market share. So, we

have bought some inroads in some of the specific sectors, and we have started to consolidate there as well. We also, as I showed already, we have launched new products in the quarter as well although the SOPs would come in a little later. But every quarter, we do have new business wins, which have started to now come into series production. So that is helping us as well. And the third important factor is also some of the Schaeffler India Limited
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PUBLIC tailwinds in terms of some of the segments within the automotive sector, the demand would have gone up, which is enabling our product portfolio where we are strong to grow.

For one, we are already seeing the tractors as I talked about is recovering. We are very well represented in the transmission applications within the tractors, and we are seeing that as one of the tailwinds that we are enjoying. So, it is a multiple of factors that have helped us actually to try and ride the growth wave in the automotive sector today.

Mukesh Saraf: All right. Understand. Just last one. You had touched upon this in your opening comments on the employee cost. But at like INR 140-odd crores that we are at on a stand-alone basis, it seems quite high. We have never seen these kinds of levels and the Y-o-Y growth as well is quite high in this employee cost. Could you highlight, I mean, what exactly has driven this? Is it anything to do with the Savli plant or any bonuses extra that have been kind of disbursed this quarter?

Hardevi Vazirani: So, this is mainly timing difference. In the second quarter in April, we have salary increments as well as performance bonus, which is paid out to white collar employees. So, one thing is the timing difference. Second, as you are aware that we are expanding in Savli and Hosur. So there have been new recruitments which are taking place for the future growth. So, these are the two main factors. As we progress into the year, we will see that this percentage to sale, that is a relative increase will phase out.

Moderator: The next question is from the line of Harshit Patel from Equirus Securities.

Harshit Patel: My first question is on the railway business. Is our railways portfolio now fully localized? Or do we still import few products from parent or the sister concerns globally? Also, what was the share of railways within our overall revenues in the second quarter as well as the first half of CY '24?

Harsha Kadam: Yes. Thanks, Harshit, for the questions. So, to answer to the first part of your question, we have a large percentage of localization that we do here for the railways. However, there are still some products which we continue to import, and our localization plans are well underway, particularly for the railway sector.

We have been making some capex investments there to start to put production line to win those products, and those are well on track for us, as I am speaking. So, the second part of the question, how big is it for us? When you look at the industrial part of the business, the railways constitute roughly about 5% to 6% of the total business.

And overall, all the businesses put together about 3% of the total business is where we stand today. Yes, we are primarily focusing on the locomotive space, the metro applications, and the passenger wagons as such. The freight trains is an area where we still have to do some work, and we have to bring up some new products there.

Harshit Patel: Just a small follow-up to that. What was our Y-o-Y growth in this railways portfolio for this particular quarter?

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PUBLIC Harsha Kadam: Well, if you look at the Q2'2024 over Q2'2023, our growth has been close to about 15% to 17% we have done.

Hardevi Vazirani: Yes.

Harshit Patel: Understood. Sure. Sir, my second question is, is there any update on the merger of Vitesco India

with Schaeffler India? I think last time, you had mentioned that you will have to do some groundwork as well as due diligence. So, is there any progress on that front?

Harsha Kadam: Well, my answer to that question would be it is still too premature because the company has been acquired globally, correct? And we are still in the process of integration, which definitely is a long process.

It is not something that we can do overnight. So rightfully, in due course of time, you will start to get the update on what the next steps are and where this is going to go. But as of now, we are just integrating the company within the Schaeffler portfolio. The processes are getting integrated, the ERP process, the financial process, that is getting integrated. But the rest as it comes up, we will keep you updated.

Moderator: The next question is from the line of Mahesh Bendre from LIC Mutual Fund.

Mahesh Bendre: Just taking this question of Vitesco, you just mentioned that the integration process is on. So ultimately, the Vitesco India will be merged into Schaeffler India? Is this way things will happen?

Hardevi Vazirani: So, when Harsha mentioned that the integration is on its way, we were talking the global integration. That means globally, Schaeffler Group has acquired Vitesco Group. So that integration is going on. When we talk about India, we do not have still any plans that we will be integrating it legally. Whenever that news comes out, I think it will be publicly announced.

Mahesh Bendre: So currently, there are no plans of integrating Vitesco India into Schaeffler India?

Hardevi Vazirani: We await for the green signal, the right time has to come.

Harsha Kadam: Mahesh, let me say that we cannot share the plan as such.

Mahesh Bendre: Okay. Okay. Sure, sure. And secondly, sir, the capex during the quarter has been quite strong. I think we were talking about INR 500 crores of capex per year for the last 3 years, and we are halfway through now. So, when do you think actually the benefit of this will happen -- will get reflected into the numbers in terms of sales or any operating margin side?

Hardevi Vazirani: So, capex, you rightly mentioned that it is very strong. And as we had announced in 2022 that in 3 years' time, we will be investing INR 1,500 crores. So, all the plans are aligned to that. And we have seen incremental sales already has started coming, and we witnessed further growth in this quarter as well.

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PUBLIC So, capex is to be splitted into three broad categories. One is that we are investing into new plants and buildings. Second is in backward integration. That means in localization of our components, which ultimately impacts or helps us in maintaining the margins to combat the inflationary pressures that is components. And the third part is into capacities for the finished goods. So, all the plans that we had laid out in 2022, we are realizing it well in time.

Mahesh Bendre: Okay. Sir, last question from my end. The export side, though, I mean, you sounded a cautious bit. So, I am just trying to understand these kinds of numbers that we have shown. I mean, going forward, next at least 2, 3 quarters. Will this number be very similar like what we reported?

Hardevi Vazirani: That's what we will be trying to.

Harsha Kadam: If one were to look at the earlier quarter's performance in terms of our export business, we kind of even touched the level of almost close to 16% to 18% at one point in time. But I guess that was the peak. It all boils down to the demand situation how it is in the European market, the American market. Yes, the geopolitical situation did cause a dent in terms of the demand. But we are seeing now that some recovery happening. Is it at the same level as what it was before the geopolitical developments? Not yet. So, we will have to wait a

and watch, but we are definitely

seeing some uptick, especially in the last 2 months, we have seen a strong resurgence coming back.

Hardevi Vazirani: To maintain the performance. However, we have high dependency on businesses in Europe, Asia Pacific and in other regions. And that is the reason we are cautious.

Moderator: The next question is from the line of Pramod Amthekar from InCred Equities.

Pramod Amthekar: So, first question is with regard to the working capital. If I had to look at your cash flow statement for the first six months, there seems to be a substantial rise in inventories and receivables. Is it - how do you read it, is it more a reflection of market conditions? Or is it specific to Schaeffler, something that changed?

Hardevi Vazirani: So first, I will talk about inventories. Yes, inventories are slightly higher as a percentage to sales. If we see the quarterly trends of past year usually in June, there is increase. And this time increase is even slightly higher, 0.6% point of sales, it is higher than last year.

This is done in line with what we project going forward our business plus the transit times have increased due to various reasons in logistics, hassles that we are having regarding Red Sea and blank shipping and several other crises. So, we have seen that the transit times have increased by almost 20-25 days.

That is the reason that -- and this inventory includes the inventories which are in transit. We expect that in Q3, this will ease a little bit. And second aspect of working capital is receivable, where we have done some adjustment in payment terms in line with the market conditions.

Pramod Amthekar: So, this is going to -- you mean to say that receivables will remain as it were with the new norms?

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PUBLIC Hardevi Vazirani: Yes.

Pramod Amthekar: Okay. And second one is with regard to the Passenger Vehicle Technologies. Even though there

is still a debate about whether incentives will be given for hybrids or not. But if you look at from a Schaeffler point of view and the parent's experience, how do you see the opportunity or a threat from hybrid technology? What is the scope to play there? And will there be a sharp catch-up for OEMs to do is there to the n what will be the good or bad for Schaeffler?

Harsha Kadam: Yes. Thank you, Pramod. That is a very broad-based questions and I will try and answer it. So yes, multiple technologies do exist today. Starting with -- if you take the IC engines, internal combustion engines, which are on the one area, graduating towards tighter emission norms, not just the emission norms, but also in terms of what kind of fuel that is required from gasoline to blended fuels and ethanol. So that is coming in as well.

The good thing is Schaeffler globally has the competence. We already have the product portfolio to address this application, this side of the market. Talk about the other end of the spectrum, which is the electric vehicle technology. Here, again, we are well placed. We do have substantial product portfolio offerings at a system level, and that is something, even in India, we are now trying to capitalize upon with the new business wins that we have already secured.

So, the other end of the spectrum as well as we have been able to play the game. In between, you have some of our customers also bringing in hybrid technology, which is an IC engine coupled with the electric -- quasi electric products that go into the technology.

Here, again, we as Schaeffler, we are well positioned because we do have a number of solutions that go into the hybrid vehicle applications. So simply put to summarize, we have the bandwidth of the portfolio to play in the entire range of the applications that is emerging today.

So that is definitely not a concern area for us. What would be one of the challenges is the appropriate volume of t

he business that should be available in India for us to locally produce

some of the products. So, until the appropriate economies of scale do not emerge, we will continue to make the products in the other factories, which continue to make this product in Europe or elsewhere.

We will bring them and start to feed them, which we have already been doing that to our customers, correct? So, from a competence capability, production is already in place, the entire range of spectrum of the product application. Are we doing all of it in India?

Not necessarily. Some of them we continue to import because the appropriate -- the optimum volume is not still there in the marketplace. So as the optimum volume emerges, we definitely would look at localization because localization has been an important part of our growth strategy in India.

Moderator: The next question is from the line of Divyanshu Mahawar from Dalal & Broacha Stock Broking Private Limited.

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PUBLIC Divyanshu Mahawar: So, I just wanted to know about that the new -- upcoming new emission norms like CAFE and BS-VII. So how do you see the content for vehicle? Is it going to be going upwards or it would remain as it is now?

Harsha Kadam: If I have to answer this, the content per vehicle a few years back, we were in a double-digit range of euros per vehicle, considering that we were a component supplier in the automotive space.

We have started to move towards a subsystem level and even a system-level capability in suppliers.

Why do I say that? Now if one were to look at the hybrid technology that comes in, it is no more a component, but you are going to give a subsystem, which would be coupled with an electromechanical device, and that is something we have started to do.

Talk about the electric vehicles, we are moving into the system level as well, whereas the complete E -axle with the motor is going to be given with the controller in place as well. So, this is a clear strategy for us that how do we play the game at the component level yet start to move value offerings at a system level.

Now what happens when you move to a system-level offering is your content per vehicle, obviously, would go up because the value of the offering multiplies. So, from a two digit, you would be moving to a 3 - and a 4 -digit levels. And that is the strategy that we are embarking on, and we have started to see successes there. Of course, that would call in a lot of competence and capability buildup, investments to be made in which we are doing it as part of our growth strategy.

Divyanshu Mahawar: And secondly, sir, I want to just know about that in the industrial side, you are coming with Industry 4.0. So, what kind of growth or what kind of opportunity you are seeing in the market and how this industry is favouring this product that you are launching under Industry 4.0. And any new products you are going for addition in Industry 4.0?

Harsha Kadam: So, there are two aspects to the Industry 4.0 from a Schaeffler India perspective. One is what do we offer as a product or a service there. And I must say that we are already actively working

with our customers in the area of digitalizing our offering there. So, we offer digital solutions in the -- in the way the machine condition monitoring devices that our customers use. So, we offer solutions there, which are digital in nature, which are run using algorithms, which can be viewed and managed on your smartphones, which the customers have. So, there is a high level of empowerment that it has brought into the maintenance team within our customers' premises.

We also have lubrication devices, which are very smart, which conform to the Industry 4.0 environment. So that is something we continue to build upon. So, we have off-time, which is one other solution that we offered as a sensing device, which

senses the health of the equipment and starts to relay back that data with algorithms then kick in to analyse the cause and give early warnings to the end user.

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PUBLIC Now what is the value this brings into our customers is to ensure minimum downtime of their machines and very planned stoppages so that they can actively plan and structure their maintenance operation -- in their operation in the area. So that is one aspect of it.

On the second aspect of it, where we are actively engaged is also in managing some of these businesses for our customers. And this is helping us to understand and learn more about their applications, particularly this is being done in continuous process industries, be it a steel mill or a cement production.

So, we are actively engaged with the customers on their shop floor, wherein we manage the operations for the customers in terms of machine uptime. So we not only give our products, we not only introduce our digital technology there, but we also ensure that we service the equipment and machines there for our customers, which is a huge value add for the Schaeffler team because we learn a lot from the applications, which further goes back into improving our Industry 4.0 offerings to the customer.

So, in a nutshell, there's a lot of digitalization that is already happening with it. And if one were to look at our manufacturing plants, and that's another area where we have started to apply the Industry 4.0. We have started to create the digital twins in our manufacturing plants, which we have now started to optimize and see how we can optimize the efficiencies and the productivity within our plants, which directly contributes as a value to become more cost competitive in the market, to be more leaner in the market. So thereby we have the competitive edge when it comes to. So, in all the areas as you can see, our customers end as well and within our own plant as well, there is a very active introduction of Industry 4.0 practices and technologies, both being put into place.

Divyanshu Mahawar: And sir, one last question. It is a general question. So, if you look at the digital solution that we are providing, so is that digital solution can be compared to any of the industry irrespective of the product that they are only using Schaeffler products? It can be fitted to any other -- some sort of any other product that they are using.

Harsha Kadam: Thank you for this very good question, Divyanshu. This is brand agnostic, what we give.

Divyanshu Mahawar: So, it applies to all the brands also.

Harsha Kadam: So, this is, I would say, brand agnostic. It does not matter which brand or product is in the application.

Moderator: The next question is from the line of Anish Rankawat from Haitong Securities.

Anish Rankawat: So, my first question is on the exports. Could you throw some more light on the export or the end market demand situation in Europe. Now this is coming from a context that Schaeffler AG has given a bit of a revised guidance, and that is largely driven by the continuing weak performance in the Bearing and Industrial Solutions division. And your comments about improvement in demand is a little counterintuitive. So, is it that the India contribution to global

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PUBLIC when we look at exports is increasing? And a related question, what would be Southeast Asia's contribution to total exports?

Harsha Kadam: Thanks, Anish. Very good question, I must say, and I like the counter intuitiveness that you've pointed out, too. Well, let me put it this way. So rightfully, as I said, it is not like we are going to have our entire business export oriented. That is not the strategy at all.

We definitely have some part of our business, which is export. Now to your question based on the guidance that

at has been issued by Schaeffler AG. And you see there are contradictions here in what I am saying. If I look at it this way, ultimately, it is all about for being cost competitive. And from India, we are definitely cost competitive on many product lines, which we make here. So rightfully, in a very, very sluggish demand situation that is visible in Europe today. So obviously, cost competitiveness definitely would also become an important criteria, not just to deliver the top line, but also to ensure to deliver the bottom line.

So, my presumption here is that, yes, the demand has gone up for two reasons. One, because we are cost competitive as well. So rightfully, people definitely would want to source more from India. We see that happening with exports in the other markets as well. If I have to take one of the sectors, the wind sector, again, we have seen huge traction already in terms of the demand as 80% of the wind equipment manufacturers, what they produce in the country, 80% is exported out of the country. There, again, we have seen a strong resurgence of demand as well. Although we do not consider that as our export business, we do give it to the local manufacturer who in turn exports. So, these are indicators, which tells you that, yes, India's cost competitiveness definitely is going to play a key role for the export business to sustain.

Now that is the main reason that is propelling the growth. I am not in a position to confirm and say that. But we believe that, yes, that can be one of the contributing reasons for the uptick that we have seen in the last few months.

To your next part of the question, which is on Southeast Asia. Well, I am not at liberty to reveal the percentages as such. But I can tell you that our concentrated efforts in focusing on that part of the region, which hitherto, we were not focusing upon. We certainly have increased. We have started to do, try, and seize every opportunity that we find in the Southeast Asia region to grow our exports to that side of the world.

Anish Rankawat: My second question is on Koovers. So, what would be your scale of road map? And secondly, by when would it be contributing to the operating performance at consolidated level? Any qualitative comments will be helpful here.

Hardevi Vazirani: So Koovers is basically a start-up business. And any start-up business in general would not have a breakeven for at least three years as we try to expand it across all geographic regions within India. So, when we acquired Koovers, it had only small presence in south of India. And in a matter of two years, we plan to expand it across whole of India. And to that extent, the funding and all requirements are being fulfilled from Schaeffler India Limited side.

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PUBLIC The company is growing steadily. And Q2 versus Q1, we registered over 40% growth in sales of Koovers. So breakeven, we do not even as per our plan -- we do not expect before three years.

Anish Rankawat: Understood. And last point, if I may squeeze in, the E-axle program. Anything to add in terms of new order wins and the update on the localization? And secondly, it is expected to start from second half of CY'24. Is it on track?

Harsha Kadam: To answer to that question on the E-axle. The new business that we have secured is well on track. And the customer is validating the samples that are already being provided to them, yes. That said, it is a matter of time. And we are well on course there to deliver what was committed to the customers. And we also have not seen any changes in the customer launch plan. So, we are well on track there.

To the other part of your question in terms of new business wins, our efforts are there. We are working with many other electric car manufacturers, yes. We will definitely keep you posted as we will have more business wins in the future as well.

Moderator: The next question is from the line of Saif Sohrab Gujar from ICICI Prudential AMC.

Saif Sohrab Gujar: Yes. Just on the Bearings and Industrial Solutions. So, when I see this quarterly number or even the half yearly numbers, so we have around 16% - 17% year-on-year growth, right? So, in this being commodity looking to be constant, so this would be purely volume growth, or this has some value for pricing-led growth also and just a follow-up on this is, what would have contributed to the segment's growth? And how is Wind doing?

Harsha Kadam: So, to answer to your first part of the question, Saif, it is purely volume-led growth that we have seen in this quarter, yes. And to the second question on where we are seeing the growth, rightly, if one were to look at the automotive applications, we have seen the engine applications, the products that we give, the bearings that we give in the engine applications have definitely seen very robust growth in demand in the second quarter, yes.

We are also seeing on the industrial side, the power transmission sector, even railways, we have seen good demand or supplies or sales that we did in the raw materials sector, not to mention the wind sector as well, the renewable energy sector. All in all, we have seen good demand traction coming for bearings across the industry sectors as such. Yes, where we definitely still are optimistic of seeing some better demand is on the tractor segment, which has now started to kind of come back on the back of a good monsoon. That is another area. And we definitely believe

that this too should come back in a much better way.

Moderator: The next question is from the line of Bharat Sheth from Quest Investments.

Bharat Sheth: Sir, I have two questions. One is that you said that our export to Europe has improved, despite, I mean, our European situation has improved, or it is due to our cost competitiveness and going ahead how do we see? That is the first part. And second, to get railway is a big opportunity, we are just it is a 3% of total revenue. So, what are we doing? I mean, in that segment, so to take a major sales?

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PUBLIC Harsha Kadam: Thanks, Bharat, for the questions. So let me take the first part of your question, which is on the export part of the business. Rightfully, as we do not control the market in Europe, for the exports that we do out of here, we supply the products to our sister companies in Europe. That is how it operates, the model.

That said, so the entire market and the end customer management is handled by the -- our European team sitting there. So clearly, what we have visibility is to the order inflow that comes into our system. And we are seeing that definitely, the uptick is there in the last two months, a better uptick. I would not say it is a strong uptick because we have seen stronger numbers in the earlier years in terms of the export, yes.

So, what we have visibility is to the order inflows, and we are seeing definitely an uptick on the order inflows. We are clearly pointing to the fact that, yes, there seems to be some demand resurgence in the European market, plus, of course, also our cost competitiveness, definitely should be helping us because otherwise, why would the orders flow into our system. So that will be my answer to your question, first part.

On the second part on railways, yes, we are seeing a transformation within the Indian Railways happening. Now I would like to split here the metros and the Indian Railways. If you see now every city, the metro network is expanding, and investments are flowing in.

And we are well positioned, very well positioned in the metro applications as such. Within the Indian railways, if one were to see, we have a very strong foothold in the locomotive applications, predominantly as there is a lot of electrification that is happening

and railways is

well ahead in terms of electrification of its entire locomotives, where they have moved away from diesel to 100% electric locomotives.

And electric locomotives obviously would need traction motors, which are very heavy-duty motors, which need a special kind of bearings called insulation-coated bearings, and we do make these products locally in India. And so, their applications, we have been able to consolidate very well, and we are investing in more capacities for this application itself.

Talk about passenger wagons. Yes, we supplied the axle boxes and to the gearbox application as such. We do have products there which we have been supplying and that is something we will continue to bring new products, a few of the products, which are almost concluding the testing and validation phase. As the Indian Railways launches, high performance or better performing trains, obviously, we will have the next generation of products that we will be bringing in as well.

So, freight trains are an area where we are not so strongly present, but that is an area where we are waiting for the next shift in technology to happen, and we will be definitely capable to play the game there as well with the next range of products that we have for the freight cars.

So yes, as the market is transforming, our portfolio of offering is also changing here in the railway application, and we believe that it is a sector important sector for us to continue our growth story.

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PUBLIC Moderator: The next question is from the line of Rishi Vora from Kotak Securities.

Rishi Vora: Congratulations on good set of numbers. Sir, I would just like to get some sense on the non-bearing part of the business as in today, how much would be roughly the contribution of that business? And within that business, which will be the key components? And just over the coming years as multiple powertrain solution emerges in India for passenger vehicle, how will this business as per you evolve? Is there any significant tailwinds or headwinds to a particular product, which you would like to highlight? So just some sense on the non-bearing part of the business.

Harsha Kadam: So, let me take the first part of your question on the non-bearing part of the business. And on ballpark number, 60% of our business is bearings and 40% comes from non-bearings. What

come s in the non -bearings predominantly, these are products that go into the IC engine application for the passenger cars and the commercial vehicles.

The other application is in the transmission area wherein we talk about the clutch -- as the transmission cl utches that we manufacture. So predominantly, these are the two broad areas where our non -bearing products going, yes.

So let me start with the transmission side. As you know that we manufacture a wide variety of clutches from a diameter ranging from 200 millimetres going up to 430 millimetres . So, we have a wide portfolio there, and we have single clutches, we have double clutches.

So rightfully, there is a variety of clutches, there are clutch release mechanisms that we manufacture, which we also suppl y. So, there is a plethora of products that are already out there for the transmission applications, and we enjoy a pretty comfortable position in terms of market share as well.

Now coming to the engine application. There are a host of products that go into the IC engine, whether it is in terms of the cam followers that we supply or the valvetrain mechanism, the belt and chain drives or the front -end auxiliary drives. So, we do make a lot of products or the integrated starter generator mechanisms in front . So, a lot of products that go into the IC engines or passenger vehicles and commercial vehicles, we do supply today.

Of course, I did touch upon the next technology that is catching up in India is the hybrid vehicles.

There again, we do have offerings in ter ms of planetary gear systems, which we have started to localize now and locally produce them. We have shipped our mechanisms that we offer, which kind of is an intermediary product that goes into an IC engine, coupled with a hybrid mechanism of a hybrid po wertrain.

So, we are offering there as well. Talk about the electric vehicles, yes, as I said, we have secured a business win for a 3 -in-1 E-axle system wherein we supply the electric motor with the gearbox and the controller or the power electronics, as w e call it, all the three going in. And that is something the start of series production is scheduled towards the end of the year.

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PUBLIC So, all in all, we have the bandwidth and capability to play the game in non -bearing portfolio, as you can see, is pretty wide. How is Schaeffler transforming here in India? Yes, I have already talked to you or taken you through the hybrid application and the motor application. The next generation of technology, obviously, is going to be hydrogen fuel based which is hydrogen fuel cell. The competency to use these products in the automotive application already exists in Germany.

It is a question of the appropriate timing as the market warms up here, we bring those offerings as well. So that is the second part of the question that I have tried to answer. Hope I was able to answer your question.

Moderator: Ladies and gentlemen, we will take that as the last question. I would now like to hand the conference over to Ms. Gauri Kanikar for closing comments.

Gauri Kanikar: Thank you, everyo ne. Thank you for joining us today. If you have any further questions, please reach out to me at gauri.kanikar@schaeffler.com. We may now conclude the call. Thank you and have a good day.

Harsha Kadam: Thank you.

Hardevi Vazirani: Thank you.

Moderator: On behalf of Schaeffler India Limited, that concludes this conference. We thank you for joining us, and you may now disconnect your lines.

(This document has been edited for improving readability)

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Sub: Disclosure under Regulation 30 of the SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015 – Transcripts of Analyst/Investor Meet held on Thursday , October 24 , 202 4.

Dear Sirs,

With reference to our letter dated October 24, 202 4, please find enclosed the transcript of the Analyst/Investor meet held on Thursday, October 24, 2024 , for your information and records.

The same is available on the Company's website - Earnings Conference Call | Schaeffler India

Kindly take the same on your records.

Thanking you.

Yours faithfully,
For Schaeffler India Limited

Ashish Tiwari,
VP - Legal & Company Secretary
Encl.: As above

30/10/2024

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“Schaeffler India Limited Q3 CY'24 Earnings Conference Call ”
October 24 , 202 4

MANAGEMENT : MR. HARSHA KADAM – MANAGING DIRECTOR AND
CHIEF EXECUTIVE OFFICER

MS. HARDEVI VAZIRANI – DIRECTOR , FINANCE AND
CHIEF FINANCIAL OFFICER

MS. GAURI KANIKAR – HEAD, INVESTOR RELATIONS

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PUBLIC Moderator: Ladies and gentlemen, good day, and welcome to the Schaeffler India Limited Q3CY'24 Earnings Conference Call. As a reminder, all participant lines will be in listen -only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing star then zero on your touchtone phone. Please note that this conference is being recorded.

I now hand the conference over to Ms. Gauri. Thank you, and over to you, ma'am.

Gauri Kanikar : Good morning, everyone, and welcome to Schaeffler India Limited's earnings conference call for the third quarter and nine months ended 30th September 2024. Today, we have with us Mr.

Harsha Kadam, our Managing Director and Chief Executive Officer; and Ms. Hardevi Vazirani, our Director, Finance and Chief Financial Officer. Mr. Kadam will first take us through a short presentation on the results, after which we can open the floor for questions.

Thank you, and over to you, Mr. Kadam.

Harsha Kadam : Thank you. Good morning. Good morning to all of you.

Hardevi Vazirani : Good morning.

Harsha Kadam : So, I'm Harsha Kadam, the MD and CEO of Schaeffler India. And I would like to now take you briefly through the presentation, and I hope you all are referring to the file that was already uploaded. As always, I would like to start off my presentation by sharing the recognitions that we have received from our esteemed customers and some of the business partners that we engage with.

I am on Slide 2. In the quarter, we were recognized by five awards. To start with, the first one was from Toyota for Zero PPM award, which means that in the quarter for the year 2023, whatever we have supplied so far were zero defect products. And this is something that we cherish . An award coming from Toyota means a lot to us. And this was mainly for their parts that we supply to their engine and transmission.

The second award was from another esteemed customer, Skoda Volkswagen. And Skoda Volkswagen recognized Schaeffler for completing the Eco Edge Assessment 2024 and which was organized jointly with the Confederation of Indian Industry in September 2024. And this was in the area of sustainability in our operations. And the Eco Edge Assessment evaluates various environmental, social and governance parameters integrated into Schaeffler's operations. This recognition signifies that Schaeffler's sustainability initiatives are regarded as exemplary within the Skoda Volkswagen's network of value chain partners.

The other award, the third one in line , is from a new customer called ElinWG Group. This was awarded for the outstanding performance and execution of the project to start the business by developing bearings at good speed. And Elin is a Voith Group company based in Austria, and they are into manufacturing motors and generators for the wind application as such.

The fourth award that we got in this quarter was from the CSR Network from one of our plants under our Schaeffler Technical Enhancement Program, which is the skill development
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PUBLIC program that we run under our corporate social responsibility initiative. And the Hosur plant received the award in recognizing the excellence in CSR and ESG leaderships for the skill development initiatives, which has been creating a significantly good impact in the community that we operate in.

The last award that came in the quarter was from the Institute of Supply Chain Management and Schaeffler India has been named as one of the Top 30 Supply Chain Champions by the Institute of Supply Chain Management, underscoring the company's resilience, agility and

strong customer focus. And through their evaluation process, assessment on the performance of over 400 companies

was carried out and the digitalization initiatives that we have driven in our supply chain process is something that was exemplified. And as Schaeffler, we have been recognized for that. Also, the integration of the digital ecosystem that we have created both on the backend and the frontend is something that has been well appreciated and recognized by ISM.

I would like for now to throw some light on the economy and the industry, and I'm on Slide 4. So, talking about the GDP rate - growth rate in India, while many of the external agencies have been rating the India's growth story on the GDP, the Reserve Bank of India's Monetary Policy Committee also continues to forecast around 7% - 7.2% growth rate for the Indian economy in the fiscal year '25 as well. Although it has moderated a bit from the previous numbers of 7.2%, coming down to 7%, but then it's still one of the fastest-growing countries comes out clearly and the growth momentum continues to be sustained.

When one looks at the Index of Industrial Production in 2024 due to the healthy run of the metal products, the electrical equipments and also the furniture industry, while on the other hand, we did see some softening on the mining industry, mainly due to very heavy rainfall during the monsoons. So overall, the growth in the manufacturing as such, the basic metals did pretty well. Computer electronics doing well. So overall, mining was just about 4.8%.

Manufacturing sector grew by about 3.6%, whereas the energy or electricity around 7%, 7.5%. Inflation on the other hand, when the CPI inflation did moderate, but the food inflation continues to be a point of concern in the country, and which hit an all-time high during the month of September. So, the YoY inflation rate based on the all India Consumer Price Index number is at 5.49% for the month of September. So, it still continues to remain within the Reserve Bank India's tolerance band of 2% to 6% as such.

On the other hand, when one looks at the automotive industry and the production numbers, that unfortunately has seen some sluggishness in the production. Overall production degrowth in the third quarter in the automotive space was about 2.5%. The YoY degrowth in the third quarter for the passenger vehicles, if one were to look at it, which is the largest volume contributor in the automotive space is at 0.7%. While on the other hand, the commercial vehicles degrew by 16% in the quarter and tractors certainly showed a bit on the uptick with about a 3.2% growth.

Moving on, one looks at the core sectoral performance. And what you see is if one were to just look at the quarter and here, the September numbers are still to come in. Hence, I'm just

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PUBLIC looking at the 2 months of July and August. And what you would see is the softening even in the cement production numbers when compared to the first quarter or the beginning of the year.

We have seen more or less status quo on the steel production numbers, whereas mining, I did mention, has seen a drop due to the heavy rainfall and monsoon in the mining areas as such. Energy, on the other hand, continues to be on the increase, clearly indicating that the manufacturing and the rest of the services economy continues to still do well.

I move to the next slide, slide 6, which is on the automotive sector performance. And here, we see some different pictures unfolding. When one looks at the 2 and 3-wheeler production numbers in the last quarter, certainly, the production numbers registered a strong growth of 13.9% in the quarter. And even the electric vehicle sales have certainly grown in the third quarter due to better penetration and higher adoption rate as such.

While on the other hand, the passenger vehicles, I already talked about, if one were to look at the July, August, September trend, it has slowed down a bit. And certainly, it is not even

at the

level of the first quarter of this year. Now indications are that we will continue to see some sluggishness in the passenger vehicle segment in the quarters to come as well.

Commercial vehicles, on the other hand, also has tried to show some uptick in the month of September, but it is still at very low levels when compared to the first quarter. So Q2 and Q3 have registered lower numbers of production in commercial vehicles. Tractors, on the other hand, saw an uptick, as I said, close to about 2.5% growth.

And what you see here is the months of July, August, September, registering roughly about 90,000 tractors being produced in the country per month and which has been significantly much better than in the previous quarters of this year as such. But still at an annualized level, the tractor production is still 3.5% lower than the same period last year.

With that, I move to the business highlights, and I move to Slide 8. And the snapshot of how

we performed in the quarter. Looking at the sales revenue that we have generated in the quarter, we registered a flat growth over the preceding quarter, but still have posted a good double-digit growth over the same quarter last year with a 12.1% improvement in our sales revenue.

Obviously, while the automotive sector as such did show some sluggishness in the demand, on the industrial sectors, we did see some very strong traction coming primarily in the renewable energy, wind energy sector, the railways, the two-wheelers, the raw material sectors have all helped in kind of trying to manage the challenges that we faced in the quarter.

On this backdrop of a challenging quarter, we were able to yet deliver a sustained profitability performance with improved performance on the working capital side, which helped us to bring in better margins into , and the cash flow definitely, as you can see, has improved, registering a positive cash flow of INR 100 crores coming into the system in the quarter. And we ended the quarter with an EBITDA of INR 382 crores coming into the system as such with an 18.5% EBITDA margin and the profit after tax stood at INR 247 crores at 11.9%. Our capex strategy

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PUBLIC remains a long-term strategy, and we have consistently continued to invest every quarter and Q3 was no exception.

We continue to invest judiciously in the areas where we believe the growth opportunities are visible to us, and we will continue to follow the strategy going forward as well. So all-in-all, it was a challenging quarter, Q3. However, as Schaeffler, we as a team were able to demonstrate resilience and ensure that we try and sustain the growth momentum, which is something that we are highly focused upon.

That said, I move to Slide 9. And as always, our successes and our growth story continues on the back of the consistent and sustained new businesses that we capture in the market. And yet again, in the quarter, Automotive Technologies, as you can see, we were able to garner a lot of new businesses, predominantly in the clutch applications and the dampers and the clutch release systems, particularly in the transmission application as such and both in the commercial vehicles and some of it in the passenger vehicle segment as such.

Talking of the aftermarket business, which we call it as the Vehicle Lifetime Solutions. Here, again, the new products that we launched in terms of steering and suspension have begun to show good traction in the marketplace, good acceptance level in the marketplace and some new business wins for the front-end auxiliary drives, timing kits, the wipers and the lubricants as well continues. And we will continue in our strategy in the aftermarkets to continue to bring more products as the vehicles come back for servicing. So, our portfolio expansion as a strategy remains strong.

Moving to the Industrial Solutions and Bearings an

d where bearings is the main stay of the portfolio here. So, we have garnered some new business wins in the two-wheeler space as such. Plus, we have also garnered strategically strong projects, which we have won in the raw material sector and both on the spherical roller bearings as well as on the cylindrical roller bearings. So, all in all, it was a strong quarter in terms of creating a pipeline of business continuity, which bodes well for the succeeding quarters as we come into those quarters as well.

I move to Slide 10 and where I would talk about the financial highlights going forward. So, on Slide 11, what you see is the total revenue growth. As I said, the QoQ was at 0%, more or less at the same level, but the YoY growth was at about 12.3%. Now where did this growth come from? As you can see to the right, the table that tells you the Automotive Technologies over the preceding quarter grew only 0.8%, but over the same period last year, grew at about 10.7%. The Lifetime Solutions, we did have some challenges in the quarter, but it is a pretty contained and localized matter. And as you can see, we registered a negative 2.3% over the preceding quarter. But over the same period last year, we were able to post 7% growth. Bearings and Industrial Solutions, on the other hand, we had some good run in some of the specific sectors, which I have already mentioned, have registered a 5% growth over the preceding quarter and a 13% growth over the same period last year. While on the other hand, our exports business still continues to remain at a lower level than what we have expected. And as you can see, it

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PUBLIC registered a 14.6% negative over the preceding quarter. But over the same period last year, it is still at 17%.

So, all in all, at an annualized 9-month period, when you look at it, Automotive Technologies, we have grown by 10.4% over the 9-month period last year. The Vehicle Lifetime Solutions at 5.5%, Bearings and Industrial Solutions at 15.2%, a strong growth and the export business growing at 7.5%. So, this has helped us to shore up and sustain the sales mix that we have. Now what you see here is Bearings and Industrial Solutions shows an increase from the previous quarters and registering about 45% of the total turnover. One of the reasons here is our reclassification and reallocation of all the bearings into Bearings and Industrial Solutions, which we did the structuring already a couple of quarters back. So overall, I must say reasonably good quarter, considering the challenges that we have faced all through the quarter as such.

I move to Slide 10. And here, I would like to talk about the financial performance and the earnings quality and what you see is the EBITDA. So, as I did mention earlier, for the Q3 of 2024, we were able to bring in INR 382.8 crores into the system, registering an EBITDA of 18.5% which definitely was a little lower compared to the preceding quarter of 18.6% and even compared to the Q3 of 2023, which was at 18.9%. However, the YoY growth in absolute numbers, as you can see, has been at 9.7%.

And where has this come from? The gross margin improvement has brought in better EBITDA, while we did have some expenses that we had to do on the employee cost and some of the other income. So, all in all, put together a much better EBITDA when compared to the same period last year, which resulted in a profit after tax, as you can see, at INR 247 crores with a PAT of 11.9% for the quarter in Q3.

I move to Slide 13, which talked about our working capital management. And here again, our working capital as a percentage to sales actually went up in the third quarter. Over a 9-month period, as you can see, it stands at 19.8%. However, within the quarter over the preceding quarter, we have been able to sustain or bring it down marginally as well.

I talked about the capex spend. And

in the quarter, what you see is we have invested INR

207.6 crores into our operations as such for various reasons in terms of future products that we are localizing here in India. And well, if there is an increase in the quarter, it is more of a timing issue as some of the equipment had to be booked into the system, and that's what you see. What is important to note is our capex as a percentage of sales is comparatively a much higher level when compared to last year, which was hovering around average 7%, we are now in the range of 8 - 8.5% as such.

On the free cash flow, which was the bane for the previous 2 quarters, we have been able to get our hands around and focus on the cash flow into the organization. And as you can see, we were able to bring in INR 100 crores into the system in the quarter, and we are expecting the trend to continue in next quarter as well so that we continue to register a robust free cash flow into the company as such.

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PUBLIC I move to Slide 14 and just to give you some key performance indicators and on a comparative level. So, I did mention that the revenue growth in the quarter Q3'24 compared to the same period last year was about 12.1% shown YoY. And if you were to look over the preceding quarter, it was status quo and flat, yes.

I did touch already on the EBITDA numbers that we are coming at in the 9-month period, we have generated an EBITDA of INR 1,020 crores as such with an EBITDA margin -- sorry, INR 1,106 crores with an EBITDA margin of 18.5%. This gets us to an EBIT margin of 15.2%, which is 0.8 percentage points lower than what we had registered last year, same period. Yes. I did already talk about the profit after tax and the capex. So, the cumulative capex for the year 2024 so far 9-month period is at INR 536 crores compared to the INR 410 crores that we spent last year as such. Overall, a reasonably good quarter, so to say, in spite of all the challenges that we faced in terms of the weakening demand in some of the specific large volume sectors, yes.

I move on to Slide 15, which brings in the consolidated financial results of both Schaeffler India Limited stand-alone as well as KRSV Innovative Auto Solutions Limited and the consolidated picture. So, I already talked about Schaeffler India Limited stand-alone results. So let me spend some time on KRSV Innovative Auto Solutions Private Limited.

For the quarter, even KRSV registered a pretty strong growth at INR 43.9 crores, which was a clear 20-odd percentage points better than the preceding quarter. So, we clearly see the growth momentum picking up in this new venture as such. And over a 9-month period, the revenue stands at about INR 104 crores. However, on the profitability, we still had to break even and there are clear action plans drawn up.

We are right now on expanding the reach in the marketplace and the connect with our

customers, and that's the key focus area is to make our presence well pan -India. We have started to open up many more dark stores and hubs so as to enable the customers to access the products on our platform within the shortest time. So hence, we are on an expansion mode here. So, we will definitely get to the situation where you will see start to post profitability even from this business.

So consolidated Schaeffler India numbers, the revenue stands at for the quarter Q3 '24 stands at INR 2,116 crores and the 9 -month period at INR 6,096 crores with an EBITDA of 17.7% and 17.9% for the 9 -month period. And the EBIT margin going down to 14.3% because of the impact of KRSV yet to break even. So, with that, the earnings before tax, before exceptional items stands at 15.2% in the quarter and the 9 -month period, 15.6%.

I now move to Slide 16, which is my last slide. And in summary, it was a challenging quarter in terms of weakening demand, particularly from the passenger vehic

le segment. We have seen

that happen and some of the specific sectors. However, some of the sectors like 2 -wheelers, the wind energy, the raw materials and railways definitely had a very positive traction.

So, we were able to navigate through the challenges. And that also tested our agility, which the team came together to manage it pretty well. And our domestic business definitely performed

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PUBLIC better than the export business, and that is the proof of the resilience that we have been showing in the domestic market.

The quality of earnings, we were able to sustain with the continued focus that we have kept on managing the cost as well as the countermeasures that we have put in place to remain competitive. So, with that, we will continue to focus on new business development, which has always been our imperative.

And the working capital management and cost management, which definitely is a priority for us even in the quarter that we are in now the last quarter of the calendar year. And as a motion technology company, we definitely continue to keep the focus on generating and adding value to all the stakeholders that we are responsible for.

With that, I come to the end of my presentation. Thank you.

Moderator: The first question is from the line of Mukesh Saraf from Avendus Spark.

Mukesh Saraf : My first question is on the e -axle order that we had won last year. And I think the -- what we had stated is that the revenues will start flowing in from second half this year. So just trying to understand, have we started commercializing that product? And what's the status of that orders?

Harsha Kadam : Thank you for the question, Mr. Saraf. And as you know, the homologation and validation process is done entirely by the customers. And as I'm speaking now, a number of vehicles are being tested already on the road all across the country. And in every region, nook and corner of the country, our customers are running the test.

Until all the validation and homologations are completed, the vehicle would definitely not get launched rightfully. Yes, the initial plan was the vehicles to be launched, but now I hear it's going to be launched sometime in the first quarter of 2025. So, I guess we will have to wait.

Mukesh Saraf : Got that. Understood. And second question is, I think on 1st October, now the parent has now merged Vitesco. So, anything that you would want to comment on what's the plan of action here for Vitesco India Limited? Is there a plan of integrating that, merging that with Schaeffler India? Anything that you can comment on?

Harsha Kadam : So yes, the functional integration of Vitesco globally as Schaeffler AG is completed as of 1st October. Rightfully, we'll be able to comment on the timelines only once we get a clear direction from headquarters , from Germany as such. Surely, you will get to read it and hear about it as it unfolds.

Mukesh Saraf : Right. Just last question on exports. We have seen some sequential decline in exports. You had also mentioned that in your comments. So, can you give us some outlook there on exports?

Because obviously, capex side, we are continuing our strong capex , which also includes some plans for exports. So, could you kind of outline what we can expect over the next year or so in terms of exports?

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PUBLIC Hardevi Vazirani : So, considering the exports for the quarter, we saw the drop only in Europe region. And right - so the group also announced in its pre -closing call for Q3 that Bearings and Industrial Solutions has seen some market environment challenges and that the industrial sales of Europe

has seen some challenges. So, it is mainly the Europe market. We had put our efforts on Asia, China, Americas as well, where we did not see any drop. The drop mainly came from Europe. Mukes

h Saraf : Right. Any sense you have on the kind of -- I mean, because of the kind of order book we have in Europe, when can we start improving -- when can we start seeing an improvement in European exports?

Harsha Kadam : I guess we'll have to wait and watch how the market unfolds in Europe. As you know the market is sluggish currently.

Moderator: The next question is from the line of Harshit Patel from Equirus Securities.

Harshit Patel : Sir, Automotive Technologies and Industrials and Bearings , these are our 2 largest segments. Could you give us an approximate idea on the margins or the margin difference between these 2 segments?

Hardevi Vazirani : Unfortunately, I think that level of information we do not discuss.

Harsha Kadam : We do not discuss.

Harshit Patel : Sure. Understood. But at least directionally, both the VLS as well as exports, both these smaller segments would be making substantially higher margins than these 2 large ones?

Would that be right?

Harsha Kadam : Sorry, Harshit, if you can repeat that question again?

Harshit Patel : Sure. Sir, our 2 smaller segments, namely Vehicle Lifetime Solutions as well as exports, both these would be making substantially higher margins than the 2 large ones, the BIS and the auto technologies.

Harsha Kadam : You answered the question yourself. And the aftermarket business definitely brings in better margins. And the export, obviously, because of the foreign exchange effect would definitely be much better margins as such as well.

Harshit Patel : Understood. Sure. Sir, my second question is, we had won that 2 -in1 e -axle project that you just mentioned as well from an EV customer last year. So subsequent to that, are there any other system -level contracts that we have won in the EV space so far post that?

Harsha Kadam : We are actively working with a number of customers, and we have the capability to give at a component level or a subsystem level or even a system level offering. We have those competence in India. However, what we find is the fragmentation of the technology in the market space. There are customers who are focused on pure EVs. There are customers who are focused on hybrids. And there are customers who are still focused on IC engines. So, this has its own set of challenges when it comes to investments because you obviously need that scale of economies, which will come if there are enough volumes.

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PUBLIC So, from a competence and capability point of view, we are already there. We have started engaging appropriately with customers. Even our hybrid technology products, we have been working very closely, and we have backed some good new businesses as well there in the hybrid technology area, yes. So, the capability exists. We are working with customers and there are enough opportunities that we are already on the table with the customers with whom we are already engaged.

Harshit Patel : Sure. Sir, just lastly on -- is there any update on the Hosur greenfield capex ? Are we on track to start the production early next year? Also, which products would be manufactured here? I mean, what would be the product range segregation between Pune plant and Hosur plant?

Harsha Kadam : Yes. So, the Hosur's greenfield project is on track as scheduled. And certainly, we will start to manufacture early next year. That is as planned. What we want to start off is by producing products initially at a component level there, primarily for the transmission application, which is clutches again, that will start off. And we will definitely scale up the plant with all the new products that we are trying to bring in, not to mention the EV as well because the system level would require motors, it would require gearboxes. So rightfully, we have the wherewithal and the equipments there. It's a question of having the right volumes in the marketplace so that we can

start to make those investments in new greenfield projects as such.

Moderator: The next question is from the line of Manish from Nirmal Bang Securities Private Limited.

Manish : I have only one question. Your comment around the Q3 has been soft in terms of demand. So, in the coming second half of the current fiscal, how do you see the demand trend to especially in the passenger vehicle as well as the tractor segment?

Harsha Kadam : Yes. Thanks for the question, Manish. And normally, as you know, October, November are the months when due to festival season, the passenger vehicles and the two-wheelers, these are the sectors that tend to peak. What we are not seeing that -- but we are not seeing that happen this year, unfortunately. Fundamentally , the reason is with a lot of push sales that was done in the

preceding quarters, the dealers, the retailers and the wholesalers are saddled with very high inventory levels on the passenger vehicles.

The inventory level is probably close to 80 days. And so even if the sales numbers would be very high in the quarter, that is this quarter, October to December, primarily it would be due to the liquidation of all the inventory that is lying. So, will the production numbers pick up? Now that is something we have to wait and see, yes. Because unless the inventories start to go down, the production wouldn't definitely be on track as such. So, we believe that it is still going to be a little muted quarter when it comes to vehicle production numbers. And we anticipate this is going to happen for the next quarter as well as the first quarter of the calendar year is always start off on always a lower note. So, what should have happened should happen in this quarter. And if this quarter, the production numbers don't pick up, it's going to be a little late.

Manish : And what about tractor?

Harsha Kadam : Sorry, I didn't get that, please.

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PUBLIC Manish : Tractor, I'm talking of tractor.

Harsha Kadam : Tractor, yes. So, tractor, we have seen the last 3 months, the production numbers have slowly started to incrementally go up, which is a good sign. Obviously, it's evident that the good monsoon that the country has had is enabling the production numbers to start going up. However, there are other factors within the tractor segment, which is still liquidity, cash availability, the finance availability that is going to determine how quickly it's going to pick up. So, we believe it's going to grow slowly, but definitely, the indications are that tractors would be on a slow growth path as such.

Moderator: The next question is from the line of Rishi Vora from Kotak Bank.

Rishi Vora : My first question is regarding the Industrial & Bearing segment. Sir, can you give us some color on how some of the segments did during the quarter, especially railways, wind and anything else you would like to call out?

Harsha Kadam : So, thanks for the question, Rishi. And let me start off with the industrial segments where we are very strong, and that's the wind energy as such. We had a strong traction and growth in the wind energy production numbers of the gearboxes and so on. So that has helped us to grow much faster in the quarter as such. Overall, we are seeing a good traction coming from the wind energy. Even the railways, for example, did reasonably well in the quarter. Then the raw material sector due to some of the infrastructure projects.

So obviously, there have been quite a lot of investments that our customers have started to do and the projects that they execute enable us to grow in the raw material sector, which is the core metal industry. So, we have seen some good traction coming from these sectors, which have definitely pulled up the bearing business as such. Two-wheelers is another one, which we have seen some good strong traction there.

Also, our clear focus on the aft

ermarket within the industrial space did pretty well, I must say.

And we have continued our focus in introducing new partner end user program that we launched 6 months back. We have started to consolidate those initiatives with our distributor community. And as such, this is starting to pay off, and we are seeing the results. So, the distribution business too has registered a very strong growth in the quarter. Even at a 9 -month period, we believe things have started to improve.

So, whether it is over the preceding quarter or the same period last year, Q3 '23, our distribution business has done pretty exceedingly well, I must say. So, all in all, there were some sectors which did very strong. Where we could have been better, the performance could have been better from a demand situation is in our Power Transmission segment. And the Industrial Automation segment, we could have been better. We still have not seen a strong uptick like we have seen in some of the other industrial sectors.

Rishi Vora : Understood. Sir, our auto and industrial bearing segment this quarter has grown by 10%. So, is it fair to assume that the industrial part of the business would have done better than that?

Harsha Kadam : Yes. The industrial part of the business definitely has done better.

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PUBLIC Rishi Vora : Understood. And just on exports, right, while you did call out that the European market was a drag this quarter. But at least in terms of end consumer segments, can you give us some color on which are the key end consumer segments for us in all these geographies? And over there,

where -- in which segment we are seeing demand weakness?

Harsha Kadam : So, Rishi, I want to clarify here that our export business, we will have no visibility to the end customer, so to say, because what we produce here, we ship it out to our sister plants and sister facilities across the world. And they in turn handle the sales that happens to the customers. So, my visibility stops at my sister company.

Rishi Vora : But at least by the type of bearings, which we supply, we'll have some idea about the end consumer market, right?

Harsha Kadam : Upright, it's not so easy because if you were to take a spherical roller bearing, it can go into a cement industry, it can go into a steel industry, it can go into a power sector. So various sectors. So, it's a little difficult.

Rishi Vora : Understood. And just last question. If we -- if you look at your 9M performance, our EBITDA margins have kind of declined by 80 -90 bps part of the reason would be the consolidation of Koovers. But how should we look at margins going forward? Are there tailwinds for margins to improve from here? Or where are we seeing some bit of pressure on margins?

Hardevi Vazirani : So, if we look at 9 months of this year vis-à-vis 9 months of last year, we have seen in EBITDA margin a dip of 0.5% points. And within this, the employee benefit expenses have contributed by 0.3%. But within this 0.5%, 0.3% is employee benefit expense, which is mainly because of the inflationary pressure that is the increment, the personnel increments, which were given out this year in line with the market.

And the second reason is there are some onetime incomes which were booked last year in terms of tooling income, in terms of service income, which we don't see this year coming because those are all one -time, one-off incomes that were booked last year. So, these are the 2 main reasons of the EBITDA change.

Moderator: The next question is from the line of Mahesh Bendre from LIC Mutual Fund.

Mahesh Bendre : Sir, despite a challenging environment, business environment, we have grown double digit almost across, I mean, business segments as well as geographies. So, given the current situation where the auto industry is actually struggling for the growth, given the diversified nature of our offerings,

is it fair to assume that we will keep outperforming the market growth over the next few quarters?

Harsha Kadam : I think that's for you to draw the conclusions, but our performance over the last quarters tells that, yes, our growth numbers are definitely ahead of the some of the sector growth or the industry growth. So, if you take the index of industrial production is hovering around 4.5% to 5%. But our own industrial performance has been much better than that. Same is the case with the automotive sector, which is almost half the business that we operate in. While the industry

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PUBLIC has remained -- if you look at passenger vehicles at a 9 -month period has grown in single digits, but we still continue to do double -digit growth.

Our endeavour has always been to continue to grow in double digits. Yes, for that, we will have to be very agile and try and get on to more business opportunities that we keep our focus on so that we could ensure a continuous pipeline of business flow that happens irrespective of the changes and the vagaries and the dynamics in the marketplace. So that definitely helps us. One other aspect is as Schaeffler, we have a good balance between our bearing's portfolio and non-bearing s portfolio.

So, bearings, as you know, is about 60% of our business and non -bearings would be roughly about 40%. So, this too, the business mix and the portfolio mix definitely helps us to kind of try and sustain at a company level, if not at a sector level. Some of the sectors could underperform, some of the sectors definitely outperform. So, we have been able to balance this out well. And I don't see any reason why we cannot continue to deliver the double -digit -- sustained double -digit growth rate.

Mahesh Bendre : Sure. And sir, about the Hosur plant, which will become operational next year, some of the products you mentioned about the clutch and other EV parts, those are not currently as of now manufactured for India in our basket as of now, right?

Harsha Kadam : Are you talking about the new plant or the existing plant?

Mahesh Bendre : New plant.

Harsha Kadam : Yes. See, we are continuing to localize a lot of our products to be produced in India, more so in the automotive space. And so clutch is no exception. So, the new plant, definitely, we will continue to bring in the new products as well. Also, with the capacity constraints that we have ran into in our existing plant where there is no more space to bring in more additional machinery. So, the new plant is going to help us to complement the demand -- increased demand that we see even in our existing portfolio.

Moderator: The next question is from the line of Mayank from AM Investments.

Mayank: I have first question regarding the 9 -month growth rates, if you could provide for the railway, wind, two-wheeler segments?

Harsha Kadam : Two-wheeler and which sector was that?

Mayank: Railway, wind, two-wheelers, auto aftermarket and maybe you can give the overall breakup in terms of the end markets that pulled.

Harsha Kadam : All I can say , all the 3 sectors that you touched upon at the 9 -month period, we definitely have registered a very strong growth.

Hardevi Vazirani : It's a double digit.

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PUBLIC Harsha Kadam : It's a double -digit growth coming from all the 3 sectors, railways, two-wheelers, I would say, even raw material, the core metal industry sector and the wind energy as such. Distribution in the quarter, I talked about the aftermarket, industrial distribution. In the quarter has registered a strong performance and still at an annualized 9 -month period, it is still at a single digit, but we expect we'll continue to keep the focus to ensure that the distribution part of our business, which is a very important part of our growth strategy continue

s to be in the double -digit growth rate.

Mayank: Okay. And particularly on the wind side, sir, how is the market both in overseas and India, we had seen some instalment due to the Chinese competition. So how is it?

Harsha Kadam : Yes, if you look at the market, a large part of the market for the wind equipment manufacturers was predominantly Europe, Latin America and U.S. With all that is happening in Europe, with the 2 wars, ongoing wars and with all the impositions of sanctions, yet we see, I guess, all the inventory levels that were sitting there has all been now moved up.

So, we have seen a strong resurgence in the demand. Obviously, in spite of what is happening there, the geopolitical development, I guess people are finding ways how to continue to execute the projects and -- so we are seeing a strong demand both for the wind equipment manufacturers as well as for the gearbox manufacturers.

The good thing is at Schaeffler, we have a very strong presence globally with these esteemed customers and the same flows into India as well. So, we are able to leverage the relationship and the engagement level that we have established in Europe as well with these customers here in India as well. That certainly is helping us.

Talking about the Chinese competition, there are a few that have started to come into India.

Here, again, some of them have started to set up manufacturing base. But right at this point in time, they are still very small. We'll have to wait and watch how that competition would develop actually.

Mayank: Okay. And lastly, sir, I mean, 9 months in this quarter, could you just categorize -- could you differentiate between volume growth and value growth?

Hardevi Vazirani : Unfortunately, not, Mayank.

Harsha Kadam : I don't think we can give that information, sorry.

Moderator: The next question is from the line of Deepesh Agarwal from UTI AMC.

Deepesh Agarwal : Sir, my first question is, you have mentioned the weakness in exports is due to Europe. Can you help us understand how is the inventory levels out there?

Harsha Kadam : Are you talking about the inventory levels in Europe?

Deepesh Agarwal : Yes, for your product. So, is there a destocking ?

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PUBLIC Harsha Kadam : Yes. Unfortunately, as you know -- as I said earlier in the previous -- when the question was asked, we do not have the visibility of either the end customer nor the stocks that they carry there. Our role ends once we ship the material out, right, based on the order books that we get.

So that's where it stops. So, I'm afraid I don't have an answer beyond that.

Deepesh Agarwal : Sure. And sir, when you are looking to grow exports in Southeast Asia, where are we in that journey? How large that business can become? Can it become a similar size to your European exports in a few years?

Harsha Kadam : Difficult to tell for one, because the portfolio of the products that we make, which Europe needs, we see that either the volumes are not there for some of the products in Southeast Asia because the players, the customers, the design of equipments are all different, yes, that is one challenge. Two, also, when you look at sector level, you will find some of the sectors are very different. You find two-wheelers is a very strong sector in Southeast Asian market. That is something we are also trying to see can we now start to enter those markets as such. That's an

evaluation that we are trying to do.

So, it has a little bit of a different demography when compared to the European market. So yes, we are making sincere efforts to get into the Southeast Asian market. We have seen some successes already in terms of getting new businesses for our exports within the Southeast Asian markets. I think the efforts have to -- we have to keep continuing on this journey to secure orders and wins for us to ensure that we try and derisk or

balance out between the West and the East.

Deepesh Agarwal : Sure. And sir, lastly, what would be the road map for the turnaround of Koovers? By when do you expect it to turn around? And till then, what is the cash support, which it may look from Schaeffler in terms of loss funding?

Harsha Kadam : Yes. Let me start off by answering and then Hardevi can contribute as well. So, as you know, Koovers was a very clear strategic acquisition, knowing that it is an e-commerce platform, which is a very different model of business than what we have been doing already. Yes. And moreover, the acquisition per se itself, it was a start-up company. So, 2 things are different. One is the business model and second is the setup of Koovers as an organization. So, it being a start-up, it needs to be run as a start-up if we have to make this a success story. Currently, our focus is on scaling up the operations and expanding the footprint, which we are actively working on to increase the reach as well as the depth of market reach by appointing a number of dark stores and hubs across the country.

As you know, Koovers was a start-up predominantly focused only on 2 cities when we acquired Bangalore and Chennai. And now from there, I'm happy to say that over the last 1 year since the time of the acquisition, we have expanded into almost close to 12 or 13 new cities wherein we have started to now set up dark stores, and we have also set up some hubs so that we have a hub-and-spoke arrangement.

We are now building up the organization structure there. So, we are now augmenting the appropriate functions to enable and facilitate the growth that we wanted to happen. So Schaeffler India Limited

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PUBLIC rightfully, this requires a different approach altogether than the regular business that we do.

And Hardevi, do you want to add?

Hardevi Vazirani : Yes. And I mean, all of us are aware that any start-up business requires 3 to 4 years' time to break even. So, in our business plan, we had planned that breakeven on earnings will be end of 2026. We are still keeping this projection intact. So, they will be starting to generate their own cash in 2027 onwards.

Moderator: The next question is from the line of Nirali Gopani from Unique PMS.

Nirali Gopani : Sir, my question is on the capex. So, if I remember correctly, in the beginning of calendar year 2022, we had announced a capex of INR 1,000 crores and revised it to INR 1,500 crores. And if I sum up the capex until now, I guess we have crossed that INR 1,500 crores mark. So how should we look at this number going ahead?

Hardevi Vazirani : So, this year, we will realize most of the growth relevant and localization relevant capex. And next year, we will step back a little bit and ensure that we realize all the benefits for which the capex has been -- capex spend has been done. So next year, we will slow down a little bit. So, INR 1,500 crores that we have announced, we have realized that from '22 until '24, rather slightly over that. And next year, we will slow down a little bit on capex spend.

Harsha Kadam : Nirali, if I may add also now yes, we did declare that we will be spending INR 1,000 crores over the next 3 years and we revised it to INR 1,500 crores. But you must also factor in that there have been considerable business wins that we have been getting. Take, for example, the Tata or the e-motor axles that we have won. Now the e-axle project that we won was not envisaged in the year 2022 when we made that announcement. And accordingly, and appropriately, we have to make some additional investments because of the new business wins. Hence, you see the numbers going beyond what we estimated.

And when you say INR 1,500 crores, it's an estimated number that we keep in mind, but there could be changes depending on the business needs and requirements that would come up, additional investments or a

as we said, there could be a scaling down as well going forward depending on the business needs. So that's how -- so we definitely will remain agile and flexible here when it comes to investments.

Nirali Gopani : That's great. So, if I understand correctly, the part of this capex would have been for capacity expansion, partly for localization or to say, improve our efficiency. And when you say that next year, we'll see a little bit of scale down and wait for the results to come on the capex, which has been done. So how should we as investors look at this happening, say, from the

numbers point of view? Or any directional guidance that you can give on the same?

Harsha Kadam : So Hardevi said that we're going to be kind of judicious and watch the market, the business needs and then accordingly adjust our investment pattern. It goes without saying that whatever we have already investments that we have already made the realization of that, they have to start delivering and our focus will continue to remain on the investments that we have already made, how do we ensure that these are fungible that we can use it better leverage the capacities that we have already put.

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PUBLIC So, the focus would remain on ensuring that the commitments that we made when we got the investments is something that we delivered to. So, this is going to be the priority going forward as well. Of course, if there is a new business win, which would warrant some new investments to be made, we will definitely make that.

Nirali Gopani : Right. Just one last question. What would have been the investment for our Hosur plant?

Harsha Kadam : Around roughly approximately about INR 300 crores.

Moderator: Ladies and gentlemen, we will take that as the last question. I would now like to hand the conference over to Ms. Gauri for closing comments.

Gauri Kanikar : Thank you, everyone. Thank you for joining us today. If you have any further questions, please do reach out to me at gauri.kanikar@schaeffler.com. Thank you and have a good day.

Moderator: On behalf of Schaeffler India Limited, that concludes this conference. Thank you for joining us, and you may now disconnect your lines.

(This document has been edited for improving readability)

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Sub: Disclosure under Regulation 30 of the SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015 – Transcripts of Analyst/Investor Meet held on Friday , February 28 , 202 5.

Dear Sirs,

With reference to our letter dated February 28, 202 5, please find enclosed the transcript of the Analyst/Investor meet held on Friday, February 28, 2025 , for your information and records.

The same is available on the Company's website - Earnings Conference Call | Schaeffler India

Kindly take the same on your records.

Thanking you.

Yours faithfully,

For Schaeffler India Limited

Ashish Tiwari,
VP - Legal & Company Secretary
Encl.: As above

06/03/2025

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“Schaeffler India Limited Q4 CY'24
Earnings Conference Call ”

February 28, 2025

MANAGEMENT : MR. HARSHA KADAM – MANAGING DIRECTOR AND
CHIEF EXECUTIVE OFFICER

MS. HARDEVI VAZIRANI – DIRECTOR , FINANCE AND
CHIEF FINANCIAL OFFICER

MS. GAURI KANIK AR – HEAD, INVESTOR RELATIONS

Schaeffler India Limited
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PUBLIC Moderator: Ladies and gentlemen, good day and welcome to the Schaeffler India Limited Q4 CY ' 24 Earnings Conference Call.

As a reminder, all participant lines will be in listen -only mode . And there will be an opportunity for you to ask question s after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing "***", then "0" on your touch tone phone.

Please note that this conference is being recorded.

I now ha nd the confidence of Ms . Gauri Kan ikur. Thank you. And over to you, ma'am.

Gauri Kanikar: Thank you. Good morning, everyone, and welcome to Schaeffler India Limited 's earnings conference for fourth quarter and full year ended 31st December 2024.

We have with us from the management today, Mr. Harsha Kadam – our Managing Director and Chief Executive Officer ; and Ms. Hardevi Vazirani – our Director, Finance and Chief Financial Officer.

As always, Mr. Kadam will first take us through a short presentation on the results , after which we will open the for questions.

Thank you and over to you, Mr. Kadam.

Harsha Kadam: Hello . Good morning , and a warm welcome to all the investing partners to this earnings call of Q4 and the 12 month s 2024.

Let me take this opportunity to thank you briefly through the presentation . But before that, I would like to say that Q4 was quite a volatile quarter for us in terms of the business environment with a lot of uncertaint ies. Q4 was a challenging quarter in terms of the business environment and yet I am happy to share the results that we have been able to get through . But before that , let me start my presentation by moving to Slide # 2, where I love to begin my presentations with recognition s from the most important stakeholders for us, the customers.

What you see on the slide is three awards that we won in the quarter, Q 4, from our customers. The first one from Daimler India Limited and this was for the resilient supply chain that we were able to maintain in the quarter and for the entire year. And particularly , the supply transmission products to the customers. And the customer recognized us for being consistent on our deliver ies. The second award coming in from the industrial space is from Nord Drivesystems. Here we had a project to digitally connect with the customer through electronic data interface to convert all transactions from a manual mode to a digital mode. And this was implemented over the year and which the customer has recognized us for the valuable cont ribution that this is a true value add in our business transact ion.

The third is also again from industrial space, an award given to us by Voith Turbo P rivate Limited for excellence in new product development, which we were actively engaged with in developing some new products for them, which the customer recognize d.

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PUBLIC Now, these a wards are the testimony to our concerted effort keeping the customer at the center of everything we do. And we will continue to build on this in the coming years as well.

With that, I move to Slide # 3, which briefly , I would be covering three broad areas , the economy and the industry . I would also touch upon the business highlights for Q4 and the 12 month s period , plus the financial performance for Q4 and the 12 m onths period.

Moving on to Slide # 4. What you see on the slide is the economic performance in the country. The Q4 estimates that are coming out is the India GDP growth rate would be in the range of about 6.8%. This is coming on the back of good manufacturing output in the last quarter, that has started to show signs of a rebound, particularly driven by healthy run coming from the metal industry sector, metal products, and the rebound coming from, also riding on the

back of the

festival season, demand of consumer goods which is showing a good trend in the right direction. Which is also reflecting, as we can see from the index of industrial production, you see an uptick in the last quarter going up to 4%. And this is, again, coming on the back of good movement that we have seen in the power generation as well as in the raw material sectors of industry. The automotive sector, which in the third quarter had a degrowth, bounced back. And as you can see over the preceding quarter, grew 4%, kicking the annual growth rate for almost 3% at an annualized level. One cause of concern, obviously, in the country, has always been the food inflation. And as you can see, the consumer price index too crept up to 5.6% in the last quarter, while the Reserve Bank of India has been trying to get its hands around and contain it within the manageable levels, this is an area of concern.

We move forward to the next slide, Slide # 5, where I will talk a little bit about the core sectoral performance. What you see here is the growth of each of the core industrial sectors, starting with cement production in the country. If you look at the last quarter, you will find the dark green bar, which is for the Year 2024, clearly shows an uptick over the previous year same period. And overall, the cement production in the country has demonstrated growth of about 4.5% over the preceding year.

Steel production, which has a pretty heavy weightage in terms of the economic contribution at 17.9%, also grew at 6.6%, especially in the last quarters you would have seen, you can see a consistently strong better production numbers coming out in the steel sector.

Talk about coal, also we saw a strong uptick in the last quarter. And with coal adding to 10.3% weightage, grew about 7.4%. Truly enabling the industrial production what you saw earlier slide, helping it to get it up to about 4%.

Talk about energy, electricity generation in the country wherein the contribution weightage is about 20%. Here, again, we have seen better performance month after month compared to the same period last year, clearly indicating the manufacturing sector did pick up in the last quarter.

Now, that said, let me move to the next slide, Slide # 6, which throws some light on the automotive sector. And what we are seeing here is the two-wheelers, the first chart, which grew Schaeffler India Limited

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PUBLIC at 15.5%, a strong growth this year compared to last year. And what you see is a business cycle dip in the last quarter, which happens every year and that is the business cycle that the two-wheeler follows. Passenger vehicle, on the other hand, which had sluggishness in the third quarter of last year, picked up in the fourth quarter. And as you can see, registering a growth of almost 4.9% compared to the last year. Commercial vehicles still remain muted, as you can see, (-4.8%). While it picked up the last two months in the last quarter, but overall, at an annualized level, it is still below last year numbers. Tractors, on the other hand, did show some resilience and started to pick up, particularly in the last we have seen some strong demand coming back in the tractor segment, which helped us as at Schaeffler to also hold on. The revenue position is in a much better position than in the previous quarter.

I will move to the business highlights now, and I am on Slide # 8. What do you see on the slide is, in Q4 we were able to bring in sales revenue of INR 2,082 crores into the company, which is a clear 12.2% better performance than the preceding quarter of last year Q4'2023. However, when compared to the third quarter of '24, we remain kind of flattish, just a 0.5% growth in terms of revenues.

Talk about the quality of earnings. Our EBITDA, we were able to marginally improve, picking it up to

18.8% from a level of 18.5% for all the preceding quarter, bringing in INR 390 crores into the system, resulting in a profit after tax of INR 249 crores, which was at 12%, marginally shaped better than the preceding quarter. When we look at the free cash flow, we had a good improvement in the free cash flow situation when compared to Q3 '24, bringing in INR 163 crores into the system at an annualized level.

On the capex, we were judicious in our capex spending, which I will come to in the subsequent slides, fundamentally driven by the muted response of demand coming in from the export market. And we had to manage the working capital as well as the cash flow. So, we were very controlled in our investments in terms of capex.

As a motion technology company, our impetus has always been to focus on securing new

business wins consistently to keep the pipeline of business running well. And I am happy to say that in Q4 as well we have won substantial businesses in the area of automotive applications, particularly transmission products such as clutch and hybrid applications, the planetary gear shafts. We have won quite a few significant wins, which is all going to culminate into business realization in the year '25 and '26.

On the Vehicle Lifetime Solutions, which is the automotive aftermarket part of the business, we will continue to build on the new products that we have launched, whether it is on the front-end auxiliary drives where we have launched the product and we have secured new business wins, or on the timing kits. Wipers too we have started to expand, and our lubrication or lubricant offerings continue to bode well in the market for us.

We are continuing to expand our portfolio and in line with the BS-VI products that we have launched. And now that all the vehicles come back to the garages and mechanics for service and

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PUBLIC repair, so extension of the BS-VI products now into the aftermarket is another next step which we continue to sustain and build upon.

Coming into the Bearing and Industrial Solutions, too, we had substantial business win. In the Industrial Automation sector, the Off-Road sector, too, brought in quite good business in bearings, as well as some of the construction equipment industry and the Railway particularly wherein we were able to also offer our Arcanol brand of grease and lubricants that we have been supplying to the Indian market. One highlight has been business in the linear guides products in the Industrial Automation sector where we have gained a new business win which will bode well for the growth of the industrial business in the country as well.

That said, I would move now to the third part of my presentation, which is on the financial performance for Q4 and 12 months' period. I am on Slide # 11. And when one looks at the revenue from our own operation, compared to the previous year 2023, we were able to grow YoY at 12.2%, taking the 12 months revenue to INR 8,076 crores as against the INR 7,236 crores in 2023. However, if one were to look at the Q4 performance for the year 2024, compared to Q3 of the same period, we grew by over 0.5%, which I alluded to the challenging situation on the market front.

And if I can throw some light on the revenue split, please refer to the revenue bridge below, and where did the revenues come from. And as you can see, the Bearings in Industrial Solutions was almost INR 99 crores into the system in terms of business, followed by the automotive sector which brought in about INR 85.8 crores into the system. And we also see the exports also came back. We saw upticks in the export in the last quarter which brought in close to INR 50 crores.

Our Vehicle Lifetime Solutions saw some muted demand and we are seeing some shift of businesses from the pure aftermarket business towards the OES

part of the business. And overall

liquidity and cash flow situations in the market to add to some muted demand in the Vehicle Lifetime Solutions.

So overall, at an annualized level, I refer to the table on the right side of the slide. As you can see, our Automotive Technologies part of the business, for a 12-month period, we were able to post a double-digit growth of 11.3%, while the Vehicle Lifetime Solutions grew at 3%, and the Bearings and Industrial Solutions we grew at about 14.3%. And exports, which were a challenge in the first two quarters of last year also came back in the last quarter, delivering almost a 23.5% growth over the preceding quarter of last year, and what you see at a 12-month period, 11% growth. We pride that we have a good balance of the business mix, and we will continue to hold that. As you can see, Bearings & Industrial Solutions at 44% and Automotive Technologies and the Vehicle Lifetime Solutions put together at about 43%, and exports which is hovering around 12% to 13%.

I now move to Slide # 12 and talk about the earnings quality. So, as I said earlier, in the Q4 we were able to deliver an EBITDA of 18.8%, which was certainly better than the preceding Q3 of the same year. Also, at an annualized level, we ended up the year by delivering an EBITDA of 18.5%, which was a shade below the EBITDA of last year. And if one were to look at the plus

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PUBLIC and minus on the EBITDA bridge, the gross margin improvement brought in almost INR 78 crores into the system. While we had some employee costs which resulted in the new hiring with the capex plans that we have in line, as well as some of the expenses that we have incurred, we ended up bringing in INR 390 crores at level resulting in an 18.8% in the quarter. This resulted

into a profit after tax at 12.1% at an annualized level , and in the Q4 at 12%, bringing in INR 249 crores in the last quarter.

I will move to Slide # 13 where the working capital, one of the areas where we had a high focus . And definitely when compared to 2023, the working capital has gone up in the range of 19.8% as against nine months period last year. We were able to improve that by getting it down by 0.8 percentage point to 19%. We still have some more work to do here on working capital management. And working capital management will remain a focus continuing into this year.

I did mention that we were judicious and prudent in our capex expansion in the quarter Q4. Fundamentally, this was coming on the back of reading the market demand and accordingly adjusting our sails, to stay the course of investment, but manage it with getting the timing right and the type of product mix right for the market demand . And hence , we were able to still sustain an investment of INR 55 crores in the Q4 of this year . Keeping the capex as a percentage of sales at 8.6%, which was a shade lower than 8.9% at nine months period which was already there as you can see.

Free cash flow, we were able to improve on our free cash flow position in the fourth quarter . And while we improved from a level of INR 100 crores to INR 160 crores in Q4 , well, year -on-year we still remain at minus 8.3%. And we will continue to keep the focus on improving the cash flow going forward into this quarter as well.

I will move to Slide # 14 to draw some light on some of the key indicators. I did already talk about the revenue at a 12-month period year -on-year growth with INR 8,076 crores as a standalone entity of Schaeffler India . You will see that we have grown at 11.8% , yes, back into the double -digit growth rates. Also delivering on the EBITDA margin of 18.5 % , and EBIT margin of 15.2%. And culminating into a profit after tax of 12.1% . And the rest of the CAPEX and the free cash flow I already touched upon. So , at an annualized level o

ur capex investments

stand at INR 691 crores and the free cash flow of INR 224 crores.

I will move to our consolidated financial results on Slide # 15 for Quarter 4 . And what you see here on this slide is , for the quarter the standalone results of Schaeffler India Limited and the Q4 standalone results of KRSV Innovative Auto Solutions Private Limited, which is the Koovers e-commerce platform . And what you see here is core drop in revenue of INR 542 million or INR 52.4 crores in the quarter, which has been a substantial growth in terms of revenue compared to the earlier quarter, resulting in a 12-month revenue generation of INR 158 crores.

Talking about EBITDA , it still remains negative. And the subsequent financial parameters like EBIT and the earnings before taxes also remain negative . And we are staying the course in terms of expanding of a PAN -India footprint of our Koovers platform , plus also bringing in our more products onto the platform. The only way forward is to grow the revenues, which we stay Schaeffler India Limited

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PUBLIC focused, and we continue to grow the revenues . And we will , in the near future , break even here as.

So, as a consolidated picture , the Schaeffler India consolidated revenue for the quarter Q4 2024 , we were able to deliver INR 2,136 crores, culminating in annualized revenue of INR 8,232 crores. An EBITDA of 17.9% and an EBIT margin of 14.5% at a consolidated level, resulting in an earnings before taxes at 15.5%.

I will move to Slide # 16, and one of the announcements that we declared post the board meeting yesterday was the dividend payout to all our shareholders. I am happy to share that we have stayed our commitment and the course of announcing dividend payout ratio between 30 % and 50%, and we have announced 45% payout resulting in INR 28 per equity share , compared to last year, which was at INR 26, has been an improvement in spite of the challenging market environment that we have had in terms of our revenue growth . We did get our actions around managing to deliver the bottom -line performance and hence we are proud and happy to share that we have announced INR 28 as per equity share this year.

With that, I come to my last slide on Slide # 17. In summary, in spite of a challenging and uncertain year in the market environment, we were still able to deliver a double -digit growth rate, which was broad -based across businesses. Some of the business sectors bouncing back, we saw uptick in the export market. We have seen strong resurgence in the wind in the second half of the year. We have seen good uptick even from the automotive demand coming back. All this has helped us to shore up and ensure that we stay and deliver a double -digit growth rate.

On our sustained quality of earnings performance , clearly our commitment as always being on focusing on our operational cost management and overhead cost management, which we have continued to keep the focus, and we will continue to build on this as we move forward. Last but not the least, entering into 2025, we still see some challenges, but there is light at the end of the tunnel with the news or softening of the war in Europe. We are hoping that the market situation

on the export front would also improve and bode well for Schaeffler India's performance. And we are rightfully on track to be the leading motion technology company, as we claim. Thank you. Over to you, Gauri.

Moderator: Sir, should we begin the question-and-answer session?

Gauri Kanikar: Yes please.

Moderator: Thank you very much. We will now begin the question-and-answer session. The first question is from the line of Harshit Patel from Equi rus Securities. Please go ahead.

Harshit Patel: Hi, thank you very much for the opportunity. Sir firstly, could you give us an update on the e-axle project, have we started commercial production of this? And where are we in the localization journey of this particular solution?

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PUBLIC Harsha Kadam: Yes. Thank you for the question. And yes, rightfully we have started to localize the axle production. We have started to bring in machines in a phased manner. And we are staying the course when it comes to our investment plans towards localizing the product here in India. What we are waiting for is our customers also to now launch the products so that we will begin to see traction in the marketplace. And we are hopeful very soon we are going to see the products operate on the roads.

Harshit Patel: Understood. Sure. Sir, secondly, you mentioned that you have been rationalizing the capex because of the slightly muted demand environment. So just wanted to check what are our capex plans for both CY'25 and CY'26? So, I understand that we have incurred quite a lot of heavy capex in the past four to five years, so will we maintain the same run rate or now there will be a moderation in the overall capex that we will do?

Hardevi Vazirani: So, we will be moderating it a little bit, but not so much that it will reduce significantly like to a 50% level or something. So, we are having average capex over last four years of INR 500 crores. It will be slightly lower than that like 10%, 20% lower than that per year. Now, the focus next two years is on capex efficiency that whatever we have invested, we want to realize to the full extent possible.

Harshit Patel: Understood, ma'am. Just lastly, if I can squeeze in one more question. Could you give us a broad mix of CY'24 revenues of bearings and industrial solutions segment in terms of two-wheelers, EVs, raw material sector, wind, railways, power transmission, as well as after market?

Hardevi Vazirani: Okay. So, as I think it was published in the segmental report that our B & IS, Bearings and Industrial Solutions stands at close to, of the total domestic sales it is at 44%. Total revenue is 44%, but if we do not consider intercompany then it is 51%, that is Bearings and Industrial solutions. And if we talk about engine and transmission, then within the domestic sales that is 39% and Vehicle Lifetime is 10%.

Harsha Kadam: Understood, ma'am. But ma'am, what would be the contribution of segments like two-wheelers, EVs, raw material, wind, railways within the Bearings and Industrial Solutions? Because this segment is the amalgamation of so many end user industries, so if you could give us some flavor on this, that will be very helpful.

Hardevi Vazirani: Yes. So, the quarter-on-quarter the range differs, but overall range for Wind is 15% to 20%, Rail is between 5% to 10%, Industrial distribution between 30% to 35%, Two-wheeler and Off road between 20% to 25%.

Harshit Patel: Understood. Perfect. Thank you very much and all the best for the future. I will come back in the question queue.

Hardevi Vazirani: Thank you.

Moderator: Thank you. The next question is from the line of Krupa Shankar from Avendus Spark Institutional Equities. Please go ahead.

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PUBLIC Krupa Shankar: Hi. Good morning and thank you for the opportunity. My first question would be on the export side. So, while you did mention that exports are looking up and you are seeing some momentum, I just wanted to get some sense on which are the geographies you are seeing the pick-up happening? And while you look at it from a run rate standpoint, it's around INR 250 crores. We had touched about INR 300 crores per quarter revenue from exports a couple of quarters back. So, are you seeing a steady run rate of touching INR 300 crores as the first milestone, wherein which you will probably mention that exports has come back to its normalcy level?

Hardevi Vazirani: Yes, if exports come back

ck to normalcy, then we have capacity to cater the export market for INR

300 crores per quarter . And we are expecting that it is likely to return this year if the geopolitical situation is brought under control , and which is in the news also. So, INR 300 crores would be an achievable kind of target for us per quarter .

Harsha Kadam: And what you see is just a moderation or a course correction that was required because of the slowdown in demand from Europe, which is the main market for us. But however, that does not mean that we are going to keep the investments at these levels. We are hopeful and optimistic that with the changing geopolitical politics situation in Europe , the demand certainly would come back to the days of the last year, which we saw in '23 and very strong demand coming in at that time. And we hope that the demand comes back, and we will up accordingly.

Krupa Shankar: Got it. Would it be possible to share the contribution from each end market , for example , what would be exports in proportion to Europe, the US and other geographies? The top four, if you can share.

Harsha Kadam: I think normally our exports are to the US to Europe and to the eastern part of the world , the Southeast Asian market , and a little bit of it to China as well. I would say predominantly 80% would be in Europe , the rest is split again amongst all the other countries.

Krupa Shankar: Understood. One more question from my side , something on the reporting side. In the segmental financials of consolidated numbers , there's been a new statement in the calendar year '23 numbers. Just wanted to get a sense, that restatement is not visible in the standalone financials. Is there any change with respect to reporting?

Hardevi Vazirani: No, so the consolidated financials of 2023 had Koovers only for the last quarter because we acquired it in September.

Krupa Shankar: Right. So, with respect to the reporting, if you can, if you see the CY '23 numbers , for the consolidated segmental it shows that Automotive Technologies has declined on a 10% in CY '24.

Hardevi Vazirani: Yes. So, we had announced, also there was a note in the financials that auto bearings have been regrouped from Automotive Technologies now to B & IS, the Bearings and Industrial Solutions.

Harsha Kadam: And internal regrouping .

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PUBLIC Hardevi Vazirani: So, this was the internal regrouping which was done. So that change you will see in the consolidated as well as in the sandalwood.

Krupa Shankar: Right, I will take it offline then. After the reclassification it shows that the automotive declined 10% and bearings and industrial has grown by 40%, I will probably take it offline on this. Thank you for answering the questions .

Hardevi Vazirani: So, in Automotive Technologies there is a double -digit growth over last year as well as in Bearing and Industrial Solutions. You can connect with Gauri; she will give you the details.

Moderator: Thank you.

Harsha Kadam: Sorry, I want to make a small correction . I did mention our majority of the exports, 80% is to Europe , it is 60% and not 80%. I just want to stand corrected.

Moderator: Thank you. The next question is from the line of Pramod from Incred Equities. Please go ahead.

Pramod: Yes. Thanks. So, coming to the export side where you talked about Europe war should be a tailwind for you. How do you look at the currency depreciation which has happened? How does it compare you versus the peer set of the Schaeffler ? And does it give you a more scope for growth in the coming years?

Hardevi Vazirani: Okay . So yes, when it comes to it, 60% of our business with Europe is in Indian rupees , so it does not impact us for this part of the world that is Europe , where the export as well as import both is in Indian rupees. When it comes to USA, we have only close to 1

NR 100 crores worth ..

Harsha Kadam: Less than INR 100 crores.

Hardevi Vazirani: Less than INR 100 crores, and I think appreciation or depreciation by 5 %, 10% is not going to impact much.

Harsha Kadam: I would say the dollar strengthening is not making an impact on our export business .

Pramod: Sure. Thanks. And the second one is with regard to KRS V, how much timeline you think will be required to turn it around on EBITDA or accelerate the momentum? What are the key factors to look at for this business ?

Harsha Kadam: Well, this is a new business for us, and we believe we will need at least another two, two and a half to three years for us to kind of bring this business to a substantial level of financial deliveries happening . And we have a clear strategy in place as to what needs to be done to get there. The time is required more from an execution point of view , because when we acquired the company, it had a very localized presence of Bangalore and Chennai, which we have now started to scale up across India, and that takes time.

Pramod: Sure. And sir the last question is with regard to the Auto Expo, where you had a detailed display of your products, especially new ones like e-axles . What's the clients' reactions where you found

PUBLIC more business opportunities for the next two years, three years' timeline? Any thoughts on the same?

Harsha Kadam: Yes. I must say the portfolio of products that we have showcased at Bharat Mobility this year, derived tremendous positive response from a number of customers, specifically from our OEM customers. And I was there in the stall and I had a first-hand experience of our OEM customers walking into the stall and understanding and acknowledging our capability as a system level player, since we were able to showcase our capabilities in offering a co-axle, e-axle, three in one e-axes. Or at the same time, an off-axis e-axle solutions to the passenger vehicle segment. Apart from that, of course, we had a plethora of products, electronic products which were displayed there with the merger of Vitesco globally, we now have the capability to offer power electronics solutions, thermal management modules, battery management systems. With a lot of sensors and data acquisition diagnostic sensors that are there. So, this kind of opens up the game for us to play at a next higher level, which was very much visible and evident in the Bharat Mobility. I must say the response has been pretty good. We have started to get very positive responses from our customers as such, and there are a few project openings which we are beginning to explore post the Bharat Mobility already.

Pramod: Sure, sir. Thanks, and all the best.

Moderator: Thank you. The next question is from the line of Himanshu Singh from Baroda BNP Paribas Mutual Fund. Please go ahead.

Himanshu Singh: Yes. Hi. Thank you for the opportunity. And congratulations on the good set of numbers. Sir just wanted to understand on the aftermarket side. So, why did we see a decline? And how do you see the segment ramping up post your more focus on the BS-VI product portfolio?

Harsha Kadam: There are a couple of reasons for that. One obviously is this strong, we have seen a strong uptick coming from the OEM side of the business. So obviously the OEM market garners a lot of production capacity, that happened as well and gets a priority in terms of supply. This is something we want to redefine going forward, we are working on that. The second obviously is also, we see some shift in the market from the pure automotive aftermarket business to the OEM demands as well going up, is rightfully in the right direction. As more OEM vehicles come into the market, the OEM customers too are strengthening their service base in the market so that they stay closer to the customer, which I guess

is the right thing to do and that's happened and beginning to happen as well.

Last but not the least, we saw a little bit of slackening of demand in the automotive aftermarket business fundamentally, coming on the back of liquidity crunch in the market in terms of cash being available. So, we saw some weak situation there and we are hoping to see it improve now. We are seeing some signs of positivity already beginning to happen. I would say these three would be the main reasons of why the aftermarket business had some challenges.

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PUBLIC Himanshu Singh: Okay, sure. And sir, in terms of your Vitesco acquisition, so how does it impact our India business? And when should we start seeing, like are we going to see it getting merged within Schaeffler India or how is it like the business going to happen?

Harsha Kadam: As I said earlier in my earlier comment, the portfolio that comes from the Vitesco side is a complementing solution that we already have, because they bring in the electronics in the software side. And once we combine the mechanical and electromechanical system with the software and electronics, we are able to move up the value chain in terms of our offering of value to our customers, and which is something our customers also look out for to say, can we get a better value-add coming from technology players like Schaeffler. That said, the merger globally has been completed. Coming to the nitty-gritties, the functional integrations are well underway. We have started to leverage and complement our offerings already to the customers. I did talk about the customer response being very positive. And the customers do acknowledge the value enhancement that they see as a result of this merger. That said, as and when we graduate to the next level of engagement, the market will surely hear about it, will come to them.

Himanshu Singh: Okay. Sure sir. I will get back into queue. Thank you.

Moderator: Thank you. The next question is from the line of Sonal Gupta from HSBC Asset Management. India, please go ahead.

Sonal Gupta: Yes, hi. Good morning, sir, and thanks for taking my question and congrats on a good set of numbers. Sir, basically just wanted to understand, right, at a broader level, like for the full year

we have done good growth, double digit growth in Automotive Technologies. So, if you could just sort of give us some idea of what have been the drivers because the industry volume growth has been relatively muted. So which categories, I mean, we did make a lot of investments in Hosur, so how are we ramping up there? And how do you see the prospects, assuming that even if the industry growth remains at similar levels next year, if you could give some sense of how the business is progressing?

Harsha Kadam: I suppose you are referring to the automotive space. And if I can break it up into the passenger vehicle segment wherein, we have made investments, and we will continue to make investments on the e-mobility side of the business. Since we are seeing the market gravitating towards electric vehicles already, and that's beginning to happen. So, we have rightfully made investments in the past, we will continue to do that going forward as well.

Talk about the internal combustion engine, which is the main stay of the portfolio of products that our customers bring to the market, we do see with a couple of regulatory changes that are going to come in with the new CAFE norms. We believe that engineering investments need to be done here to reengineer the products to meet the new emission regulations that would come in as a result of the new CAFE norm. Now, that said, we are also hearing on the tractor segment, the TREM norms to be coming out. So regulatory changes is definitely going to also give us opportunity to bring new products, which means

we will have to continue investing in the I C engine portfolio as well, whether it is in the engine applications or in the transmission applications or in the chassis applications, we will continue to invest there.

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PUBLIC So, although we have seen some sluggishness or no improvement in the commercial vehicle sector as such, we have continued to launch new products there as well, as a result of strong demand also coming in from new products such as the heavy duty clutches we have continued to make and are bringing more products into the commercial vehicle segment. And while the segment is still weak, but we believe that we should continue to invest in better technologies, products for this segment as well.

Tractors on the other hand, we are seeing some better upticks in the last quarters. And I guess it was only in the Q4 that we saw some drop in numbers. Fundamentally it's because of a business cycle that it follows. But however, here again with the new TREM norms that they have been talking about, we believe that we have the opportunity, being a motion technology company, we have the opportunity here to reengineer our products to cater to the new regulatory needs from our customers' side. And that is something we will continue to work upon.

Sonal Gupta: Got it, sir. Sir just on the EV side, is that a meaningful portion for us right now? And I mean, other than the e-axle, are there any offerings that we have in this space?

Harsha Kadam: I would say, yes, it's not just about e-axle, the e-mobility would also mean, we are working with our customers on battery management systems, on thermal management modules, and various other products. We are already supplying to them a variety of sensors, whether it be the NOC sensor or the NOX sensors and so on. So, we are already there. So, we will continue to build on it. As I said, with the regulatory changes coming in on the IC E engine side, I believe that the need for more innovation is going to happen even on the e-mobility side as well, equally. So, the portfolio of products that we have today is scheduling both to the IC E engine as well as to the e-mobility. And definitely it's not just at a system level that we are operating at, we also work with our customers.

Sonal Gupta: Got it. And sir just on the two-wheeler side, right, I like there was a press release recently and where we talked about, we are looking at more offerings again on the e-two-wheeler side and that two-wheelers and three wheelers is really the segment where we are seeing the EV penetration happening. So, I mean, like can you share something there in terms of how we are looking to capture some of the growth in the EV space in that segment of the market?

Harsha Kadam: Yes. As you know, the two-wheeler has been the fastest segment to adopt electric vehicle technology with almost close to 30% that is all going to be electrics already. Now that said, we definitely have the capability and competency now to offer the electric mobility technology to the two-wheeler segment as well. And we are already present by offering a number of electronic solutions and sensors, which I talked about earlier to the two-wheeler segment and two-wheeler customers. We are already doing that. However, we are also now getting up to penetrate the electric two-wheeler space with our system level offering capabilities that we already have. What we also see is many of the OEM brands prefer to launch, develop their own technologies in-house as well. So, in the midst of all this, we will definitely find space going forward with our differentiation and the value that we bring forward. And our efforts are continuously on the two-wheeler space as well.

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PUBLIC Sonal Gupta: Got it , sir. And just

lastly, could you share what's wind as a percentage of our overall revenue?

I mean like how much is wind?

Hardevi Vazirani: So, within the Bearings and Industrial space, it is 15 % to 20%.

Sonal Gupta: Okay . Got it , sure. Thank you. Thank s for taking the questions.

Moderator: Thank you. The next question is from the line of Ankur from HDFC Life. Please go ahead.

Ankur: Hi. Good morning , sir. Thanks, as always , for your time . Just on the industrial segment, if you could touch upon how are you seeing demand kind of shape up across all of your key verticals , wind, rail ? And the context really is , are you seeing any there in any of these segments ? I remember wind of course has started to do well for the last few quarters, yes, so that's my first question.

Harsha Kadam: First things first, we have seen our industrial business do very well in the last year. Almost all the industrial sectors have performed well for us compared to previous years , yes. Some of the strong performance obviously came in from the raw material sectors , as we call it, which is core processing or metal industries as such, and we are also seeing a good uptick coming from power transmission business . Our focus has been on the industrial distribution business. We have done some good work i n the last year by launching new programs which are bringing in more organized and structured way of working with the distributors of our distributors. And of course, that's only going to enable us to become more efficient in our distribution business . And I am hopeful that coming into 2025 we will see a stronger performance in our distribution part of the business as well.

So, all in all, we are also seeing a good uptick coming from the construction equipment industry. Obviously, t his is coming on the back of the infrastructure push by the Government of India, that is boding well for our business as well. The industrial automation or the machine tool industry too has seen some good performance last year. With the demand for some new products like linear guides going up, we are seeing some traction there as well. I was in the IMTEX , Bangalore recently and we saw very positive , everyone OEM w as talking about doubling the production capacities in the next three to four years. So clearly the indications are , the industrial part of the economy is also doing pretty well at a pretty good growth rate . And I do not see any reason why we at Schaeffler, being a motion technology company , we play in almost every segment of the industry. We will be able to definitely ride the wave as it develops .

Ankur: Okay , that's helpful . And also specifically on rail , and if we have any gaps there where we were not qualified , any segments where we are now looking to kind of increase our market share , if you could help with that?

Harsha Kadam: So, if I were to look at railway, even railways too did pretty well last year, we performed very good I must say, i n spite of some challenges on specific product portfolios where we see that we definitely did flip a bit on some of the product portfolios. Now what's happening is , the Indian Railways per se themselves are transforming in terms of technology, in terms of comfort, in Schaeffler India Limited

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PUBLIC terms of reliability, in terms of performance. And that is helping us to bring more new products , and we are optimistic that even in the railways we will play a stronger game as we move into this year. We have already got some approvals for some of the new product. And our investment in terms of capacity build up for the new products is well on course as well. So, both from a capacity investment point of view as well as getting approvals from the customers, both are on track. And we are confident that in th e railways segment as well we see an improved situation in 2024 , will continue to see an

improved situation going forward as well.

Ankur: Fair. And just the last question if I may. Given the outlook on largely the auto markets being flatish or maybe a slight single digit growth is what we are hearing from most OEMs as we head into this calendar fiscal. Possible for Schaeffler to get into a double -digit growth given your market share gains in products, how are you thinking in terms of growth for this year on the auto side?

Harsha Kadam: I did mention that one of our key focus has always been securing new products and new businesses , and that definitely is something that will help us to continue to stay ahead of the curve . And our vision has always continued to stay the double -digit growth rate curve, and we will continue to do that. So , one definite approach we adopted here is to secure new business which we shared with you on the earnings call . Apart from that , of course , as the changes come

in in terms of technology, I spoke about it, whether it be electric mobility technology or whether it is regulatory changes driving us to reengineer our existing products to stay relevant in the game and how quickly can we get these products to the market. With both the capabilities and the strengths we have, I believe, are positioned in a much better way to play the game better. And we will continue to work on this strength, we will continue to play to our strengths in this area.

Ankur: Okay, fair. All right, sir. Thank you and all the best.

Moderator: Thank you. The last question will be from the line of Salil Desai from Marcellus Investments Manager. Please go ahead.

Salil Desai: Yes. Thank you, sir. My question is on the capex moderation, you mentioned that you want to kind of be more efficient with the capex already done, and maybe from a demand outlook point of view also it isn't as great as it earlier was.

Moderator: Sir, we have lost the connection of the current participant. The next question is from the line of Samyuk from Marcellus Investments Manager. Please go ahead. Sir, I would request you to unmute your line and speak please.

Samyuk: Yes. So, my question was, so you earlier mentioned that you are moderating your capex so ahead due to the demand moderation on the domestic front or the export side, if you could give some color?

Hardevi Vazirani: No. So, on both sides we have registered double-digit growth, as you have seen. So, it is not that the demand is moderating. We are not focusing on capex and personnel efficiency because we

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PUBLIC have set up the buildings in Hosur, in Savli, in Talegaon. Now it will be only filling up them with the machines which are required for production. So, in fact, whatever capex we had up close to INR 1,500 crores, over INR 300 crores was into buildings and infrastructure. So that investment will not happen, but rest of the investment close to INR 400 crores will continue to happen per year.

Samyuk: Got it. So, it would be mostly for the machinery and all?

Hardevi Vazirani: Yes, for capacity.

Samyuk: Capacity, got it. Thank you. That's it from my side.

Moderator: Thank you. The next follow-up question is from the line of Himanshu Singh from Baroda BNP Paribas Mutual Fund. Please go ahead.

Himanshu Singh: Yes, hi. Sir just one thing on the localization side, so where would we be on the localization front as of now? And like what are your targets in terms of localizing your product portfolio in India?

Hardevi Vazirani: So, as of December 2024, we were at 76% of localization. The value of our own production and the sales from own production has significantly increased. However, our top line growth is even more than the production growth, so we are at 76%. In the mid-term we are aiming for 80% localization.

Moderator: Thank you. As there are no further questions from

the participants, I would now like to hand the conference over to Ms. Gauri Kanikar for closing comments.

Gauri Kanikar: Thank you everyone. Thank you for joining us today. If you have any further queries, please do reach out to me or drop me an email at gauri.kanikar@schaeffler.com. We now close the call. Thank you and have a good day.

Moderator: Thank you. On behalf of Schaeffler India Limited, that concludes this conference. Thank you for joining us. And you may now disconnect your lines.

(This document has been edited for improving readability)

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Call: May 2025

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Sub: Disclosure under Regulation 30 of the SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015 – Transcripts of Analyst/Investor Meet held on Wednesday , April 30 , 202 5.

Dear Sirs,

With reference to our letter dated April 30, 202 5, please find enclosed the transcript of the Analyst/Investor meet held on Wednesday , April 30 , 2025 , for your information and records.

The same is available on the Company's website - Earnings Conference Call | Schaeffler India

Kindly take the same on your records.

Thanking you.

Yours faithfully,

For Schaeffler India Limited

Ashish Tiwari,
VP - Legal & Company Secretary
Encl.: As above

06/05/2025

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“Schaeffler India Limited Q1 CY'25
Earnings Conference Call ”
April 30, 202 5

MANAGEMENT : MR. HARSHA KADAM – MANAGING DIRECTOR AND
CHIEF EXECUTIVE OFFICER

MS. HARDEVI VAZIRANI – DIRECTOR , FINANCE AND
CHIEF FINANCIAL OFFICER

MS. GAURI KANIKAR – INVESTOR RELATIONS

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PUBLIC Moderator: Ladies and gentlemen, good day, and welcome to the Q1 CY '25 Earnings Conference Call of Schaeffler India Limited. As a reminder, all participant lines will be in the listen only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing the star then zero on your touchtone phone .

I now hand the conference over to Ms. Gauri Kanikar. Thank you, and over to you, ma'am.

Gauri Kanikar: Good morning, everyone, and welcome to Schaeffler India Limited's Earnings Conference Call for the first quarter ended 31st March 2025. We have with us from the management today, Mr. Harsha Kadam, our Managing Director and Chief Executive Officer; and Ms. Hardevi Vazirani, our Director of Finance and Chief Financial Officer. Mr. Kadam will first take us through a short presentation on the results, after which we will open the floor for questions.

With this, I hand over to Mr. Kadam. Thank you.

Harsha Kadam: Thank you, Gauri. Good morning, and a very warm welcome to the investing community. So let me start by taking you through the brief presentation for the quarter 1 performance of Schaeffler India Limited for the year 2025. I am on Slide number 2, wherein I would like to start by sharing with you, how our clear focus on the customer centricity is yielding good results. And as you can see, the testimony of the focus that we have brought in, in the last quarter and the year before as well in terms of improving our collaboration and partnership with our customers . And whether it is in improving our localization content and increasing our footprint, both on the manufacturing side as well as on the logistics side, or with respect to expanding our product families to 8 in all, which magnifies the extent of offering that we are able to offer to our customers, as well as our strong belief in our values of innovation and the passion with which we deliver.

The testimony is in the awards that you see on the slide, whether it's in the area of quality of the product and quality of the service, whether it's in the long -term partnerships that we engage with the customers in, or is it with respect to the safety record within our plants. Also, not to mention, some of the new product development engagements that we very actively pursue without, of course, underlying the fact that underlying reason and focus on sustainability continues to be the base on which we do our business.

On this note, a very positive note, I would also like to share with you that, we recently got our customer survey scores, and I'm very proud and happy to share that our rating has improved to 8.62 from the previous survey, which was at 8.41 and that too adds credibility to the efforts that we are making towards our customers.

That said, let me move on to some of the economy and the industry highlights. As you all know now, the India's growth story has been moderated to around 6.5%. Well, comparatively, this still is a strong growth number, looking at what's happening in the macroeconomic situation around us.

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PUBLIC That said, the inflation was one of the botherations , the last quarter when I talked about, and there appears to be some moderation on the consumer price index as well with the RBI stepping in and more corrective measures being implemented there. So, we believe that the inflation as such in the country would tried to be kept under control as we move forward, so as to stimulate growth and consumption within the country.

Talking a little bit about the automotive production. In the first quarter, the automotive production posted a strong growth with 6.2% compared to the previous quarter . As you can see, the trend is definitely o

n the upside. Now, if one were to look at even the index of industrial production, it continues to hover around the same levels as in the preceding quarter of Q4. The overall growth in the manufacturing sector, particularly the basic materials sector, which

grew by about 6.5%. And then you had, of course, the other transportation and equipment sector, which grew in double digits at 13.5%. All in all, even the mining sector grew by about 3.5%, overall raising the manufacturing growth to about 4% in the quarter, so to say.

With this, it is clearly obvious that while there are still challenges, particularly with all the geopolitical developments that we have, India still remains to be a bright spot in the growth story of the economy around the world.

Now that said, we definitely are focused on putting our actions in place as to how do we leverage this strong position that we are fortunate to be in India and operating at this kind of a growth level.

I move to the next slide, which throws light on some of the core industrial sectors. And what you see here is -- as you can see, the cement production, which kind of weighs down at 5.5% weighs on the GDP, and that grew by 12.3%, clearly riding on the back of the focus by the Government of India on the infrastructure development.

And steel production grew around 6% - 6.5%, while our coal production, considering the focus heavy on the renewable energy side, coal production is still at a moderate 3%, power production in the country around 4%.

Now all in all, when you look at the industrial sector, the renewable energy sector is certainly doing well, because we have seen the exports bounce back in the renewable energy equipment manufacturers, and that has also helped us in a big way as we move into the numbers, I would like to talk about it.

Moving on to my next slide on the automotive sector performance. The 2 - and 3 -wheelers grew by 6%, as you can see, and has been stronger growth month -on-month compared to the previous year as well. We definitely saw bright spots even in the passenger vehicle demand going up. As you see, the production numbers went up and the passenger vehicles in the first quarter of the year grew by 5.3%. And so did the commercial vehicles, which was low, has started to inch up, although in the month of March, it did post lower numbers, but Jan and Feb were strong months, and it grew by about 1 %.

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PUBLIC Tractors, on the other hand, has shown a strong uptick again. Incidentally, on the forecast of reasonably good monsoons, we are seeing the demand strongly bouncing back and the tractor production went up 19% in the country and this too is helping our business performance in India as such.

I now would like to move on to the business highlights for the quarter, Q1 2025. But before I get into the details, I move into the slide, which talks about the revenue from operations, which we have restructured a bit.

Now, I want to say right upfront that, while it doesn't impact or change the total, it is just a rejigging of the numbers between the business verticals that we operate in. Now, why have we done that? It is fundamentally because of operational efficiencies and also to manage the operations in a much smoother way that we have restructured some part of the business.

The first one is the one -way clutch business, the product one -way clutch, which we manufacture was initially in the industrial part of the business, but predominantly, it goes into the automotive applications. So, we have transferred that to the powertrain and chassis part of our business vertical.

On the other hand, also the second change that we brought in is the OES, which is the spare parts business with our OEM customers, was with the OEM part of the vertical, which we have now moved to Vehicle Lifetime Solutions, which is our pure aftermarket business

in the automotive space.

So rightfully, this rejigging of the numbers within the verticals is helping us to bring a lot more focus, bring in better review mechanisms and better accountability in the operational performance as well. And accordingly, the segmental disclosures have been now reinstated in the 4 verticals that we are operating in.

Now, on that base, let me now move to the next slide and throw some light on the Q1 performance. So, it has been a pretty good quarter performance for us in terms of top line growth. As you can see, we posted INR 2,110 crores in the quarter revenue coming in, so pardon me, there is a correction that is there, 1.3% with respect to the preceding quarter Q4 '24 and 14.1% with respect to the first quarter of 2024.

That said, this has resulted in a strong EBITDA, as you can see, 19.3%. And I guess, this is the highest EBITDA that we have registered so far, bringing in an EBITDA of INR 407 crores into the system. And this has been a further improvement from the 18.8% EBITDA that we registered in the last quarter of last year. This resulted in a profit after tax of 12.6% in the quarter, which is definitely much better than the preceding quarter, which was at 12%, thereby raising the profit

after tax to INR 265 crores.

Now, if one were to look at it, obviously, the growth momentum continued because we had a very favorable mix in terms of the business and the revenues that we do. We were also careful in terms of managing our capex spending. So hence, you will see that our free cash flow also registered a strong numbers at INR 237 crores compared to the preceding quarter, which was INR 163 crores.

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PUBLIC And of course, it was negative in the first quarter of last year. And clearly, the prudent focus on working capital management as well as the capex spending has helped us to manage and deliver a strong free cash flow numbers for the quarter. With that, I would like to move to the next slide to talk about a little bit on the business development area and the business wins that we have been focusing upon.

So, the automotive technology, we have continued to win new businesses in the clutch systems product as a product portfolio, particularly in the commercial vehicle segment and the heavy-duty commercial vehicles as well. So, we have had significant wins. In fact, a number of wins in the quarter that have come in, some of which has already started to flow into series production has enabled us to continue to sustain the growth in the automotive space.

Talking of the Vehicle Lifetime Solutions, while we had already launched some of the white label products like the wipers for the cars, the lubricants, the engine oils and the brake fluid oils for the automotive applications, couple that with the TruPower grease that we had already launched.

We also did launch the steering kit for the automotive applications. And what we have seen is the sales begin to pick up there. We did have some issues in terms of product quality and packaging, which we have addressed. And finally, we have started to register a sale of almost INR 1 - 1.5 crores registered in the first quarter itself.

Moving on to the industrial side of the business, which is predominantly Bearings and Lifetime Solutions. I must say that we have won some significant wins in our Lifetime Solutions area as well, engaging into collaboration with our customers to offer the Lifetime Solutions as a part of their service offering in many of the food and beverage industry sectors, which they operate in. That said, we have also won a lot of businesses in the cylindrical roller bearings as well as the ball bearings and some in the 2-wheelers, which are very interesting applications like linear ball bearings, which is a new product line that we have now offered to a customer in the 2-wheeler segment.

So, our

journey in terms of securing the business wins, which helps us to sustain and keep the pipeline running to enable a continued growth story continues, and we will continue to share with you more such wins in the future as well as we come to the next quarter.

I move to the next slide, which is throwing some light on the financial performance. And let me draw your attention first to the revenue. I did talk about it that our sales revenue, INR 2,110 crores was definitely over the preceding quarter, 1.3% better, but over the last year's year-on-year was 14.1%.

And that revenue came from -- if you were to look down at the revenue bridge, the Automotive Technologies space brought in about INR 83.6 crores into the system. The VLS delivered INR 26 crores and the industrial bringing in about INR 92 crores. And of course, the large growth did come in the export business, which we see a bounce back and strong upticks coming from our export business.

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PUBLIC We have also managed to start the deliveries and our business into the e-mobility space. The numbers are still small, but we will start to share with you as the numbers start to scale up in the succeeding quarter as such.

So fundamentally, looking at the growth, if one were to look at the business verticals and how did they do compared to the preceding quarter, Automotive Technologies grew by 6.9%. And the Vehicle Lifetime Solutions, there was a small dip compared to the preceding quarter. As you all know, the last quarter of the year, calendar year is always the strong numbers that the Vehicle Lifetime Solutions posts.

And the Bearings and Industrial Solutions, we saw a lower number at 7%. This is coming on the back of the demand from the distribution side of the business, which we had pushed in, in the last quarter, which saw a weak start-up in this quarter. However, some of the core sectors like

the wind energy and the raw material sectors and the 2 -wheelers have performed very strongly for us there as well.

Our star performer in the business has been the exports in this quarter, which grew 20% over the preceding quarter. And if one were to compare it with year -on-year quarter also grew at 23.2%. So, a few quarters back, we were having apprehensions on the exports business as it had bottomed out. And now I think we are on the upswing again here.

And what has this done to our sales mix? And as you can see, our portfolio still continues to keep a reasonably good balance with 40% of the sales revenue coming from the industrial and bearing side, the automotive OEM side of the business coming in with 33%. The vehicle lifetime, which is our aftermarket business in the automotive space coming in at 12%. And then, of course, our export, which was down to around 11%, 12% has gone up to 15 % in this quarter.

With that, I move to the next slide on the financial performance, and I did already mention that INR 407 crores came in at the EBITDA. And with a clear year -on-year 20.2% growth over the preceding quarter, as you can see, it was 18.3%, a 1 % improvement in the EBITDA over the preceding quarter. And if one were to look at the bridge of the EBITDA, where did this come from - clearly, the maximum contribution of INR115 crores out of the INR407 crores did come in, obviously, at the gross margin improvement, which is attributed to higher sales and the mix of the verticals. Of course, we did have some pull downs in terms of some marginal employee cost improvements and some other expenses that we have reported. But overall, I must say, a strong EBITDA performance for the quarter.

This has resulted in a profit after tax of INR 265.4 crores in the quarter with a PAT at 12.6% compared to 12.3% over the last quarter of last year. I move on to the next slide, which is the working capital. And as you can see, while the working capital in terms of percentage

to sales

certainly has shown a marginal improvement.

However, we still are some way on the numbers that we have delivered. If you look at the Q1 of last year, our working capital was at much lower, and we have now kind of gone up there, and we still have to bring in a lot more focus here. This is going to be a focus area for us. And our target and our actions are to try and get it down to last year's level.

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PUBLIC Talking about capex . In the last quarter results call also, I did mention that we have been judicious with our capex . We have invested quite a lot in the preceding quarters and the preceding years. But looking at the moderation in the demand and the marginal slowdown in the economic growth, we have moderated our investments. And as you can see, for the quarter, we have just invested INR 82.5 crores, which is almost at half the level when compared to the same period last year.

So here, we stand committed to invest in the right product portfolio at the right time as the markets begin to come up as well. And we will continue. Our long -term plan in terms of our capex investment still holds and stays. However, the small corrections and moderations along the way needs to be done to ensure us to deliver the better financial results as such.

I did talk about the strong free cash flow because of our working capital management as well as the judicious and prudent investments that we have made, resulting in a strong free cash flow, which came in at INR 237 crores for the quarter, which was definitely much higher when compared to the Q1 of 2024, as you can see here.

With that, I move to the performance indicator slide, and I draw your attention to the EBIT margin. And clearly, between the EBITDA and the EBIT, what you see, there is a gap.

Obviously, our focus is now on to improve the capacity utilization in the capacities that we have already invested.

And this is important for us to ensure that the capex , what we have put in, we start to leverage. We will continue to keep the focus on that. At the same time, manage our cost management measures that we have been countermeasures that we have -- which we stay focused upon.

Now that said, the revenue growth, I did already touch upon. We have a strong revenue growth compared to the last year at 14% and better EBITDA margin coming in at 19.3%. And also, we have been able to sustain the EBIT margin at 15.5%, resulting in a profit after tax of 12.6% and strong cash flow as well with optimizing our capex spending in the quarter.

I move to the next slide, wherein I want to throw some light on the split between the Schaeffler India Limited Q1 stand -alone results and our e -commerce platform, KRSV Innovative Auto Solutions for the Q1. So, I have already talked about the Schaeffler India Limited standalone results. I would like to throw light on the KRSV . So, as you can see, KRSV Innovative Auto Solutions Private Limited too in the first quarter has delivered a strong performance by bringing in a revenue of INR 64.6 crores in the quarter, which is clearly an improvement over the preceding quarter. And the EBITDA definitely still is in the negative region. And while we are

now expanding our footprint across India , pan -India, exactly in line with the plan that we have laid out.

Our focus is also on improving the efficiency for each of the locations that we have started operating in. We have seen the order inflows increasing. We have also seen the stickiness of the customers wherein the customer once he places an order comes back, and we are seeing a positive response when it comes to the stickiness part, because that is an indicator that we have repeat customers coming back.

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PUBLIC And we are in line with the numbers that we are wanting to deliver. We do have some pressure

s

on the margin right now, but we hope that, and we clearly are on to it. We want to deliver the numbers when it comes to KRSV, while we already have the top line coming in line with the plan we have laid for ourselves, we have to do a little more work on the EBIT margins here to make sure that we come back in line with the plan.

So, at a consolidated level, Schaeffler India, both the companies put together, our revenue stands at INR 2,174 crores with an EBITDA of 18.3%, which is a dip of 1 % because of the impact of KRSV. And also, that is rightfully impacting the EBIT, bringing it down to 14.5% at a consolidated level, resulting in earnings before tax of 15.7%.

With that, I come to my last slide, which is the summary slide. And yes, our focus has always been to try and deliver a double -digit growth year -on-year, which we have continued to sustain for the fourth succeeding quarter, delivering a double -digit growth rate. Quality of earnings certainly has improved due to the volume growth and the mix as well as the efficiencies within our operations.

Yes, we have also seen that we have been able to leverage more our manufacturing footprint and locally produced as a percentage of sales, too, has gone up in the quarter, and we will continue to keep this focus and sustain this. This has resulted obviously in a strong -- also our working capital management and the capex , the spend optimization has resulted in also improved financial management that we have put in has also brought in the good results that you see for the quarter.

And certainly, all our focus remains in running our operations efficiently so that we continue to deliver similar results in the succeeding quarters as we stand committed, clearly in line with our vision of being a motion technology company to our customers.

With that, I come to the end of my presentation. Over to you, Gauri. Thank you.

Gauri Kanikar: We can open the floor for questions please.

Moderator: Thank you very much. The first question is from the line of Saumil from Kotak. Please go ahead.

Saumil: Two questions from my side. First, on exports. Now we have seen a very strong recovery in exports, both on a YoY , as well as on a QoQ basis. Could you give us some more details as to any particular geographies which have done better? And within the businesses, any particular segments which have done better? And how sustainable is the trend? How is the order book looking from a next 2 to 4 quarters perspective? That is my first question.

Hardevi Vazirani: Saumil, this is Hardevi, the CFO. Thank you for your question. So, the export business increase is mainly attributed to Asia Pacific. As we have said in past few calls that, we are finding new geographies and within Asia Pacific, Southeast Asia, Japan, Korea, we are focusing on those markets as well now. So, it is mainly coming from Asia Pacific, as well as some new countries in Europe.

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PUBLIC So, both EU and AP, Asia Pacific have contributed to the increase year -on-year as well as over Q4. Talking about the product groups, as we have said in the past also, that the main business is for industrial bearings, which continues to be the same. So, it is mainly for industrial bearings.

Saumil: Sure. So, the traditional erstwhile geographies in exports, there, we have not still seen a sustained recovery. Would that be a fair statement? And if yes, is that an optionality where if recovery plays out in those segments, the export traction can be far longer?

Hardevi Vazirani: So, the other geographies where we have been playing are continuing. It is kind of a flat. Yes, if further recovery happens, that is the geopolitical situation improves, we expect better results. As of now, the order book is for the short term, we are very cautiously looking at the developments that are happening around the world, b

ut we expect to sustain this level of performance.

Saumil: Sure. And my second and last question, in terms of the India markets, while we had seen some sort of slowdown on the industry segments, are you seeing kind of recovery of government spending or private capex spending going up and to that extent, which will help our industrial portfolio? That is my last question.

Harsha Kadam: Yes, Saumil, we definitely have seen some uptick in our business and demand, at least, particularly if you see the renewable energy sector, wherein we play a big role in the wind energy market, we saw a pretty strong demand coming in, in the first quarter as well, particularly -- in line with the gearbox manufacturers who cater to the wind equipment manufacturers. We have seen a strong uptick.

We did definitely also see some strong uptick in the off-road sectors. Construction equipment, definitely we have seen. Clearly, this is riding on back of the infrastructure focus by the government. So, we have seen that as well doing very well. And not to mention, of course, we are also seeing some on the raw material sector, good improvement. Even over the preceding quarter, we have seen good project executions that have started to happen within the core industrial sectors.

So, these 3, I would say, definitely have shown but there were others related sectors like power transmission sector, which caters to either the raw material or even to the other industrial sectors, yes. That too definitely saw an uptick. We have seen almost a 6% growth -- sorry, yes, growth there as well.

So, all in all, there are sectors within the industrial we have seen, and we have also seen that we have gained some good businesses in the industrial space, particularly in the wind I talked about already and in the raw material.

Moderator: The next question is from the line of Mukesh Saraf from Avendus Spark.

Mukesh Saraf: My first question is on the -- I think you had alluded to e-mobility business that has started for you this quarter. So, is this the e-axle order that we had spoken about a year or so ago? And so, has that started now? And if you could just kind of remind us, I think you had mentioned at that time EUR 300 million order over a period of a few years. So, does that stay the same in terms of quantum?

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PUBLIC Harsha Kadam: Okay. Mukesh, thanks for the question. And yes, we have started our series production and supplies for the e-axles. As you all know, the delay was because the customer was -- they deferred the launch of the product, which finally has happened, and we have started to see now movement of the equipment that we offer to them, which is the e-axle.

Rightfully, going forward, we now are optimistic about the market response, as well as the demand picking up. So hopefully, our wish is that we also catch up with the first quarter numbers, which came in being lesser than what we had anticipated, but then we expect that going forward, it should further improve and make up for the drop that we had in the first quarter.

Mukesh Saraf: Okay. Okay. But the quantum of the order remains EUR 300 million, sir?

Harsha Kadam: That is over a lifetime of the platform.

Mukesh Saraf: Yes, over the lifetime. Yes. All right. And secondly is with respect to the new business wins we are seeing railway segment within your industrial, there seems to be DGBB, TRBs and CRBs in the railway segment. So, is this on the freight side of it or this continues to be more on the passenger railway side?

Harsha Kadam: Our presence is reasonably good in the passenger wagons and the locomotives. We are very strong in the metro trains. Freight is an area that, we have still some distance to go. So, primarily numbers that you see is on the passenger wagons, metro and the locomotive.

Mukesh Saraf: Got it. And just lastly, more at the group level, w

e are reading a lot about job cuts that the group

is planning to do in Europe, especially after the Vitesco merger, things are probably slower in terms of synergies. Could this have some kind of an impact here? I mean, it could be positive as well, but any kind of change in thought process with respect to how the group is going to be using the India subsidiary, especially now with more focus on costs at the group level?

Harsha Kadam: Let me answer it this way. Now, what is happening in the group remains. And I am happy to share that in India, so far, we have not seen any impact due to what is happening in Europe coming in India.

As you can see, our numbers are proving it that we continue to deliver the double-digit growth.

That is because the market here is different. The situation here is very different, correct? So, it is important that we keep the focus on the business and the market and ensure that we deliver the value that we stand committed to, correct?

And we will continue to keep the focus. Of course, the cost management, prudence in terms of our spending that has been there, and we will continue to be there. Obviously, we have to be efficient in our operations and in our operational management, which we will continue to keep

the focus that in no way dilutes what is happening there.

Mukesh Saraf: Right. So, my question was more with respect to them using our cost base here and probably looking -- I mean to India exporting a lot more now given their focus on costs. So, is that a possibility is what I was saying?

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PUBLIC Hardevi Vazirani: So far, we have not received those information that are there going to be any shifting of lines, etc. We have so far not received. And as we stated that, we are very prudent when it comes to such strategies as it has to benefit the localization and domestic market first.

Moderator: The next question is from the line of Ankur Sharma from HDFC Life.

Ankur Sharma: Again, on exports and especially given the whole tariff situation on China, just trying to understand, have there been any talks of using India as a sourcing hub for exports to the U.S.?

Is that something which is a possibility? Is that something which can be potentially something we could see?

Hardevi Vazirani: I mean, on tariff, it is -- I do not think anybody in the world can comment right now. The situation has been very, very fluid that first announcements and then withdrawing that. And also, that currently, U.S. is in talk actively with China on diluting actually the complete tension. So right now, we do not see that we are changing at least within Schaeffler, we are changing the strategies and bringing India is China plus One. But yes, if such a situation evolves, we will see it in numbers.

Harsha Kadam: Yes. To add to that, our exposure to the U.S. market in terms of exports was insignificant in the past. And even today, it is so. So, we do not see much of a risk. However, if the situation improves and the need to leverage India's cost competitiveness comes up, of course, we are ready to do that as well. But again, there is a lot at play here. One of them obviously is the tariffs. So, we will wait in the right way and take a call as and when the opportunities open up. We do that.

Ankur Sharma: Fair. That is helpful. Second, on the auto side and especially when I look at across passenger vehicles, CVs, maybe even 2 -wheelers, the outlook for the coming year is more like a low to mid single -digit kind of a growth is what we understand. Then specifically for Schaeffler, do you believe you could still outgrow the industry, maybe get to that double -digit growth? Is that what you would aspire for? And I understand, given your wins, we have been seeing very strong growth, but is that something that you believe can continue?

Harsha Kadam: Yes. You said it right, Ankur, that the

automotive industry, and if you were to take the largest volume today coming from the passenger vehicle segment, yes, it is in single -digit growth year - on-year. That is true. But aspiration still continues to be there that we try and get it to at least a double -digit growth or stay ahead of the industry or the segment growth.

To that effect, what has become super important is our offerings. So, if one were to look at the large population of the passenger vehicles still with IC engines, yes. And we have started to localize more and more products in India, correct, for these offerings. We continue to believe that there is going to be moderated growth in the IC engines in spite of the hybrid technology, or the pure battery electric vehicle technology coming into play.

That said, our focus on the IC engines will be there. It will continue to be there, and our investments also continues to be there. But that does not mean that, we will not be focusing on the battery electrics or the hybrids. And as we have seen India responding favorably to the hybrid technology, we have also started to bring our products and offer it to our customers in India,

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PUBLIC even in the hybrid technology space. Some localizations have already started for the hybrid offerings to our customers in India. More will happen as we go along.

And the third being the pure battery electric vehicles, I did touch upon. We have the e -axle business win. There are more projects we are working with our customers, not one, but some.

And rightfully, we are also already started to offer for the battery electric vehicle technology, not just the e -axles, but even at a component level, we have started to get some breakthroughs. So rightfully, we are one of the companies who are fortunate to have the bandwidth to offer products in each of the portfolios. And that is one of the Schaeffler's strength as a motion technology company.

Moderator: The next question is from the line of Harshit Patel from Equirus Securities.

Harshit Patel: So, my first question is, in the past, you had indicated that, the company was shifting some of the bearing production lines to India, especially from the European countries. Even in the annual report, we saw a lot of related party transactions in terms of purchase of tangible assets. So, is

this whole process over? Anything left for us to do in terms of further enhancing export -oriented production capacities over here?

Hardevi Vazirani: So, let me first correct, it is not export oriented. It was mainly for localization. As you are aware that, localization as a strategy is a primary thing in our priorities. Schaeffler India Limited's total revenue from operations a few years back was only 67%, 68% from own production, and rest was imported. And we were not able to localize because of the volumes that we had yet to gain. As the volumes, the demand increases in the domestic market, instead of importing, we are relocating those lines, and we are producing now here and selling in the domestic market. So, it is not that, if the intangible assets are moved from Europe or elsewhere to India, it is for exports. It is mainly for localization. And thereby, we can see that in last few years, our localization ratio has gone up to 76% now. So, whatever we are selling, 76% is manufactured in our 4 plants in India. So, it is main.

Now export, if it is resultant of that, that some lines which are shifted here also have export base, then we serve those markets as well. But the primary strategy remains localization.

Harshit Patel: Understood, ma'am. And then just a follow -up to that. A few quarters back, parent company had announced that it intended to move some part of the clutch production from Sheffield plant in U.K. to our Hosur plant. So, could you comment on this relocation exercise?

Hardevi Vazirani: As of now, a

t least I can say that they might have announced like in the recent past, they also announced that whatever the cuts are taking place that the beneficiaries would be Vietnam, India, China and all. But ultimately, when the strategy is framed, it depends where it is ultimately going.

Harsha Kadam: Also, I think we must take cognizance of the fact that, when we want to localize production here of the products, obviously, we have to make investments in production machines. And we have Schaeffler India Limited

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PUBLIC the option in front of us to look at brand -new machines or look at machines that can be utilized from the older plants lying there.

Obviously, they would come as a lower investment for us. And the wise thing to do rightfully would be to pick up those machines in those plants where they probably are underutilized and bring them here so that we can optimize our investments as well, right ? And that, I think, is a wiser decision, and we remain focused on these options , when we make our investment decisions.

Harshit Patel: Sure. Sir, my second question is on the margins. Could you give us a flavor on margin levels of various segments as in Automotive Technologies, VLS, BIS as well as exports, even ballpark numbers would do. So even if you could highlight the descending order among these segments that will be very helpful?

Hardevi Vazirani: Unfortunately, as a CFO, I would not do that, Harshit.

Moderator: The next question is from the line of Saif Sohrab from ICICI Prudential.

Saif Sohrab: Just 2 parallel questions more connected to the e -mobility of Vitesco integration as you call it, right? So, on Vitesco first in India because you have -- they have an Indian entity, right? So, has Schaeffler India started to leverage portfolio of Vitesco India, say, Mechatronics and others? And just connected to it to understand, if there is a complete system -level order, right, which you have to get in Schaeffler Group as part of India, right? So, which uses both Schaeffler and Vitesco products, how would it typically be divided between the 2 entities?

Harsha Kadam: So, thanks, Saif, for that question. Yes, Vitesco definitely has its footprint here. They have a manufacturing plant, and they have been doing good business in India. With the global acquisition that has happened, Vitesco in India still remains a different company altogether, although it is under the Schaeffler umbrella as such within the country.

Now that said, are we leveraging when we go to in front of the customer? Of course, we are leveraging because what Vitesco brings in is a very powerful competence, which we did not have on the Schaeffler side, particularly in the area of electronics, sensors and software capabilities, which we have started to leverage, so that we can raise or the value that we offer to our customers, right .

However, both of the companies still operate at arm's length because it is a different company altogether, yes, and we are a listed entity. So, we certainly have a clear arm's length interaction that happens between these 2 companies. But for the customer, in front of the customer, both remain as coming from one brand.

And so we see that both the teams work together to deliver a much higher value proposition to the customer with our strong mechanical capabilities and their strong electronic and software capabilities combined together, we are able to increase our offering levels, whether it's in the IC engine applications or even in the electric mobility application.

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PUBLIC As you know, Vitesco in India is also -- their predominant business is still in the IC engine, offering sensors and electronics that go into the IC engine applications today. But they are also gearing up to get into the electric mobility space. They already have business wins in com

ponent

level. So, it is definitely -- it is a complementary situation for us in terms of the strength of Vitesco and the strength of Schaeffler going together in front of the customer.

Saif Sohrab: And just on the systems part, say, something like a e-axle order, right? So that you will take as Schaeffler India and then you would enter into arm's length transaction with them, or the entire system order can go to either of the 2 entities?

Harsha Kadam: Well, those are things that depends on the project, depends on the customer and depends on the supply chain model that we develop. So, it does not have to be this way or that way. It all has to be seen the location of the customer, who has the capabilities, who has the strength. So that is how we work upon. But right now, I want to reiterate that we are operating at an arm's distance, because we are 2 different companies.

Moderator: The next question is from the line of Sonal Gupta from HSBC Asset Management.

Sonal Gupta: Yes. So, sir, in your opening remarks, you sort of mentioned that you have moderated the capex going forward given the slowdown that we are seeing in demand. So, I just -- I mean, if you could give some more granularity on that? I mean, is this mainly because of the slowdown on the global side, or the domestic slowdown on the auto side? I mean, like if you could give us some color there as to what is -- and I mean, which segments are sort of turning out weaker than what your original expectations were?

Hardevi Vazirani: So, let me correct here. First of all, capex reduction is not due to the demand. As you have seen that we have grown double-digit over the same quarter last year. So, there is no dearth of demand here.

The capex activity has been slowed because in last 3 years, we have invested aggressively close to INR 1,700 crores - 1,800 crores. And it is time that we focus on capital efficiency. And our fifth plant in Shoolagiri will be up and running in the second half of this year. So, these major investments into buildings and infrastructure, etc. are all done.

So, this year, there is no more further spend -- big spend on buildings, which we have been doing in Savli, Talegaon and Hosur. It is now time to realize the benefits of this capex that has done in the past year. So, the focus will be on capacity utilization, installation of machinery, etc.

And thereby, we are saying that compared to last year, the investment will be lower, but it is not that the investment is going to be drastically lower. And the investment momentum will continue in the coming years as well.

Sonal Gupta: Okay. Got it. The other question I had was like you mentioned on the hybrids as well that we are. So, I mean, if you could give us some -- I know we have been talking about the blended content on the PV side, and that is obviously growing. I mean we are getting into e-axle space as well. And so that is a very high-value component.

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PUBLIC So, I mean, if you could give us some idea of the content, right, like ICE versus hybrid versus the -- I mean, e-axle sort of thing. So, on the EV side. So, if you could give us some idea on what sort of realistic content values could we see for these? And because I think hybrid is a space where you would probably in the next couple of years see a lot of action, so.

Harsha Kadam: Yes. Thanks for the question, Sonal. And well, I think more or less you kind of know the answers as well, because we have been operating -- if you were to take the passenger vehicle as a segment, we have been operating with a content per vehicle close to about EUR 50 per vehicle.

But now with the hybrid technology coming in, which actually the technology is in addition to the IC engine, right? So, which means, obviously, the content per vehicle goes up, because we continue to cater to the IC engine application, plus we

also offer our hybrid solution, yes. So, that continues.

So, obviously, there is going to be definitely improvements in our content per vehicle. We have not started to measure that yet. Why? Because the calculation requires us to take the entire vehicle part numbers to dissect only the hybrids and do it is something we have not approached it yet.

The same applies to the pure battery electric vehicles as well, wherein obviously, if I am offering components to the EV application, my content per vehicle would be lower than what if I were

to offer an e -axle, which is a system -level offering, my content would be much, much, much higher.

So rightfully, this is just beginning to now -- the sales numbers have started to grow. So, hopefully, in the succeeding quarters, we will be in a better position to talk about what kind of contents we are at in each of these segments.

Sonal Gupta: Got it. And just to follow -up on that. I mean, sir, are we currently participating with the Japanese OEMs, which are already in that market? And do we have like e -axle as a system -level offering?

I mean, do we have component offerings mainly on the hybrid side? Or we do have some more system or subsystem level offerings as well?

Harsha Kadam: We are definitely strongly engaged with the Japanese customers who patronize the hybrid technology, yes. And we already are in series production of some products and components for the hybrid applications in our plant in Hosur. We are already doing it. We are supplying it to them already.

So, on all the hybrid platforms that you see the Japanese launching, our presence is already there, yes. And I am sure as the volumes for hybrid improves and increases, that becomes favorable for us to also take up investments and manufacture locally rather than import and supply some of the critical parts, which we do even today.

Moderator: The next question is from the line of Samyak Jain from Marcellus Investment Managers.

Samyak Jain: Sir, just one question. So due to the tariff implications, while the export side implications are -- the implication on exports are yet undecided. What could be the -- like is there a possibility of Schaeffler India Limited

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PUBLIC increased imports from China? So, do you think that is a possibility if the exports on -- if the tariffs on exports from China are here to stay for the U.S. or global markets?

Hardevi Vazirani: I do not think so we replied this before also that due to the tariff situation, which is very fluid that the group is getting into the China plus one thinking about India as an exporter to U.S.A.

Our own share within our total exports to U.S.A. is not so high. So, we are not going to be impacted very adversely. However, if we are talking about in place of China where the group is thinking of India to be exported, then this strategy is yet to be evolved.

Harsha Kadam: Yes.

Samyak Jain: Ma'am, my point is the excess capacity that China has, if that flows to India, so do you think there is any implication for us on a sales or margin perspective?

Harsha Kadam: I do not know the assumption that you are trying to make. When you say, Samyak, that the capacities in China will flow to India, I do not see the connection there because China --

Schaeffler in China is also very big, and they are operating there, right?

Hardevi Vazirani: And they have their local.

Harsha Kadam: They have their local demand, the local consumption, the local market already which they cater to in a big way, yes. So that is totally a different situation for us. It is not that the capacities from there would flow into India.

India would become competitive. And rightfully, the China plus one talk is all about that to make India into another hub for manufacturing. Well, as it evolves and unfolds, we definitely will -- are prepared to make more investments if it warrants, yes, and to

locally produce and also

increase the exports, but it all boils down to what is the direction this is going to go in.

Hardevi Vazirani: The geopolitical interdependency on steel, on ore on other materials, which are imported by many countries from China is being reviewed. At the group level, we have a task force who is closely monitoring different impacts, which can have on Schaeffler worldwide, whether it is about raw material, whether it is about our own finished product import export. So, this task force is continuously monitoring it. As of now, I do not see that it is still a major concern that we see.

Moderator: The next question is from the line of Rakesh Jain from Axis AMC.

Rakesh Jain: Just one question on the exports.

Moderator: I am sorry to interrupt. Mr. Rakesh, your voice is coming low.

Rakesh Jain: Is it better now?

Moderator: No, sir. Can you speak a bit louder and use the handset. The current participant has been disconnected. We will move on to the next question. It is from the line of Vimal from Alchemy Capital Management.

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PUBLIC Vimal: My question on capex for this year has -- just on that, given the revised or the number that you

have just put out for Q1, a lower number, what can we expect for the full year? That is question number one.

The second bookkeeping question was within our segmental breakup for Bearings and Industrial Solutions, what would be the portion purely for automotive? So, what is the component for automotive bearings within that?

Hardevi Vazirani: So, capex, we have registered close to INR 80 crores. By end of this year, it will be slightly above the run rate. So, we will be doing slightly more in the coming quarters. As the situation evolves on the capacity utilization and capital efficiency, the decisions will be taken, but it will be slightly above the current quarter. And if we talk about the segmental mix on bearings, within that, auto bearing is close to 17%.

Vimal: Understood. And ma'am, what is the outlook on pure industrial bearings in India for domestic given the fact that the wind is doing well, railways is expected to do well. So, should we see a high-teen kind of growth here for industrial bearings? I am talking CY '26.

Harsha Kadam: So, from a demand perspective, obviously, if the industrial production in the country is growing at the rate of 4% -5%, obviously, the demand would be there to that effect. The rest is all about how we want to continue to do better than those numbers, which we always strive for, and we have been delivering. So, obviously, this comes with becoming more competitive.

Hence, what Hardevi mentioned about localization. The more we produce the products in India, the more competitive we get, the more market share we gain. And thereby, obviously, the bearings business would grow better than what the industrial index growth in the country is.

That would be my answer.

Vimal: But sir, do you feel the general demand environment in terms of the -- while, of course, we can choose to take initiatives internally. But do you feel that the demand is resolute at this point in time to give us that -- to support that high -teens sort of a number?

Harsha Kadam: Well, I am not an economist, but all I can say is looking at what our customers are doing and what they want from us. I can watch that we have seen definitely good demand coming in many of the sectors. I did already talk during my presentation; I talked about the wind coming back very strongly. The demand has been strong.

Surely, our wind gearbox manufacturers and equipment manufacturers have been exporting well out of India. So, we leverage that business, correct? And so is the need in some of the infrastructure sectors we see or related sectors to the infrastructure industry.

So, we are seeing strong traction, some by push by the government with mo

re liberalization and

more investments coming into the country, obviously, we expect some of the other sectors to open up. So, there is definitely optimism in that area that, yes, we will continue to see more demand coming in, because India needs more to grow.

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PUBLIC And if we are talking about the growth numbers which the government is projecting to get to whatever, INR 7 trillion by the year 2030, obviously, investments have to continue to come into India. And we also being a part of the ecosystem, we will have to continue to invest.

Moderator: The next question is from the line of Rakesh Jain from Axis AMC.

Rakesh Jain: Sir, I just want to check on the export side. The nature of growth, could you help us understand if there is something attributed to the inventory positioning prior to the tariff situation? Or should we assume that this is something which would be recurring in nature for us?

Hardevi Vazirani: Just to get a better clarity, you mean to say that the U.S.A. has to build more inventory so as to avoid the high tariffs?

Rakesh Jain: And any other nation who were supporting the U.S. and prior to that, they would be looking at supplying more right now as the tariffs take effect before that?

Hardevi Vazirani: No, I do not think that we will be resorting to such measures to increase the inventory, specifically knowing that the tariff situation is not the realistic one currently.

Rakesh Jain: Okay. So, the revenues which we have recorded, we should think about it as recurring in nature for us?

Hardevi Vazirani: Or better.

Moderator: Ladies and gentlemen, due to time constraint, this was the last question for today's conference call. I would now like to hand the conference over to Ms. Gauri for closing comments.

Gauri Kanikar: Thank you, everyone. Thank you for joining us today. If you have any further queries, please do reach out to me, or drop me a note at gauri.kanikar@schaeffler.com. We now conclude the call and wish you a good rest of the day. Thank you.

Moderator: Thank you. On behalf of Schaeffler India Limited, that concludes this conference. Thank you for joining us and you may now disconnect your lines. Thank you.

(This document has been edited for improving readability)

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Sub: Disclosure under Regulation 30 of the SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015 – Transcripts of Analyst/Investor Meet held on Friday , July 25, 2025.

Dear Sirs,

With reference to our letter dated July 25, 2025, please find enclosed the transcript of the Analyst/Investor meet held on Friday , July 25 , 2025 , for your information and records.

The same is available on the Company's website - Earnings Conference Call | Schaeffler India

Kindly take the same on your records.

Thanking you.

Yours faithfully,

For Schaeffler India Limited

Ashish Tiwari,
VP - Legal & Company Secretary
Encl.: As above

30/07/2025

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“Schaeffler India Limited Q2 CY '25
Earnings Conference Call”

July 25, 2025

MANAGEMENT : MR. HARSHA KADAM – MANAGING DIRECTOR AND
CHIEF EXECUTIVE OFFICER

MS. HARDEVI VAZIRANI – DIRECTOR , FINANCE &
CHIEF FINANCIAL OFFICER

MS. GAURI KANIKAR – INVESTOR RELATIONS

Schaeffler India Limited
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PUBLIC Moderator : Ladies and gentlemen, good day, and welcome to Schaeffler India Limited Q2 CY '25 Earnings Conference Call.

As a reminder , all participant s' lines will be in the listen -only mode and t here will be an opportunity for you to ask questions a fter the presentation concludes . Should you need assistance during the conference call, please signal an operator by pressing '*' then '0' on your touchtone phone. Please note that this conference is being recorded .

I now hand the conference over to Ms. Gauri Kanikar. Thank you, and over to you, ma'am.

Gauri Kanikar: Thank you. Good evening, everyone, and welcome to Schaeffler India Limited's Earnings Conference Call for the second quarter and six months ended 30th June 2025.

We have with us from the management today, Mr. Harsha Kadam – our Managing Director and Chief Executive Officer , and Ms. Hardevi Vazirani – our Director , Finance and Chief Financial Officer.

As always, Mr. Kadam will first take us through a short presentation on the results, after which we will open the floor for questions.

With this, I now hand over to Mr. Kadam. Over to you, Sir.

Harsha Kadam: Hello. Good evening. Harsha Kadam here.

Hardevi Vazirani: I am Hardevi Vazirani.

Harsha Kadam: So, let me start by taking you through the presentation . And as usual, I always begin my presentation by sharing recognitions that we have got from our prestigious customers.

And in the last quarter, I am happy and proud to share that we have received four recognitions and awards from our customers and three coming from agencies for the various corporate social responsibility initiatives that we run.

So, to start with from the customers, two awards that came in from the Toyota Group - Toyota Kirloskar Auto Parts and the Toyota Industries Engine India. One award was in the area of "Zero Defect Supplies " in the quarter. And the second award was, again, in the supply of "100% Delivery " without missing a single day". Now , both the awards mean prestigious coming from the biggest brand, Toyota.

We also got an award from one of our customers, OEM customers, but the award was given for our "Vehicle Lifetime Solutions " business, which is traditionally the aftermarket business in the automotive space. And the award was from Honda Limited. That said, we also got an award from one of our industrial customers in the Railway sector that is from Alstom.

So, as you can see, all the marquee brands have recognized us in that quarter, clearly pointing to our commitment, our sustained commitment that we keep with our customers being at the center

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PUBLIC of what we do, keeping a clear focus on the quality of the products that we deliver and ensuring that we stay close with our customers and ensure we give them timely deliveries on time.

Apart from these four awards, we also have received two awards for one of the "Prestigious Water Conservation Projects " that we are very proud of in the quarter that we received these awards coming from the project name being "Jal Samruddhi ", which is a water conservation initiative. And we were recognized both by Association Chamber of Industry and Commerce and also at CSR Universe Climate Action and Sustainability Awards, we were recognized for the "Jal Samruddhi " project as such.

The third award in our Corporate Social Responsibility drive was an award that we received from Tamil Nadu. And this is in the area of "Diversity and Inclusion ", which we have always

felt is one of the high focus areas as an organization and as a nation and for empowering women to take up vocational pursuits in terms of upskilling them and handholding them to establish themselves in the society in a dignified manner.

Now that said, we were recognized for the initiatives that we have strived to focus on women empowerment

t.

With that, I move on to Slide #4 to throw some light on the economic indicators as such :

As you can see from the slide, the economic performance in terms of the GDP for the second quarter is still an estimated number. We are awaiting the official numbers to come in . But the estimates are close to around 6.5% , which is what we believe, which has been a drop from the preceding quarter.

But again, if one were to look at how the sectoral performances and other indices have evolved, look at the automotive production in the country for the quarter . More or less, it has remained stagnant at the same level as the first quarter of the year.

Talk about the index of industrial production :

Well, since we have the data for April and May, June has yet to roll in , but you do see that there has been a kind of slowdown in some of the industrial sectors.

While on the optimistic front, you do see that the consumer price index or inflation, which stood at 2.7% for the first time since 2019 has come down to the lowest level. And this is a heartening indicator that hopefully, this is going to propel consumption within the country and positive sentiments to that effect.

I move to Slide #5 to throw some light on the core sector performances :

And what you see is we talk about cement production. As you can see, the clear focus on the infrastructure sector in the country, even by the Government of India, clearly defining that cement production and steel production definitely are doing better in the second quarter as well.

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PUBLIC And on the mining side, it is still a lot of room to improve. Unlike the first quarter, we have not seen a significant increase in terms of coal production, yes.

On the Power Generation

definitely , we have seen an uptick again, clearly pointing to definitely some improvement in the industrial manufacturing sector's performance as such. That said, we are seeing positive signs in many of the sectors.

Let me now take you through the sectors in automotive performance . And I am on Slide 6. Here, again, what you see is , when you look at the sectors, the two wheelers also have been kind of moderate in its performance in the second quarter, which is not a surprising thing because that is a business cycle that the sector follows annually.

And when one looks at the passenger car, and this is where it got a little challenging, considering the fact that in Q2, the numbers began to gradually go down. And in the month of June, we had lower numbers than compared to June of last year in terms of vehicle production.

While this was the situation on production , it also stemmed from the fact that the domestic sales of cars and passenger vehicles in the country have been lower, whereas the exports went up double the digit in the country. So, based on the SIAM reports, clearly, the data shows that the export demand in terms for the passenger vehicle segment has been much better than the domestic demand in the country.

Talking of commercial vehicles, again, Q2 has been a little subdued compared to Q1. However, the numbers have been marginally better than the same period last year where we are seeing a very strong and positive traction is on the agricultural tractors. And as you can see, for the 3 consecutive months of April, May, June, we have seen increase month -over-month as well as the same period last year. So , we have a mixed performance coming from the Automotive sector as well as the Industrial sector from an economic growth standpoint.

I move to Slide #8 . How did we perform in the quarter . I think we had a pretty good performance in terms of sales revenue. We were able to generate revenue of INR. 2,282 crores in the quarter, which was a clear 8.2% better than the preceding quarter and a 10.1% better performance than the same quarter last year, resulting in a strong EBITDA as well with IN

R. 449 crores being

generated as EBITDA and taking the EBITDA percentage to 19.7% from the preceding level of 19.3% , culminating into the profit after tax to 13%, which definitely was better than the 12.6% in the preceding quarter, bringing in INR. 296 crores into the wallet.

Our best performance has been in free cash flow generation. In the quarter, we were able to generate a free cash flow , INR. 287 crores, unlike the preceding quarter with INR. 237 crores compared to the same period last year where we were in a negative cash flow situation.

All in all, I must say it has been a reasonably good performance considering the challenging

ecosystem that is prevalent in today's market. We have been able to navigate through these challenges, also very clearly managing our CAPEX investments as well, which have clearly

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PUBLIC enabled us to deliver the numbers that you see. I will throw a little more light on the details as I move forward.

What keeps us going is the new business wins. And what you see here is, again, within the quarter, we have been able to secure some long -lasting businesses, particularly when you look at the automotive technologies with some of our key marquee customers, we have been able to have strong business wins , many places as a single source with hydraulic lash adjusters , as well as on the clutch es, heavy -duty clutches.

On Vehicle Lifetime Solutions as well, some of the recent products that we launched like wipers and particularly oils as well, we have seen tremendous upswing in demand, and we have been able to capitalize on the sales there as well.

On the Bearing and Industrial Solutions side of the business, here again, some of the cement, the raw material sectors, we have been able to have some big business wins. And in addition to that, we also had business wins in our Lifetime Solutions product, which is primarily in the diagnostics area as well as condition monitoring area of the application.

So, our continuous focus and striving to keep the pipeline of new businesses coming into the system continues . And this is a key focus area for us to deliver the sustained growth going forward.

That said, I now move to an important milestone that we as an organization crossed. I am on Slide #10. In the month of May, we had the Executive Board of Schaeffler AG coming to Bangalore and we had the privilege of using their gracious presence to inaugurate the fifth manufacturing facility in Schaeffler India Limited, new plant for our clutch applications and some of the drivetrain, powertrain applications that we would be manufacturing in this plant. The first hall to that effect with 16,500 square meter of floor space was inaugurated officially and the machines were rolled into production.

So, this important milestone is a testimony of our commitment to continue to invest and grow in India. And this is the one step in the direction. Just to share with you that this same plant also has additional land space to further expand to 3x the size what it is today now that we have started off.

With this, I move to Slide #11. Another important milestone that we crossed was with the launch of the Tata Harrier, we have started our series supplies of the e -axles to the Harrier platform, and we are proud to be associated with this platform. And we have also had a formal inauguration of the partial production line that we have set up at our plant in Talegaon.

Now obviously, this is modular being a drivetrain architecture. So , we have started off by investing in phases. Step -1 of the investment is what you see in the picture and where we are going to carry out the end of the line testing as well as marking the traceability of the products. And now we are moving , as I speak, we are moving into Phase - 2 of the expansion, which would bring in more localization on the production line here.

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PUBLIC Obviously, our product has been very widely and rigorously tested across the length and breadth of the country. And I must say with a lot of pride that it has successfully passed all the rigorous tests that the customer put our product to, and we have come up successfully on top.

With that, I move to the next slide . I am on Slide #14, which talks about the revenue from operations .

What you see on Slide #14 is the Quarter 2 performance in terms of revenue, which I already mentioned. We were able to bring in a revenue of INR. 2,282 crores in the quarter. Clearly, that is 8.2% over the preceding quarter and 10.1% over the same quarter last year. And how has this come in? And I draw your attention to the revenue bridge below.

So, as you can see, out of this INR. 82.6 crores of revenue was generated from the automotive side of the business, and Vehicle Lifetime Solutions brought in about INR. 35 crores with the Industrial also bringing in INR. 22 crores. Our star performer has been the automotive and Intercompany Export business, which also came in at about INR. 70 crores into the system , all in all, raising the revenue in the quarter compared to last quarter by an additional INR. 2,000 crores coming into the system.

So, all in all, it was a broad -based growth within the domestic businesses and also quarter -on-quarter positive performance with the business growing up by 6% . So, if one were to look at how did , within the four divisions that we operate in, export obviously grew at a very strong and

if one were to look at the 6-month period, our export business has grown 23% compared to the same period last year, Automotive Technologies at 13.5%, Vehicle Lifetime Solutions, too, coming back strongly at 12.3%, Bearing and Industrial at 7%, all of this contributing to a very strong performance in the second quarter.

That said, our business mix, which has been our biggest strength, continues to operate with Bearings and Industrial Solutions at about 40% and Automotive Technologies, 30% of the sales mix. The exports, which was languishing at 8%, 9% went up to about 16% and Vehicle Lifetime Solutions too going up to 13%.

Some light on our earnings quality. So, when one looks at the EBITDA performance here, we registered an EBITDA of 19.7%, bringing in INR. 449 crores in the quarter, which was a clear 10.3% improvement over the preceding quarter and a 16.6% improvement year-on-year.

Again, here, when one looks down at the EBITDA bridge as to where the quality improvement happened, we did definitely, one was the volume effect with the gross margin also bringing in INR. 128 crores, while we had some strain on the other income and expenses, all in all, yet posting a very positive EBITDA number with the improved quality of the earnings that has come. And this has resulted in a very strong profit after tax of INR. 296 crores in the quarter at 13%, again, 11.6% better over the preceding quarter and 17% better than the same period last year.

On the working capital. We have managed to sustain the same levels as the preceding quarter. We have been focusing on our CAPEX investments consistently, and we continue to focus on Schaeffler India Limited

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PUBLIC our localization drive, and the focus continues to remain on utilizing or better utilization of the invested capacities and focus is more on efficiency improvements on the invested capacities.

And that is something the export business is also enabling us to leverage the capacities that we have already in place in a much better fashion.

So, with that, if you look at the quarter in terms of CAPEX, our investments stood at INR. 100 crores as against the preceding quarter. We are still better at INR. 82 crores, which was in Q1. However, compared to last year, we have moderated a bit, but this is not to say that our CAPEX commitment

s are going to go down. It is just that we are aligning our spend, our investments in tune with how the market is shaping up. And this is where agility and also the prudent management of capital flow becomes super important.

That said, some light on the free cash flow, which I already talked about, one of the strongest quarter in terms of free cash flow generation at INR. 287 crores within the quarter has been clearly, the clear focus on generating cash from the market has been on high focus plus managing our working capital in a much better way.

I move to Slide #17, where the key performance indicators, a lot more in detail: I allude you to go through the numbers. As I have already covered each of them, I just wanted to share on the 6-month period 2025, revenue where we stand at INR. 4,392 crores at 6-month closing, which is a clear 12% growth over the same period last year. That said, the EBITDA margin of 19.5%, resulting in an EBIT of 15.9% and profit after tax of 12.8%.

I move to the next slide, which is Slide #18, and I wish to draw your attention to the KRSV Innovations Auto Solutions Limited, Koovers in short.

And Koovers too has posted some good revenue generation exactly in line with the plan that we have set for. We do have challenges on the gross margins here, and we are trying to work that out. We are trying to sort some things out.

So, as you can see, our revenue of INR 71 crores coming in the second quarter, exactly in line with the plan that we have laid out. Margins are still negative at 15% EBITDA and 16.8% EBIT. This is a key focus area for us. This is resulting into a consolidated Schaeffler India results of 18.7% EBITDA and a 15.1% EBIT margin.

With that, I move to Slide #19. So, all in all, a good and strong performance, double-digit growth year-on-year. The momentum continues, and this is the fifth consecutive quarter where we have been able to sustain the growth. And quality of earnings, which remains a high focus area on efficiency and cost management, continues to remain. And we have improved levels of operating metrics, as I already shared. Working capital continues to be a high focus. Free cash flow definitely.

And with that, we will moderate and continue to be agile on our CAPEX investments as we move forward, monitoring the market situation as it evolves as it is a very volatile market situation out there. So, we are brought in a lot more agility in terms of our CAPEX investment.

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PUBLIC With that, I come to the end of my presentation. Over to you , Gauri .

Moderator: Thank you very much. We will now begin the question -and-answer session. First question is from the line of Mukesh Saraf from Aventus Spark. Please go ahead.

Mukesh Saraf: My first question is regarding a recent commentary from the Schaeffler Group CEO, Mr. Klaus Rosenfeld . He mentioned that the CAPEX or rather the investment in India is expected to be upwards of €100 million a year. And obviously, we have been talking about reduction in CAPEX over the previous years, obviously, at say, INR. 500 crores , INR. 600 crores kind of an annual run rate. So , it seems to be much higher than that . So, could you kind of give some sense on are we looking to increase our CAPEX targets as the commentary suggested?

Hardevi Vazirani: Thank you for your question on CAPEX . Mr. Rosenfeld announced overall €500 million in next 5 years until 2030 . So, averaging out to approximately €100 million starting from 2026 onwards for 5 years.

So, this year's CAPEX plan is intact, and it will move in the direction of leveraging on capital efficiency because we have made close to INR. 1,700 crores investment in last 3 years . So, this year, we are trying to look at the capital efficiency , and then we will again ramp up from next year onwards.

Mukesh Saraf: So, next year onwards, it can be in the INR. 1,000 c

rores a year kind of ballpark based on that

€500 million number that you mentioned for 5 -year period.

Harsha Kadam: Mr. Saraf, as I already mentioned , yes, we definitely want to continue to invest . However, it is very important that we closely monitor the market developments which we are doing, both on the domestic front and on the export side.

However, our commitment still remains. It is not that we are going to stop investment s. It is just that we will have to play with the market . The way the market moves, we are also going to monitor and start investing because we already have the space, the machines that we need . So, that is something we will take a call, looking at which product lines need to be invested in, which needs to be localized . So, there are various parameters that we measure them. And accordingly, we will continue to invest.

Mukesh Saraf: And in terms of exports, we have seen a very strong quarter, again, good growth even on a sequential basis. Any kind of outlook or visibility that you can provide? Last time you had mentioned about the Asia Pacific markets doing better. And from there, we have further improved . So, any kind of visibility that you have on exports that you can help us understand here?

Hardevi Vazirani: So, at this point of time, as it looks based on the order book that we will be able to sustain the pattern that we have so far, at least this year. However, how the geopolitical situation and the market in Europe, Americas are working out to be , it will determine the next year. However, this year, the order book is secured.

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PUBLIC Harsha Kadam: So, just to add to your comment on the exports to the Asia Pacific region, I am happy to say that our growth is definitely there in the Asia Pacific region. We have been considerably grown in the Asia Pacific region. And our dependency on the rest of the world, we have been kind of moderating it to bring in that balance. And I am happy to say that we have succeeded to a large extent in increasing our export business into the Asia Pacific.

Mukesh Saraf: Good to know that. And just last question from my side is when I look at the Bearings and Industrial Solutions business, especially in the non -mobility side, the other side, it seems to have kind of flattened out this quarter after like maybe 4 or 5 quarters of 20 plus percent growth.

Anything that we should read into that? Or is this just a temporary kind of a blip?

Harsha Kadam: Yes, but when one looks at within the sector, specific sectors, we have been able to perform very good in some of the specific sectors. We have seen very strong growth in our , for example, the railways, if I were to look at Q2 performance, we have done pretty well in the railways.

We have done well, obviously, in the wind energy sector . So, we have been able to consistently grow. We have also done good in the off -roads with a clear focus on the infra structure and Agri industry . So, these sectors, we have been able to do.

Yes, some of the moderation or the tepidness came in was more on the two-wheeler sector against that. Yes. And our distribution also did pretty well. I must say the distribution business did pretty well in the industrial distribution, I mean, when I talk about it . So, that too keep going pretty strongly . So, some sectors which are critical for us in terms of volume as well as on the margins , have helped us in this quarter.

Moderator: The next question is from the line of Raghunandan from Nuvama Research . Please go ahead.

Raghunandan: Congrat ulation s on continuing double -digit growth and also inauguration of the new Shoolagiri plant. Sir, firstly, on the Vehicle Lifetime Solutions, you have continued to see strong double -digit growth. Can you elaborate on the efforts which are helping market share gains, better penetration and also on the new products?

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arsha Kadam: So, on the Vehicle Lifetime solutions, couple of pointers that I would like to give is, one, that our OES demand from the OEM customers definitely has also gone up. Obviously, clearly a clear indication that the aftermarket demand in the market has kind of picked up. That is from the market side.

From our own effort side, some of the traded goods that we launched also we saw a strong uptick. In terms of the oils and lubricants, in terms of the wiper blades, we have seen strong uptick in demand. We were able to leverage that.

Also, what we did was , with the sluggishness that we saw in the OEM side of the market, we were able to better leverage the production capacities to go ahead and leverage those available capacities to feed more into the aftermarket as well. And particularly, this is coming in our clutch portfolio, which we sell in the aftermarket . So, all in all, there were multiple reasons which we were able to manage very well in this quarter.

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PUBLIC Raghunandan: And you alluded to other expenses income during the opening remarks. Can you indicate on the other expenses side, it seems to be notably higher Y -o-Y. Was there any one -offs there? What was the reason for it? Would it also include the cost relating to the new plant? And also on the non-operating income, there also there is a strong growth, if you can highlight on that as well?

Hardevi Vazirani: So, on non -operating income side, we had supported the group companies in specific projects, which was charged out to them based on the transfer pricing policies of the group . So, income is mainly for the project -related support cost that was incurred by us, and it was then charged out to the group companies.

On other expenses side, it is mainly there are certain onetime expenses related to the new plant, certain tooling, certain operating supplies, the filling, the coolants, etc ., in the plant as well as certain onetime expenses for tooling for e -mobility, which we have been able to beautifully absorb because of the better gross margin.

Raghunandan: What would be the sustainable rate here for other expenses? I mean, going forward, what would be that onetime impact, which would not be there next quarter?

Hardevi Vazirani: I think we have been able to manage overall in the usual range that we show quarter -on-quarter, and we will be able to maintain that as we go forward in the year because these are the fixed costs and those will be absorbed with the double -digit growth . So, we don't foresee any further hiccups in the coming quarters.

Raghunandan: Got it, ma'am . So, also congrats on the commencement of series production of e -axle, which you commenced last quarter and now you have started the Phase -2 investment or CAPEX . Can you indicate how do you see the progress on ramp -up and considering that you have a lifetime order size of €300 million, what can be the annual revenue run rate for this particular project? And how do you see the domestic and exports shaping up?

Harsha Kadam: I sense there are two questions within that one question that you asked . So, let me take the first part first . So, to answer to €300 million, which we had projected and how is it going to ramp up?

Well, as you know, it all depends on the vehicle that is launched already. And we are already seeing good response in terms of our series supply, which we have already started is an indication that the vehicle is doing well.

However, for me to give you a number, it is pretty challenging now because we will have to wait and watch how the vehicle performs in the market. That's number one. But the other question I was unable to grasp, you referred to exports.

Raghunandan: Yes. I was trying to understand would there be an export opportunity also for this e -Axle component you would have?

Harsha Kadam: Sir, as of now, we haven't , we are clearly

ly focusing on the Indian market because this is a market

that is waking up . So, our entire focus is on how do we leverage and grow the e -mobility business in the Indian market space.

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PUBLIC Raghunandan: And just the last question. The press release and your opening remarks, you indicated to efforts on localization and the efficiency measures. Can you indicate the current localization share? It was 76% last quarter. Would you be able to achieve 80% by end of '25 or in '26? And sorry, I am just adding the last question again on the Shoolagiri plant what would be the revenue potential for the series of investments you have done ?

Harsha Kadam: We couldn't hear your last part of the question.

Raghunandan: I was just trying to understand for Shoolagiri plant, whatever investment has been made so far,

how do you see the revenue potential for that?

Harsha Kadam: So, on the localization front, certainly with the good demand coming on the export side as well, we were consistently focusing on making the products here. So, yes, you are right, we were in the range of 75 %- 76%. And I am happy to say that in the second quarter, the same number, we were able to take it up to 78% and above.

So, currently, we are in that range of 78 % - 79%. And we will continue to keep that focus because the localization is definitely one of the important prerequisites to compete in the Indian market, yes. So, that will continue to remain. And the second question was on...

Hardevi Vazirani: On the revenue increase.

Raghunandan: Revenue potential for the Shoolagiri plant, would you be able to, on the investments which have been done so far, what would be the kind of gross asset turnover you look forward to?

Hardevi Vazirani: I am afraid, I mean, we don't link necessarily every plant -wise revenue performance because there are interdependencies, there are processes which are done by one plant for the other plant.

So, at this point of time, at least we will not be disclosing on the revenue potential for Shoolagiri.

Raghunandan: Fair point, ma'am. I will fall back to the queue.

Moderator: The next question is from the line of Harshit Patel from Equirus Securities. Please go ahead.

Harshit Patel: Sir, my first question is on our Automotive Technologies segment. We have been consistently outgrowing the overall industry level volumes when it comes to PVs, CVs, tractors, etc. So, could you provide a broad breakup of the revenues into these 3 or 4 larger segments? So, has this mix changed significantly in the last 3 to 4 years? And how do you see this mix evolving over the medium term?

Harsha Kadam: Yes, Mr. Patel, thank you for your question. We normally track in terms of the portfolio of products that we play in. And all I can tell you is to give you a specific split, may not be appropriate, even some of the areas that talk about mobility have nondisclosures at the customer's end, which is binding us not to share specific details about what revenue we generate. So, much as we would love to, we are a little tied down because of the NDAs that the customers have insisted on signing.

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PUBLIC Harshit Patel: No problem. Sir, secondly, you have previously mentioned that in the PVs, our content per vehicle has reached as much as €50 at present. So, how much this number would be for CVs as well as LCVs at present? And how has this number improved over the years with our newer product offerings and the business wins that we have been consistently generating?

Harsha Kadam: Yes. Just to throw some light, you talked about CVs and LCVs. So, let me just talk about that. Yes, our content per vehicle there was somewhere in the range of €50 to €60. Actually, we were lower. In commercial vehicles, we have started to increase our offerings there. LCVs in particular, we

have been doing well. So, I must say we should definitely be in the range of €60 to €65 plus.

Even on the passenger car, it is the same story. With hybridization coming in, definitely, our content per vehicle also has gone up there. What we do not have, not yet have started to measure is the content per vehicle on the electric vehicles, obviously, because we need that necessary volume to come out still. So, we have not started the measurements there as such.

Moderator: The next question is from the line of Balasubramanian from Arihant Capital. Please go ahead.

Balasubramanian: Sir, with gaining traction in EVs, how we are balancing R&D investments between ICE products and new EV technologies? And secondly, we are supplying components for hybrid platforms to Japanese OEMs. Are there any plans to expand localization for other global OEMs? And what is the CAPEX allocation for hybrid and EV components?

Harsha Kadam: So, there were 3 questions. So, the first one was about?

Balasubramanian: R&D investments between ICE products and new EV technologies.

Harsha Kadam: Thank you, Balasubramanian. So, India is a pretty different and challenging market with all the technologies coexisting today. You have the gasoline engine. You have the hybrids as well as the pure battery electric vehicles as well. So, that said, we have a pretty vast portfolio of products, which can cater to all the 3 application segments.

Now that said, we continue to invest and we will continue to invest in the gasoline sector. Why am I saying that? Because in India, we definitely still see some CAGR growth happening year after year. And so it is pertinent that we continue to leverage the growth that we see in the gasoline segment, yes, to stay relevant in the market. So, we are investing there as well, whether it is to do with, I just said about the lash adjusters that we have won.

So, we have invested in production lines for hydraulic lash adjusters and some of the other products. We have already started to also produce for the hybrid powertrains with the Japanese for the Japanese customers who are the prime movers in the hybrid powertrain technology in India.

So, we have already got the businesses. We are producing these products from our Hosur plant,

and we have started to give to them already. Talk about the electric e -axes as well. We have started to invest as well as produce here from Pune.

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PUBLIC Now when it comes to the R&D, we already did have the R&D infrastructure in place for the gasoline engine portfolio, plus we have a strong support that comes from our headquarters in Germany when it comes to R&D. That said, even for the hybrid technology, definitely, that competence is now here in India as well as we get the ample support coming in from Germany. For the e -mobility side, we were not having 2 years back any competency, but over the last 2 years, our consistent focus in terms of building those capabilities and competence, hiring the perfect , the right kind of talent to deliver those kinds of technologies in terms of R&D has been invested in India as well .

So, rightfully, today, I don't see any reason why in India, we cannot be able to develop many of the requirements in any of the three spaces that I already talked about.

Last but not least, we also now have the electronics and the capability to talk about the sensors, the controllers, and this is coming through the Vitesco portfolio of products, which is also available to us. Yes .

So, we do already have the competencies in India to do as the technology matures, and Germany definitely is way ahead of us in terms of the faster new technology adoption. We will bring the relevant competence development here in India as the need arises in India.

Balasubramanian: Sir, on that you can share details about CAPEX allocation for

hybrid and EV components. I

think you mentioned about €500 million over 5 years timeframe CAPEX . We are also supplying hybrid platforms to Japanese OEMs. And any further target to supply other global OEMs ?

Harsha Kadam: We are working with many other customers here as well on e -mobility platforms. We have some breakthroughs and success. But the thing is, as I already mentioned earlier, that a lot of it is we are bound by the non -disclosure agreements with our customers. So, I am afraid at this point in time, we will not be able to reveal what these projects are.

We talked about the Tata Motors Harrier e -Axle because they have officially gone public on it, and we were given the permissions to talk about it, whereas for those projects which we are working on, I am afraid we are bound by the NDA.

Balasubramanian: Sir, industrial bearings majorly dominates for exports . So, is there any plan to diversify the export product portfolio, especially high -margin segments like automotive technologies?

Harsha Kadam: Sorry, I didn't understand your question.

Balasubramanian: Sir, I will make it simple. Is there any plan to diversify export product portfolios?

Harsha Kadam: We have been considering investing in India to manufacture products both for Indian requirements as well . So, when we talk of localization, the same capacities we utilize to also feed the rest of the market. As the demand comes in, we are able to leverage the capacities we have here in India based on the localization strategy that we have been pursuing in the past years.

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PUBLIC So, that remains . And the main portfolio is bearings . So, there are more and more new bearings that get added to the portfolio of local production here in India . So, that we will continue to do.

Hardevi Vazirani: There is limited scope that the automotive manufacturers of the world, they usually prefer the locally produced parts in their respective countries . So, it has very limited chances, I would say, opportunities for us. And t here are a few areas where we have plans to export, but it would not be as big as it is currently for industrial.

Harsha Kadam: Correct.

Moderator: The next question is from the line of Rishi Vora from Kotak Securities. Please go ahead.

Rishi Vora: Just first, one clarification on the CAPEX numbers, which has been guided by the parent. Does it also include the Vitesco India's CAPEX as well for the e -mobility solutions or the CAPEX number which the parent has stated is going to be done by Schaeffler India only?

Harsha Kadam: Well, this investment is for India, and we have been talking about these investments . As you know, since the last few years, we have been consistently investing and it is all about Schaeffler India Limited. Well, any investments that come out there as well, I am sure you will get to hear it.

Rishi Vora: So, this number is specific for Schaeffler India entity. Understood. And secondly, on the quarterly numbers, just on the Industrial segment, if you could give us some color on how the trends have been, especially across railways, wind and other raw materials related industries where we have seen growth and where the growth rates have been slightly moderate?

Harsha Kadam: Well, I did already touch upon the railway business, which has done pretty well in the quarter, correct, as well as the off -road and also the power transmission business, we have seen some

strong uptick in terms of our sales because the demand was there as such.

As you know, the railways, what we see is the transformation happening in terms of moving away from the tendering process more to privatization of manufacturing coaches. So, that too is kind of helping us because we are able to compete with the technology and the quality that we offer when private players are coming into play. And that is enabling us to also do better

in the railways as a sector.

Talk about wind, yes, in the second quarter, the wind production equipment of wind turbines in the country, definitely, there was an increase, but since we had to build up stocks, so we had already generated the sale in the first quarter of this year.

So, the second quarter, wind, obviously, you will not see it adding significantly to the same growth numbers in terms of the equipment production numbers of the wind because we had already supplied in the preceding quarter already the quantities that our customers needed. But all in all, we have seen good demand and good uptick come in. Some of the product portfolios within the automotive space as well, we have seen a good uptick.

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PUBLIC So, unlike even though in this quarter, in the second quarter, we did see sluggish production numbers from the automotive passenger vehicle segment, particularly, but some of the product portfolios because of what we had already, these were new businesses that we had secured and they were ready to be start of production and supplies were already in place.

So, we have been able to post a much better number than the market growth because of our continued focus on not just acquiring new businesses, making sure that we realize those businesses.

Rishi Vora: And just last question on the e-axle business. Can you give us some color on what can be the potential content just from this product in the future? Not talking specifically about the current supplies to the customer, but in general, what can be the potential content for this product, e-axle?

Harsha Kadam: Just to seek clarification, when you say content, do you mean the content per vehicle? Or is it what goes...

Rishi Vora: Value of the component.

Harsha Kadam: Well, as I said earlier, these are things I am not at liberty to disclose now because of the NDAs we have in place.

Moderator: The next question is from the line of Mayank Bhandari from Asian Market Securities. Please go ahead.

Mayank Bhandari: Sir, just one clarification on the Shool agiri CAPEX number that you have given of INR. 330 crores. So, this INR. 330 crores, how much was done in last year and how much we are doing this year?

Hardevi Vazirani: So, most of it was done last year. This year, it is close to INR. 40 crores - INR. 45 crores so far.

Harsha Kadam: Which is I think machinery, building.

Mayank Bhandari: How much of asset turnover we should expect from this number?

Hardevi Vazirani: This is a part that currently we cannot disclose.

Mayank Bhandari: And would you be able to share what is the overall capacity utilization or plants are operating at as of Q2?

Hardevi Vazirani: So, our capacity utilization is currently close to 85%. There are different capacity utilization at different plants, but all are above 80%.

Harsha Kadam: See, as I already mentioned, our localization rate has gone up, and we have been able to better leverage the capacities that are in the country, thereby taking the localization rate up to 78%, more than 78%. Clear indication that the capacity utilization in our plants is also at a high level.

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PUBLIC As Hardevi mentioned, it is definitely better than 85%, and we have plants which are doing better than that as well.

Mayank Bhandari: And lastly, on this export mix, would you be able to give some data around or I mean, how much proportion you exporting to your own sister entities and how much directly to the customers?

Hardevi Vazirani: No, all of it is to our sister company.

Harsha Kadam: I think it should be clarified that whatever we say export is all exported to our sister companies across the world, right. That is how all multinationals work, and we too are no exception there.

Moderator: The last question for the day is from the line of Sa

if Sohrab Gujar from ICICI Prudential AMC.
Please go ahead.

Saif Sohrab Gujar: Sir, just on the new Savli plant where a good portion of the investments had gone into over the last 2 years, right? So, out of the constructed halls, what sort of utilization has already happened in terms of the new lines? And what proportion of it would still be left for you to utilize in future? And just on the last part, you highlighted most of the plants are above 80% utilization. Is it true even for the new Savli plant?

Hardevi Vazirani: That is right.

Harsha Kadam: That is right.

Hardevi Vazirani: It is also true for Savli plant as well.

Harsha Kadam: It is true for Savli plant as well.

Saif Sohrab Gujar: And of the constructed area, what sort of lines' utilization would have already occurred, sir, in terms of the installed lines?

Hardevi Vazirani: You mean to say that, so, right now, we have built 2 halls there where we have generation C large-size bearings, wheel bearings and angular contact ball bearings. And most of the lines are actually about 90%.

Saif Sohrab Gujar: And second question, just a quick one on the localization, which is proposed for the domestic content requirement for the wind turbine components, right? Is there an implication for the domestic bearing industry in the sense that is there an imported bearing content which exists, or it is anyway largely localized and doesn't add much to the industry?

Harsha Kadam: Are you referring to the wind segment specifically?

Saif Sohrab Gujar: Yes, on the localization, the domestic content, which is proposed for the wind turbine components, right? So, are the wind bearings anyways localized? Or is there a good, imported bearing market, which can be replaced due to this?

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PUBLIC Harsha Kadam: Surely, as I said earlier, our localization rate is still at 78%, although we have improved over the preceding quarter. So, there are products that we continue to import, not just in wind, for the other segments as well.

So, wind too has a few bearings that we do not make here, considering the limitations of the machines that we have. So, there are clear investment plans in that direction as well to bring in those sizes of bearings to be manufactured here in India, which we today are importing. So, we have a clear plan for the wind as well going forward.

And just to add, I think in the last year itself, more than 27 different types of bearings have been localized which we were hitherto importing these bearings, and now we have started to make them here. And some of it definitely is for the wind segment as well.

Moderator: Ladies and gentlemen, due to time constraints, which was the last question for the day. I now hand the conference over to Ms. Gauri Kanikar for closing comments.

Gauri Kanikar: Thank you, everyone. Thank you for joining us today. If you have any further queries, please do reach out to me or drop me an e-mail at gauri.kanikar@schaeffler.com. Good evening and I wish you a good day. Thank you. We now end the call.

Moderator: Thank you. On behalf of Schaeffler India Limited, that concludes this conference. Thank you for joining us. And you may now disconnect your lines.

(This document has been edited to improve readability)

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Sub: Disclosure under Regulation 30 of the SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015 – Transcripts of Analyst/Investor Meet held on Monday , November 3 , 202 5.

Dear Sirs,

With reference to our letter dated November 3, 2025 , please find enclosed the transcript of the Analyst/Investor meet held on Monday, November 3, 2025 , for your information and records.

The same is available on the Company's website - Earnings Conference Call | Schaeffler India

Kindly take the same on your records.

Thanking you.

Yours faithfully,

For Schaeffler India Limited

Ashish Tiwari,
VP - Legal & Company Secretary
Encl.: As above

07/11/2025

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“Schaeffler India Limited Q3 CY25
Earnings Conference Call ”
November 03 , 202 5

MANAGEMENT : MR. HARSHA KADAM – MANAGING DIRECTOR AND
CHIEF EXECUTIVE OFFICER

MS. HARDEVI VAZIRANI – DIRECTOR FINANCE AND
CHIEF FINANCIAL OFFICER

MS. GAURI KANIKAR – INVESTOR RELATIONS

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Moderator: Ladies and gentlemen, good day, and welcome to Schaeffler India Limited Q3 CY'25 Earnings Conference Call. As a reminder, all participant lines will be in the listen-only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing star then zero on your touchtone phone. Please note that this conference is being recorded.

I now hand the conference over to Ms. Gauri Kanikar from Schaeffler India Limited. Thank you, and over to you, Ms. Kanikar.

Gauri Kanikar: Thank you. Hello, everyone and welcome to Schaeffler India Limited's Earnings Conference Call for the third quarter and nine-months ended September 30th, 2025. We have with us from the management today our ; Managing Director and Chief Executive Officer, Mr. Harsha Kadam; and our Director of Finance and Chief Financial Officer, Ms. Hardevi Vazirani. Like always, Mr. Kadam will first take us through a short presentation on the results, after which we will open the floor for questions.

Thank you, and over to you, Mr. Kadam.

Harsha Kadam: Hello. Good morning to all of you. Harsha Kadam here.

Hardevi Vazirani: Hello. Good morning. This is Hardevi Vazirani.

Harsha Kadam: So a warm welcome to this call today, and I would like to start by taking you through a brief presentation, which I'm sure you must have already kept it open . So let me move on to Slide number 2. Like always, I would like to start with sharing some of the very good and positive news from our side, and that is about receiving recognition s from our esteemed customers.

Now in the quarter, we had two such recognition . One obviously coming from the automotive industry, both of them. The first one is from our customer, Escorts Kubota, and this has been for the best quality products that we have supplied in the quarter for the entire period of last year . The second award is from TAFE, the Tractors and Farm Equipment Limited, another esteemed customer, and this award was given for zero defect supplies of our products for the previous year. Now both these awards clearly reinforce Schaeffler India's commitment to ensure that we continue to deliver value to our customers by way of qualitative products. And this is something we stand committed, and we will continue to pursue on this journey.

With that, I will move on to the next slide, which is going to throw light on the economy and industry. I'll talk a little bit about the business highlights for Q3 as well as nine-months ending 2025. And lastly, I would touch upon the financial highlights for the third quarter and nine-month 2025.

Let me start with the economy and the industry. So, what you see on the slide has been India's economic performance, clearly, the GDP, which had a very strong growth in the first and the Schaeffler India Limited

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PUBLIC second quarter, as you can see on the slide. The Q3 estimates, the firm numbers are yet to come in and the estimates stand at about 6.4%.

Now this growth, what you see is coming on the back of a stable growth from the automotive industry, the automotive production numbers. The index of industrial production did pretty well. What definitely bode well for the economic growth was also the lower inflation rate in the third quarter, which stood at 1.7%.

Talking about the automotive production, if one were to look at the numbers, which I will come to in the next slide, but just to give you a snapshot, the passenger vehicles obviously did show a decline in terms of sales for the quarter at about 1% to 1.5%. However, in terms of production numbers, it was still stable enough. And even the commercial vehicles as such did struggle to grow, marginal growth was posted.

However, what was im

important to look at was the inflation and the key driver being there that the Reserve Bank of India was able to ensure that the inflationary trend was on the southward direction, which is clear here in the chart. That said, this was clearly projected to drive the consumer economy in the country.

One of the highlights of the third quarter was the announcement of the GST reforms. While it did come out, the reforms clarity was given out in the month of September. I guess that the reaction time was not yet there. We hopefully see that in the current quarter are going to see some more better traction in terms of the reforms creating better traction in the automotive industry.

That is something that we believe should start to become visible. With that, clearly, as we can see pretty decent growth in the economic front, although specific areas of industrial did have some ups and downs. While the infrastructure industry did well, cement industry did well, we did have some struggle in terms of some of the segments, which I'll come to in a while.

I move to Slide number 5, and I would like to talk about the core sectoral performance in the industrial space. Let me start with the cement production. As you can see, the cement production this year, each of the months in this entire year, the production numbers have been better, obviously, with a weightage of 5.4%, you can see that the cement sector has grown over the same period last year by 9.6%, pretty good growth, clearly on the back of the infrastructure push from the Government of India.

You see a similar resonance on the growth when you look at the steel production as well, the same trend there, similar numbers coming in at 9.7% growth and steel adding to 18% weightage to the core sectoral growth. Energy, on the other hand, electricity generation, as you can see, did well. However, still not a status, which clearly points that manufacturing sector needs to pick up.

There is a clear focus on renewable energy, which is growing at a faster pace - the coal production, which is just about 0.7%. So all in all, the industrial sector, overall, if you look at the IIP growing at about 4% has been pretty stable growth as always. I move to the next slide, Slide number 6, talk a little bit about the automotive sector performance.

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PUBLIC And this is where it gets interesting, as you can see. Month-on-month, the 2-wheelers, except for 1 month in the month of April this year, I think most of the months have exceeded the preceding month of last year. So it has been a very good performance in terms of the 2-wheeler, in terms of vehicle growth, and it is projected that the 2-wheeler production in the country, both the ICE as well as the electrics would somewhere stand at about 20 million vehicles.

Talk about passenger vehicles, we see a similar trend, although we did have some ups and downs in the second quarter of the year and then a slight pickup in September. We have seen a strong pickup in terms of the passenger vehicles in production numbers. As you can see, clearly, a 4% production, although the sales were down.

I did say that the sale was down overall, fundamentally on the back of the GST reforms coming in late, which created a bit of uncertainty in the market in the consumer minds. So hence, there was a delay we expect that, that should be done with. And in this quarter, in the month of November and December, we believe there would be some strong uptick in terms of passenger vehicle demand in the country.

Coming to the commercial vehicles, you do see, again, a good performance in terms of month-on-month as well as the month on the same period last year, clearly growing at about 6%.

Tractors has begun to see a stronger traction this year coming on the back of better monsoons, although it was a bit delayed and a long protracted monsoons. But

nevertheless, we anticipate

that the tractor performance in the coming months too would be at a much stronger pace.

I move to the next slide, which is going to talk about the business highlights. I am on Slide number 8 and the performance for the quarter. So, on this economic and the sectoral growth, how did we, at Schaeffler India Limited, perform? We have been able to post reasonably good results by bringing in INR2,360 crores into the revenue, which is a clear 13.9% better than the same period last year and a 3.4% better than the preceding quarter of this year.

This also resulted into a strong bottom line performance we saw for the first time, our EBITDA margins, we were able to breach the 20% barrier and which definitely, as you can see, is much better than the 19.7% of the preceding quarter. Now that said, this clearly came on the back of our localization effort.

And I'm happy to say that our localization content has increased to a percentage of 79% in the quarter, which is clearly a true indicator that we are leveraging the investments that we have been making in India for India's growth and clearly aligning with the national agenda of Atmanirbhar Bharat.

Now that said, this has resulted in a reasonably strong free cash flow as well. As you can see,

we were able to bring in INR 223 crores into the system and also resulting in a pretty good profit after tax of 13%, bringing in INR 307 crores into the system. So all in all, I'm happy with the performance of the organization in the quarter. And certainly, there are still some opportunities that we believe can be addressed.

I go on to Slide number 9, and the new business wins has always been one of our key focus areas, and this is something that has kept us ahead of the curve. And to start with in the Schaeffler India Limited
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PUBLIC automotive technology space, as you can see, a number of new businesses in the clutch application, the dampers and clutches for the light vehicles, passenger vehicles and the commercial vehicles as well.

We also had a new business win in the product of hydraulic tensioners in the passenger vehicle segment. And we are still focusing on new business wins, which are in the pipeline for heavy - duty clutches for the commercial vehicle application. All in all, our performance in the automotive space has been pretty good. I must say, happy to see that we have gained some traction in terms of recovering and winning new businesses and recovering some market share as well.

I move on to the Vehicle Lifetime Solutions, which is our aftermarket part of our automotive business. And here, again, while we continue to launch new products, which are the white space products as we call it, we also tried out a new business model, and we wanted to test it. So for the first time, we have launched a lubrication dispensing center, kind of a vending machine. We have started off by installing this in our own plant for our own employees.

And so anybody needs a lubricant, they just drive up to it, and there's a QR code, you just pay it online and then pick up the lubricant for the vehicle and move on. This is a test sample that we have started up. And we have seen a pretty good response to the use of this. What we are doing is also monitoring and tracking the performance of this.

And hopefully, soon, we would be able to bring this out into the open market as well. I move on to Bearings and Industrial Solutions. And the Bearings and Industrial Solutions in the third quarter did record quite significant new business wins and both for the own manufactured product and for the traded products. We did also win a slewing ring business in the off -road segment, although we do not manufacture the slewing rings.

This is something that is manufactured in one of our sister plants in Europe. And we have secured this for the first time in India. Apart from this, of

course, we do have several business wins for cylindrical roller bearings, taper roller bearings for angular contact , for the roller as well as the ball screws, which go into the condition monitoring systems of our industrial lifetime solutions product.

So all in all, our focus on localizing as well as securing new business wins remains high, and this is something that ensures that we try and deliver a quarter -on-quarter performance as well as we move forward. I now move to Slide number 10 and just to throw light on one of the new products that we have launched. We have launched large -size spherical roller bearings along with its cast steel housing and accessories that go with it.

And the accessories include the seals as well as the lubrication system, what you see on top of the housing. And I am happy to say that this was a product line that was not in our portfolio, which we have now brought it to the market. And this is coming out of our Savli plant in Gujarat, clearly targeted to the steel, cement, mining, power plants, pulp and paper industry.

So obviously, it goes without saying that under the product brand name of FAG, this conforms clearly to the X -life standards, which is one of the best performing standards within our

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PUBLIC Schaeffler organization. And this clearly is a direction that we have set out to create , generate and enhance the value that we add to our esteemed customers out there.

With that, I would move to the financial highlights. Moving to Slide number 12. I did already talk about the total revenue coming into the quarter, INR 2,360 crores, which was a clear 3.4% better than the preceding quarter and a 13.9% better than the same quarter last year. If one needs to understand where did the growth come from, I draw your attention to the revenue bridge.

What you see there is the maximum contribution in terms of the growth has come from the automotive industry and the export business. Marginal growth came in from our Vehicle Lifetime Solutions. We saw some lower numbers coming in from the Bearings and Industrial Solutions, particularly pointed to one or two sectors.

Clearly, looking at the situation there, if one were to look at the table on the right-hand upper corner, and if one were to look at the nine-month period ending 2025, the Automotive Technologies compared to nine-months of last year has grown at 18.7%. The Vehicle Lifetime Solutions is growing at 10.6%. Bearings and Industrial Solutions growing at 4.1%. And our Intercompany and Exports grew at 27.5%. Although I must point out that our export business was down in the quarter, when compared to the preceding quarter was down 4.5% and so was the Vehicle Lifetime Solutions, which was down 8.1% over the preceding quarter. Overall, a reasonably good performance, I must say. And our domestic business overall grew at about 5%. Surely, there is enough opportunity here still for us to pursue, and we are focusing on growing our domestic business much better than what we have done now. That said, small light on how our business distribution is. As you can see, the Bearings and Industrial Solutions part of our business is the largest at 38%. And our Automotive Technology, which includes both the ICE technology and the electric vehicle technology stands at about 35%. Our Exports continues to hover at about 15% and our Vehicle Life Science Solutions remains at about 12% of the total revenue mix.

I move to Slide number 13, and I did already talk about crossing the milestone of 20% on our EBITDA margin and which we were able to bring in INR 476 crores in the quarter, and that's a clear 6.1% growth over the preceding quarter and 24% better performance than the same period last year. If one were to look at where did this EBITDA come from, while the gross margin improvement contributed INR 148 crores, and we did have some

employee costs, which was

planned already and some of the other expenses that we did incur in the quarter.

Overall, much stronger performance when it comes to the EBITDA. This resulted into a strong profit after tax of INR 306.7 crores coming into the system, the 3.5% better performance than the preceding quarter and 24% better than the same quarter last year. All in all, a reasonably good financial performance, I must say.

But let me throw some light on the other parameters. Working capital to start with, I am on Slide number 14. As you can see, our working capital crept up a bit. It's hovering at about 19%, although it is lower compared to the same period last year, which was at 19.8%; however, this

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PUBLIC is coming on the back of the anticipated demand due to the new GST reforms that have been now put into place. We anticipate the demand to go up.

Hence, we have started to build some inventories to better service our customer needs, and that is the impact that you see on the working capital coming in. Capex is well on track. We continue to keep our promise in terms of continue to increase our localization content as well as invest more into India for India, and that continues.

Our nine month period a percentage to sales, stands at about 4%. The previous quarter stood at 4.2%, and we are at 4%. However, we believe the next quarter, we should be able to continue the investment trend in line with exactly our strategy.

Talking about free cash flow. And here again, we have been able to bring in INR 223 crores of free cash into the system, which is clearly a better performance when compared to the last year same quarter. And I must say we are on a strong footing in terms of cash generation into the company to fund our businesses.

I move to Slide number 15 to give you another snapshot and overall bird's eye view of the nine-month period as well as the third quarter 2025. I already touched upon the third quarter 2025. However, I would like to draw your attention to the 9 months 2025. As you can see, the revenue growth stands at 12.7%, right, which is definitely better than the last year. And our EBITDA margin stands at 19.7%, resulting in an EBIT of 16.2% and a profit after tax margin of 12.9%. I already talked about the nine-month period free cash flow, which is at INR 747 crores coming into the system. All in all, at the capex, we have invested already close to INR 267 crores for the nine-month period in this year. When compared to the previous year, it looks less. As we have been mentioning in our previous investor call meetings, our focus is now on to leverage and sweat the assets that we have already invested in.

I move to Slide number 16 to throw a snapshot on the overall Schaeffler India Limited stand-alone results as well as the KRSV Innovative or the Koovers business and then talk about the consolidated result as well. So, while Schaeffler India Limited stand-alone was INR 2,360 crores, KRSV Innovative Auto Solutions, which is our e-commerce platform, brought in INR 74.8 crores in the quarter.

So that leading to a consolidated result of INR 2,434.6 crores for the quarter. EBITDA, I did already talk about as Schaeffler India Limited at 20.2% in the quarter. KRSV, we still have to break even on the profitability front. It's at a negative 14.7% EBITDA and minus 16.7% EBIT. So we still have some months to go before we break even on the KRSV performance as such.

We have a clear plan as to what needs to be done to reverse this trend and the actions are well underway as I speak.

And we very soon hope to see a positive performance coming out from KRSV as well, which would definitely continue to further add value to all our stakeholders. That said, I move to my last slide, Slide number 17. So, our promise, commitment and drive to grow our business by double digit continues. We s

tay on track. And operating margin definitely was better due to the volume as well as the fixed cost absorption.

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PUBLIC The proof of that is our localization rate going up better than the preceding quarter to 79% and a continued improvement in the financial management with all the measures that we have put in place. And as we move to the last quarter of the year, calendar year, and we believe with the GST reforms coming in, there is optimism at the end of the tunnel, so to say. We believe we will continue to see some stronger traction in the automotive industry, which is going to help us to deliver overall better results even in this quarter. On that note, I hand this over to you, Gauri.

Gauri Kanikar: Thank you. We can now begin the question -and-answer session please.

Moderator: Thank you. We will now begin the question and answer session. The first question comes from the line of Nitin Arora with Axis Mutual Fund.

Nitin Arora: Many congratulations on, again, double -digit growth. Sir, just on the automotive, you talked about GST impact for the passenger vehicle going forward. Just want to get a sense that any of your OEMs are asking you to increase the production capacity given so much what OEMs are talking about so much demand coming back.

Can you throw some light that are they asking you to up your production schedule more than what they normally do before the GST cut? If you can throw some light on that, on the articulation just to get a sense, how much is it sustainable on the production side? And second, sir, your margins have been very steady over the last so many quarters, and there has been an improvement in the last 3, 4 years.

And I just need one comment because you commissioned a lot of plants as well in the last 2 years. And given tariff uncertainty, you still delivered on exports as well as domestic side. Do you see any scope here where cost absorption is more and once you keep growing at double digit, there are levers for taking the margins ahead? Those are my two questions?

Harsha Kadam: Thank you, Nitin. Let me take the first question. Well, we've been talking to a number of our OEM customers and what we hear and see is they are bullish about the demand that's going to come up in the coming months as such. Obviously, the GST reforms is one of the triggers or the catalysts for this to happen. And this is being watched by a lot of automotive customers that I have personally met and talked to.

However, we did not see the traction coming in because, as you know, the GST reforms came in only in the month of September, which gave very little time for the customers to switch. So you did not see the same impact from a vehicle sales point of view. But from a product point of view, definitely, we foresee that there's going to be a stronger traction, and this is already worked by our OEM customers.

Coming to the second question on the profitability sustenance. Well, your wish is mine as well that we can continue to grow better every quarter. Yes, we have done the right things by investing and bringing in capacities into India, and our focus is on leveraging those investments, sweating the machines that we have put in place so that we try and now start to generate the value that these equipments are supposed to generate .

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PUBLIC So that's going to remain our high focus area. While we do that, we will continue to keep the focus on growing both our domestic business, which is the most critical part of the business. As you know, close to 85% is our domestic business. That remains a high focus area for growth. Hence, the slide that I showed to you about the new business wins, all the new business wins that I showed to you are on the domestic side of the business in India.

But however, we would not want

to lose any opportunity that comes our way to continue to meet our export customers who are out there as well. So clearly, we're going to focus on all areas of growth wherever the opportunity is presenting. And we hope that we can continue to deliver better profitability results than what we have been doing. That's clearly our intent as well.

Hardevi Vazirani: And just to address your question on intercompany double -digit growth, we have to be mindful of the fact that this double -digit growth that we see this year is on the base of last year being low. We had built the capacity already in past year. And last year, due to geopolitical situation, we had seen the order book to be low for Intercompany Exports, which has come back this year. But every single year, double -digit growth can happen only if Europe and Americas are also growing double digit. So we are always cautious when it comes to intercompany projections into the future years. This year was good because of the base being low. But having said that, if this level of growth continues, then yes, fixed cost absorption is better because capacities are in place to cater the local demand as well as the export demand. Did we answer your question?

Nitin Arora: Yes. Actually, the question was more is once that growth comes back because, obviously, as you said, the U.S. and other demand has to come back. But generally, there's a lot of cost also you have incurred, right? You said the capacity utilization is still less. So the question was more on the direction that once the growth again keeps picking up, your margins ideally should start going up. But I got the direction what management is trying to say. So thank you very much.

Moderator: Thank you. Next question comes from the line of Mukesh Saraf with Avendus Spark.

Mukesh Saraf: Congratulations on a great performance. Just looking at your segmental performance, the Bearings and Industrial Solutions segment from a growth in first quarter came down to a low single -digit growth in second quarter and now a decline in the third quarter. So just trying to understand, should we read something structural here with respect to, say, weakness in the private sector capex or is it just one or two sectors? I think you did allude to a couple of sectors probably not doing too well. So is it like just one or two sectors pulling the whole thing down? Could you give some more sense on this?

Harsha Kadam: So, it was on the B&I S, right? Which sectors did well and all.

Mukesh Saraf: Yes. So I mean, I'm just seeing a trend over three quarters. First quarter, the growth was a good strong double digit. Second quarter came down to a low single -digit growth. And then now third quarter, it's a decline Y-o-Y. So I mean, just trying to get your sense on this?

Harsha Kadam: Some of the sectors within the industrial business operates is we have project -based business. So you would have the customers executing or even seeking the products in that quarter for a

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PUBLIC project that gets executed the next succeeding quarter. So there is always a timing difference when it comes to project -based businesses.

So those sectors, wherever we have the project -based businesses would continue to see the up and down, the seesaw effect would come in definitely. And we have seen that happen as well.

Take, for example, even the renewable energy sector, which is the wind energy, we have seen the same thing happen. So it is not like overall, the market has come down, but it is just that it's a timing issue when it comes to execution by our own customers.

That's how I would put it. There are a few sectors where definitely we want to see traction happening, railways for one, again, it's tender -based. So as the tender comes out, it would come up. More tenders would get released in a certain quarter, but not the same

in the preceding quarter.

So this is one of the reasons why we see the ups and downs happening within the month as well compared to the preceding month. So we do definitely see this trend in the industrial business, which is very unlike the automotive business, which is kind of pretty set, very well with schedules.

Mukesh Saraf: Right. But there is no concern that you have on general private sector capex in the country because of which this segment for you might kind of remain weak for some time?

Harsha Kadam: Not at all. If you see the industrial growth in the country, it's averaging about 4.5%, and it continues to do so every year. So the pace has remained the same. It's just that, I guess, it's more to do with the timing.

Mukesh Saraf: Timing. Got it. Got it. And second question is on capex. Now that we are coming close to the end of this calendar, if you have some sense on how our capex next year is going to look like because obviously, the parent had commented that India will do probably EUR 500 million of capex over a 5 -year period. So that's a very big number in terms of annualized capex. So any sense on how the capex next year would be? And probably if you could call out a couple of key focus areas for this capex?

Hardevi Vazirani: So, the capex activity, as we see this year, we were focusing on capital efficiency because we did significant amount of investments in the last 3 years. But in coming years, not immediate next year, that means in 2026, we will be doing better than current year. However, the pickup will come from 2027 onwards.

Mukesh Saraf: Okay. Understood. And just lastly, your auto sector, I mean, you also had called out the automotive technology sector growth is very strong, 28%. If you could give how much of EVs

is there in this? Because I think this would be the first full quarter of the e -axle revenues that you had. If you could give because globally, I think you do give a separate number for the EV revenues. Just trying to check if you're going to give that here for the India business ?

Hardevi Vazirani: So I'm sorry. I mean, EV being a single customer, we are still not disclosing the numbers separately as agreed with the customer.

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PUBLIC Moderator: Next question comes from the line of Abhishek Ghosh with DSP.

Abhishek Ghosh: Just continuing on exports, ma'am, is the growth only because of base or is it also because of some bunching up of orders that has happened? And how should one look at growth for CY '26 because base would have caught up. We also have the tariffs getting levied. So in that light, just your thoughts there?

Hardevi Vazirani: Intercompany Exports, mainly it is due to the low base because the economies outside India have not grown significantly. It is only 3% to 4% growth. So mainly it is due to the low base. And if we talk about the tariff situation in Americas, it is still not impacting us because we still see the solid order book from USA.

Harsha Kadam: I think if I may add here. So our exports to U.S. is not a very big business for us. But interestingly, what we have seen is that the order books are still strong. I think the reason for that is because the tariff gets implemented at the point of sale, not here. So, for us we have not seen any slight or any reduction in the order books for the exports to the U.S. market. Although even though it's not very big, we just do about INR 100 crores in the full year to U.S. That's about it.

Abhishek Ghosh: Okay. Sir, the other question is you've spoken about a lot of new wins in a couple of segments. So just wanted to get your understanding around is Vitesco playing a part there? And how has been the integration of Vitesco in new order wins? Does that improve your overall margin profile because you classify as maybe a higher tier vendor there? Just your thoughts on that, sir?

Harsha Kadam: So while we continue to get the new business wins and whatever new business wins I showed on the slides, they are purely coming from the Schaeffler India Limited entity. However, the Vitesco portfolio as well, we are pursuing and now that we have one big team, we are definitely doing the same approach there, and we are winning new businesses there. However, we are not reporting it under the Schaeffler India Limited because that is still as a stand-alone different company.

Moderator: Next question comes from the line of Mahesh Bendre with LIC Mutual Funds.

Mahesh Bendre: Sir, my questions have been answered.

Moderator: Next question comes from the line of Raghunandhan N.L. with Nuvama Research.

Raghunandhan N. L.: Congratulations on strong results and recognitions from customers. My first question was on e -axle. Earlier, you had indicated that the lifetime order book is EUR 300 million. Generally, what is the duration when you say lifetime? And also, is there a ramp -up phase or will the revenue be evenly spread over the lifetime?

Harsha Kadam: Okay. Yes, the number that you mentioned is exactly what we have. And to come to the second part of your question, is this evenly spaced out? No, it is not. Fundamentally because it all depends on the customers' ramp -up plans. So we align our supply plans in line with the customers' ramp -up plans, okay? Beyond that, I will not be able to disclose any numbers because we still have an NDA, which is very active with our customer.

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PUBLIC Raghunandhan N. L.: Got it, sir. And last quarter, localization was at 78% to 79% in Q2. How is it expected to trend in Q3 and beyond? And especially with the product portfolio expansion, which you have indicated in the BIS space?

Hardevi Vazirani: For Q3, also it is at 79% and the target is to move towards a direction of 80%, whether it will happen in Q4 already or in next year, that is to be seen. But currently, we are at 79%.

Raghunandhan N. L.: Would the GST reduction help in gaining market share further in the replacement market, especially from the unorganized space? And what would be the share of unorganized in market currently?

Harsha Kadam: GST reduction, obviously, is going to benefit our customers fundamentally because the price of their vehicles on the market, they have the potential to revise it downwards and, hence, create more traction for growth. Will it help us to gain more market share? Well, that is something I cannot say at this point in time. However, volume growth definitely would be one of the outcomes as our customers' production volumes go up.

Moderator: Next question comes from the line of Harshit Patel with Equirus Securities.

Harshit Patel: Sir my first question is a few quarters ago, the parent has stated that they would be shifting a clutch manufacturing line from a U.K. -based plant to our Hosur plant. Has this shifting completed? And if yes, then whether it contributes to our domestic revenues or the export revenues?

Hardevi Vazirani: So, the relocations that are taking place from Sheffield U.K. are progressing as we speak. And very likely, we will see the outcome of that in the form of revenue and intercompany towards the end of this year and early next year. So currently, the installations are in process.

Harshit Patel: Understood. But we will also export these classes, right? This is not only for the domestic sales?

Hardevi Vazirani: 80% of it will be domestic. Rest of it will be for export. It was due to our capacity constraints that we have shifted this line.

Harshit Patel: Understood, ma'am. Secondly, could you give us a sense on the localization of bearings portfolio in India? While as you mentioned, overall localization levels were around 79% for the third quarter, and we aim to go more than 80% going ahead. So within that, how does the lo

calization

vary between our automotive portfolio and the bearings portfolio? So if you can give some sense on that, that will be helpful?

Hardevi Vazirani: So automotive, as Harsha has been mentioning that automotive is always higher localization because the auto OEs prefer the suppliers to be closer to their plants. So of course, in our case, also, automotive localization is in the range of 85% to 90%. And industrial because of several projects and sometimes the volumes not being so high, it is almost 40% is imports. So on bearings and all, 40% is imports.

Moderator: Next question comes from the line of Himanshu Singh with Bank of Baroda BNP Paribas Mutual Fund.

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PUBLIC Himanshu Singh: Sir, just an observation that the traded goods has been increasing from the last two quarters from 16.6% to 19.8%. And despite that, we have seen our margins improving. So like what has led to that and like both on the trading goods and the margins and how sustainable it is? Because our bearing business is kind of sluggish compared to the other businesses, while as bearing has a high margin. So what is improving the margins and why the traded goods are increasing?

Hardevi Vazirani: There seems to be some misunderstanding because traded goods, our localization has increased compared to last year by 3% points. So traded goods actually is reducing. That means the sale of traded goods is reducing. If you can tell me specifically which slide you are referring?

Himanshu Singh: From first quarter to third quarter. So first quarter this year, it was around 16.6%. Now it is around 19.8% is what I can calculate.

Hardevi Vazirani: Just give me a minute. What I will do is because the numbers that you are mentioning are not fitting to the localization that we announced, I will ask Investor Relations to get back to you.

Himanshu Singh: Okay. Sure. And on the margin side? So we are seeing the industrial business kind of growing at a very low rate or even declining, but the margins are improving. So what is leading to that?

Hardevi Vazirani: Because if I consider YTD vis-a-vis last year, we have grown by 12.7%. And the overall volume growth is significantly high, which is leading actually to fixed cost absorption in the plants like personnel cost, depreciation, energy costs, etc. So it is better absorption of fixed costs.

And in addition to that, if we look at the growth that is happening in intercompany is also leading to the better capacity utilization of the lines, which were unutilized or underutilized last year. It is on account of intercompany as well as overall double-digit growth in domestic market.

Moderator: Next question comes from the line of Rishi Vora with Kotak Securities.

Rishi Vora: My first question is just a clarification. On the replacement segment, the GST rate on bearings was always at 18%, right? So over there, there is no change?

Hardevi Vazirani: That's right.

Harsha Kadam: That's right.

Rishi Vora: Understood. And just secondly, on the e-axle side, can you give us some indication on where is the localization today, which of the components we have already localized and any part towards achieving higher localization? We'll be looking at the volumes, but any other factor at play, which you'll be considering in improving the localization of that segment?

Harsha Kadam: We are localizing it exactly in line with what we have agreed with our customers. And unfortunately, we will not be able to share those details because we are bound by the NDA from our customer on the localization as well. Yes. But definitely, we are on track, and we have started to localize. We'll continue to make those investments appropriately, we are doing.

Rishi Vora: Understood. But any color you can give at component level, not by value, but component which we have localized and which we have not?

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PUBLIC Harsha Kadam: I'm afraid I cannot do that now.

Moderator: Mr. Vora, are you done with your question?

Rishi Vora: Just one more question. On the Industrial segment, can you just give us some color on which segments did well during this quarter and which did not -- which witnessed a decline? Any broader color would be helpful?

Hardevi Vazirani: Other than the timing difference in wind energy, all have done a positive.

Harsha Kadam: Yes. The wind, Industrial Automation did very strong. 2-wheelers did very well. Off-road did very well. Railways, too. So even Distribution did pretty good. Except the wind, which had the timing issue, as I said, and a few project-based businesses.

Moderator: Next question comes from the line of Balasubramanian with Arihant Capital.

Balasubramanian: Sir, on the KRSV side, it's been reported usually negatively margin, nearly 14.7%. What is the specific time bound plan to achieve breakeven? Is that current gross margin the primary issue or that SGA costs are too high for the scale? And what are the initiatives you have taken to achieve breakeven? These are my first questions?

Hardevi Vazirani: So far as this e-commerce platform, Koovers that we acquired in 2023 Q4 is concerned, it is a start-up. And the focus currently is on expansion of its dark stores and hubs. And thereby, we see this year, we are actually in line with the plan for the top line. So far as the bottom line is concerned, the cost absorption is still because of the expansion, after expansion.

And like any other start-up business, the breakeven is expected in fourth or fifth year of acquisition. So we don't expect any time soon that the breakeven will happen. It will happen likely in 2027. Until then, we are only trying to improve the operational efficiency and thereby reduce the operating losses.

Balasubramanian: On the Bearings and Industrial Solutions side, I need more clarity because the revenue was flat in Q3 despite significant wins in cement and raw material side. What is the core issue here? Is this competitive issue, intensity or slower project rollouts or portfolio mix issues are there? And what is the strategy to reignite growth in this historically stable segment?

Hardevi Vazirani: Harsha earlier also mentioned that some sectors of B&I are project-based, some are tender-based. So there are always timing differences. The market, the industrial market has grown by 4% to 5%, and our YTD growth is also in line with that at 5%. So we don't expect any degrowth or any structural issue here. It is only depending on when the railway tenders are issued or when the wind energy projects are realized and so on. Harsha, you'd like to add something?

Harsha Kadam: So you put a question on our strategy to grow in the industrial sectors. And one of the strategies which Hardevi already talked about is our capacity investments that we have been doing consistently. As you may be aware, our traded business was pretty high in the industrial space.

And we were importing a lot of bearings from other sister factories in Europe to cater to our customer needs in India. And our localization drive, which we have been pushing hard since the Schaeffler India Limited

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PUBLIC last 6 years is definitely yielding the results, wherein we are becoming more and more competitive for these products in the Indian market, which clearly is in the industrial sector portfolio.

So that is one of the key driving strategies for growth in the industrial space for us. Of course, there are others where we have also brought in our lifetime solutions, which are our digital technology tools, which again, complement the bearing as a product that we supply. So we have a clear strategy.

One is to raise the digital content with our offering, expand capacities and

produce locally, which

is our localization. Also launch new products, which is not being produced in India, we have started to produce for the first time in India as well. So we continue to do all the three and keep the focus on growing our market share in each of the sectors with the key customers in those sectors.

Moderator: Next question comes from the line of Mayank Bhandari with Asian Market Securities.

Mayank Bhandari: Congratulations for a great set of numbers. My first question is on this new product that you have highlighted in the presentation. So this is a new line in Savli that you have put up. And if you can highlight what is the utilization currently of the new facility that you had put up in Savli plant? Or maybe if you can also highlight the total utilization of the plant?

Harsha Kadam: First, correction I would like to make here is it's not a new line that we have put up. The machines are already there. They have to be tooled up to produce new products, and that's what we do. Of course, the tooling up would also call for some small investments that we do it. So the point here is to also homologate and validate the product to be produced in India by our customers, and

that kind of continues. So in terms, we have not put up a totally new line here. It's already there, and we are leveraging the capacity there to produce new products as we go forward.

Mayank Bhandari: So what would be the utilization here of the Savli new facility that you have put up?

Harsha Kadam: Sorry, come again?

Mayank Bhandari: What would be the capacity utilization there?

Harsha Kadam: No, I didn't get you, please.

Mayank Bhandari: I'm asking about the capacity utilization of the Savli plant or the new facility that you had put up in Savli?

Harsha Kadam: Yes. In fact, today, one of the highest capacity utilization is from our Savli plant. And I'm happy to say that amongst all the plants that's the best loaded plant today, somewhere in the range of 90%, we are already there.

Mayank Bhandari: Okay. 90%?

Harsha Kadam: That's right.

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PUBLIC Mayank Bhandari: Okay. My second question is on the industrial part again. Just checking, you mentioned a couple of things on wind and railways. So is it like the government spending -related or payment -related issues you are facing because you already highlighted private capex-related things are sorted?

Harsha Kadam: I didn't get your question precisely, please.

Mayank Bhandari: So, if you could highlight, is there payment -related issues from the wind and railways?

Hardevi Vazirani: No, no. There are absolutely no payment -related issues from these sectors. Absolutely, no.

Harsha Kadam: You have seen our cash flow has been strong. So I don't think we have an issue there.

Mayank Bhandari: And in the industrial aftermarket, how we are doing? I mean, because I think we have done pretty well in the last 4, 5 years. Are we continue to do well there as well?

Harsha Kadam: Yes, we have grown in this quarter as well. We have grown in our distribution part of the business, yes.

Mayank Bhandari: Maybe you could give nine-month growth of the individual segment -wise, railways, wind, other sectors in the industrial, that would be helpful?

Hardevi Vazirani: So, all in all, it is in the range of, 4% B&IS for nine months. And it is mainly catered by 2 - wheelers, off -road, rail, wind, et c. So it is catered by all of them.

Moderator: Next question comes from the line of Sachin Maniar with 3P Investment Managers.

Sachin Maniar: Just one question. On the new product launch of large -sized SRB, what will be the market size for the same? And is it complete import institution or even if some competition has this locally produced component or it is completely import substitution product for India?

Harsha Kadam: Well, as I already said, this is ma

nufactured in our Savli plant here in India. So it's completely localized.

Sachin Maniar: And what would be the market size for this product currently?

Harsha Kadam: I'm afraid I can't reveal that right now because we have just launched the product. We have a clear plan to make sure that we increase the sales. I'm sure we'll give you an update in the succeeding investor calls as this business develops.

Sachin Maniar: And do any competition have this product in India or it's completely imported in India?

Harsha Kadam: Yes. Of course, I'm sure there is competition. That's why we also started to make it locally here.

Moderator: Next question comes from the line of Yash Goenka with Awriga Capital Advisors, LLP.

Yash Goenka: My question has been answered.

Moderator: Next question comes from the line of Bharat Sheth with Quest Investment Advisors Private Limited.

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PUBLIC Bharat Sheth: Congratulations Sir, 3, 4 years back, we imported a lot of plant and transferred the manufacturing from our parent company to India for intercompany transfer. So that is right, started playing out very well. So how -- is there further, I mean, room to bring those again back to India?

Harsha Kadam: Is your question, are we going to bring more such production lines to India? Is that your question, Mr. Bharat?

Bharat Sheth: Yes, correct. That's true, sir.

Harsha Kadam: Well, the need arises, two things happen. One, if those products are not going to be produced in Europe. If you look at the automotive market in Europe, the technology there is moving from ICE to electric. So obviously, the machines for the ICE production would remain idle. And here in India, we still continue to grow at 3% to 4% on the ICE.

So it is better to ship those lines rather than going for a fresh investment. I'm sure that every

organization would do the same, and we are no exception to that either, yes. So as the need arises, we will certainly evaluate the availability of such equipment in the -- elsewhere in the Schaeffler world. And we will definitely take those calls to ship them or move them to India if there is a need.

Bharat Sheth: Okay. On industrial side, a couple of years back, we started the initiative to do more aftermarket, I mean, increase the share of aftermarket. So currently, how that is playing out? And what is our share of this new project vis-a-vis aftermarket? And how do we see that, that will be a sustainable growth that one can look forward?

Harsha Kadam: So as you know, see, the point that we made, industrial distribution as a percentage of sales, correct, is more an outcome. It's a denominator-numerator game. So if the sectors perform well, the OEM sectors do well, if that grows faster, obviously, it changes the equation, correct? So while our intent is definitely to continue to keep the focus on the distribution side of the business, obviously, better margins do come from the distribution side of the business. That still remains. We have definitely expanded our reach in the market. That is one strategy we have done. Second is we have brought in new business model so that we have a better control on managing the flow of material across rather than keep inventories with some distributors where it is not required and not have stocks lying where the need is.

So we have tried to optimize that through use of better software tools. There is a lot of investment that we have been doing in the distribution network to make sure that the distribution business continues to play a strong part of our business growth. That definitely will continue.

Moderator: Thank you. Due to time constraints, we take Rahil S as a last question from Sapphire Capital.

Rahil S: Hello. Can you hear me?

Moderator: Mr. Rahil, please speak a little louder we cannot hear you. Mr. Rahil, please unmute yourself and go ahead with your question.

Rahil S: It is unmuted. I am audible?

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PUBLIC Moderator: Yes, you are. Please go ahead.

Rahil S: Yes. Hi, management just one question I like when you're making investments going ahead, capex of any kind, so what is this mainly going to be for? Is it going to be in existing sectors where you're already present in segments or any sort of new categories you'd like to enter and expand your scope of business horizons? And secondly, if you can share any kind of growth and EBITDA margins guidance for the coming quarter and the year ahead?

Harsha Kadam: Thanks, Rahil, for the question. Let me take the first question, and Hardevi can take the second one. So rightfully, we are definitely focusing on emerging sectors as well as the existing sectors. So a lot of investment that we are putting in is also to localize the production rather than continue to import, which we have been doing in the past. And that is to feed the existing sectors. Predominantly, in the bearings portfolio; however, if you look at some of the emerging sectors like the electric vehicles, so rightfully, that's a new sector where we have got business wins already, and we have started to invest in capacities to locally produce the product as well in a phased manner. So both these strategies bode well for us and it is important that we address both of them as we go forward. Hardevi on the EBITDA?

Hardevi Vazirani: On the EBITDA margin, I would avoid giving any guidance because there are so many factors. We are spread across several products and almost 10 sectors. So margin actually depends, which sector plays out how. So at this point of time, we will not give out any EBITDA margin guidance; however, of course, from our side, it is always that we want to sustain the operating performance of YTD.

Rahil S: Okay. Fair enough. Thank you and all the best to you.

Moderator: Thank you. Ladies and gentlemen, we have reached the end of question-and-answer session. I would now like to hand the conference over to Gauri Kanikar for closing comments.

Gauri Kanikar: Thank you, everyone for joining us today. If you have any further queries, please do reach out to me or drop me a note at gauri.kanikar@schaeffler.com. Wishing you a good rest of the day. Thank you.

Moderator: Thank you. On behalf of Schaeffler India Limited, that concludes this conference. Thank you for joining us. You may now disconnect your lines.

(This document has been edited for improving readability)

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Sub: Disclosure under Regulation 30 of the SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015 – Transcripts of Analyst/Investor Meet held on Wednesday , February 25 , 202 6.

Dear Sirs,

With reference to our letter dated February 25, 2026 , please find enclosed the transcript of the Analyst/Investor meet held on Wednesday, February 25, 2026 , for your information and records.

The same is available on the Company's website - Earnings Conference Call | Schaeffler India

Kindly take the same on your records.

Thanking you.

Yours faithfully,

For Schaeffler India Limited

Ashish Tiwari,
VP - Legal & Company Secretary
Encl.: As above

03/03/2026

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“Schaeffler India Limited Q4 CY25
Earnings Conference Call ”
February 25, 202 6

MANAGEMENT : MR. HARSHA KADAM – MANAGING DIRECTOR AND
CHIEF EXECUTIVE OFFICER

MS. HARDEVI VAZIRANI – DIRECTOR OF FINANCE AND
CHIEF FINANCIAL OFFICER

MS. GAURI KANIKAR – INVESTOR RELATIONS

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Moderator: Good morning, ladies and gentlemen, and welcome to the Schaeffler India Limited Q4 CY '25 Earnings Conference Call. As a reminder, all participant line will be in the listen -only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing star then zero on your touchtone phone. Please note that this conference is being recorded. I now hand the conference over to Ms. Gauri Kanikar. Thank you, and over to you, ma'am.

Gauri Kanikar : Thank you. Hello, and welcome to Schaeffler India Limited Earnings Conference Call for the fourth quarter and 12 months ended December 31, 2025. We have with us from the management today, our Managing Director and Chief Executive Officer, Mr. Harsha Kadam; and our Director of Finance and Chief Financial Officer; Ms. Hardevi Vazirani. Mr. Kadam will first take us through a short presentation of the results, after which, we will open the floor for questions.

Thank you, and over to you, Mr. Kadam.

Harsha Kadam : Thank you, Gauri, and good morning to all of you. A warm welcome to this earnings call. I have with me, CFO, Ms. Hardevi Vazirani as well. So let me straight away get into the flow. So let me take you through the brief presentation that has already been uploaded.

So, I draw your attention to slide number 2, and I always begin my presentation with some success stories and success coming from the customer speaks high about the good work that we, as an organization, as a motion technology company have been striving to do over the years. Now that said, I'm on slide number 2. In the quarter, Q4 2025, as you can see, we have been awarded a few awards, three coming predominantly from the customers, one from each of the business divisions that we play in and two of the coming from our CSR effort that we undertake as well.

Let me start with the first award coming from Voith. We were awarded from our industrial customer Voith for the best performance and continuous commitment to excellence, fundamentally coming on the back of zero quality complaints in the last 12 months. This has been a commendable win, particularly based on the fact that we started business with Voith a couple of years back and our commitment to deliver the best quality products remains on top, and we have lived up to the expectations of the customer.

The second award I would draw your attention to is from Eicher Motors. And here again, this is awarded in the aftermarket space fundamentally because of our outstanding contribution in supply chain transformation, wherein we have made investments to ensure on-time deliveries to our customer. And this too has been recognized for our performance in the quarter for the entire year 2025.

The third award is from our esteemed customer, Mahindra & Mahindra. And this, again, is coming for on-time deliveries for the engine systems, which we have consistently maintained month after month, and we were recognized for this as well.

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INTERNAL Moving on, we were awarded in our corporate social responsibility initiative. Doing Good for Bharat Awards, which was held at South Asia's largest CSR and ESG Summit in New Delhi. Now this event focused predominantly on women and inclusion, employability and livelihood, which highlights impactful projects driving social change.

Our project Women Skill Development and NITARA, which was showcased on the 10th of October 2025, reinforcing our commitment to empowering women and also fostering inclusive growth. And the last award that I wanted to share with you has been a consistent winner for us, our water conservation project that Jal Samruddhi won another award under 'Beyond the Fence' category. A

and this was at New Delhi again.

Fundamentally, this is about water absorption trenches, the recharge ponds, the drainage line deepening and check dams that we have invested in building in an added region and also couple that with solar power pumps with drip irrigation systems that we have been able to consistently invest over the years, which has eventually enhanced water harvesting capacity of almost up to a height of 1.04 meters above the groundwater levels. This has impacted almost 2,500 people in the village around, and we are very proud of this corporate social responsibility projects that we remain committed to and we remain focused on.

On that good note, let me now move to throw some light on the economy, and I move to Slide number 4. As you can see from the GDP growth in India, India's momentum reflects a combination of domestic demand resilience, structural reform continuity and a clear growing role in the global supply chain. It goes without saying that the combination of the policy rate cuts, the regulatory relaxation for the banks, and to some extent, even the weaker exchange rates, they all eased the financial conditions in India.

And not to mention, of course, the softening of the income tax and reduction in goods and services tax supported a kind of nascent recovery in our urban consumption, while rural consumption also showed sustained improvement. What is important to note is the inflation, which was significantly lower in 2025, as you can see in the chart down below, the overall average for last year 2025, the inflation has been averaging around 2.2%. And especially in Q4, as we can see, has recorded the lowest inflation ever at 0.8%.

However, the core inflation on higher precious metals inflation, mainly on the gold and silver still remains high. The real private consumption showed a recovery as such. And overall, you'll find that has been a very substantial sound fundamentals within the Indian economy. When you look at the index of industrial production, you do see that in the quarter, there has been a further appreciation to an extent of 5% over the preceding quarter, which used to be at 3.8%.

One of the hallmarks for last year, and that was specifically for Q4 last year, has been the GST 2.0 reform, which has been a big boost for the automobile industry and the government's push which is a landmark step towards simplifying compliance as well as fueling economic growth.

And particularly what this meant for the automobile sector is streamlined tax structures and lower cascading costs in manufacturing and after sales and obviously, resulting in an increased

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INTERNAL affordability for the vehicle consumer. Now that said, overall, the automotive production growth in the quarter has been strong comparatively, which began to see a strong uptick.

Now talking about the Consumer Price Index, the food inflation moderated. The core inflation stayed soft. Energy prices remain stable. Overall, all the indicators contributed to a very sound growth in GDP for the country. I would like to throw some light on the core sector performance. And to that, I ask you to look at Slide number 5.

Now what you see here is the specific industrial sectors. And as you can see, month after month compared to the preceding year, every sector has posted pretty strong improvement and strong productivity growth as well. Cement production has been very strong, which contributes to 5.4% to the economy, has grown 10% overall. Steel production, close to 9%.

Mining and coal have been muted a bit, but still in the positive range. Energy, which is clearly an indicator of the production and the manufacturing activity in the country also has remained stable, has not seen any decline. So, all things considered, performance has been strong in the industrial sector.

And I will to be a little mo

re specific on the automotive sector on Slide number 6. What you get to see is all the sectors have grown strongly, obviously, riding on the back of the GST 2.0 reforms that I earlier referred to.

If you look at the 2-wheelers, as you can see, in the quarter, we had a strong growth month after month compared to the previous year and growing at an average of 8.6% at the annual level.

Passenger vehicles, again, an 8% strong growth. Commercial vehicles, too, which was sluggish last year, has come back and has posted about 8.4% growth rate again. Tractors, again a very strong growth of 17.2%, as you can see. All in all, the biggest beneficiary of the GST 2.0 reforms clearly is a good indicator of a strong rebound in the automotive sector performance.

Now if one were to look at the production numbers that have been registered, passenger vehicles almost have posted a strong growth, at 8%, the export numbers or export sales went up to 16% in passenger vehicles. Look at the commercial vehicles, there, again, it was a whooping 58% improvement for the entire year, January to December in the export market for commercial vehicles.

And talk about 2-wheelers again, where we have seen a 24% increase in exports for the full year compared to the last year. So, all in all, very strong performance on the domestic sales at single digits, 9%. But on the export side, double-digit growth, all attributing, this is something that as

Schaeffler India, we were able to leverage the growth in a very efficient and agile manner, which the numbers as I move into the next slide, will tell you.

I'll move on to Slide number 8, wherein now I want to throw light on the quarter 4 performance.

And as you can see here, the revenue, we closed the quarter at INR 2,643 crores, which was 26.9% better than Q4 2024 and a 12% increase over the preceding quarter Q3 2025.

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INTERNAL This volume growth also resulted in a strong EBITDA, as you can see, bringing in INR 5,056 million and resulting in an EBITDA margin of 19.1 % in Q4 2025 as compared to 20.2% in preceding quarter. So strong bottom-line performance which ultimately resulted in a profit after tax of INR 328 crores in the quarter.

One of the highlights has been the strong focus on free cash flow generation, which, as you can see, we have been able to bring in INR 254 crores into the kitty. This has helped us to also shore up all the spending and the expenses decided in this quarter, which I think I'll share in the subsequent slides on this deck. It has been a pretty sound and good financial performance of the organization in Q4. It has been one of the best performances in the last 4 quarters for the entire year.

Now while the market did enable our growth story, however I would like to attribute that our continuous preparedness in terms of acquiring new businesses also contributed strongly to the growth story.

I draw your attention to Slide number 9, where our sustained business development activity in terms of new business wins, whether it is in the automotive technology space, we did have some good wins again on passenger vehicle clutches and the Dual Mass Flywheels. We had new business wins in the hydraulic cam phases as well. And we also had some clutch win businesses in the light vehicle category.

Even on the vehicle lifetime solutions, we had some strong wins on the front-end auxiliary drive mechanisms and the timing kits for the passenger vehicles. We continued our focus on adding products to the portfolio as more Bharat VI stage vehicles started to come back for repairs.

Lastly, on the Bearings and Industrial Solutions, we did have significant business wins, particularly in the product lines of ball bearings, needle roller bearings in the 2-wheeler sector and in the needle bearings as well. Some of the industrial applications on the spherical, the

4 -

row and the 2-rows cylindrical roller bearings along with the tapered roller bearings, specifically in the cement and the steel sectors as such. So, this has been our endeavor continuously to ensure that we have pipeline of business win coming so that we are ever prepared to capitalize as the demand begins to show more traction.

With that, I now move to the third part of the agenda, which is the financial highlights, and I draw your attention to Slide number 11, revenue from operations. As I mentioned earlier, when you look at the top chart and you look at the 2025 bars, you will find that quarter-on-quarter, we have been able to demonstrate a sustained growth and the last quarter, Q4 has been a significant increase, as you can see in terms of the revenue.

At an annualized level, we have closed the year with INR 9,395 crores as turnover. And if one were to look at Q4, the quarter-on-quarter growth has been 12% and the year-on-year growth of 26.9%. So very strong top line growth has been demonstrated.

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INTERNAL Now where is this coming from? If you look at the table, the bridge below, you will find that the automotive brought into the system, for the quarter, INR 270 crores, aftermarket too, contributing INR 43 crores and Bearings and Industrial Solutions bringing in INR 120 crores.

And our export business bounce back very strongly in the last quarter, and that came in at about INR 128 crores. All in all, helping us to close the quarter with INR 2,643 crores for Q4, which is a clear 12% better than the preceding quarter and a 26.9% better than the same period compared to last year.

Now that said, obviously, our mix, how is that looking now? And as you can see, we still continue to sustain a pretty balanced mix of automotive, OEM business and our Bearings and Industrial business at 35% and 39%, respectively. The aftermarket, too, has performed much better and registered 11% share of the total sales mix, with our exports sustained at 15%, which is exactly in line with our plan as such.

Now that said, I move to the earnings quality slide, which is on Slide number 12. And here, what you see is the EBITDA performance for the quarter, once again demonstrating that every quarter -

on-quarter, we have been able to increase our EBITDA numbers. And as you can see, while at an annualized level, we were able to deliver 19.6%. What you see is a quarter on 6.2% better than the preceding quarter, bringing in INR 505 crores into the kitty.

Now the bridge clearly explained as to where did this come from. The gross margin contributed with a blend of mix and volume effect that is coming in. We did have some expenses related to employee cost and some operating expenses, but all in all, strong bottom-line performance, which has resulted in a strong profit after tax, clearly visible in the third bar chart.

I would also wish to point out that there were some special or exceptional expenses that were coming in, and we have ensured that the impact has been absorbed, impacts coming due to regulatory changes on the Labour Code, which was attributing almost 0.8% for the quarter and which we have already absorbed that in the results that you see. So, with that, despite the absorptions, we have been able to post a strong profit after tax, at 12.4% compared to the 12% of the preceding year, Q4 of last year.

I now move to the working capital and the capex spend on Slide number 13. Our commitment to invest in capex continues. It may look that we are spending lower capex than what was spent last year because we have now started to leverage and ensure the sweating of the assets that we have already invested in last year. So we have judiciously started to adjust our investments in line with the demand and in line with the capacity that we have already installed. However, as a percentage to sales,

we continue to operate at about 4% of sales in the last quarter.

We did have some good control on the working capital management. And in the quarter, we were able to manage and get the working capital as a percentage to sales down to 17.9% in Q4 which is much better than the 19%, which we were there for the same period last year or even on the preceding quarter, which was at close to 19%.

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INTERNAL So that said, I did talk about the strongest performance also has been on free cash flow generation. And as you can see, the year-on-year change in the quarter, 56% improvement in the quarter itself has been a clear demonstration of the effort, sustained effort of the entire team to ensure that we bring in the cash to run the operations in a smooth and an efficient manner.

With that, I move to Slide number 14, which talks about the key performance indicators. And I already talked about the revenue in the quarter coming in and at an annualized level, closing the year with INR 9,395 crores which is a clear growth of 16.3% over the previous year. EBITDA at 19.6%, which definitely is better than the 18.5% that we delivered last year, resulting in an EBIT margin of 16.1%, again, better than the previous year's 15.2%. Profit after tax at 12.7%, it is better than 12.1% last year. And obviously, the free cash flow has been strong as well comparatively in this 12-month period.

I move to Slide number 15, which gives you the consolidated picture of our own subsidiary as well, the KRSV Innovative Auto Solutions Private Limited. KRSV or Koovers as we call it, also has been able to generate a revenue of INR 81.5 crores in the quarter, although we still have some way to go in the bottom-line performance. All I can say is that the performance of Koovers or KRSV is exactly in line with our plan. And at a consolidated level for the Q4, the revenue stands at INR 2,724 crores with an EBITDA of 18.4% consolidated, resulting in an EBIT before exceptional items of 15%.

And with that, I now move to another important subject, which is the dividend payout on Slide number 16. Yesterday, we concluded the Board meeting and the Board of Directors have recommended INR 35 dividend per share payout, which is well within our targeted dividend payout ratio, which we try and keep it between 30% to 50% of the net income. And I'm happy to say that this has been finally approved per equity share of INR 35. And this is something now that will result in the execution of it going forward as well.

With that, I also want to draw your attention to another milestone that we crossed on Slide number 17. I must say that we are extremely proud that we have been now evaluated by S&P Dow Jones Sustainability Index score, and we came out with flying colors and Schaeffler India Limited has been ranked first in India.

And incidentally, Schaeffler India has been ranked seventh globally as well. Now this, to us, is a very important step, clearly demonstrating our focus on our sustainability focus and the ESG targets that we have set for ourselves. And post the evaluation, the overall CSA score stood at 76 out of 100, which was a clear 40-point increase from the earlier evaluation that we did. And clearly, this is very motivating for us.

Looking at all the 3 areas of environment, social as well as governance, we are happy to see that we have continued to establish strong credentials and build confidence in the stakeholder community, and we will continue to work on whatever little gaps do exist. We have clearly identified action plans to that effect, and we will continue to work towards that.

I move to Slide number 18 to summarize, and we continue with a clear double -digit growth momentum, which we have delivered every quarter, and we have sustained that on a much
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INTERNAL stronger footing in the Q4. As a result of which the volume growth, our earnings quality also has improved which is managing our capital efficiency very well and a clear focus on our localization, which we continue to march ahead, and we have managed in the quarter to take up the localization percentage as well.

Capex, as I already mentioned, that we continue to keep the focus and watch the market developments and accordingly keep adjusting our sales when it comes to capex as well as leverage, the already installed capacities that we have put in our plants. I'm happy to say that the last quarter, the capacity utilization in our plants have been pretty robust. And we had all the plants running well above 85% capacity utilization.

And on this note, positive traction in the marketplace, sound footing, the fundamentals being strong, our focus clearly on growth, pipeline generation and managing the cost elements within our operations, we enter 2026, and we look forward to a sustained growth and continue to deliver the strong results that we have much to the expectations of all our stakeholders.

Thank you very much. I hand over the call now to Gauri.

Gauri Kanikar: We can now begin the question -and-answer session, please.

Moderator: We have the first question from the line of Mukesh Saraf from Avendus Spark.

Mukesh Saraf: I'll just get the bookkeeping question out of the way. First, on the other expenses. This quarter, we've seen that rise to about INR 400 crores. Is there any lumpy item that you want to call out within that?

Hardevi Vazirani: Yes. Just give me a minute.

Mukesh Saraf: Yes, sure.

Hardevi Vazirani: For the quarter, that means quarter vis -a-vis quarter, we have other expenses in total, increasing by INR 72 crores. Within these INR 72 crores, we have certain services and true-up of costs for which the bills of the previous quarters were received in Q4.

Mukesh Saraf: Okay. Okay. So there's no one-off as such. It's just a timing of certain costs that are bunching up this quarter?

Hardevi Vazirani: Absolutely.

Mukesh Saraf: Got it. And now on the business itself, we've kind of seen that there's a large plant of the competitor on SRB, CRB for the industrial segment now beginning operations. So, I mean, have you started seeing any increase in competitive intensity, say, for segments like iron and steel, cement, etc, on the SRB, CRB bearings, given localization has increased within the industry. So anything that you could highlight there?

Harsha Kadam: Yes. Mukesh, so rightfully, our strategy is very clear. We keep increasing our localization content, I think last quarter, we reached a percentage of 78%, correct, localization?

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INTERNAL Hardevi Vazirani: Yes.

Harsha Kadam: It was at 78%. So clearly, we will continue on this journey to localize and predominantly, our focus is on the spherical roller bearings, where we see a lot more potential to continue the localization.

So the other part of your question is there increased activity in terms of competition? Well, competition always exists in the market, and we acknowledge the presence of the competition.

However, our focus remains of turning our own growth strategy. We'll continue to do that.

Mukesh Saraf: Got it. Got it. And secondly, your Automotive Technologies growth is quite strong. And I think in the past, you have kind of mentioned that you have decent supplies for strong hybrids. So have we started seeing any benefit? Because I think we've seen one launch, one mass market launch on the hybrid side from a large OEM. And we also noticed that a lot of the other OEMs are talking about a lot more hybrids, say, in the next coming year or so. So one is, have you already started seeing some benefit? And secondly, are you seeing a significant increase in activity levels with respect to hybrid power

trains?

Harsha Kadam: Let me treat that. There are 2 parts to the question. One, yes, we already have a business win on the hybrids, which we have started the series production as well as supplies from our Indian plant. Certainly, there are a few more projects in the hybrid space with some of our esteemed

customers that we are working with, correct. And they have to go through the homologation and the validation process, which is work in progress. I'm sure we will sustain that as well.

Regarding, is there an increased interest from our OEM customers, I guess we will have to wait and watch because, yes, hybrids too have become very attractive for our OEM customers. So while the battery electric vehicles also have seen an upswing, we're also seeing a traction on the hybrid technology. We believe that both these will coexist going forward as well.

Mukesh Saraf: Right. And the CPV, the content for us is higher in hybrid vis-a-vis C&I?

Harsha Kadam: Yes, obviously, because the hybrid technology, what we deliver is at a module and subsystem level. So the value of which is definitely much higher, which obviously raises the content per vehicle. That's number one. Number two, the hybrid product or solution that we offer is an add-on to the ICE engine technology, so it kind of obviously increases our content per vehicle.

Moderator: We have the next question from the line of Abhishek Ghosh from DSP Mutual Fund.

Abhishek Ghosh: Sir, in terms of Vitesco, if you can just help us understand where are we in terms of the integration? Are the benefits of that already accruing in terms of the new wins that you have spoken about?

Hardevi Vazirani: Yes. Can you come closer to the mic?

Harsha Kadam: Yes, you are not so audible, please. Can you repeat that?

Abhishek Ghosh: Is it better?

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INTERNAL Harsha Kadam: Yes, that's better.

Abhishek Ghosh: Sir, my question was around Vitesco. Where are we in that journey in terms of the integration of the operations? Are we already seeing some benefits of coming through in terms of new wins or the margin profile? Just the thoughts on the Vitesco integrations, sir.

Harsha Kadam: Yes. As we already have concluded a merger of the Vitesco, in front of the customer, there is only one brand that is represented and that is Schaeffler. Regarding your question as to whether we have new business wins, of course, we do have new business wins. We have a lot of business wins in the BMS or the Battery Management System, as we call it, particularly in the Battery Electric Vehicle space with a couple of our OEMs.

I think our designs have been approved, and that's something we foresee. So surely, there's a lot of offerings since it's in the electronic and in the hardware space, coupled with the software that we give. I think we are seeing very good response, and we believe that we can definitely leverage the offering going forward. We have started to consolidate and grow our offerings with many other OEMs as well.

So surely, Vitesco portfolio is very complementary to our mechanical product offerings that we have been giving all these years. And we now are on a stronger footing to give a much higher value add to our own customers. And we see that already represented in the new business wins like the BMS that I talked to you about.

Abhishek Ghosh: Okay, sir. That's helpful. Sir, just in terms of the exports, we have seen very strong growth coming in there as well. So is it base catching up? From a particular region, are you seeing good demand from wind or any segment, which is driving? If you can help us with that, sir.

Hardevi Vazirani: I mean, so far as our exports is concerned, the numbers that we report does not have wind in it. Our sales to the wind customers is in our domestic sales who onwards export their products. If we talk only about our own export, we have

seen the growth coming from all the regions, mainly from Europe and Asia Pacific.

Harsha Kadam: Yes, there are 2 parts that Abhishek was asking. One is our own exports to assist our concerns across the globe. Wind since you've touched upon, our own wind business has grown quite significant at an annualized level. We have already grown 17% to 18% over the last year comparatively. Even in the quarter, while the quarter was a little lower compared Q4 over the same period last year was just about 4% growth.

But Q4 over Q3 was still a 15% double-digit growth that we have registered. So a strong performance in the quarter from our wind business. And as Hardevi was already explaining, we don't bracket or categorize the wind sector business under exports. Our customers will be exporting those equipments, but that we don't treat that as export for us, it's a domestic sale.

Abhishek Ghosh: Got that, sir. Sir, one last thing is, you called out your utilizations are north of 80%. How are continuing to grow at a much higher pace. And you also largely in the CY '25, you have moderated your capex. So how should we look at the capex from a 2 - to 3-year perspective,

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INTERNAL given that your parent has also rolled out a 5 -year strategy for you all? In this light, sir, how should we look at it? Will growth get compromised at any point in time because of capacity constraints because your pace of growth is far higher than the underlying industry? So that was the last question.

Hardevi Vazirani: So I will explain your question in two parts. Yes, our capacity utilization is over 85%. However, the plants continuously work on improvement of productivity and OEE through some small measures. So they can still absorb a much better capital utilization. The second part is , yes, we had moderated our capex in the year 2025 deliberately, because we wanted to focus on utilization and capital efficiency. However, talking about 2026, we will be stepping up again to the average of previous 3 years level over INR 500 crores to begin with in 2026, the numbers, which were announced by Mr. Rosenfeld, our Group CEO, are for the period of 2026 to 2030. And beginning '26, you will see the capex scaling up.

Harsha Kadam: Also, if I may add, Abhishek, if you look at our performance, we have strived to always deliver a double -digit growth rate. And clearly, on a midterm frame, as Hardevi pointed out, we want to sustain a double -digit growth rate. If we had to do that, obviously, it goes without saying commensurate with the growth rates. We will have to continue our capacity investments as well. We will continue to do that.

What we want to do is also look at the market dynamics and bringing the appropriate products into India for localization, not do something in a hurry, and then we realize that the market has changed. So it's important that we align our capacity investments in line with the future product demands that are very specific to India needs. So hence, we would moderate at times. However, we might even accelerate at times. You will see this happening.

Moderator: We have the next question from the line of Mahesh Bendre from LIC Mutual Fund.

Mahesh Bendre : I have one question. Sir, India and the European Union is expected to sign a trade agreement shortly, detailed one. So will there be any benefit come on our way?

Hardevi Vazirani: Yes. So surely, there will be benefits coming our way, specifically when we talk about import of raw materials and components, the child part, where we expect. However, further details of FTA are not announced. Currently, we are paying duty in the range of 7.5% to 15% on import of raw material. But the new rates have not been announced as yet. Talking about imports of finished goods, yes, as a group, we will be benefited. But even there, the rates have not been announced. On ex

ports to Europe, the import duty is already in the range of 0% to 2% there we do not see any major benefit or change.

Harsha Kadam: Also, I think it's pertinent, Mahesh, to also factor that some of the component level imports that we do is because we do not have suppliers locally. So while we have strived to localize the development of these components as well. Now with the FDA getting signed, obviously, it is important for us to revisit those strategies as well because if it is now competitive to continue to import the components, should we go for localization. That is something we will definitely take cognizance of.

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INTERNAL Moderator: We have the next question from the line of Balasubramanian from Arihant Capital.

Balasubramanian: Congratulations for good set of numbers. My first question, you've mentioned the wind business growth rate 17% to 18%. But if you look at last quarter, some sluggishness because of timing differences in project -based sectors like wind and railways. I'm trying to understand in the Q4 improvement, it's simply the realization of those delayed projects? And if you could give some update on the railway side. It's only because of the wind or we are seeing improvement on the railway side also?

Harsha Kadam: So Mr. Balasubramanian, you have asked that the right questions . So, if we look at all the sectors that we operate in and do business in, some of the sectors also have a business cycle that are time dependent as well. So in the fourth quarter of last year, for us, the railway and the wind actually posted lower numbers.

But it was definitely not in the negative range. It's better, but then compared to the other sectors, such as power transmission or the raw material sectors or industrial automation or even the aftermarket business, what we see is that while all these sectors registered a very robust growth, there were a couple of sectors, which showed a little weaker growth. And I would say this is due to the timing issue or some of them are tender -based businesses. So tenders not forthcoming. So this is what I would talk about the railways as one of the sectors and the wind energy.

Hardevi Vazirani: I mean having said that, and Harsha said that full year growth was very impressive.

Harsha Kadam: Very impressive.

Hardevi Vazirani: But if we look at quarter -on-quarter change, there are of course, project -based and tender -based timing issues.

Balasubramanian: Got it madam. Madam, my next question, on the KRSV side, we have seen the losses have been

widened nearly 18.3% or 14.7% in this quarter. What are the specific milestones for CY '26 to get a track for 2027 breakeven? And our current strategy is basically store expansion since majorly prioritizing top line growth at the cost out for higher expenses, when will the focus will shift into profitability?

Hardevi Vazirani: So in 2026, you will see that we have done quite a good infrastructure set up on dark store and hub now and this growth will now moderate in 2026. And more focus will be on the channel and product mix from now onwards because we have sufficient dark stores and hubs in place. So, more focus will be on channel mix. We have 3 channels there, wholesalers, retailers and workshops. So we will be balancing our channel mix there as well as we will be looking at the product mix based on different geographies. So, moving forward, you will see that the financial parameters will start improving.

Harsha Kadam: Also, if I may add, the last 2 years, we've been investing in establishing the infrastructure base, which we have done. And now we have a very clear plan when to breakeven. What is important is to stay focused on the services mix that we have, the product mix that we have as well as increase the efficiency of the processes that we have put in place. So the focus is on how do we

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INTERNAL increase the business and sales to happen in each of the locations that we have started to operate in and we have started to keep the focus high on deliverables from each of those places where we have started to invest in.

So the last quarter performance clearly indicates that we are well on track to deliver the numbers.

In fact, we did see some better improvement in profitability as well going forward. I'm sure we will be able to register or sustain the same momentum and deliver in line with the plan that we have set for Koovers.

Moderator: We have the next question from the line of Raghunandhan N. L. from Nuvama Research.

Raghunandhan N. L. : Congratulations, sir, once again for the stellar number. Sir, on the Shooolagiri plant, can you indicate how the capacity ramp -up is expected to pan out in future? If possible, can you indicate the investment in CY '25 and '26 and how you see the capacity utilization in '26?

Hardevi Vazirani: So capacity utilization in all of our plants is over 85% currently. And this year's capex was in the range of INR 375 crores to INR 400 crores. We will be, again, scaling this up in 2026 in line with what we did from 2022 to 2024. So we have continued to invest in capacities for the products which are relevant for market and new technologies that the market is expecting.

Raghunandhan N. L. : Noted ma'am. On relocation of the clutch line from U.K. to Hosur plant, has this reflected in revenue in Q4? Can you indicate the revenue potential for this clutch line in CY '26?

Hardevi Vazirani: So the relocation is done. However, it takes time to lay out the complete lines and then we will see the realization.

Harsha Kadam: Work in progress.

Hardevi Vazirani: Yes. So the full realization we will see in this year. However, still we will not be disclosing the numbers as the order books are being relocated based on the stocks availability at different locations.

Raghunandhan N. L. : Noted, ma'am. On the e -Axle, can you indicate how the progress is happening? How are you expecting the ramp -up to take place for next year, given that you already have a very large order book there?

Harsha Kadam: So let me start on the e -Axle with the numbers that we had projected for 2025. I'm happy to say that we have exceeded those numbers, which is very encouraging for us because we have started to invest in the next phase of localization of the production itself, which is going according to the plan that we have already laid out.

That said, and looking at the -- all customer vehicles winning in the marketplace. We are now seeing more traction for new platforms as well, which we have started to engage with other customers. So rightfully, as and when we have the new business wins that come up, you will get to hear in the future earnings call as well from us.

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INTERNAL Raghunandhan N. L. : On exports, can you indicate how do you see the demand conditions in key geographies? And

recently, there was this news on the RoDTEP scheme, where the incentive has been reduced by half. So would you be able to quantify how much was the roadmap export incentives for CY '25.

Hardevi Vazirani: So we see that the order book for 2026 is in line with last year. That means 2025. In 2025, we already saw the demand coming back. But moving forward, we don't see that the same momentum of 35% will continue. Now it will moderate based on the economic growth

projections specifically of Europe and Asia Pacific, we do not see that it will be more than 5% to 10%. So that is going to be the export scenario in 2026.

Raghunandhan N. L. : And would you have it handy, the RoDTEP export incentive for CY '25?

Hardevi Vazirani: No, I will let Investor Relations reach out to you.

Moderator: We have the next question from the line of

Harshit Patel from Equirus Securities.

Harshit Patel : Sir, my first question is on the BIS segment. We have posted a very healthy growth on both Y - o-Y as well as Q -o-Q basis after a few relatively muted quarter. What changed in this particular quarter? You have highlighted the timing of projects in railways and wind as one of the reasons. Could you also highlight other factors? And do you believe that the current revenue run rate will further accelerate from here in this segment?

Harsha Kadam: So Harshit, is your question towards the other sector performance?

Hardevi Vazirani: In Q4.

Harshit Patel Q4.

Harsha Kadam: Yes, if one were to look at our Q4 performance, compared to Q4 last year, you would see a double -digit growth in all the other sectors on the industrial space, which is a clear indicator that, obviously, the market demand had a positive traction, which we were able to better leverage. So as I already mentioned, some of the weaker performance was from the wind and rail, but however, all the other sectors registered a very strong performance in the quarter.

Harshit Patel : Right. Understood. Secondly, on the automotive technology, we have posted a growth of almost 42% Y -o-Y, significantly ahead of the automotive production volumes growth in the country.

Obviously, you have mentioned some of the key business wins that you have registered for the past several quarters and that would have definitely contributed. But would you say that the majority of the growth in this particular quarter would have come from the ramp -up of the E - axle project. Would that project have the highest share of the growth that we have posted? And I mean, obviously, the growth rate could moderate from this very high level, but should we continue to see the heightened kind of growth in the Automotive Technology segment ahead?

Harsha Kadam: So let me clarify that while what you said about the e -mobility business growth being very strong for us, yes, it's a fact as our customer models are being in the market, and so we are riding on their success. And it goes without saying that we will continue to increase our competitiveness here by way of the localization phase 2 that is currently ongoing in the production lines for our Schaeffler India Limited

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INTERNAL e-axes. However, I must also point out that even in the internal combustion application, I see engine applications, we have registered pretty strong growth whether it is in the clutch applications or in the damper systems, so engine and transmission applications also we have registered pretty strong wins.

As I already pointed out, we continuously strive to secure new business wins, and we had a very strong book -to-bill ratio going forward. We remain focused on ensuring that we continue to create the pipeline and accordingly also make the appropriate investments in production capacities even for the ICE engines as we believe that in the midterm, we still see growth happening in the ICE engine applications as such.

So it goes without saying that even if it were to grow at 4% to 6% GST 2.0 reforms, notwithstanding, it is a clear indicator that we must continue to invest if we want to sustain the growth and also capitalize the market opportunity that we see. So there have been areas like train systems as well, we have started to focus.

The numbers are small, but we're confident going forward, the built -in chain drive systems. So all the application and the products that go in and around the ICE engines, we continue to keep our focus. And what you see in the Q4 is exactly that, the focus has helped us to grow at very strong double -digit growth rate in Q4 even in the ICE engine application.

Moderator: We have the next question from the line of Sagar Parekh from Renaissance Asset Managers.

Sagar Parekh : I think you've answered my question, but essentially, I just want to

understand this FTA with

EU, just I'm reiterating what you said. So you said that on the export side, there is no impact because the rates are almost 0% to 2%, right?

Harsha Kadam: Correct.

Sagar Parekh : And on the import side, you are still waiting for the rates to be seen like right now 7.5% duty. If that goes down, then we can see more imports from EU, right understanding?

Hardevi Vazirani: Absolutely.

Sagar Parekh : Okay, sir. And anything on the U.S. FTA, where we can see some momentum or nothing there?

Hardevi Vazirani: No, there is nothing as such.

Harsha Kadam: Also, the U.S. FTA clarity is still to come, correct? The commodity or on item level is still not

being ready. But I think our exports to U.S. is also not very big. So I don't think that would be.
Sagar Parekh : But can it become meaningful if there is some material changes in the rates?
Harsha Kadam: Well, again, I guess, the similar pattern would emerge where the import duties would have to come down because the amount of contention is what has imported into India, right? What goes out of India, obviously, if the export duties were kept at 0 or rather import into U.S. were kept at 0. We don't see that any differentiation there as such. So we believe that, yes, our export
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INTERNAL business would strive purely on our own competitiveness in the Indian market space, when looked at globally. So , I guess that's the only differentiating factor that we have.
Moderator: Ladies and gentlemen, as there are no further questions from the participants. That concludes the question -and-answer session. I now hand the conference over to Ms. Gauri Kanikar: for closing comments. Thank you, and over to you, ma'am.
Gauri Kanikar: Thank you, everyone, for joining us today. If you have any further questions, please do reach out to me at gauri.kanikar@schaeffler.com. With this, we conclude the call and wish you a good rest of the day. Thank you.
Harsha Kadam: Thank you. Thank you all.
Moderator: Thank you, members of the management. On behalf of Schaeffler India, that concludes this conference. Thank you all for joining us, and you may now disconnect your lines.

(This document has been edited to improve readability)

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